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Introduction – Multinational Top-up Tax and Domestic Top-up Tax – Further draft guidance

This release of draft guidance is being published to provide technical guidance on the legislation implementing Multinational Top-up Tax (MTT) and Domestic Top-up Tax (DTT), in Parts 3 and 4 of Finance (No.2) Act 2023. These measures constitute the UK's adoption of a qualifying Income Inclusion Rule and a qualifying domestic minimum top-up tax (part of the Pillar 2 or GloBE rules).

For convenience, all existing pages have been included in this document, including some pages previously released in draft format to which no substantial changes have been made.

Following feedback in this consultation window, finalised pages will be published as a new HMRC manual in autumn 2024.

New content included in this release

Content new to this release includes:

- Guidance on attributing top-up amounts to responsible members (MTT05130 and MTT05140),
- A reference table showing differences between MTT and DTT (MTT06011),
- Guidance on sub-divided entities (MTT10140),
- Guidance on the QDMTT safe harbour (MTT15100+),
- Guidance on the meaning of "line by line basis" (MTT19530),
- Guidance on CFC tax expense and blended CFC regimes (MTT25500+),
- Guidance on qualifying tier one capital (MTT21300),
- Guidance on transferable tax credits (MTT21420+ and MTT25400)
- A section on calculating top-up amounts, including guidance on the substance based income exclusion (MTT30000+),
- Guidance on permanent establishments (MTT41010+)
- Guidance on deemed continuity of partnerships (MTT41110 and MTT51310),
- Guidance on non-standard members and minority owned members (MTT41500+),
- Guidance on restructures (MTT44000+),
- Guidance on investment entities (MTT45100+),
- Guidance on transitional provisions (MTT49000+).

There have been significant revisions to certain pages, including:

- Various pages which have been revised to include references to DTT,
- The section on the transitional safe harbour (MTT15900+),
- The section on deferred tax accounting (MTT27000+),
- Protected cell companies (MTT42030).

Additionally, all pages have been updated to include legislative references.

Forthcoming guidance

A supplementary release of draft guidance will be published this winter. This will contain any significant revisions to existing pages, and new pages on flow-through entities, joint ventures, UTPR, tax equity partnerships, post-filing adjustments of covered taxes, and additional top-up amounts. A map between the UK legislation and the OECD documents, and a reverse map, will also be included.

A longer consultation period will follow that release of draft guidance and will be open to responses on any guidance pages (including all previously released draft guidance and published guidance).

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Consultation responses
HMRC welcomes comments on the draft guidance included here, as well as suggestions for any other content that may be useful.

In particular, we welcome views on whether the reference table for DTT is sufficient for external users, or whether guidance on DTT could be presented in a more effective way.

Please submit comments to the inbox: pillar2.consultation@hmrc.gov.uk. Include "HMRC guidance" in the subject line and refer to the page number (MTTxxxxx) and page title for pages that have been drafted, or refer to the legislation for pages that have not yet been drafted.

The specified closing date for responses to this consultation is 23 October 2024, but please note that responses may be received after this date, as another consultation window will follow the forthcoming release of draft guidance. HMRC will also consider potential improvements to guidance pages when responding to requests for clearances or other similar stakeholder queries.

Previous consultation responses
Where the guidance has not been revised following previous consultation responses, the responses have been recorded and will be reflected in guidance in due course, as appropriate. There is no need to resubmit previous consultation responses.

In some cases, previous consultation responses have raised points that required legislative amendments or further consideration at OECD level. In these cases, the responses have not been reflected in guidance but have been recorded appropriately.

DRAFT

00100 Introduction to Multinational Top-up Tax

Multinational Top-up Tax (MTT) is being introduced in the UK as part of Pillar 2, an initiative developed as part of a broader agreement made by the G20 to reform the international tax framework to tackle base erosion and profit shifting, in response to challenges raised by the digitalisation of the economy. The UK has worked closely with international partners to develop the Pillar 2 Model Rules at the Organisation of Economic Co-operation and Development ('OECD'), as part of the Inclusive Framework of nations.

Pillar 2 consists of two mechanisms for collecting tax: the Income Inclusion Rule (IIR), which is the main rule, and the Undertaxed Profits Rule (UTPR), which is the backstop to the IIR and ensures that the charge will be collected in every jurisdiction. Collectively, these are known as the "GloBE" rules (Global Base Erosion).

Together, the GloBE rules will ensure that large groups will pay an effective rate of tax of at least 15% in every jurisdiction in which they operate.

UK implementation

The IIR is being implemented in the UK as Multinational Top-up Tax, and will apply for accounting periods beginning on or after 31 December 2023. The UTPR is expected to be implemented in the UK at a later date, but will not apply to periods beginning before 31 December 2024.

Many of the countries that are signatories to Pillar 2 will also be implementing a Qualifying Domestic Minimum Top-up Tax (QDMTT). The UK is implementing a QDMTT, called Domestic Top-up Tax (DTT). This will ensure that the UK operations of the largest groups will be subject to the minimum effective tax rate and therefore face no additional top-up charges as a result of Pillar 2.

DTT shares the implementation date of MTT.

See MTT05000 for an overview of MTT, and MTT06000 for an overview of DTT.

DRAFT

00110 Background to Pillar 2

Pillar 2 has its origins in a 2013 OECD report entitled Addressing Base Erosion and Profit Shifting. Under a G20 mandate, it outlined 15 actions to be taken to address these issues. Action 1, Addressing the Tax Challenges of a Digital Economy, was elaborated in a 2015 paper.

In 2019, the G20/OECD Inclusive Framework announced plans to further develop a proposed two-pillar solution to address the tax challenges arising from the digitalisation of the economy. Pillar 1 consists of a partial reallocation of taxing rights between jurisdictions, in order to adapt the international tax system to better reflect the modern global economy. Pillar 2 consists of the implementation of a global minimum corporate tax rate.

In October 2021, the jurisdictions of the Inclusive Framework reached an agreement on Pillar 2 to ensure that the largest MNEs will be subject to a minimum rate of tax, by enacting a global minimum corporate tax rate of 15%.

On 20 December 2021, the OECD released the Pillar 2 Model Rules, which set out how the Income Inclusion Rule (IIR) and its backstop, the Undertaxed Profits Rule (UTPR), will operate. Further details were provided in the Commentary to the Model Rules which was published in early 2022.

Multinational Top-up Tax (MTT) implements the IIR in the UK. MTT, in implementing the IIR, seeks to reduce the incentive for the largest MNEs to shift profits to low- or no-tax jurisdictions, and to restrict harmful tax competition between jurisdictions. These aims will be achieved by applying a top-up charge where a MNE has an Effective Tax Rate (ETR) below the minimum of 15% in each jurisdiction in which they operate.

Example

ABC multinational group consists of three companies:

- A Ltd is the ultimate parent and is located in the UK.
- B Ltd is an intermediate parent and is located in Country Y, which has implemented Pillar 2, including an IIR.
- C Ltd is located in Country Z, which has no Pillar 2 rules.

C Ltd has £100m profits in an accounting period, on which it pays tax at an effective rate of 13%.

Under the Pillar 2 rules, a top-up amount of up to £2m will be charged to bring it to the effective rate. This amount will be collected by the UK, through MTT, as the UK is the territory in which the ultimate parent is located.

If the UK had not implemented MTT, the amount would have instead been collected by Country Y, the jurisdiction of the intermediate parent.

If Country Z had implemented the Pillar 2 rules, including a domestic minimum top-up tax, it would have been able to collect the top-up amount itself.

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00120 Relationship between Multinational Top-up Tax legislation and OECD documents

OECD documents

The Model Rules and related OECD documents (altogether, the "OECD documents") are not binding international law, nor a treaty, but have been developed as a template for territories to use when implementing Pillar 2 in domestic law. The OECD documents are designed to be comprehensive so that all implementing territories will arrive at a consistent outcome even though they are each applying their own legislation.

The OECD documents include the Commentary to the Model Rules, papers on Qualified Domestic Top-up Taxes and Safe Harbours and Simplifications, and Agreed Administrative Guidance which amends the Commentary.

The UK legislation will not correspond exactly to the Model Rules because it incorporates rules presented across these different OECD documents.

UK legislation

The MTT legislation has been designed to implement the OECD Model Rules In line with the intention to achieve consistency between territories. The legislation also incorporates additional rules that have been agreed and published in other OECD documents, where necessary.

The legislation adapts the Model Rules into the style and structure of UK legislation, and provides further details on the steps that businesses must take to calculate their liabilities under the MTT.

Additionally, there are some parts of the legislation that are particular to the UK legislation and do not have their origin in the OECD documents – for example, Schedule 14, which provides the rules for administration.

This guidance manual includes a map to cross-reference the Model Rules to the UK legislation at MTT09990.

MTT is designed to be consistent with the OECD documents, and therefore it is unlikely that conflicts will arise. However, in the event they do, HMRC should ensure compliance with the MTT legislation as this provides the legal basis for imposing the charge. If these situations arise, staff should contact the Base Protection Policy team in Business, Assets and International (BAI).

Use of OECD documents by officers of HMRC

The OECD documents do not have legal effect. Nonetheless, Section 121(1) establishes that the purpose of MTT is to implement those documents into domestic law.

Consequently, HMRC officers may consult the OECD documents as an aid if the application of the law to a particular set of facts is unclear. The OECD documents may provide additional understanding of the purpose of the rules which they set out (and by extension, the MTT legislation, which is intended to give effect to those rules).

Purpose of HMRC guidance manual

This HMRC guidance manual is designed to provide guidance on HMRC's interpretation of the UK legislation and the administration of MTT in the UK.

DRAFT

00130 Territories with a qualifying Pillar 2 tax

Domestic taxes that are intended to implement the OECD Model Rules will be assessed by the Inclusive Framework, through a peer review process, to determine whether or not they are qualifying taxes. This will include taxes that are intended, under the common approach, to achieve the objectives of the Income Inclusion Rule, the Undertaxed Profits Rule, and the Qualified Domestic Minimum Top-up Tax.

Where a tax is deemed to be a qualifying Pillar 2 tax, this will be specified in secondary legislation and included in a table on this page of guidance.

DRAFT

05000 Overview of Multinational Top-up Tax

Multinational Top-up Tax (MTT) is a Top-up Tax that will be charged on members of the largest multinational groups where they do not meet the minimum effective tax rate (ETR) in each territory in which they operate. The minimum rate is 15%.

The amount of the charge will be the amount required to raise the ETR for that territory to the minimum rate. This is why it is described as a 'top-up tax'. In order to achieve the top-up, MTT operates and is a separate charge to tax in its own right, rather than being an extension of the charge to tax under pre-existing heads of taxation.

The charge will be collected through one of several mechanisms, including Multinational Top-up Tax (MTT) and Domestic Top-up Tax (DTT). This guidance manual will apply to both of these taxes, unless otherwise specified.

See MTT06000 for an overview of Domestic Top-up Tax.

Scope

A multinational group will be in scope of MTT where it has annual revenue exceeding EUR750m in any two out of the four periods preceding the tested period, according to the group's consolidated financial statements. See MTT11000 for guidance on the revenue threshold test.

Some entities in a qualifying group will satisfy the criteria for being an excluded entity (see MTT10200). These entities will be excluded from the MTT calculations.

Wholly-domestic groups cannot be in scope of MTT but can be in scope of Domestic Top-up Tax.

De minimis exclusion

The top-up amount for a territory is deemed to be nil if, for that territory:

- Average revenue is less than €10 million, and
- Average profit is less than €1 million.

The amounts are averaged over the three accounting periods ending with the tested period.

Determining the effective tax rate

To determine if a top-up amount is due for a territory the ETR for each territory must be calculated.

The rate is expressed as a percentage and is determined by the following computation:

- Covered tax balance, divided by
- Adjusted profits.

The ETR is calculated for each accounting period. The accounting periods of the group's Consolidated Financial Statements are used.

Adjusted profits

Adjusted profits is the denominator in the ETR computation. To arrive at this figure, we start with the underlying profits, which are generally the profits in the group's Consolidated Financial Statements. A series of adjustments are then made to determine the adjusted profits.

In some cases, the underlying profits can be taken from the accounts of a member of the group.

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Covered tax balance
Covered tax balance is the numerator in the ETR computation. This includes the net amount of covered taxes attributable to the income earned in the tested period.

The covered taxes include taxes on profit, but does not include indirect taxes, payroll, or property taxes.

Adjustments are made for some permanent differences, such as amounts relating to income excluded from the adjusted profits. Temporary differences are adjusted for by using deferred tax accounting.

Substance-based income exclusion
Groups are allowed a deduction in proportion to the amount of tangible assets and payroll expense they have in a territory. This deduction corresponds to the estimated return on investment the group might expect from those assets and employees.

The deduction is made from the net profits of the territory when determining the amount of top-up tax chargeable. It does not have an effect on the ETR.

Special provisions
Special provisions apply to certain entities, groups, and sectors, including:

- Joint ventures and their subsidiaries
- Transparent entities
- Permanent establishments
- Investment entities and investment funds
- Minority owned members
- International shipping

Special provisions also apply where there is a merger or demerger.

There are also special rules for the period in which a group first becomes a qualifying group.

Chargeability
The top-up charge is calculated on the level of a group for each territory in which it operates. However, the tax is charged to individual members of the group.

See MTT05100 for guidance on identifying chargeable persons for MTT, and MTT54000+ for guidance on payments.

Administration
Multinational groups which are in scope and have a member in the UK must register for MTT with HMRC. They must file information returns and self-assessment returns.

MTT is applied to groups, but a single 'filing member' will be responsible for most administrative obligations. If the ultimate parent does not nominate a filing member, the ultimate parent will be the filing member by default.

See MTT50000+ for further information on administration of MTT.

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05100 The charge - Chargeable persons

A person is chargeable to MTT for a period if:

- They are the responsible member of a qualifying multinational group for that period,
- They are a body corporate or a partnership, and
- They are located in the UK.

In some cases, persons other than the responsible member are chargeable to MTT. These are explained below.

This is set out in sections 122 and 237 of Finance (No.2) Act 2023.

See MTT05110 for guidance on identifying the responsible members.

Domestic Top-up Tax

Guidance on these pages is not applicable for Domestic Top-up Tax. For guidance on DTT chargeability, see MTT06100.

Responsible member is neither a body corporate nor a partnership

Another person may be chargeable to tax in respect of a responsible member if the responsible member is:

- Neither a body corporate nor a partnership, and
- Located in the UK.

A person will be chargeable in respect of such a responsible member if the profits of that responsible member would be the profits of that person for the purpose of income tax or corporation tax, assuming that:

- The responsible member had profits that were chargeable to income tax or corporation tax, and
- That person was resident in the UK for the purposes of that tax.

Where more than one person is chargeable in respect of the same responsible member, these persons are jointly and severally liable.

Group payment notice

If a chargeable person fails to pay their MTT liability, HMRC may issue a notice to another member of the group to make it liable for the amount. See MTT54200+ for more information on group payment notices.

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05110 The charge – Responsible members

An entity can be a responsible member if it is:

- The ultimate parent,
- An intermediate parent, or
- A partially owned parent (POPE).

A group may have more than one responsible member.

A responsible member will be chargeable for:

- All of the members of the group in which it has a direct or indirect ownership interest, except for those located in its own territory, and
- Every permanent establishment for which it is the main entity.

This is set out in sections 128 of Finance (No.2) Act 2023.

Domestic Top-up Tax

Guidance on this page is not applicable for Domestic Top-up Tax, which does not include the concept of a responsible member. See MTT06100 for further guidance on DTT chargeability.

Ultimate parent

The ultimate parent will be a responsible member if it is subject to MTT or another qualifying Income Inclusion Rule applied by another territory for an accounting period.

See MTT00130 for a list of qualifying rules.

Intermediate parent

An intermediate parent will be a responsible member if:

- It is subject to MTT or another qualifying Income Inclusion Rule for an accounting period,
- No other group member that is subject to such a rule has a controlling interest in it, and
- At least one group member in which it has an ownership interest (or permanent establishment for which it is the main entity) has a top-up amount or additional top-up amount.

A member will be an intermediate parent if it has an ownership interest in another member of the group and is not:

- A permanent establishment,
- An investment entity,
- A partially owned parent, or
- The ultimate parent.

Partially owned parent

A partially owned parent will be a responsible member if:

- It is subject to MTT or another qualifying Income Inclusion Rule for an accounting period,
- It is not wholly-owned by another partially owned parent of that group that is subject to such a rule, and
- It has a direct or indirect ownership interest in a member of the group that has a top-up amount.

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A member will be a partially-owned parent if:

- It is not a permanent establishment, investment entity, or the ultimate parent,
- It has an ownership interest in another member of a group,
- More than 20% of the ownership interest in its profits are held by persons other than members of the group, and
- At least one group member in which it has an ownership interest (or permanent establishment for which it is the main entity) has a top-up amount or additional top-up amount.

DRAFT

05120 The charge - The amount charged

The amount of MTT for which a responsible member is liable is determined by a four-step process:

Step 1: Of the group's members for which the responsible member is responsible, determine which have top-up amounts or additional top-up amounts, and the extent of those amounts.

Step 2: Determine how much of each of those amounts should be attributed to the responsible member (see MTT05130).

Step 3: Add together the amounts attributed to the responsible member.

Step 4: If the total amount is not in sterling, convert it to sterling (see MTT19000).

Domestic Top-up Tax

Guidance on this page is not applicable for Domestic Top-up Tax, which does not include the concept of responsible members. See MTT06110 for the equivalent page for DTT.

DRAFT

05130 The charge – Attributing top-up amounts to a responsible member

In MTT, the top-up amount is determined separately for each member of the group. Those top-up amounts are then attributed to the responsible members to determine the amount of tax to be charged to each responsible member.

The amount to be attributed to a responsible member is given by multiplying:

- The top-up amount of the member (the "relevant member"), by
- The inclusion ratio of the responsible member (see MTT05140).

This is set out in sections 200 and 201 of Finance (No.2) Act 2023.

See MTT31000+ for guidance on determining the top-up tax amount of a member.

Indirectly held interests

It is possible for a responsible member to hold an interest in the relevant member through another responsible member which holds a more direct interest.

In this case, the amount attributable to the responsible member with the more direct interest should be calculated first. That amount is then deducted when determining the amount attributable to the responsible member with the less direct interest.

The amount to be attributed cannot be reduced below nil as a result of the deduction.

This treatment applies in respect of each ownership interest held by the responsible member.

Example

Responsible Member A holds a direct interest in X Ltd of 20%. It also holds an indirect interest of 36% in X Ltd via Responsible Member B. Responsible Member A holds a 60% ownership interest in Responsible Member B, which in turn holds a 60% interest in X Ltd.

The inclusion ratio of Responsible Member A is 0.56. The inclusion ratio of Responsible Member B is 0.6.

For the 2030 period, X Ltd has a top-up amount of 100.

The top-up amount attributable to Responsible Member B is (0.6*100) = 60.

The top-up amount attributable to Responsible Member A in respect of the indirectly-held interest is (0.36*100) = 36. From this is deducted the amount of 60 already attributed to Responsible Member B. This reduces the amount attributable to zero in respect of this ownership interest.

The top-up amount attributable to Responsible Member A in respect of the directly-held interest is (0.2*100) = 20. No reduction is applicable.

DRAFT

05140 The charge – Attributing top-up amounts to a responsible member – Inclusion ratio

A responsible member's inclusion ratio for a relevant member is determined by the following process:

Step 1: Determine the adjusted profits of the relevant member (see MTT21000+).

Step 2: Determine how much of those profits are attributable to ownership interests held by individuals and entities other than the responsible member.

Step 3: Subtract the result of Step 2 from Step 1 to find the profits of the relevant member that are attributable to the responsible member.

Step 4: The inclusion ratio is given by dividing Step 3 by Step 1. This represents the profits attributable to the responsible member in proportion to the total adjusted profits.

If a relevant member is wholly owned by a responsible member, the inclusion ratio will always be 1.

Attribution of adjusted profits

In step 2 of the process for determining the inclusion ratio, it is necessary to determine the profits to be attributed to ownership interests held by persons other than the responsible member.
The amount to be so attributed is the amount that would, in hypothetical consolidated financial statements (CFS) prepared by the responsible member, have been treated in those CFS as attributable to persons other than the responsible member. The accounting standard used to prepare the CFS of the ultimate parent is to be used for the purpose of determining these hypothetical consolidated financial statements.

Additionally, that amount should be determined using the following assumptions:

- That the relevant member's profits were its adjusted profits as determined for MTT purposes (see MTT21000+).
- That the responsible member had a controlling interest (see MTT17020) in the relevant member, such that all of the relevant member's income and expenses were consolidated on a line-by-line basis with those of the responsible member.
- That all of the profits of the relevant member were attributable to transactions with persons who are not members of the group.
- That all ownership interests that are not directly or indirectly held by the responsible member were held by persons other than members of the group.

Ultimate parent does not prepare consolidated financial statements

Where the ultimate parent does not prepare CFS, the accounting standard used for inclusion ratio purposes must be the same as is used by the UPE to create hypothetical CFS.

See MTT19500 for guidance on the consolidated financial statements.

Relevant member is a flow-through entity

The adjusted profits of flow-through entities are reduced where they are attributable to non-members of the group.

Consequently, where the relevant member is a flow-through entity, only the adjusted profits that are attributable to members of the group are to be considered for the purpose of determining the inclusion ratio.

DRAFT

This means that the inclusion ratio for all the responsible members in relation to a flow-through entity should add up to 1.

This is necessary to arrive at the correct inclusion ratio for flow-through entities because their adjusted profits have already been reduced by amounts attributable to non-members of the group.

Investment entities
The inclusion ratio is applied to investments entities with certain modifications. See MTT45190 for further guidance.

Example
X Ltd is a 70% subsidiary of Y Ltd. The remaining shares are 20% owned by Z Ltd and 10% owned by an individual person. X Ltd has adjusted profits of £10 million and a top-up amount of £1 million. The inclusion ratio of Y Ltd in respect of X Ltd is determined as follows.

Step 1: X Ltd has adjusted profits of £10 million.

Step 2: In the hypothetical consolidated financial statements of Y Ltd, £3 million of the profit of X Ltd is attributable to persons other than Y Ltd.

Step 3: £10 million – £3 million = £7 million

Step 4: £7 million / £10 million = 0.7

The inclusion ratio for Y Ltd in respect of X Ltd is therefore 0.7.

This ratio is then applied to the top-up amount of X Ltd of £1 million. Y Ltd is therefore responsible for £700,000 of top-up tax in respect of X Ltd.

DRAFT

05130 The charge – Attributing top-up amounts to a responsible member

Top-up amounts are determined separately for each member of the group. The member's top-up amount is then attributed to the responsible members to determine the amount of tax to be charged to each responsible member.

The amount to be attributed to a responsible member is given by multiplying:

- The top-up amount of the member (the "relevant member"), by
- The inclusion ratio of the responsible member (see MTT05140).

This is set out in sections 200 and 201 of Finance (No.2) Act 2023.

See MTT31000+ for guidance on determining the top-up tax amount of a member.

Indirectly held interests

It is possible for a responsible member to hold an interest in the relevant member through another responsible member which holds a more direct interest.

In this case, the amount attributable to the responsible member with the more direct interest should be calculated first. That amount is then deducted when determining the amount attributable to the responsible member with the less direct interest.

The amount to be attributed cannot be reduced below nil as a result of the deduction.

This treatment applies in respect of each ownership interest held by the responsible member.

Example

Responsible Member A holds a direct interest in X Ltd of 20%. It also holds an indirect interest of 36% in X Ltd via Responsible Member B. Responsible Member A holds a 60% ownership interest in Responsible Member B, which in turn holds a 60% interest in X Ltd.

The inclusion ratio of Responsible Member A is 0.56. The inclusion ratio of Responsible Member B is 0.6.

For the 2030 period, X Ltd has a top-up amount of 100.

The top-up amount attributable to Responsible Member B is (0.6*100) = 60.

The top-up amount attributable to Responsible Member A in respect of the indirectly-held interest is (0.36*100) = 36. From this is deducted the amount of 60 already attributed to Responsible Member B. This reduces the amount attributable to zero in respect of this ownership interest.

The top-up amount attributable to Responsible Member A in respect of the directly-held interest is (0.2*100) = 20. No reduction is applicable.

DRAFT

06000 Overview of Domestic Top-up Tax

Domestic Top-up Tax (DTT) is a separate tax charge to Multinational Top-up Tax (MTT). Under DTT, qualifying entities located in the UK with an aggregate effective tax rate below 15% will be charged a top-up amount. This ensures that they will meet the minimum rate and not pay any other Pillar 2 charge. This means the UK, rather than any other territory, will collect all of the top-up taxes in respect of UK profits.

DTT is calculated and administered in a largely similar way to MTT, with some exceptions. The guidance in this manual is generally applicable for both DTT and MTT, and references to MTT will also be references to DTT unless otherwise specified.

In the legislation (Part 4, Finance (No.2) Act 2023), the MTT provisions are replicated for DTT purposes with certain modifications.

See MTT06010 for a summary of the differences between DTT and MTT.

Scope

As well as the UK entities of multinational groups, wholly domestic groups and single entities can be in scope of DTT. Consequently, for DTT purposes, references to "multinational group" will mean any consolidated group or single entity that qualifies for DTT.

Aside from this, the scope for groups remains the same as it is for MTT, with the €750m revenue threshold applying in the same way to DTT. See MTT10000+ for guidance on scope and MTT11000+ for guidance on the revenue threshold.

Implementation date

DTT comes into effect for accounting periods beginning on or after 31 December 2023, as does MTT.

This is set out in section 278 of Finance (No.2) Act 2023.

Definitions

Terms defined for MTT purposes have the same meaning for DTT purposes, unless otherwise specified.

Substance based income exclusion

The substance based income exclusion will apply under DTT as well as MTT.

Treatment of DTT

DTT is designed to be treated as a Qualified Domestic Minimum Top-up Tax (QDMTT) by the OECD Inclusive Framework, as specified in section 265 of Finance (No.2) Act 2023. As a QDMTT, any DTT liability will be fully offset against any Pillar 2 liabilities that may arise in other territories.

DRAFT

06010 Differences between Domestic Top-up Tax and Multinational Top-up Tax

This page provides a summary of the differences between Domestic Top-up Tax and Multinational Top-up Tax.

Chargeability

Although the calculation and allocation of tax amounts is broadly similar between MTT and DTT, the chargeability rules are quite different.

In DTT, there is no concept of "responsible members". Generally, each qualifying entity will be chargeable.

However, the group may elect for a single member to be liable for the DTT charge for all members of the group.

See MTT06100 for further guidance on DTT chargeability.

Scope

The revenue threshold test applies for DTT in broadly the same way as it does for MTT. However, only specific entities ("qualifying entities") are determined to be in scope of DTT, rather than the group as a whole.

There is no requirement that a qualifying entity be part of a multinational group. Therefore, if a wholly domestic group would be in scope of MTT but for the fact that it does not have any foreign entities, then it will be in scope of DTT.

Any references in the guidance to multinational groups should be considered to include wholly domestic groups in the context of DTT.

It is also possible for an individual entity to be in scope of DTT. In such a case, references to a group, members of a group, or the filing member of a group, should be considered to be references to the individual entity.

Scope – excluded entities

Securitisation companies are excluded entities for DTT purposes only.
Investment entities and qualifying transformer vehicles are excluded entities for wholly-domestic groups and entities.

See MTT10020 for guidance on DTT excluded entities.

Elections

Any election that applies in respect of MTT (or an equivalent foreign version of the Income Inclusion Rule) also has effect for DTT, if the election would have an effect on the top-amount calculated for DTT.

For example, if an investment entity tax transparency election has been made in respect of an investment entity located in the UK, its profits should be allocated to its owners for the purposes of both DTT and MTT.

Election for wholly domestic group to use UK GAAP

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A group can use UK GAAP as an alternative accounting standard to determine the underlying profits and covered tax balance of its members if:

- All the group members are located in the UK, and
- The filing member has made a long-term election that the underlying profits of group members are to be determined on the basis of UK GAAP.

The group does not need to meet the other conditions usually required to use an alternative accounting standard.

Allocation of cross-border taxes
Sections 177 to 181 are modified for the purposes of DTT. These modifications limit the extent to which taxes charged by a foreign territory can be reflected in the ETR of the UK members of the group.

In particular, taxes charged under a CFC rule applied by a foreign territory on a UK entity or by a foreign territory on the profits of a permanent establishment in the UK are not treated as covered taxes in the DTT ETR calculation. Additionally, taxes charged on distributions of profits from UK members are similarly not allocated to the UK distributing member.

The exception is taxes charged on a partnership where the UK member is a partner in the partnership. These taxes continue to be reallocated according to subsection 178(1). This enables taxes suffered by the partnership on partnership source income (such as a withholding tax) to still be reflected in the ETR of the partners. This prevents double taxation of this income while respecting the existing allocation of taxing rights between the relevant territories.

Restriction on reallocation of tax expense in respect of mobile income
For DTT purposes, there is no restriction on the reallocation of qualifying current tax expense in respect of mobile income. Subsections 178(2) and 179(2) are omitted.

Consequently, where taxes paid by UK entities would be reallocated to another territory for the purposes of MTT, the full amount will be excluded from the DTT calculations of the relevant qualifying entities. Under MTT, the CFC and hybrid taxes to which the mobile income restriction applies will not be reallocated and remain as covered taxes of the parent or owner member.

Qualifying refundable tax credits
Amounts of expense relating to qualifying refundable tax credits are not to be excluded from the deferred tax expense (see MTT27150).

Investment entity top-up amounts included in calculation of top-up amounts
For DTT purposes, the total top-up amount that is allocated between the standard members under section 193 will include the top-up amounts and additional top-up amounts of investment entities.

This ensures that investment entities will not be liable for any top-up amounts, thus preserving the tax neutrality of investment entities.

Covered bond vehicles
[Page to be drafted]

Deemed distribution tax election
The UK does not have an eligible distribution tax system, so the deemed distribution tax election will not be relevant for DTT.

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However, when using tie-breakers to determine the location of a dual-resident entity (see MTT18010), an eligible distribution tax will still be a covered tax.

QDT crediting
When determining the top-up amount under DTT, or additional top-up amounts, there is no crediting of qualifying domestic minimum top-up taxes (including DTT and foreign equivalents). Those parts of the MTT legislation are omitted for DTT purposes.

Administration
DTT is generally administered in the same way as MTT, with some exceptions. See MTT50200 for further guidance on the administration of DTT.

DRAFT

06011 – Table of differences between Domestic Top-up Tax and Multinational Top-up Tax

Domestic Top-up Tax (DTT) is given effect in the legislation by applying the MTT rules in Part 3 Finance (No.2) Act 2023, with some modifications. These modifications are laid out in Part 4 Finance (No.2) Act 2023.

The table below provides references where the MTT legislation applies differently for DTT purposes.

In some cases the modification only applies for single entities, and not groups. The table is set out in sections to indicate this.

MTT Legislative Reference (Part 3 F(No.2)A23 unless noted)	**Change**	**DTT Legislative reference (Part 4 F(No.2)A23 unless noted)**	**Effect/comments**	**HMRC guidance reference**
Applies to both groups and single entities				
Chapters 1, 2, 7	Not applied	Section 266; Section 267; Section 267A; Section 268; Section 268A; Section 269; Section 270; Section 271	The provisions in these chapters are replaced with equivalent provisions in Part 4 F(No.2)A23.	MTT06010 (overview); MTT06100+ (chargeability); MTT10010 (scope); MTT10020 (excluded entities)
Section 141	Additional provision	Section 273C	For wholly-domestic groups and entities only, dividends or other distributions received from a protected cell company are treated as an excluded dividend.	MTT10130; MTT21140
Section 184; Section 185; Section 187; Section 205	Difference in application	Section 273B	Explains how the application of the rules upon entering Pillar Two differ for DTT.	[Forthcoming]
Section 185	Difference in meaning of term	Section 273A	Alters meaning of "Pillar Two rules apply".	[Forthcoming]
Section 187	Difference in meaning of term	Section 273A	Alters meaning of "Pillar Two rules apply".	[Forthcoming]
Section 173(1)(b); Sections 189-192	Omission	Section 272(4)(a)l; Section 273(3)(pa) and (v)	Not applicable to DTT – Eligible distribution tax systems.	MTT06010
Section 182(2)(e)	Difference in application	Section 272(8)(da); Section 273(3)(ba)	Amounts of expense relating to generation or use of qualifying refundable tax credits are not to be excluded from the deferred tax expense.	MTT27150

Section 193	Difference in application	Section 272A	Top-up amounts are not allocated to covered bond vehicles where possible.	[Forthcoming]
Section 194(2)-(7); Section 203(3)-(7); Section 206(4)-(8)	Omission	Section 272(3)(a)-(c); section 273(3)(c)-(e)	Prevents circularity as these sub-sections concern deduction of QDMTT amounts.	MTT31020
Schedule 14, Part 11	Difference in application	Schedule 18, paragraph 5	Penalties for failing to register are applied by Finance Act 2008, and penalties for errors are applied by Finance Act 2007.	[Forthcoming]
Schedule 16	Difference in application	Section 276	The transitional safe harbour is applied differently for wholly domestic groups and entities.	MTT15970
<u>Only applicable to entity that is a member of a group</u>				
Chapters 3-6, 8 and 9; Schedule 14, Part 2-12; Schedule 16	Change in terminology	Section 272(2); Schedule 18, paragraph 4(c); Section 276	Read "group" instead of "multinational group"	N/a
Section 134(2)-(3)	Additional provision	Section 272(8)(a)	134(3A) and (3B) insert an election that allows wholly-domestic groups to use UK GAAP as an alternative accounting standard even where conditions in 134(3) are not met.	MTT21020
Section 176(2)(i)	Substitution	Section 272(8)(b)	Limits application of 176(2)(i) to reallocations under 178(1).	MTT25210
Section 178(1A)	Substitution	Section 272(8)(c)(i)	Prevents the allocation of a qualifying tax expense from a non-UK territory under section 167 (hybrids).	MTT06010 [Forthcoming]
Section 178(2)	Omission	Section 272(8)(c)(ii)	Reallocation of tax expense for hybrids, transparent and reverse hybrid entities is capped in relation to mobile income. This cap does not apply for DTT purposes.	MTT016010 [Forthcoming]
Section 179(2)	Omission	Section 272(8)(d)	Reallocation of tax expense to CFC from CFC owner is capped in relation to mobile income. This cap does not apply for DTT purposes.	MTT25500
Section 193	Difference in application	Section 272(8)(e); section 272(9)-(11)	Top-up amounts of investment entities are included with the top-up amounts of standard members for charging purposes.	MTT31000 MTT45210
Section 225	Omission	Section 272(4)(b)	Top-up amounts of investment entities are included with the top-	MTT31000 MTT45210

			up amounts of standard members for charging purposes.	
Paragraph 2(4), schedule 16	Difference in meaning of term	Section 273A(2)(d)	Alters meaning of "Pillar Two rules apply".	[Forthcoming]
<u>Only applicable to single entities</u>				
Chapters 3-6, 8 and 9; Schedule 14, Parts 4-12; Schedule 16	Change in terminology	Section 272(2); Schedule 18, paragraph 4(d); Section 276	Read "entity" instead of "multinational group" or "member of a multinational group".	N/a
Section 132	Substitution	Section 273(2)	To determine the ETR of a single entity, a different step-by-step process is required.	MTT20100
Section 249	Difference in meaning of term	Section 273(3)(b)	A single entity will not have consolidated financial statements. The concept of "qualifying financial statements" in 266(10) takes its place.	MTT19500
Various	Omission	Section 273(4); Schedule 18; Section 276(c)(iii)	Omits various sections, subsections and paragraphs that would have no application for a single domestic entity.	These omissions are not generally specified in guidance as they have no practical effect.

DRAFT

06100 Domestic Top-up Tax charge – Chargeable persons

Chargeability is different for DTT compared to MTT because the concept of responsible members does not exist for DTT. All qualifying entities that are a body corporate or a partnership will be chargeable persons for DTT.

In some cases, a person other than a qualifying entity may be chargeable. These are explained below.

A group may elect to make one member liable for amounts charged. See MTT06120.

This is set out in section 269 of Finance (No.2) Act 2023.

See MTT10010 for guidance on the meaning of 'qualifying entity'.

Qualifying entity is neither a body corporate nor a partnership

If a qualifying entity is neither a body corporate nor a partnership, another person may be chargeable in respect of it.

Another person will be chargeable if the qualifying entity's profits would be the profits of that person for the purposes of Income Tax or Corporation Tax. This will be the case if:

- The qualifying entity has profits chargeable to Income Tax or Corporation Tax, and
- The person is resident in the UK for the purpose of that tax.

Where more than one person is chargeable in respect of the same qualifying entity, these persons are jointly and severally liable.

Group payment notice

If a chargeable person fails to pay their DTT liability, HMRC may issue a notice to another member of the group to make it liable for the amount. See MTT54200+ for more information on group payment notices.

DRAFT

06110 Domestic Top-up Tax charge - The amount charged

The amount of DTT for which a chargeable person is liable is determined by a three-step process:

Step 1: Determine whether the entity has any top-up amounts or additional top-up amounts for the period, and the extent of those amounts.

Step 2: Determine the sum of those amounts.

Step 3: If the total amount is not in sterling, convert it to sterling (see MTT19000).

This is set out in section 270 of Finance (No.2) Act 2023.

DRAFT

06120 Domestic Top-up Tax charge – Election to make one member liable

If multiple members of a group are chargeable to Domestic Top-up Tax (DTT) in an accounting period, the filing member may elect that only one member of the group (the "elected member") is liable to pay the DTT chargeable on any member of the group for that period.

Where an election is made, the elected member will become liable for those amounts of DTT. None of the other members of the group will be liable.

The elected member must consent to such an election, in accordance with section 271(3) Finance (No.2) Act 2023, in order for the election to take effect.

This election is an annual election. See MTT53000 for guidance on making an annual election.

Treatment of amounts allocated under the election

When a member has been made liable as a result of the election, the amount of tax is to be treated in the same way as an amount for which the member would ordinarily be liable.

For example, the payment date will be the same for the elected member as it would have been for the other group member, and a group payment notice may be issued in respect of the liability.

See MTT54000+ for guidance on payments of MTT and DTT.

DRAFT

10000 Scope of the rules

For MTT purposes, a group is a 'qualifying' group for a period if it:

- Is a multinational group (see MTT10100),
- Has at least one member located in the UK, and
- Meets the revenue threshold test (see MTT11000).

See MTT18000+ for guidance on locating entities.

References to a "group" in the HMRC guidance manual will generally mean a qualifying multinational group.

Certain types of entity are excluded from scope, even when they are in a qualifying group (see MTT10200).

Domestic Top-up Tax

Domestic Top-up Tax (DTT) can apply to wholly domestic groups and single entities, in addition to the UK operations of multinational groups. For DTT purposes, it is entities that will be qualifying rather than groups.

Consequently, for DTT purposes, references in HMRC guidance to "qualifying group" will refer to any entity or group that includes members that qualify for DTT, and references to "multinational group" will also refer to wholly domestic groups and single entities.

See MTT10010 for further guidance on scope for DTT.

See MTT06000 for an overview of DTT.

DRAFT

10010 Scope – Domestic Top-up Tax

Domestic Top-up Tax (DTT) can apply to wholly domestic groups and single entities, in addition to the UK operations of multinational groups. For DTT purposes, it is entities that are determined to be qualifying rather than groups.

Where the entity is a member of a group, the revenue threshold test (see MTT11000) is still applied to the group as a whole.

An entity will be a "qualifying" entity for DTT purposes if:

- It is located in the UK,
- It is not an excluded entity for DTT purposes (see MTT10020),
- It meets the revenue threshold test as a single entity, or it is a member of a group that meets the revenue threshold test.

Consequently, for DTT purposes, references in HMRC guidance to "qualifying group" will refer to any entity or group that includes members that qualify for DTT, and references to "multinational group" will also refer to wholly domestic groups and single entities.

See MTT18000+ for guidance on locating entities.

See MTT06000 for an overview of DTT.

DRAFT

10020 Scope - Domestic Top-up Tax – Excluded entities

Entities excluded for MTT purposes (see MTT10200) are also excluded for DTT purposes. However, there are some additional rules for DTT. These are set out in section 267 and 267A of Finance (No.2) Act 2023.

Qualifying transformer vehicles

A qualifying transformer vehicle (see MTT10130) will be an excluded entity, for DTT purposes only, unless it is a member of a multinational group.

Securitisation companies

A securitisation company that is a single entity is an excluded entity, for DTT purposes only.

A securitisation company that is a member of a group is treated as not being a member of the group, except for the purpose of the revenue threshold test. This means the revenue of the securitisation company will still be included when applying the revenue threshold test to the group.

"Securitisation company" is defined in regulation 4 of the Taxation of Securitisation Companies Regulations 2006.

Investment entities – wholly domestic groups and entities

For wholly domestic groups and entities, an investment entity is an excluded entity for DTT purposes.

Investment entities – multinational groups

For multinational groups, an investment entity is not a qualifying entity, but is still treated as member of the group under DTT for the purposes of:

- Determining its top-up amount, and whether that amount is to be attributed to another member of the group, and
- Assessing whether the group meets the revenue threshold for DTT purposes (see MTT11020).

For any other purpose, an investment entity is treated under DTT as not being a member of a group.

Treatment of excluded entities

Where an entity is excluded for DTT purposes, it will be treated as not being a member of any group, except for the purposes of determining whether the group meets the revenue threshold (see MTT11020).

DRAFT

10100 Scope – Definitions of "multinational group" and "ultimate parent"

The definitions of multinational group and ultimate parent are set out in section 126 of F(No.2)A23.

Multinational group

A consolidated group is a multinational group if it includes at least one member not located in the same territory as the others.

Consolidated group

A consolidated group consists of its members, which are:

- The ultimate parent,
- The entities whose assets, liabilities, income, expenses and cash flows are included in the consolidated financial statements of the ultimate parent, and
- Entities that have not been included in the consolidated financial statements due to size, materiality or because the entity is held for sale.

Where the group is qualifying (see MTT11000+), all of these entities will be in scope of MTT, except for those that are excluded entities (see MTT10200).

Ultimate parent

An ultimate parent is an entity:

- In which no other entity has a controlling interest (see MTT17020), and
- Which has a controlling interest in one or more other entities.

Stateless members

A stateless member, which is a member that is not located in any territory, is treated as being located in a nominal territory containing only that member.

A group that consists solely of a number of entities located in a single territory and one stateless member would therefore be a multinational group.

DRAFT

10110 Scope – Meaning of "entity"

For MTT purposes, "entity" means:

- A company, or
- Any arrangement that results in the preparation of separate financial accounts in respect of the activities carried out under the arrangement (such as a partnership or trust).

This is set out in section 231 of Finance (No.2) Act 2023.

Entity that is part of a government

An entity will not be regarded as an entity if it is, or is part of, a national, regional, or local government.

An entity that is owned by a government will be regarded as an entity, but may be an excluded entity where the conditions are met. See MTT10230 for guidance on the definition of 'governmental entity'.

Permanent establishments to be treated as an entity

For MTT purposes, a permanent establishment is treated as an entity that is distinct from its main entity.

See MTT10120 for guidance on the definition of "permanent establishment" and "main entity".

Protected cell companies and other sub-divided entities

See MTT10130 for guidance on whether a protected cell company or its components are entities for MTT purposes.

See MTT10140 for guidance on other sub-divided entities.

DRAFT

10120 Scope – Meaning of “permanent establishment” and “main entity”

A permanent establishment (PE) of an entity (the “main entity”) is a place of business of the main entity that is located in a different territory than the main entity, and meets one of the following four conditions:

- The place of business is situated in a territory where it is treated as a PE in accordance with an applicable tax treaty, and the territory taxes the income attributable to it in accordance with a provision similar to Article 7 of the OECD Model Tax Convention.
- The place of business is in a territory where there is no such applicable tax treaty in force, but the territory, under its domestic law, taxes the income attributable to the place of business on a net basis similar to the manner in which it taxes its own residents.
- The place of business is in a territory which has no corporate income tax, but if the territory did have such a tax, it would have the right to tax the income attributable to the place of business in accordance with Article 7 of the OECD Model Tax Convention, and the place of business would be treated as a permanent establishment in accordance with the Model Tax Convention.
- None of the above conditions are met, and the territory of the main entity exempts the income attributable to the operations of the place of business.

For MTT purposes, a PE is treated as a distinct entity from the main entity.
This is set out in section 232 of Finance (No.2) Act 2023.

Place of business

“Place of business” takes the same meaning as it does in the OECD Model Tax Convention. It includes a deemed place of business for the purpose of the Model Tax Convention, a tax treaty, or the domestic law of a territory.

DRAFT

10130 Scope – Protected cell companies and qualifying transformer vehicles

A protected cell company (PCC) is a single entity, but is divided according to the terms of its constitution into a 'core' and a number of 'cells' (altogether, the "constituent parts" of the PCC).

Each cell is economically independent and bankruptcy-remote from the other cells.

Each cell has an independent investor base and business. The core conducts the administrative functions of the PCC and makes only a nominal profit.

By the nature of the business they are permitted to carry on, PCCs will not own subsidiaries.

A PCC may meet the definition of a "qualifying transformer vehicle". Qualifying transformer vehicles are exempt from corporation tax.

A PCC, for MTT purposes, is one that is incorporated under Part 4 of the Risk Transformation Regulations 2017.

The treatment of a PCC is set out in section 233 of Finance (No.2) Act 2023.

See GIM8262 for general guidance on protected cell companies and qualifying transformer vehicles.

See MTT10140 for guidance on umbrella funds other than protected cell companies.

Treatment under MTT

Each constituent part of a PCC is treated as an entity in its own right for MTT purposes. The PCC itself is not to be regarded as an entity.

Each constituent part will only be in scope of MTT if it is a member of a qualifying group (see MTT10100).

The constituent parts are not to be treated as members of the same group simply by reason of their legal status as part of the same PCC.

Consequently, a cell of a PCC may be a member of one qualifying group, while other cells are members of other groups (or not in scope at all). Two or more cells could be members of the same qualifying group if they share a common majority owner, though in practice this would be uncommon.

The accounts of a PCC are not to be regarded as consolidated financial statements for MTT purposes.

Domestic Top-up Tax

For DTT purposes, a qualifying transformer vehicle is an excluded entity if it is not a member of a multinational group. This is set out in section 267 of F(No.2)A23.

For this purpose, an entity is a qualifying transformer vehicle if it is:

- An entity defined as a qualifying transformer vehicle by the Risk Transformation (Tax) Regulations 2017 (S.I. 2017/1271), or

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- An entity that is a part of a protected cell company, where the protected cell company is defined as a qualifying transformer vehicle by those regulations.

Note that, for both MTT and DTT purposes, each constituent part of a protected cell company is treated as a distinct entity.

Domestic Top-up Tax – dividend receivable from protected cell company by wholly domestic group or entity

A dividend or other distribution received or accrued by a wholly domestic group or entity from a protected cell company will be treated as an excluded dividend for DTT purposes.

See MTT21140 for guidance on excluded dividends.

DRAFT

10140 Scope – Subdivided entities

Some entities consist of an over-arching legal entity that contains a number of different sub-divisions that are economically independent of one another. Umbrella funds and cell companies are examples of such entities.

It is likely that separate financial accounts are prepared in respect of a sub-division. Where this is the case, the sub-division will be an entity for MTT purposes, even though each sub-division is not a legal entity.

The over-arching entity will also typically be an entity for MTT purposes, as it will usually be a company. Every company is an entity for MTT purposes.

As a result, a share in a sub-divided entity may simultaneously be an ownership interest in two different entities: the over-arching corporate entity, and the sub-division in relation to which it conveys an economic interest.

See MTT10110 for guidance on the meaning of "entity".

See MTT10130 for guidance on protected cell companies specifically.

Determining whether a sub-division is an entity

When determining whether a sub-division is an entity for MTT purposes, HMRC takes a broad view of what is meant by an "arrangement that results in the preparation of separate financial accounts" in section 231(1) of Finance (No.2) Act 2023.

There does not need to be a statutory obligation to prepare financial accounts. For example, a contractual obligation or other commitment to investors to provide information on the performance of a sub-fund in which they have invested would be sufficient. The routine preparation of accounts without any obligation of any kind to do so could also be sufficient, depending on the circumstances.

It will not matter whether a sub-division's accounts are entirely separate from those of the other sub-division, or if they are presented within the umbrella fund's accounts. It is only necessary that the sub-division's financial details are readily discernible.

Determining ownership interests

In some MTT provisions, it is necessary for a group to determine the percentage ownership interest held in an entity, as a proportion of all ownership interests held in that entity (see MTT17000+).

Where an ownership interest is held in a sub-divided entity, that interest may effectively be an interest in two different entities: the over-arching entity, and the sub-division.

In most cases, it is the percentage ownership interest in the sub-division that should be considered, as this will normally reflect the commercial reality.

However, in some cases, the entire over-arching legal entity, rather than the separate sub-divisions, is consolidated in the consolidated financial statements. In such a case, it is the percentage ownership interest in the over-arching entity that should be considered.

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See MTT21140 for guidance on excluded dividends, including the determination of a portfolio interest.

Example
A Ltd holds an ownership interest in a fund that is a sub-division of an umbrella fund. Consequently, A Ltd has an interest in both the sub-division and the over-arching umbrella fund. It holds around 20% of the interest in the sub-division and a fraction of one percent of the interest in the umbrella fund.

In the consolidated financial statements of A Ltd, the interest held is recognised as being an interest in the sub-division.

A Ltd needs to determine whether its ownership interest constitutes a short-term portfolio holding.

When determining the percentage ownership interest it holds, the entity that should be considered is the sub-division, not the umbrella fund. The ownership interest will therefore not constitute a short-term portfolio interest.

This reflects the economic reality, because each sub-division of the umbrella fund is economically segregated from the others.

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10200 Scope – Excluded entities

Entities that meet the criteria to be an excluded entity are treated as not being members of the multinational group. They will not be chargeable members and will not be included in the MTT calculations.

The revenue of an excluded entity is still included when determining whether the revenue threshold has been met (see MTT11000).

Entities are excluded if they are:

- Non-profit organisations,
- Qualifying non-profit subsidiaries,
- Qualifying service entities,
- Qualifying exempt income entities.
- Governmental entities,
- International organisations, or
- Pension funds.

See MTT10210 for guidance on the definitions of non-profit organisation and qualifying non-profit subsidiary.

See MTT10220 for guidance on the definitions of qualifying service entity and qualifying exempt income entity.

See MTT10230 for guidance on the definitions of governmental entity and international organisation.

See MTT10240 for guidance on the definitions of pension fund and pension service entity.
This is set out in section 127 of Finance (No.2) Act 2023.

Entities excluded when they are the ultimate parent

The following entities are excluded only if they are the ultimate parent of a group:

- Investment funds, or
- REITs (including UK REITs and overseas REIT equivalents).

These entities are also excluded if they would be an ultimate parent but are not, for the sole reason that they do not produce consolidated financial statements.

See MTT10250 for guidance on the definitions of investment fund and REIT.

Entities excluded despite not being a member of a group

It is not a requirement for an entity to be a member of a group for it to be an excluded entity. This may be significant in cases where an excluded entity that is not a member of a group has a subsidiary which is a member of the group that may be excluded as a qualifying service entity or qualifying exempt income entity (see MTT10220).

Example

X Ltd is an investment fund that would be the ultimate parent of a group but is not for the sole reason that it does not produce consolidated financial statements. It is therefore an excluded entity.

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The deemed consolidated financial statement provision in paragraph 249(1)(d) does not apply to X Ltd because, according to subsection 249(2), an authorised accounting standard does not permit it to consolidate entities. Consequently, X Ltd is not part of any group.

X Ltd holds a 10% minority interest in A2 Ltd, which is 90% owned by another excluded entity, A Ltd.

A2 Ltd is a member of a consolidated group. The activities of A2 Ltd consist entirely of activities ancillary to the activities of its two owners.

A2 Ltd will be excluded as a qualifying service entity, because X Ltd is an excluded entity despite not being a member of any group. Its minority interest therefore counts towards the 95% threshold in the criteria for qualifying service entities.

Election for an entity not to be excluded

A group can elect for a member of a group that is a qualifying non-profit subsidiary, a qualifying service entity, or a qualifying exempt income entity to not be an excluded entity.

This allows a group to choose to be subject to Multinational Top-up Tax (or a foreign equivalent of the IIR) in their preferred territory.

This election is a long term election. See MTT52200 for guidance on making elections.

Excluded entity is an ultimate parent

An entity will still be the ultimate parent of a group even if it is an excluded entity.

Differences with Domestic Top-up Tax

Entities that are excluded for MTT purposes will also be excluded for DTT purposes. However, there are differences in the treatment of excluded entities, and some entities are only excluded for DTT purposes. See MTT10020 for guidance on excluded entities under DTT.

DRAFT

10210 Scope – Definitions of "non-profit organisation" and "qualifying non-profit subsidiary"

The definitions of non-profit organisation and qualifying non-profit subsidiary are set out in section 234 of Finance (No.2) Act 2023.

Non-profit organisation

An entity is a non-profit organisation if:

- It is established and operated in the territory in which it is located exclusively for religious, charitable, scientific, artistic, cultural, athletic, educational, or other similar purposes, or is a professional organisation, business league, chamber of commerce, labour organisation, agricultural or horticultural organisation, civic league, or an organisation operated exclusively for the promotion of social welfare,
- Substantially all of the income from the activities it carries out for its non-profit purpose is exempt from income tax in the territory in which it is located,
- There are no shareholders or members with a right to its income or assets,
- The income or assets of the entity cannot be distributed to, or applied for the benefit of, a private person or non-charitable entity, except where:
    - That activity is pursuant to the purpose of the non-profit,
    - It is payment or payment in kind to the recipient, or
    - It is payment for the fair market value of property acquired by the non-profit,
- When the entity ceases to exist, its assets must become the assets of a non-profit organisation, or governmental entity in the same territory, and
- It does not carry on a trade or business, other than one directly related to the purpose for which it was established.

Qualifying non-profit subsidiary

A group may have entities that are treated as qualifying non-profit subsidiaries in a period if:

- The revenue of the group does not exceed €750 million for that period, disregarding the revenue of members that are non-profit organisations, qualifying service entities, or qualifying exempt income entities, and
- The revenue of members that is not so disregarded constitutes less than 25% of the total revenue of the group.

Where these criteria are met, any entity that is 100% owned by a non-profit organisation (or a combination of non-profit organisations) is a qualifying non-profit subsidiary.

This preserves the benefit of the gift aid regime by ensuring that non-profits with trading activity are not charged Multinational Top-up Tax unless the trading activity would meet the revenue threshold by itself.

Example

NPO Group has a non-profit organisation as its ultimate parent. The group contains a number of entities that are classified as qualifying service entities and qualifying exempt income entities. The total revenue of the group is €900 million.

The total revenue of the group members that are non-profit organisations, qualifying service entities, or qualifying exempt income entities is €650 million.

NPO Group cannot have entities that are treated as qualifying non-profit subsidiaries because:

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- Although the group has revenue of €250 million when the revenue of the relevant entities has been disregarded, which is less than €750 million,
- The revenue of the members that has not been disregarded (€250 million) is 28% of the total revenue of the group (€900 million), which is greater than 25%.

DRAFT

10220 Scope – Definitions of "qualifying service entity" and "qualifying exempt income entity"

The definitions of "qualifying service entity" and "qualifying exempt income entity" are set out in section 127 of Finance (No.2) Act 2023.

These definitions include criteria that requires the calculation of the percentage ownership interest held by excluded entities. See MTT17060 for further guidance.

Qualifying service entity

An entity is a qualifying service entity if it is at least 95% owned by excluded entities, except for pension services entities, and either:

- The entity only carries out activities that are ancillary to the activities of its owners, or
- Aside from any such ancillary activities, almost all of the entity's activities consist of holding assets or investing funds for the benefit of its owners.

For the purposes of the activities test, the activities of a permanent establishment and its main entity are to be considered together.

Qualifying exempt income entity

An entity is a qualifying exempt income entity if it is:

- At least 85% owned by excluded entities, except for pension services entities, and
- Almost all of the entity's income consists of excluded dividends, excluded equity gains, or a combination thereof.

For the purposes of this test, the activities of a permanent establishment and its main entity are to be considered together.

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10230 Scope – Definitions of "governmental entity" and "international organisation"

The definitions of "governmental entity" and "international organisation" are set out in section 234 of Finance (No.2) Act 2023.

Governmental entity

An entity is a governmental entity if:

- It is wholly owned by a national, regional, or local government,
- It has the principal purpose of carrying out a public function of that government or managing or investing the assets of that government (in which case it is a sovereign wealth fund, see MTT42020),
- It is accountable to the government on its overall performance and provides annual information reporting to the government,
- It does not carry on a trade or business,
- When dissolved, its assets belong to that government, and
- It does not distribute profit except to that government.

International organisation

An international organisation is an intergovernmental or supranational organisation that is:

- Comprised primarily of governments,
- Has a headquarters, or privileges or immunities in respect of its establishments, in the territory in which it is established, and
- It cannot distribute profits to private persons according to its governing documents or the law of that territory.

An entity that acts for, is part of, or is wholly owned by such an organisation is also an international organisation.

DRAFT

10240 Scope - Definitions of “pension fund” and “pension services entity”

The definitions of pension fund and pension services entity are set out in section 235 of Finance (No.2) Act 2023.

Pension fund

An entity is a pension fund if it is established and operated in a territory exclusively, or almost exclusively, to administer or provide retirement and ancillary or incidental benefits to individuals, and:

- It is regulated as such in that territory, or
- The benefits provided are secured or otherwise protected by national regulations and funded by a pool of assets that are held via a fiduciary arrangement or trust to secure the fulfilment of corresponding pension obligations against a case of insolvency of the entity, or the group of which it is a member.

A pension services entity is also considered to be a pension fund.

Pension services entity

An entity is a pension services entity if it is established and operated exclusively, or almost exclusively, to:

- Invest funds for the benefit of an entity that is a pension fund (other than a pension services entity), or
- Carry out activities that are ancillary to the regulated activities carried out by a pension fund (other than a pension services entity) that is a member of the same group.

DRAFT

10250 Scope - Definitions of "investment fund" and "REIT"

The meaning of "investment fund" is set out in section 236 of Finance (No.2) Act 2023, and the meaning of "REIT" is set out in section 259 of that Act.

See MTT45110 for guidance on the definition of investment entity and insurance investment entity.

Investment fund

An entity is an investment fund if it meets all of the following conditions:

- It is designed to pool assets from multiple investors.
- At least some of those investors must not be connected to the others.
- It makes investments in accordance with a designed investment policy.
- It operates with a view to allow its investors to reduce transaction, research and analytical costs, or to spread risks collectively.
- It is primarily designed to generate investment income or gains, or to protect against a particular or general event or outcome.
- Investors have rights to the assets of the fund, or income earned on those assets, based on their contributions.
- The entity, or its management, is regulated (including anti-money laundering and investor protection regulation) according to a regime based in the territory in which the entity is established or managed (or where the main entity is established or managed, in the case of a permanent establishment).
- It is managed by an investment management professional on behalf of the investors.

REITs

A real estate investment trust ('REIT') may be a UK REIT or an overseas REIT equivalent.

An entity is a 'UK REIT' if it is:

- A company UK REIT according to section 524, Part 12, CTA10, or
- A company that is a member of a group UK REIT according to sections 523 and 606 of CTA10.

An entity is an 'overseas REIT equivalent' if it is:

- Equivalent to a UK REIT, and
- Resident in a territory outside the UK.

See IFM21000+ for further guidance on REITs.

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11000 Scope - The revenue threshold test

A group will be a qualifying group for a period if it has a member located in the UK and meets the revenue threshold test.

The revenue threshold is €750 million for an accounting period of 365 days. This threshold must be exceeded in two of the four periods immediately prior to the tested period (but not including the tested period).

The revenue of the group members is taken from the consolidated financial statements of the ultimate parent for the period. The revenue of all members of the group is therefore counted for the test, including excluded entities.

This is set out in section 129 of Finance (No.2) Act 2023.

Domestic Top-up Tax

There are differences in the application of the revenue threshold test for Domestic Top-up Tax purposes. See MTT11020 for further guidance.

Period lasting other than 365 days

Where a period is of a length other than 365 days, the threshold will be €750 million multiplied by the number of days in the period and divided by 365.

Mergers and demergers

Special rules apply if there has been a merger (including acquisitions) or demerger in the tested period or the prior 4 periods. See MTT11010 for further guidance.

Example

Group AB consists of two entities: A Ltd, the ultimate parent, which is located in the UK, and its subsidiary, B Ltd, which is an excluded entity located in another territory.

The group's consolidated accounts run to 31 December.

To determine whether the group is qualifying for the period ending 31 December 2034, the previous four accounting periods are relevant:

Period	Revenue of A Ltd (€)	Revenue of B Ltd (€)	Total revenue in consolidated statements (€)
2030	500m	200m	700m
2031	600m	200m	800m
2032	550m	200m	750m
2033	700m	200m	900m

The 2032 period lasted for 366 days so the threshold for this period will be (€750m*366/365) = €752,054,794.52.

The other periods all cover 365 days so the threshold is €750m for each of these.

Despite being an excluded entity, the revenue of B Ltd is included in the test.

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The group exceeds its threshold for two of the four previous years (2031 and 2033) and it is therefore a qualifying group for the 2034 period because:

- It has a member located in the UK, and
- It has exceeded the revenue threshold in two of the four periods immediately preceding the tested period.

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11010 Scope - Revenue threshold test - Effect of mergers and de-mergers

The revenue threshold test applies to the four accounting periods preceding the period being tested. The entities that constitute the group may be different in those prior periods (the "testing period"), or the tested period, as a result of a merger or demerger.

Special rules are required in such cases to ensure that the revenue threshold test applies correctly. This is set out in section 130 and 131 of Finance (No.2) Act 2023.

Domestic Top-up Tax

When determining whether the revenue threshold is met for DTT purposes, the guidance on this page applies in the same way that it applies for MTT purposes. However, where a single entity may be in scope of DTT, these rules will not apply.

See MTT11020 for further guidance on the revenue threshold test under DTT.

Member acquired that was not a member of another consolidated group in the testing period

Where an entity:

- Is a member of the group in the tested period, but
- Was not a member of any consolidated group in a period in the testing period,

its revenue will be included in the revenue of the group for the period in the testing period, for the purpose of the revenue threshold test.

The figure for its revenue in that period will be determined using its financial statements or any consolidated financial statements that includes its revenue. An apportionment on a just and reasonable basis may be required to align the figures in these statements with the group's accounting periods.

This scenario includes cases where the group was created as the result of the acquisition of a single entity by another single entity.

Example

A Ltd and B Ltd are individual companies that have never been part of any consolidated group. On 1 January 2030, A Ltd acquired B Ltd, thus forming AB group. A Ltd produces consolidated financial statements with accounting periods ending on 31 December.

It is necessary to determine whether the group qualifies for MTT for the period ending 31 December 2030.

The revenue threshold test will apply to the four periods preceding the tested period, covering 2026 to 2029. For these periods, the revenue of A Ltd and B Ltd will be added together to assess whether the threshold has been met in those periods.

On 1 January 2035, A Ltd acquires X Ltd. X Ltd had been a member of a consolidated group after being acquired by UPE Ltd on 1 July 2033, but was not a member of any consolidated group prior to that.

When determining whether AB group is qualifying for the 2035 period, the revenue of X Ltd will be included for the periods ending in 2031 and 2032 only, because X Ltd was a member of a consolidated group in the periods ending in 2033 and 2034.

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Merger between two or more consolidated groups
If there is a merger between consolidated groups, the revenues of each of the consolidated group are to be included in the revenue threshold test for the merged group.

The revenue of each consolidated group is determined by the consolidated financial statements of its ultimate parent, and should be apportioned on a just and reasonable basis to the accounting period of the merged group.

For this purpose, a 'merger' is any arrangement that results in all, or substantially all, of the members of two or more consolidated groups becoming members of a single consolidated group.

Demerged groups
If a multinational group demerges into two or more separate consolidated groups, and:

- In two of the four periods preceding the period of demerger, it had revenue exceeding €750m,
- Pillar 2 rules applied to a member of the group for the period of demerger, and
- For the period of demerger, Pillar 2 rules applied to the group,

special rules will apply when determining whether each of the demerged groups meet the revenue threshold test in the four periods ending after the demerger. These rules apply instead of the two-of-four-years provision.

The demerged group will pass the revenue threshold test if it exceeds the revenue threshold in the first period ending after the demerger.

In the three subsequent periods (the second to fourth periods ending after the demerger), the demerged group will pass the revenue threshold test if it exceeds the revenue threshold in any two of the periods ending after the demerger, up to and including the tested period.

Example
Group XYZ is created as the result of a demerger. Its accounting periods run to 31 December and its first accounting period begins on 1 January 2040.

Its revenue for the four periods ending after the demerger are as follows:

Period	Group revenue (from consolidated statements)
2040	€800m
2041	€700m
2042	€780m
2043	€740m

For the 2040 period, the revenue exceeds the threshold of €750m, so the test is met for this period.

For the 2041 period, it is necessary for the threshold to be met in two of the periods ending after the demerger, up to and including the 2041 period. The threshold is met in the 2040 period but not the 2041 period. Therefore, the group is not qualifying for the 2041 period.

For the 2042 and 2043 periods, the threshold is met in two of the periods (the 2040 and 2042 periods). Therefore, the group is qualifying for the 2042 and 2043 periods.

The normal rules will apply when testing the 2044 period and subsequent periods.

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11020 Scope – Revenue threshold test – Domestic Top-up Tax

The revenue threshold test will apply differently for DTT purposes for single entities.

The test will apply for DTT purposes in the same way for groups. See MTT11000 for the main guidance on the revenue threshold test.

See MTT10010 for further guidance on the scope of Domestic Top-up Tax.

Revenue threshold test for single entities

A single entity that is located in the UK will meet the revenue threshold test if it exceeds the €750m threshold in two of the four periods prior to the tested period. The revenue will be taken from the qualifying financial statements of the entity.

The special rules where there has been a merger or demerger will not apply.

Qualifying financial statements

To be qualifying, financial statements must be prepared in accordance with acceptable financial standards.

If no such statements are prepared, the qualifying financial statements are those that would have been prepared in accordance with an authorised accounting standard that is either:

- An acceptable accounting standard, or
- A financial accounting standard with adjustments made to prevent material competitive distortions (as defined in subsection 249(4)).

Excluded entities

The revenue of entities that are excluded for DTT purposes (including entities that are only excluded for DTT purposes) are to be included when determining whether the group has met the revenue threshold for a period.

Generally, excluded entities are treated as not being a member of any group for DTT purposes. See MTT10020 for guidance on excluded entities under DTT.

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15100 QDMTT safe harbour - Introduction

A domestic minimum top-up tax is a tax that is imposed by a territory on entities located within that territory, which replicates the design of Pillar 2. These taxes are intended to ensure that top-up amounts which would otherwise be charged under Pillar 2 (potentially by a different territory) are always charged and collected by the territory where the entities are located.

Where a domestic minimum top-up tax provides sufficiently similar outcomes to Pillar 2, it will be deemed to be a qualifying domestic minimum top-up tax (QDMTT, referred to as qualifying domestic top-up tax in the legislation), by agreement at OECD level. This status affects how the tax is credited under the Pillar 2 computations (see MTT31015).

Where a QDMTT meets further criteria, the QDMTT will also be accredited for the QDMTT safe harbour. Where a QDMTT is accredited, group members in the territory covered by the QDMTT may be treated, by election, as having no top-up or additional top-up amounts.

The safe harbour is "switched off" in particular cases relating to the design and application of the QDMTT. Where a switch-off applies, a group will not meet the criteria to make the safe harbour election for the relevant members in that territory.

[Cross reference to list of QDMTTs eligible for the Safe Harbour.]

Investment entities, minority owned members, and joint venture groups

The QDMTT safe harbour election is made separately for standard members, joint venture groups, investment entities and minority owned members.

See MTT15120 for further guidance.

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15110 QDMTT safe harbour – The election

The group must make an election to access the QDMTT safe harbour for a territory. This is an annual election (see MTT52200), and it is made in respect of all the members of a group located in a territory.

The election can only be made if the following conditions are met for the territory for the period:

- An accredited qualifying domestic top-up tax applies in that territory, and
- None of the four disqualifying conditions apply.

Where a disqualifying condition applies, the group may not make the condition at all for the relevant territory.

This is set out in Chapter 1 of Schedule 16A.

The election is made separately for joint venture groups and non-standard members (investment entities and minority owned members). Different conditions apply for the elections in respect of those members (see MTT15120).

Effect of an election

Where a QDMTT safe harbour election is made, all the members in the relevant territory are treated as not having top-up amounts or additional top-up amounts for MTT purposes.

Note that the election is made separately for joint venture groups and non-standard members (see MTT15120).

Disqualifying condition A – flow-through entity that is an ultimate parent not chargeable to the QDMTT

This disqualifying condition is met if:

- The ultimate parent is located in the territory,
- The ultimate parent is a flow-through entity, and
- The QDMTT that applies in that territory:
    - does not generally impose a charge on the ultimate parent due to it being a flow-through entity, and
    - does not include a provision for a charge to be imposed on the ultimate parent in circumstances where there would otherwise be an amount of tax that was not charged to any member of the group in that territory

Disqualifying condition B – flow-through entity that is a responsible member not chargeable to the QDMTT

This disqualifying condition is met if:

- A responsible member of the group (see MTT05110) is located in the territory,
- The member is not the ultimate parent of the group,
- The member is a flow-through entity (see MTT41400), and
- The QDMTT applying in the territory:
    - Does not generally impose a charge on the member due to it being a flow-through entity, and
    - Does not include a provision for a charge to be imposed on the member in circumstances where there would otherwise be an amount of tax that was not charged to any member of the group in that territory.

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Conditions A and B exist because a QDMTT may be accredited for the safe harbour even though it does not impose a charge on flow-through entities (even where this would result in an amount of tax not being charged at all. The conditions "switch off" the safe harbour for groups where this outcome may arise.

Note that the conditions relate to the design of the QDMTT and do not depend on the particular facts relating to the group.

Disqualifying condition C – groups in initial phase of international expansion not subject to the QDMTT

This disqualifying condition is met if:

- The QDMTT applying in the territory provides that it does not apply to a multinational group in the initial phase of international expansion,
- That provision is not limited in application to circumstances where the members of a multinational group in the territory are not subject to Pillar Two rules, and
- The provision applies to the group.

This condition exists because a QDMTT may still be accredited for safe harbour purposes where it contains the provision described. The condition works to "switch off" the safe harbour for groups that benefit from such a provision.

The provision in question is an extension of [Article 9.3 of the OECD Model Rules].

Note that this condition will apply even if the group which benefits from the provision is itself not subject to Pillar Two rules. The second criterion only considers the design of the QDMTT provision in question and does not depend on the particular facts relating to the group.

Disqualifying condition D – enforceability of QDMTT amount in question

This disqualifying condition is met if the enforceability of an amount of QDMTT accruing to a standard member of the group is in question.

See MTT31015 for guidance on how to determine whether the enforceability of an amount of QDMTT is in question.

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15120 QDMTT safe harbour – Joint ventures, investment entities and minority owned members

A QDMTT safe harbour election is made separately for standard members, non-standard members (investment entities and minority owned members), and joint venture groups in each territory.

In general, the normal rules (see MTT15110) apply when making the election in respect of these sub-groups. However, the disqualifying conditions vary.

This is set out in Chapter 2 of Schedule 16A to Finance (No.2) Act 2023.

Example

Group A is a multinational group which has members located in Territory A. These members include standard members, investment entities, minority owned entities and members of a joint venture group (all of which are standard members).

For the QDMTT safe harbour in respect of Territory A, Group A would make four separate elections for each of these types of member.

Joint venture groups

For joint venture groups, there is an additional disqualifying condition.

Disqualifying condition E:

This disqualifying condition is met if the QDMTT that applies in the territory:

- Does not generally impose a charge on members of the group that are members of a joint venture group, and
- Does not include a provision for a charge to be imposed on such members in circumstances where there would otherwise be an amount of tax that was not charged to any member of the group in that territory.

This condition exists because a QDMTT may be accredited for the safe harbour even though it does not impose a charge on joint venture groups, even where this would result in an amount of tax not being charged at all. The conditions "switch off" the safe harbour for joint venture groups where this outcome may arise.

Note that this condition relates to the design of the QDMTT and does not depend on the particular facts relating to the group.

Investment entities – disqualifying condition D

For investment entities, the reference to "standard members" in disqualifying condition D should be read as referring to investment entities.

Investment entities – disqualifying condition E

For investment entities, there is an additional disqualifying condition.

Condition E:

This disqualifying condition is met if the QDMTT that applies in the territory:

- Does not generally impose a charge on members of the group that are investment entities, and
- Does not include a provision for a charge to be imposed on such members in circumstances where there would otherwise be an amount of tax that was not charged to any member of the group in that territory.

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This condition exists because a QDMTT may be accredited for the safe harbour even though it does not impose a charge on investment entities, even where this would result in an amount of tax not being charged at all. The conditions "switch off" the safe harbour for joint venture groups where this outcome may arise.

Note that this condition relates to the design of the QDMTT and does not depend on the particular facts relating to the group.

Minority owned members

The conditions for minority owned members are the same as they are for standard members, except that the reference in disqualifying condition D to "standard members" should be read as referring to minority owned members.

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15900 Transitional safe harbour

The transitional safe harbour allows groups to use figures calculated for the purposes of Country-by-Country Reporting (CbCR) to assess whether they are likely to face a top-up tax under Multinational Top-up Tax (MTT) for a territory. If these simplified calculations indicate that there would be no top-up tax chargeable, the group is treated as having no tax charge and does not have to undertake the full effective tax rate calculations.

The transitional safe harbour aims to reduce the compliance obligations for groups in the first years of the regime.

This is set out in Part 2, Schedule 16 to Finance (No.2) Act 2023.

Use of Country-by-Country Reporting (CbCR)

The scope of MTT was intended to align as closely as possible to that of Country-by-Country Reporting (see IEIM300000). In most instances, multinational groups that qualify for MTT will also be obliged to complete a CbC Report.

The calculations required by the safe harbour mainly rely on the figures already determined for the CbC Report, so most groups will not suffer significant additional compliance obligations when assessing whether they qualify for the safe harbour.

See MTT15920 for guidance on the source of data.

Design of the safe harbour

The safe harbour applies on a territory-by-territory basis and consists of three tests. A group will qualify for the safe harbour in a territory as long as one of these tests are met:

- The threshold test (see MTT15930), which is similar to the de minimis test in the main part of the rules.
- The simplified effective tax rate test (see MTT15940), which gives an approximation of the effective tax rate.
- The routine profits test (see MTT15950), which assesses whether the substance based income exclusion (SBIE) would cover any profits made in the territory.

These tests approximate the calculations that would be required for MTT. If any one of the three tests are met for the territory, this indicates that there would be no top-up tax chargeable under MTT in the accounting period.

See MTT15925 for guidance on adjustments made to the figures, which ensure the tests provide a more valid approximation of the outcomes that would have arisen had the full MTT computations been made for that jurisdiction.

See MTT15910 for other conditions for the safe harbour.

Effect of the safe harbour

Where a group has elected to apply the safe harbour, and met the conditions, for a territory for a period:

- They will not have to undertake the full effective tax rate calculation.
- They will be treated as having no top-up tax amount for that period (including additional top-up tax amounts that may be calculated in respect of that period in subsequent periods).
- [Reference to page on the meaning of “Pillar 2 rules apply”.]

Particular types of entity

There are special rules for joint ventures, investment entities, and minority owned members. See MTT15960 for further guidance.

Domestic Top-up Tax

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The safe harbour will also apply for DTT purposes. Some adjustments are required for wholly domestic groups and entities. See MTT15970 for further guidance.

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15910 Transitional safe harbour – The election

To access the transitional safe harbour, the group must make an election for the safe harbour to apply for a territory for an accounting period.

An election can be made where the following conditions are met:

- The period for which the election is being made is within the transitional period,
- At least one of the three tests are met in respect of the territory for the period (see MTT15930, MTT15940 and MTT15950),
- A qualifying Country-by-Country Report has been prepared in respect of the territory for that period (see MTT15920),
- The election (or an equivalent election in a foreign equivalent of MTT) has been made in respect of the territory for all previous periods in which the Pillar Two rules applied to members of the group in the territory (known as the "once out, always out" rule),
- A deemed distribution tax election has not been made in respect of the territory for the period.

This is set out in Paragraph 3, Schedule 16 to Finance (No.2) Act 2023.

Making the election

The election is made annually via the information return, and details of how one or more of the tests are met must be included in the information return.

Transitional period

An election may be made for accounting periods beginning on or before 31 December 2026 and ending on or before 30 June 2028. This is the "transitional period".

'Once out, always out'

If the group has already completed the full MTT calculations for a territory, they cannot make the election again for subsequent periods. This 'once out, always out' provision applies because the purpose of the transitional safe harbour is to reduce the compliance obligations of the group when first entering the regime.

If it is determined as a result of a compliance check that the group was not eligible for the transitional safe harbour for a territory for a period, it will not be eligible for the safe harbour for that period or any subsequent period, and it must conduct the full calculations for the territory for those periods.

Example

A group has accounting periods ending on 31 December. In Territory A, it only meets the conditions for the safe harbour for the periods ending on 31 December 2024 and 31 December 2026. It does not have any members located in Territory B until the period ending 31 December 2026, and the conditions are met for that period.

The group can elect to apply the safe harbour for Territory A for the period ending 31 December 2024.

The group cannot elect to apply the safe harbour for Territory A:

- For the period ending 31 December 2025, because the conditions were not met,

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- For the period ending 31 December 2026, because it had already completed the full effective tax rate calculation for that territory in a preceding period, nor
- For the period ending 31 December 2027, because the period began after 31 December 2026.

The group can elect to apply the safe harbour for Territory B for the period ending 31 December 2026, because:

- The period begins and ends within the transitional period,
- The conditions are met, and
- A full effective tax rate calculation was not required to be completed for that territory in any preceding period.

Example 2
Group Zed acquires a UK member in the accounting period ending 31 December 2025. It did not previously have an entity in the UK, so it was not subject to MTT for the 2024 period, but it was subject to a foreign equivalent of MTT applied by Territory Z, the UPE territory.

In the 2024 accounting period, Group Zed had made a valid election for the transitional safe harbour in respect of Territory A. However, it could not make an election for Territory B because Territory B did not meet any of the tests for that period.

Under MTT, for the 2025 period, the transitional safe harbour election can be made for Territory A but cannot be made for Territory B because of the 'once out, always out' rule.

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15920 Transitional safe harbour - Source of data

The figures used in the transitional safe harbour tests are:

- Revenue, which is taken from the CbC Report.
- Profit (loss) before income tax, which is taken from the CbC Report.
- Qualifying income tax expense, which should be taken from the same accounts that were used to prepare the CbC Report for the territory.
- The substance based income exclusion amount, which must be calculated according to the rules required under the full calculation, using the same accounts that were used to prepare the CbC Report for the territory.

See MTT19525 for the adjustments to be made to these figures.

The CbC Report must be qualifying.

This is set out in Paragraph 4, Schedule 16 to Finance (No.2) Act 2023.

Meaning of Country-by-Country (CbC) Report

For MTT purposes, a CbC Report is one prepared and filed in accordance with legislation implementing the OECD's guidance on Country-by-Country Reporting. This is set out in section 251A of Finance (No.2) Act 2023.

Where no legislation requires a CbC Report to be filed by the group for the MTT period, the OECD guidelines themselves may be used for the purpose of a notional CbC Report.

A CbC Report that is prepared only in respect of certain territories in which the group has members will not be considered a CbC Report for MTT purposes.

See IEIM300000 for guidance on CbC Reporting in the UK.

Group not required to prepare and file a CbC Report – Notional CbC Reports

Generally, the scope of MTT and CbC Reporting (CbCR) is the same. However, in some cases, groups in scope of MTT will not be in scope of CbCR, or will be exempt from CbCR requirements. Additionally, in other cases, a group will be required to prepare a CbC Report for a different period than the accounting period for MTT purposes.

In these cases, there is no requirement for a group to prepare and file a CbC Report for the MTT accounting period. Instead, for the purposes of completing the test, the group can use the figures that would have appeared in a qualifying CbC Report, had it been required to prepare and file one. In HMRC guidance this is referred to as a "notional CbC report".

Where a notional CbC Report is used, the group will be treated as having prepared and filed a CbC Report. However, it is necessary that the requirements for a CbC Report to be qualifying are met in regard to the notional CbC Report. This means that the information relied on for the purposes of the safe harbour must be prepared on the basis of qualified financial statements.

The figures from the notional CbC Report must be determined according to:

- The CbCR legislation of the ultimate parent, or
- If there is no such legislation, the OECD's guidance on CbCR.

Only the information pertaining to the test relied on needs to be included in the information return.

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Qualifying CbC Report
A CbC Report will be a qualifying CbC Report in respect of a territory if, for that territory, the relevant information relating to that territory is prepared on the basis of qualified financial statements.

This ensures that, where information on some territories in the report is not prepared using qualified financial statements, the group can still qualify for the safe harbour for the other territories.

The relevant information is the information that pertains to the safe harbour test which is being relied on. For example, if the simplified effective tax rate test is relied on, it is not necessary for the figure for revenue in the CbC Report (or any other extraneous data point) to be prepared on the basis of qualified financial statements. However, the relevant CbC Reporting legislation must still be complied with in order for the CbC Report to be valid.

Qualified financial statements
The "qualified financial statements" are either:

- The accounts used to prepare the consolidated financial statements of the group, or
- The financial statements of individual members of the group that are prepared in accordance with an acceptable or authorised accounting standard.

The CbC Report will not qualify in respect of a territory if the figures for that territory are derived from a combination of these two categories of qualified financial statements.

Where the consolidated financial statements do not include entities for reasons of materiality, the financial accounts of those non-material members are also considered to be qualified financial statements, even if they are not prepared in accordance with an acceptable or authorised accountings standard.

In addition to the qualified financial statements, a group may need to use management accounts to determine amounts that must be allocated from a main entity to a permanent establishment. This will not prevent the figures in the CbC Report from being considered to be based on the qualified financial statements.

A group may also need to draw on the consolidated statements even when its qualified financial statements are the separate financial statements of members for the purposes of determining the profit (loss) before income tax, where these figures are not recorded in the separate financial statements.

Example
A group prepares and files a CbC Report in accordance with legislation implementing the OECD guidance on CbCR for all of the three territories in which it operates.

The figures in the Report relating to Territory A are derived only from the accounts used to prepare the group's consolidated financial statements.

The figures in the Report relating to Territory B are derived only from the financial statements of individual members that are prepared in accordance with the acceptable accounting standard used in that territory.

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Some of the figures in the Report relating to Territory C are partly derived from the accounts used to prepare the group's consolidated financial statements, and partly derived from different financial statements of individual members.

The CbC Report is qualifying for Territory A and Territory B because:

- The Report was prepared and filed in according with OECD guidance, and
- The figures relating to each of those territories were derived exclusively from one of the two categories of qualified financial statements.

It is not qualifying for Territory C, because a combination of the two categories of qualified financial statements were used to derive the figures relating to Territory C.

When determining whether the transitional safe harbour tests are met, the qualifying income tax expense and substance based income exclusion amount must be determined based on:

- The accounts used to prepare the group's consolidated financial statements, for Territory A, and
- The financial statements of individual members, for Territory B.

Multi-parent groups

For multi-parent groups, the CbC Report must cover all of its constituent groups to be qualifying.

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15925 Transitional safe harbour - Adjustments required

When assessing whether the tests are met for safe harbour purposes, adjustments to the amounts reported in the qualified financial statements are generally not permitted, with certain exceptions. Some adjustments are specifically required to the figures used for the purposes of the transitional safe harbour. These adjustments ensure the calculations undertaken for the transitional safe harbour tests are aligned as closely as possible to the full MTT calculations.

Additionally, adjustments that are permitted or required by the CbCR provisions can be made to those amounts, as they are made by the group for the purpose of preparing and filing the CbC Report.

In other cases, it may be necessary to make adjustments to the figures in the qualified financial statements in order to prepare the CbC Report, but these adjustments are not explicitly specified in the CbC Reporting legislation. These adjustments are also acceptable where necessary for the correct preparation and filing of the CbC Report.

This ensures that, in practice, the group will normally benefit from the convenience of completing the safe harbour tests using figures taken directly from the CbC Report.

The required adjustments are set out in Paragraphs 5 and 6, Schedule 16 to Finance (No.2) Act 2023.

Adjustments made to arrive at qualifying income tax expense

"Qualifying income tax expense" is income tax expense adjusted to exclude:

- Amounts that do not relate to covered taxes, and
- Amounts relating to uncertain tax positions.

Ultimate parent subject to deductible dividend regime

Where:

- The ultimate parent of a group is subject to a deductible dividend regime, and
- It registers a profit in its profit (loss) before income tax,

its profit (loss) before income tax is reduced, but not below zero, by the amount of qualifying dividends that would be deducted from its adjusted profits according to section 171(1).

This reduction cannot reduce the ultimate parent's profit (loss) before income tax below zero.

Net unrealised fair value loss

Where:

- The standard members of the group in the territory have losses arising from changes in fair value of relevant ownership interests, and
- Those losses exceed the gains on changes in fair value of relevant ownership interests by more than €50 million,

that loss is excluded from the aggregate profit (loss) before income tax for that territory.

An "ownership interest" in an entity is relevant if, at the end of the accounting period, the aggregate ownership interest of all members of the group in the entity entitles those members to 10% or more of the profits, capital, reserves and voting rights of that entity.

This adjustment ensures that the treatment of an excluded equity gain or loss in the full MTT calculation is also applied for transitional safe harbour purposes.

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Example
A group has two members in a territory, A Ltd and B Ltd.

A Ltd has a 4% ownership interest in X Ltd, and B Ltd has an 8% ownership interest in X Ltd. These ownership interests are held directly by A Ltd and B Ltd. No ownership interest in any other entity is held by A Ltd or B Ltd.

The ownership interest constitutes an equal right to profits, capital, reserves and voting rights in X Ltd.

In the accounting period, A Ltd records a €20 million fair value loss in respect of its ownership interest in entity 1. Group member B records a €40 million fair value loss in respect of its ownership interest.

An adjustment is required to exclude the losses, because:

- The aggregate ownership interest of all members of the group in X Ltd is 12%, which is 10% or more, so the ownership interests are relevant.
- There is a net loss of €60 million arising from changes in fair value of the relevant ownership interests in X Ltd.
- There are no other relevant ownership interests from which A Ltd or B Ltd could have made a gain, so there is a net unrealised fair value loss.
- The net unrealised fair value loss is €60 million, which exceeds €50 million.

Investment entity tax transparency election
Where:

- An investment entity tax transparency election has been made (see MTT45160), and
- An amount of profit or qualifying tax expense would be allocated from an investment entity to another member of the multinational group according to that section,

that amount must be reflected in that other member's profit (loss) before income tax or qualifying tax expense.

If the amount is already reflected in those figures, no adjustment will be required.

Taxable distribution method election
Where:

- A taxable distribution method election has been under section 214, and
- An amount of profit or qualifying tax expense would be reflected in the adjusted profits or covered tax balance of a member of the group as a result of that election,

that amount must be reflected in the member's profit (loss) before income tax or qualifying tax expense.

If the amount is already reflected in those figures, no adjustment will be required.

Other adjustments
Generally, no other adjustments are permitted to the figures used in the transitional safe harbour.

This includes adjustments that the group would consider to make the figures more valid, or to align them more closely to the figures that would be used in the computations under the main MTT rules.

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However, it is recognised that a group may prepare its consolidated financial statements in various ways, and adjustments may be made at various stages of the consolidation process.

Therefore, other adjustments are not prohibited if they are made either:

- In accordance with the relevant GAAP,
- To produce the CbC Report in accordance with relevant legislation or guidance, or
- To effectively reverse a prohibited adjustment, in order to arrive at the outcome that would have been reached had the prohibited adjustment not been made.

This is the case regardless of the point at which they are made in the process of preparing the CbC Report.

For example, a group may sub-consolidate at a level below the UPE, before reporting up to the UPE. It is possible for the sub-consolidated financial statements to be recognised as the qualified financial statements. Using the sub-consolidated statements may be more convenient for a group, as the consolidated financial statements may require disaggregation in order to preparing the CbC Report.

Conversely, a group that recognises the consolidated financial statements as the qualified financial statements may need to make adjustments to those statements in order to properly attribute amounts between entities and jurisdictions when preparing the CbC Report. These adjustments are acceptable even though may only be implicitly acceptable under the relevant CbCR legislation.

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15930 Transitional safe harbour - The threshold test

The threshold test is met for a territory for an accounting period when both:

- The revenue of the members is less than €10 million, and
- The aggregate profit before income tax of the members is less than €1 million, or a loss.

See MTT15920 and MTT15925 for guidance on determining the profit before income tax and revenue for the purpose of the transitional safe harbour.

This is set out in Paragraph 7, Schedule 16 to Finance (No.2) Act 2023.

Members held for sale

If the group:

- Has members held for sale in the territory, and
- The revenue of these members is not included in the revenue figure taken from the CbC Report,

an adjustment is required to include the revenue of those members for the purposes of the revenue test.

This adjustment is required because members held for sale may not be included in CbCR but should be considered for MTT purposes.

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15940 Transitional safe harbour – The simplified effective tax rate test

The simplified effective tax rate test is met for a territory for an accounting period when the simplified effective tax rate (ETR) is equal to or above the minimum.

The simplified ETR is:

- The qualifying income tax expense of the members in the territory,

divided by

- The aggregate profit (loss) before income tax for those members.

See MTT15920 and MTT15925 for guidance on determining the qualifying income tax expense and aggregate profit before income tax. Note that the qualifying income tax expense

This is set out in Paragraph 8, Schedule 16 to Finance (No.2) Act 2023.

Simplified ETR below the minimum

If the group does not qualify for the safe harbour, it must conduct the full Multinational Top-up Tax calculations to determine the ETR. The simplified ETR is only used to determine whether the group meets the test for the transitional safe harbour. It is not used to calculate any top-up tax liabilities.

Minimum ETR

The minimum ETR, for transitional safe harbour purposes, is:

- 15%, for accounting periods beginning in 2023 or 2024,
- 16%, for accounting periods beginning in 2025, or
- 17%, for accounting periods beginning in 2026.

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15950 Transitional safe harbour – The routine profits test

The routine profits test is met for a territory for an accounting period if:

- The aggregate profit (loss) before income tax of the members is nil or a loss, or
- The aggregate profit (loss) before income tax of the members is equal to or less than the qualified substance based income exclusion (SBIE) amount for the territory.

See MTT15920 and MTT15925 for guidance on determining the profit before income tax.

This is set out in Paragraph 9, Schedule 16 to Finance (No.2) Act 2023.

Qualified substance based income exclusion (SBIE) amount

The qualified SBIE amount is the SBIE amount that would be calculated under the main rules (see MTT32000+), except that the payroll and tangible asset carve-out amounts of a member are only included if the member is:

- Regarded as a constituent entity of the group for CbCR purposes, and
- Regarded as being located in the territory for CbCR purposes.

The same accounts used to prepare the CbC Report should be used to calculate the SBIE amount.

The transitional rate for the applicable year should be used.

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15960 Transitional safe harbour – Particular types of entity

The transitional safe harbour applies differently to some types of entity. These rules are generally intended to align the safe harbour tests to the main rules of Multinational Top-up Tax, while ensuring that the safe harbour provides as much simplicity as possible.

This is set out in Paragraphs 10-12, Schedule 16 to Finance (No.2) Act 2023.

Joint venture groups

Joint venture groups, which consists of a joint venture and its subsidiaries, are ring-fenced under the main rules when calculating the ordinary ETR computation. This treatment also applies in the safe harbour.

The entities in a joint venture group will not be included in the CbC Report. Therefore, the requirement to produce a qualified CbC Report does not apply. The figures used must still be derived from qualified financial statements with the figures for revenue and profit (loss) before income tax to be calculated according to the same requirements imposed under CbCR.

Investment entities

Investment entities are generally not included in the safe harbour calculations and are not covered by the safe harbour. This means that the full MTT calculation will need to be made for the investment entity, even if the other entities in the jurisdiction qualify for the transitional safe harbour.

However, where all the members of a multinational group with a direct ownership interest in an investment entity are located in the same territory as the investment entity, the investment entity must be included in the calculations and will also be covered by the safe harbour (if one or more of the tests are met).

Ultimate parent that is a flow-through entity

A group cannot elect to the safe harbour for a territory that contains an ultimate parent that is a flow-through entity unless:

- After making adjustments in accordance with section 170, the profits of the ultimate parent would be nil, or
- The adjusted profits of the ultimate parent would be attributed to one of more permanent establishments, and no income or expense of any permanent establishment would be attributed to the ultimate parent in accordance with section 160.

In these cases, the ultimate parent would have no adjusted profits in the main MTT calculation.

Because the ultimate parent that is a flow-through entity is stateless for CbCR purposes, there is effectively an alignment between the CbCR and MTT rules in such cases.

Stateless members

Members that are stateless for MTT purposes are not eligible for the safe harbour. See MTT18000 for guidance on stateless members.

Deemed distribution tax election

A group cannot elect to the safe harbour for a jurisdiction that contains a member in respect of which a deemed distribution tax election has been made.

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Minority owned members
In the main rules, minority owned members are ring fenced, but they are undifferentiated in the CbCR rules. As a simplification, there is no separate treatment of minority owned members for safe harbour purposes. Minority owned members are included in the safe harbour calculations for their territory and are covered by the safe harbour where the entities in the territory have qualified for it altogether.

Entities held for sale
Entities held for sale are included in the MTT calculations under the main rules, but they are not included in the CbC Report.

For the threshold test (see MTT15930), an adjustment is made to the CbCR figures to include the revenue of entities held for sale. Otherwise, no adjustments are made to include the financial results of entities held for sale.

Entities held for sale are covered by the safe harbour when the conditions have met. This is the case regardless of which of the tests have been met by the group.

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15970 Transitional safe harbour – Wholly domestic groups and entities

The transitional safe harbour applies for Domestic Top-up Tax purposes in the same way as it does for Multinational Top-up Tax, with some exceptions for wholly domestic groups and entities, in accordance with Section 276 of Finance (No.2) Act 2023.

Wholly domestic groups and entities

Only multinational groups will prepare and file a CbC Report.

For wholly domestic groups and entities, the safe harbour tests can be completed using the figures that would have been in a notional CbC Report. The same rules apply to these groups and entities as they do for other groups that do not prepare a CbC Report. See MTT15920 for further guidance.

Single entities

Single entities will not prepare consolidated financial statements. References to the consolidated statements are to be taken as references to the qualifying financial statements of the single entity.

See MTT19500 for further guidance.

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17010 Timing of transfers of interests

Where ownership interests in an entity are transferred from one individual or entity to another individual or entity, the effective date of that transfer is the earlier of:

- The time when the obligations of the parties necessary to effect the transfer have been met, and
- The time when substantive consideration for the transfer has been provided.

"Substantive consideration" means any amount of consideration for the transfer, other than an amount that:

- Was provided before the transfer, and
- Would not be refundable in the event that the transfer did not take place due to a failure by the transferee to meet obligations pertaining to the transfer.

This is set out in Section 247 of Finance (No.2) Act 2023.

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17020 Ownership interests and controlling interests

An ownership interest can mean a direct or indirect ownership interest, for the purposes of MTT.

That ownership interest is also a controlling interest where the owner is, or would be, required to consolidate the entity.

A main entity does not have an ownership interest in its permanent establishment(s), but it does have a controlling interest.

This is set out in Section 242 of Finance (No.2) Act 2023.

Direct ownership interest

An entity or individual ("A") has a direct ownership interest in an entity ("B") if:

- A has an interest in B, which can be shares, other security or any other interest,
- That interest entitles A to a share of the profits, capital or reserves of B or a permanent establishment of B, and
- The interest would, ignoring any requirement to consolidate the assets, liabilities, income, expenses and cash flows of B in the consolidated financial statements of A, be accounted for as equity in those statements.

A's entitlement to profits, capital or reserves may arise as a result of any event, including distributions and winding-up.

This definition effectively limits direct ownership interests to interests which are recognised by the holder as equity for accounting purposes.

Indirect ownership interest

An entity or individual ("A") has an indirect ownership interest in an entity ("B") if:

- A has a direct ownership interest in an entity that has a direct ownership interest in B, or
- A has a direct ownership interest in an entity that has an indirect ownership interest in B.

Main entity does not have ownership interest in permanent establishment

For MTT purposes, a permanent establishment is treated as a separate entity to the main entity.

However, a main entity is not considered to have ownership interests in its permanent establishments.

Tax-transparent entities

A tax transparent entity, such as a general partnership formed under UK law, is an entity for the purposes of MTT. Therefore, a partner in a partnership has an indirect rather than a direct ownership interests in an entity which is wholly or partly owned by the partnership. The partnership itself is regarded as the holder of the direct ownership interests in those entities.

Controlling interest

An ownership interest that A has in B is a "controlling interest" if:

- As a result of that ownership interest, A is required to consolidate the assets, liabilities, income, expenses and cash flows of B on a line by line basis (see MTT19530) in accordance with an acceptable financial accounting standard, or

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- A does not prepare consolidated financial statements, but would be required to consolidate the assets, liabilities, income, expenses and cash flows of B if it did. This is sometimes referred to as the "deemed consolidation" rule.

Controlling interest - exception to deemed consolidation rule
A will not have a controlling interest in B through the deemed consolidation rule if B is not required to be consolidated with A according to any applicable authorised accounting standard.

For example, an authorised accounting standard may not require, or may specifically not permit, the consolidation of investment entities.

Controlling interest – permanent establishments
A main entity will always have a controlling interest in its permanent establishment(s), despite the fact that it is not considered to have an ownership interest in the permanent establishment.

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17030 Calculating percentage direct and indirect ownership interests

The rules on calculating percentage ownership interests are set out in Sections 246 and 248 of Finance (No.2) Act 2023.

Calculating direct ownership interests

The direct ownership interest an individual or entity ("A") holds in an entity ("B") is the average proportional entitlement of A to the following types of interest that are relevant:

- An interest giving rise to a share of B's profits.
- An interest giving rise to a share of B's capital.
- An interest giving rise to a share of B's reserves.

All types of interest will be "relevant" unless the provision in question specifies that only some of the types are relevant.

Example

A Ltd holds an interest in B Ltd that entitles it to 30% of the profits of B Ltd, but none of the capital or reserves.

The provision does not specify which types of interest are relevant, so all three types are relevant.

The average proportional entitlement of A Ltd across the relevant types of interest is 10% (30%+0%+0%/3).

A Ltd has a 10% direct ownership interest in B Ltd for the purpose of the provision.

Calculating indirect ownership interests

Indirect ownership interests are calculated in the same way as for many other tests of this type, such as the level of ownership for corporation tax group relief.

Determine the direct interests held by each entity in the chain of entities (using the averaging process above in each case) and multiply these percentages for each entity up the chain in turn to determine the indirect ownership interest for each entity.

If an entity has indirect ownership interests in another entity via multiple ownership chains, its total indirect ownership interest will be the aggregate of these interests.

Exclusion of indirect interest held through ultimate parent

When determining whether an individual or entity has an indirect ownership interest in a member (other than the ultimate parent) of a group, any interests arising solely as a result of an ownership interest in the ultimate parent should be ignored.

This is required because in some cases it is necessary to test the ownership interest held in an entity by persons who are not member of the group (for example, when determining whether an entity is a partially owned parent – see MTT05110). The ownership interest includes direct and indirect interests, so if indirect interests held through the ultimate parent were not excluded, even a wholly-owned subsidiary of the ultimate parent would be considered to have ownership interests held outside of the group.

Example

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A Ltd is the ultimate parent of a group. It has two wholly-owned subsidiaries, A1 Ltd and A2 Ltd. No other individual or entity is entitled to the profits, capital or reserves of these subsidiaries.

A1 Ltd has a 40% direct ownership interest in B Ltd.

A2 Ltd has a 20% direct ownership interest in B Ltd.

A Ltd has an indirect interest of 60% in B Ltd, which is the aggregate of the (100% * 40% =) 40% indirect interest held through A1 Ltd, and the (100% * 20% =) 20% indirect interest held through A2 Ltd.

Z Ltd has a 1% direct interest in A Ltd. It does not hold any direct interest in any other entity.

Z Ltd does not have an indirect interest in the subsidiaries of A Ltd for MTT purposes, because its interest is held through the ultimate parent of a group.

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17040 Calculating the percentage ownership interest held by a specific entity or individual

For some provisions of MTT, it is necessary to determine the percentage ownership interest, including direct and indirect interests, that a specific entity or individual holds in an entity. A rule is required to ensure that both the direct and indirect interests of the person are considered, and to prevent the double counting of interests.

This is set out in Section 243 of Finance (No.2) Act 2023.

The rule

To determine the percentage ownership interests held in an entity ("A") by a specific entity or individual ("B"):

Step 1: Ignore any indirect interest not held by B.

Step 2: If B has an indirect interest in A, reduce the direct interest through which it is held by the amount of the indirect interest.

The total ownership interests recognised will always add up to 100%.

Example

B Ltd has a 10% direct interest in A Ltd, and a 40% direct interest in Z Ltd.

Z Ltd has a 90% direct interest in A Ltd.

It is necessary to determine the percentage ownership interest that B Ltd holds in A Ltd.

Step 1

B Ltd has a 10% direct interest in A Ltd and a 36% indirect interest via Z Ltd.

Z Ltd has a 90% direct interest in A Ltd.

There are no other direct interests and all other indirect interests are ignored.

Step 2

B Ltd has an indirect interest of 36% derived from Z Ltd's 90% interest. We reduce the direct interest by the amount of the indirect interest (leaving Z Ltd with an interest of 54%).

The percentage ownership interest that B Ltd holds in A Ltd is therefore 46%.

DRAFT

17050 Calculating percentage ownership interest held by a class

For some provisions of MTT, it is necessary to determine the aggregate percentage ownership interest, including direct and indirect interests, that a certain class of entity holds in an entity. An example is when testing whether an entity is an investment entity under section 236(3)(c)(i) of Finance (No.2) Act 2023 or when testing whether an entity is a partially owned parent member under section 237(1)(c) of that act.

A rule is required to ensure that both the direct and indirect interests held by the relevant individuals or entities are considered, and to prevent the double counting of interests.

This is set out in Section 244 of Finance (No.2) Act 2023.

Excluded entities

This rule does not apply when assessing the percentage ownership interest held in an entity by excluded entities. See MTT17060 for the rule which applies in such cases.

The rule

To determine the percentage ownership interests in an entity ("A") held by a class of entities ("B"):

Step 1: Ignore indirect interests held by individuals or entities that are not members of B.

Step 2: Ignore indirect interests held via an entity that is a member of B.

Step 3: If a member of B has an indirect interest in A that has not been ignored under a previous step, reduce the direct interest through which it is held by the amount of the indirect interest.

The total interests recognised will always add up to 100%.

Example

It is necessary to determine whether A Ltd meets the condition at section 236(3)(c)(i). This will be the case if it is 95% owned by investment funds, UK REITs, or overseas equivalents.

B1 Ltd, B2 Ltd and B3 Ltd are investment funds. Z Ltd is neither an investment fund nor a REIT.

B1 Ltd has a 90% direct interest in A Ltd.

Z Ltd has a 10% direct interest in A Ltd.

B2 Ltd has a 60% direct interest in Z Ltd.

B3 Ltd has a 50% interest in B2 Ltd.

No other investment funds or REITs have an interest in these entities.

Step 1:

B1 Ltd has a 90% direct interest in A Ltd.

Z Ltd has a 10% direct interest in A Ltd.

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B2 has a 6% indirect interest in A Ltd.

B3 has a 3% indirect interest in A Ltd.

All other indirect interests are ignored as they are held by entities that are not members of the relevant class of entity.

Step 2:

B3 has an indirect interest in A Ltd held through B2 Ltd. B2 Ltd is a member of the relevant class of entity. The interest of B3 is therefore ignored.

Step 3:

B2 has a 6% indirect interest held through Z Ltd. We reduce the direct interest by the amount of the indirect interest (leaving Z Ltd with an interest of 4%).

B1 has a 90% direct interest in A Ltd and B2 has a 6% indirect interest in A Ltd. The percentage ownership held by the relevant class in A Ltd is therefore 96%. This exceeds 95%, so the test is met.

DRAFT

17060 Calculating percentage ownership interest held by excluded entities

When determining whether an entity is a qualifying service entity or a qualifying exempt income entity (see MTT10220), it is necessary to determine the aggregate percentage ownership interest, including direct and indirect interests, that excluded entities hold in the entity.

A different rule is required for these tests because they require that indirect interests are not disregarded if they are held via a chain of qualifying service entities and qualifying exempt income entities. However, the purpose of preventing double counting is the same.

This is set out in Section 245 of Finance (No.2) Act 2023.

Pension services entities

Note that, for the purpose of these tests, a pension services entity is not treated as an excluded entity.

The rule

To determine the percentage ownership interest held in an entity ("A") by excluded entities:

Step 1: Ignore any indirect interests, except for those held solely through one or more qualifying service entities or qualifying exempt income entities.

Step 2: Where an interest is held by an individual or entity solely through one or more qualifying service entities or qualifying exempt income entities, ignore any direct or indirect interest through which it is held.

The effect of this rule is that, for the purposes of the tests, we look through all ownership interests held by qualifying service entities and qualifying exempt income entities.

The total interests recognised will always add up to 100%.

Example

It is necessary to determine whether A Ltd is a qualifying exempt income entity. For this definition to be met, it must be 85% or more owned by excluded entities.

EE Ltd is an excluded entity that is not a pension services entity.

Z Ltd is not an excluded entity.

QSE Ltd is a qualifying service entity and QEIE Ltd is a qualifying exempt income entity.

Z Ltd has a 15% direct interest in A Ltd. It also has a 10% direct interest in EE Ltd.

EE Ltd has a 100% direct interest in QSE Ltd, which in turn has a 100% direct interest in QEIE Ltd.

QEIE Ltd has an 85% direct interest in A Ltd.

Step 1:

Z Ltd has an 15% direct interest in A Ltd.

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Z Ltd also has an 8.5% indirect interest in A Ltd (via its interest in EE Ltd).

EE Ltd has an 85% indirect interest in A Ltd.

QSE Ltd has an 85% indirect interest in A Ltd.

QEIE Ltd has an 85% direct interest in A Ltd.

The indirect interest of Z Ltd is ignored as it is held via EE Ltd, which is neither a qualifying service entity nor a qualifying exempt income entity. Similarly, all indirect interests not listed above are ignored, as they must be held via either Z Ltd or EE Ltd.

Step 2:

EE Ltd holds an 85% indirect interest via QSE Ltd and QEIE Ltd. The indirect interest held by QSE Ltd and the direct interest held by QEIE Ltd are ignored.

The ownership interests recognised are the 85% indirect interest held by EE Ltd and the 15% direct interest held by Z Ltd.

Exactly 85% of the percentage ownership interest in A Ltd is held by excluded entities. The test is therefore met and A Ltd is a qualifying exempt income entity.

DRAFT

18000 Determining location of entities

An entity is located in a territory for MTT purposes if it is tax resident in that territory on the basis of place of management, place of creation, or similar criteria.

See MTT18030 for guidance on the meaning of "place of creation", and INTM120000+ for guidance on criteria for residence of companies including place of management.

This is set out in Sections 239 of Finance (No.2) Act 2023.

Entity not tax resident in any territory

If an entity is not tax resident in any territory, it is deemed to be located in the territory in which it was created.

Entity tax resident in multiple territories

If an entity is tax resident in multiple territories, a tie-breaker applies to locate the entity in a single territory (see MTT18010).

Stateless entities

An entity is a stateless entity if:

- It:
    - Is tax resident in multiple territories on the basis of place of management, place of creation, or similar criteria,
    - Is not determined to be located in a single territory as a result of tie-breakers (see MTT18010), and
    - Is not the ultimate parent of the group,
- It is a flow-through entity that is not a responsible member (see [cross-reference(s)]), or
- It is a permanent establishment under 232(2)(d) (see the fourth definition in MTT10120).

A stateless entity is treated as not being located in any actual territory for MTT purposes. Instead, each stateless entity is treated as being located in its own separate notional territory, in accordance with section 132(3)(b).

There is therefore no jurisdictional blending between stateless entities. Each entity will perform a separate calculation to determine the top-up tax charge.

Change of territory

If the location of an entity changes during an accounting period, it should be treated as located in the territory that it was located in (or treated as being located in) at the start of the period.

Flow through entities and permanent establishments

Special rules apply when determining the location of flow through entities or permanent establishments (see MTT18020).

DRAFT

18010 Determining location of entities - Entity resident in more than one territory

If an entity is tax resident in more than one territory for an accounting period, and both or all of those territories are party to a tax treaty that deems it to be resident in one of the territories, the entity will be treated as located in that territory for that period.

This is set out in section 239 of Finance (No.2) Act 2023.

No determinative tax treaty

Where there is no such tax treaty, the following tie-breakers work to locate the entity in a single territory for the accounting period. These tie-breakers are to be completed in order.

Tie-breaker 1:
The entity is treated as located in the territory in which it accrued more covered taxes in the period (excluding taxes arising from a CFC regime).

Tie-breaker 2:
The entity is treated as located in the territory in which it had a greater qualifying substance based income exclusion (SBIE) amount.

Tie-breaker 3:
If it is the ultimate parent of a multinational group, the entity is treated as located in the territory in which it is created.

Otherwise, it is treated as a stateless entity.

Qualifying substance based income exclusion amount

If the SBIE is calculated for the territory for the relevant period, the "qualifying SBIE amount" is the sum of the payroll carve-out amount and the tangible asset carve-out amount that would be calculated under section 60(1), if the entity were solely located in that territory.

If the SBIE is not calculated for the territory for that period, the qualifying SBIE amount is nil.

Exception for entities treated as not located in the UK as a result of a non-treaty tie-breaker

For the purposes of chargeability, an entity will be treated as located in the UK if it:

- Is not subject to MTT or any equivalent Income Inclusion Rule in a foreign territory,
- Is tax resident in the UK based on its place of management, place of creation or similar criteria,
- Is treated as not located in the UK for MTT purposes, due to a non-treaty tie-breaker, and
- Would be treated as a responsible member of a multinational group if it were located in the UK.

When these criteria are met:

- The entity will be treated as located in the UK when determining whether it is a chargeable person,
- The entity will be treated as located in the UK (and therefore subject to an Income Inclusion Rule) when determining the responsible members of the group, and
- The entity will be treated as located in the UK for the purpose of determining whether it is a qualifying multinational group.

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However, the entity will continue to be treated as being located in the territory in accordance with the non-treaty tie-breaker for the purpose of determining whether the group is a multinational group.

This ensures that groups with an entity that is UK tax resident will not avoid being charged to MTT as a result of dual residency.

Note that this exception is not relevant for Domestic Top-up Tax purposes as a different set of rules apply for determining the chargeability of Domestic Top-up Tax.

See MTT05100 for guidance on chargeability.

Example
Group ABC consists of:

- A Ltd, the ultimate parent, which is tax resident in Territory A.
- B Ltd, a subsidiary of A Ltd, which is dual resident in both the UK and Territory B.
- C Ltd, a subsidiary of B Ltd, which is tax resident in Territory C.

Territories A, B and C do not enforce any Pillar 2 rules.

There is no applicable tax treaty in force between the UK and Territory B.

B Ltd accrued more covered taxes (excluding CFC taxes) in Territory B in the period. Consequently, it will be treated as being located in Territory B for MTT purposes.

No member of Group ABC is located in a Pillar 2 territory, so B Ltd will not be subject to any Income Inclusion Rule.

The exception will apply to B Ltd because:

- B Ltd is not subject to MTT or an equivalent Income Inclusion Rule of a foreign territory,
- B Ltd is tax resident in the UK based on place of management, creation, or similar criteria,
- B Ltd is treated as not being located in the UK based on a non-treaty tie-breaker,
- B Ltd belongs to a multinational group, and
- B Ltd would be a responsible member of its group if it were located in the UK.

B Ltd will therefore be treated as located in the UK for the purpose of determining chargeable persons, responsible members, and whether the group is qualifying for MTT purposes.
For other purposes, such as calculating the effective tax rate of Territory B, B Ltd will continue to be treated as being located in Territory B.

DRAFT

18020 Determining location of flow-through entities and permanent establishments

Rules on determining the location of flow-through entities and permanent establishments are set out in section 240 of Finance (No.2) Act 2023.

See MTT41010 for general guidance on permanent establishments, and MTT41400 for general guidance on flow-through entities.

Location of flow-through entities

A flow-through entity that is a responsible member is treated as located in the territory in which it was created (see MTT18030 for guidance on place of creation).

A flow-through entity that is not a responsible member is a stateless entity.

See MTT05110 for guidance on responsible members.

Location of permanent establishments

The location of a permanent establishment (PE) depends on which of the four conditions it meets under section 232(2)(a)-(d).

An entity that is a PE because of a tax treaty is located in the territory where it is treated as a PE under that tax treaty.

A PE that is taxed on a similar basis to other tax residents is located in the territory in which it is subject to net basis taxation based on its business presence.

A PE that is located in a territory without a corporate income tax, but would be taxable by that territory if it did have a corporate income tax, is located in the territory in which it is situated.

Other PEs are stateless entities.

DRAFT

18030 Determining location of entities – Meaning of "place of creation"

Generally, an entity will be regarded as having been created in the jurisdiction whose law governs the entity's constitution (or any other arrangement that regulates the rights of its members, such as a partnership agreement).

If there is no such arrangement, the wider circumstances must be considered when determining where the entity should be regarded as created.

For example, where a general partnership is deemed to have been brought into existence by law due to the actions of its members, the place of creation could be the jurisdiction or jurisdictions under whose law the partnership was deemed to arise.

DRAFT

18040 Meaning of “tax resident” for individuals

An individual is considered to be tax resident for MTT purposes in any territory in which they are tax resident for the purposes of an income tax imposed by the same territory.

Example
According to the rules of an income tax imposed by Territory A, John is tax resident in Territory B.

This does not necessarily mean that John is tax resident in Territory B for MTT purposes. John will only be tax resident in Territory B for MTT purposes if Territory B itself imposes an income tax under which John is tax resident in that territory.

DRAFT

19000 Currency

Calculations must be carried out in the currency used to present the consolidated financial statements of the ultimate parent (the "CFS currency").

A requirement to convert figures from one currency to another arises in the following scenarios:

- An amount must be converted into the CFS currency.
- An amount must be converted to assess whether a threshold in euros has been met.
- A top-up amount that has been calculated in a non-sterling currency must be converted to sterling.

This is set out in Section 254 of Finance (No.2) Act 2023.

Conversions to CFS currency

Where it is necessary to convert an amount into the CFS currency, the conversion must be made in accordance with the authorised accounting standard that was used to prepare the consolidated financial statements.

Where no such statements were prepared, the conversion must be made in accordance with the authorised accounting standards that would have been used, had such statements been prepared.

See MTT19500 for guidance on the consolidated financial statements.

Conversions to assess thresholds

A conversion from the CFS currency into euros is required where:

- The CFS currency is not euros, and
- An amount expressed in the CFS currency must be compared to a threshold expressed in euros.

The conversion must be made using the average exchange rate for the month of December preceding the accounting period to which the amount relates.

The exchange rates to be used are those published by the European Central Bank. Where the European Central Bank does not publish the relevant rates, the rates published by the Bank of England are to be used.

Where neither the European Central Bank nor the Bank of England publishes the relevant rates, a rate is to be used that appears, on a just and reasonable basis, to reflect the average exchange rate for the month. For example, the rates published by the central bank that issues the CFS currency may be used.

Conversions of top-up amounts to sterling

Where the CFS currency is not sterling, the top-up amount will be determined in that currency and must be converted to sterling.

This conversion is to be made using the average exchange rate for the accounting period.

DRAFT

19500 Consolidated financial statements

The consolidated financial statements of a group are the financial statements prepared by the ultimate parent which present, as a single economic unit, the assets, liabilities, income, expenses and cash flows of the ultimate parent and all other entities in which the ultimate parent has a controlling interest.

The consolidated financial statements must be prepared in accordance with an acceptable accounting standard (see MTT19510).

This is set out in Section 249 of Finance (No.2) Act 2023.

Group consisting of a main entity and its permanent establishments

Where the multinational group consists solely of a single main entity and any number of permanent establishments, the consolidated financial statements are the financial statements of the ultimate parent, which is the main entity.

The statements must be prepared in accordance with an acceptable accounting standard.

Consolidated financial statements not prepared to an acceptable accounting standard

In circumstances where consolidated financial statements are prepared, but not to an acceptable accounting standard, the financial statements must be adjusted to prevent material competitive distortions.

Deemed consolidation where no consolidated financial statements are prepared

In some cases, no consolidated financial statements will be produced by an entity that may have controlling interests in other entities, and is not controlled by any other entity. The entity must then select an accounting standard and its consolidated financial statements will be the statements that would have been produced, had the entity produced consolidated financial statements under that standard.

The performance of this requirement is sometimes referred to as “deemed consolidation”, and the hypothetical set of consolidated financial statements the “deemed consolidated financial statements”.

The accounting standard chosen by the entity must be an authorised accounting standard that is either:

- An acceptable financial accounting standard, or
- An accounting standard applied with adjustments to prevent material competitive distortions.

The questions of whether an ownership interest is a controlling interest, and then in turn whether the entity holding that interest is an ultimate parent, are dependent on the accounting standard used to prepare the consolidated financial statements. It is therefore necessary for any entity in which no other entity has a controlling interest to identify a set of deemed consolidated financial statements, in order to determine whether it has controlling interests and is consequently an ultimate parent.

If the entity chooses an accounting standard which does not require it to consolidate other entities, the deemed consolidation is not required. In this case, for the purposes of MTT, the entity will not be an ultimate parent nor will it have a controlling interest in any other entity.

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Note that the deemed consolidation requirement is not a requirement for consolidated financial statements to actually be prepared. When complying with MTT, the group must use the figures that would have been in the consolidated financial statements had they been prepared. If the ultimate parent decides to actually prepare such statements, these will meet one of the other definitions of consolidated financial statements and there will no longer be any deemed consolidation requirement.

Authorised accounting standard
An "authorised accounting standard" is an accounting standard that is permitted by the body responsible for prescribing, establishing or accepting accounting standards in the territory where the entity is located (see MTT18000).

Domestic Top-up Tax – single entities
Single entities that are subject to DTT will not have consolidated financial statements. For single entities subject to DTT, references to consolidated financial statements should be considered as referring to the qualifying financial statements, which are the entity's statements prepared in accordance with an acceptable accounting standard.

Where there are no such accounts, the entity must choose an accounting standard to determine a set of deemed financial statements.

The accounting standard chosen by the entity must be an authorised accounting standard that is either:

- An acceptable financial accounting standard, or
- An accounting standard applied with adjustments to prevent material competitive distortions.

DRAFT

19510 Acceptable accounting standards

Acceptable accounting standards include International Financial Reporting Standards and the generally accepted accounting practices and principles of the following territories:

- Australia
- Brazil
- Canada
- People's Republic of China
- A European Economic Area (EEA) state
- Hong Kong Special Administrative Region of the People's Republic of China
- India
- Japan
- Mexico
- New Zealand
- The Republic of Korea
- Singapore
- Switzerland
- The UK, and
- The United States of America.

This is set out in Section 250 of Finance (No.2) Act 2023.

DRAFT

19520 Accounting periods

For MTT purposes, the accounting period of a multinational group is the period for which the ultimate parent of the group prepares its consolidated financial statements.

This is set out in Section 251 of Finance (No.2) Act 2023.

Default period where no consolidated financial statements are prepared

Where the ultimate parent does not prepare consolidated financial statements, the accounting period of the group runs to the calendar year by default.

Ultimate parent begins to prepare consolidated financial statements

Where the ultimate parent begins to prepare consolidated financial statements during the calendar year, the default period is to end immediately before the first date of the period for which it does prepare consolidated financial statements.

Example

Company A is the ultimate parent of a group. It does not prepare consolidated financial statements, but begins to on 1 July 2024.

The default period will commence on 1 January 2024 and will end on 30 June 2024.

Ultimate parent ceases to prepare consolidated financial statements

Where the ultimate parent ceases to prepare consolidated financial statements, a default period will begin on the day after the last day of the last period for which it prepared consolidated financial statements.

Example

Company B is the ultimate parent of a group. It ceases to prepare consolidated financial statements on 30 September 2024.

A default period will commence on 1 October 2024 and ends on 31 December 2024. A new default period will begin on 1 January 2025 and will run to the calendar year.

DRAFT

19530 Meaning of “line-by-line basis”

When preparing consolidated financial statements, an entity might in some cases present discontinued operations separately from continuing operations.

Where this is the case, the discontinued operations are nonetheless considered to have been consolidated on a line-by-line basis for MTT purposes, even where the discontinued operations are presented as a single line item in the consolidated income statement.

Example

The ultimate parent of a group has a wholly-owned subsidiary, Ex Ltd. Ex Ltd’s operations are all discontinued. The ultimate parent disposes of Ex Ltd to a third party in the 2040 period.

In accordance with the relevant GAAP, the UPE chooses to present the results of the discontinued operations of Ex Ltd as a single item in the consolidated income statement, with an analysis in the notes to the financial statements.

The provisions on restructuring in section 208 will apply to Ex Ltd in relation to the disposing group, because Ex Ltd is considered to have been consolidated on a line-by-line basis.

DRAFT

20100 The effective tax rate

To determine the effective tax rate (ETR) of the members of a group in a territory for a period, the following process is to be followed.

Step 1: Determine the adjusted profits of each member of the group located in that territory for that period (see MTT21000+).

Step 2: Subtract the sum of any losses made in the period from the sum of any profits made by the members of the group located in the same territory for that period.

If the outcome of this step is nil or less, the ETR is to be treated as being 15%.

Step 3: Determine the covered tax balance for all of the members of the group in that territory (see MTT25000+).

If the aggregate covered tax balance is nil, the ETR will be 0%.

Step 4: Divide the aggregate covered tax balance (the outcome of the third step) by the net adjusted profits (the outcome of the second step).

The ETR will be this figure, expressed as a percentage.

This is set out in Section 132 of Finance (No.2) Act 2023.

Standard members

The ETR of investment entities (see MTT45110) and minority owned members (see MTT41520) are calculated separately to the other members of a group in a territory.

The legislation uses the term "standard member" to denote that the calculation is to be performed separately for standard members, investment entities, and minority owned subgroups.

See MTT41500 for further guidance.

Joint venture groups

Members of a joint venture group are treated as being in a different group for the purpose of determining the ETR. See [MTT41600] for further guidance.

Stateless members

A stateless member of the group is treated as the sole member of the group located in a nominal territory. This will be separate to the nominal territory of any other stateless member of the same group.

Domestic Top-up Tax – single entities

The ETR of a qualifying entity that is not a member of a group is determined by the same process as the process for calculating the ETR of a member of a group for MTT. However, there is no need to aggregate profits with the losses of the other members of the territory, as there will not be any other members.

DRAFT

21000 Calculating the adjusted profits

The adjusted profits of a member are the underlying profits after certain adjustments have been made.

See MTT21010 for guidance on determining the underlying profits.

See MTT21100 for guidance on adjustments that must be made to those underlying profits.

DRAFT

21010 The underlying profits

The underlying profits of a member of a group (other than a permanent establishment) are the member's profits as they would be determined for that member in preparing the consolidated financial statements for the ultimate parent. This is set out in sections 134, 136 and 137 of Finance (No.2) Act 2023.

Different rules apply for determining the underlying profits of permanent establishments. See MTT41020 for guidance.

Underlying profits accounts

The "underlying profits accounts" of a member are the statements or accounts used as the basis for determining the underlying profits of that member.

Alternative basis for determining underlying profits

The underlying profits of a member can be determined on an alternative basis. An alternative basis consists of the use of:

- An accounting standard that is not that of the consolidated financial statements, and
- Information in the separate financial accounts of the member.

An alternative basis can be used to determine the underlying profits where all of the following conditions are met:

- It is not reasonably practicable to determine those profits on the basis of the accounting standard used in the preparation of the ultimate parent's consolidated financial statements.
- The alternative accounting standard to be used is an acceptable or authorised accounting standard (see MTT19510).
- The alternative accounting standard is that used for the member's financial accounts.
- The information in those accounts is reliable.

If an alternative accounting standard is used and an amount relevant to the underlying profits is recorded in a different currency to that used for the consolidated financial statements, it should be converted to the currency of the consolidated financial statements. See MTT19000 for guidance on currency.

Note that, for Domestic Top-up Tax purposes, different rules apply to the alternative basis for wholly domestic groups. See MTT21020 for guidance on the application of this provision for wholly domestic groups.

Reliable information

Information in the accounts is considered to be "reliable" if an auditor applying the generally accepted auditing standards of a relevant territory would reasonably conclude that the processes relating to the preparation of the accounts are likely to make the information in those accounts a fair and accurate description of the financial results of the member.

A "relevant territory" is either:

- The territory in which a member is located (see MTT18000),
- The one in which the ultimate parent is located, or

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- If the member is a stateless flow-through entity (see MTTxxxxx), the territory in which the entity was created.

Significant accounting standard difference

When the alternative basis is used and the application of a particular policy of the alternative accounting standard results in a significant accounting standard difference that would not have arisen had the accounting standard of the ultimate parent been applied, the underlying profits must be adjusted to eliminate that difference.

A "significant accounting difference" is a difference of more than 1 million euros between the treatment of an amount in the accounts of a member and the consolidated financial statements that is not eliminated over time.

Amounts outside of the profit and loss account

Any amount that is recognised outside the profit and loss account in the underlying profits accounts of a member is not to be reflected in the underlying profits of that member for MTT purposes, unless specifically required.

DRAFT

21020 Alternative basis for determining underlying profits - Wholly domestic groups

A wholly domestic group can elect for UK GAAP to be used as an alternative basis for determining underlying profits for the purposes of DTT calculations.

This election provides an additional method by which a group may use an alternative basis to determine its underlying profits. See MTT21010 for guidance on the ordinary criteria under which any group may use an alternative basis to determine its underlying profits, for MTT and DTT purposes.

The election for wholly domestic groups is set out in section 272(8)(a) of F(No.2)A 2023, which amends the application of the alternative basis of determining accounting profits that are set out in section 134 of Part 3 F(no.2)A 2023.

Wholly domestic group

A group is a wholly domestic group for a period if all of its members are located in the UK for that period.

Election

An election made under deemed section 134(3A) is a long term election. See MTT52200 for guidance on making elections.

DRAFT

21100 Adjustment of underlying profits

In MTT, the adjusted profits are the denominator in the effective tax rate computation. The adjusted profits are generally the same as the profits taken from the underlying profits accounts. Certain adjustments must be made to those underlying profits, where amounts found in the underlying profits must be excluded from the adjusted profits, or where amounts not in the underlying profits must be reflected in the adjusted profits.

This page contains a summary of adjustments that may be required.

Tax expense
Tax expense amounts should not be reflected in a member's adjusted profits. Underlying profits should therefore be adjusted to add back debits and exclude credits, where they relate to such amounts. See MTT21110.

Intra-group transactions
Income, expenses, gains and losses arising from transactions between a member and other members of its group must be reflected in the adjusted profits. An election may be made to exclude some intra-group transactions from the adjustment can also be made. See MTT21120.

Intra-group transactions – Permanent differences arising from transfer pricing adjustments
Adjustments are required in certain cases where there is a transaction between two members of the same group that are located in different territories. The adjustment ensures that the transaction will be reflected in the adjusted profits in accordance with the transfer pricing adjustment. See MTT21125.

Relevant share acquisition adjustments
A purchase accounting adjustment is not to be reflected in the adjusted profits if it is a relevant share acquisition adjustment. However, an adjustment is not required in certain circumstances. See MTT21130.

Excluded dividends
The underlying profits are to be adjusted to exclude any excluded dividends received or accrued by a member. Following an election dividends received from short-term portfolio holdings will be exempt from the exclusion. See MTT21140.

Excluded equity gain or loss
Equity gains and losses are generally to be excluded when calculating the adjusted profits. However it is possible to elect for some qualifying equity gains and losses included. See MTT21150.

Revaluation method gain or loss
Relevant revaluation method gains or losses are to be included when calculating the adjusted profits, see MTT21160. An election can be made to use the realisation principle to determine some gains and losses. See MTT21260

Asymmetric foreign currency gain or loss
Adjustments to the underlying profits may be required where a member's accounting currency and tax currency are different, and gains or losses arise from fluctuations in exchange rates of those currencies or between either one and a third currency. See MTT21170.

Illegal payments

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Expenses accrued by a member for illegal payments (such as bribes or kickbacks) are to be excluded when calculating the adjusted profits. See MTT21180.

Fines and penalties
Expenses accrued by a member for fines or penalties of 50,000 euros or more are to be excluded when calculating the adjusted profits. See MTT21190.

Prior period errors
An adjustment to adjusted profits is required under certain circumstances in relation to prior period errors. See MTT21200.

Changes in accounting principles
An adjustment to adjusted profits is required under certain circumstances in relation to changes in accounting principles. See MTT21210.

Pension expense
For both defined benefit and defined contribution schemes, an adjustment is required in some cases when calculating the adjusted profits of a member, to ensure that the adjusted profits reflect the actual contributions made to, and receipts from, a pension fund in the accounting period. See MTT21220.

Transactions requiring arm's-length treatment
In some cases, an adjustment is required in respect of certain transactions between members of the same group located in the same territory. Where the conditions are met, these transactions must be reflected in the adjusted profits on an arm's length basis. See MTT21230.

Intra-group financing arrangements
Expenses arising from certain intra-group financing arrangements are to be excluded from adjusted profits. See MTT21240.

Unrealised gains and losses
Where a group has elected to use the realisation principle, adjustments may be required for unrealised gains and losses. See MTT21250.

Stock-based compensation adjustment election
A group may elect to adjust the amount of stock-based compensation that is included in the adjusted profits for the members in the territory subject to the election. The amount of stock-based compensation is substituted for the amount that was allowed for tax purposes for the same expense. See MTT21260.

Election to spread capital gains over five years
A group may elect for the net gain on the disposal of certain local tangible assets to be spread across a period of five years. See MTT21270.

Currency hedging election
At the election of the group, qualifying gains or losses arising from fluctuations in exchange rates are to be excluded when determining the adjusted profits. See MTT21280.

Election where assets and liabilities adjusted to fair value for tax purposes

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In certain circumstances, a member of a group may adjust the value of its assets or liabilities to fair value for domestic tax purposes. By election, the member may also make this adjustment for MTT purposes. See MTT21290.

Qualifying tier one capital
Distributions paid or received in respect of qualifying tier one capital should be treated as income or expense for MTT purposes. See MTT21300.

Tax credits
The underlying profits of a member of a group must be adjusted to ensure that qualifying refundable tax credits and marketable transferable tax credits are accounted for as income, rather than a tax expense. See MTT214010.

Value of marketable transferable tax credits
In calculating the underlying profits of a member, the treatment of marketable transferable tax credits will differ depending on whether the member is the originator (the person to whom the credit was originally granted) or the purchaser. See MTT21430.

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21110 Adjusted profits – Tax expense

Tax expense amounts should not be reflected in a member's adjusted profits, in accordance with section 138 of Finance (No.2) Act 2023.

Underlying profits should therefore be adjusted to add back debits and exclude credits, where they relate to a tax expense amount.

A "tax expense amount" is an amount of tax expense (including a deferred tax expense) in respect of the following types of tax:

- A covered tax (whether or not the income to which the tax relates is excluded from the adjusted profits).
- MTT, or any equivalent tax (see [MTTxxxxx]).
- A qualifying domestic top-up tax (see [MTTxxxxx]).
- A qualifying undertaxed profits tax (see [MTTxxxxx]).
- Taxes accrued by an insurance company in respect of returns to policyholders, to the extent that section 152(2) applies in relation to those taxes (see [MTTxxxxx]).
- A disqualified refundable imputation tax (see MTT25230).

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21120 Adjusted profits – Intra-group transactions

Income, expenses, gains and losses arising from transactions between a member and other members of its group must be reflected in the adjusted profits, in accordance with section 139 of Finance (No.2) Act 2023.

However, such amounts are not to be reflected in the adjusted profits of a member if:

- An amount is recognised outside of the profit and loss account in the underlying profits of that member (see MTT21010), or
- An election to exclude intra-group transactions is applicable to that member (see below).

Election under section 164 to exclude intra-group transactions

A group may elect that, when determining the adjusted profits, members that are located in the same territory and are included in a tax consolidation group are to apply the consolidated accounting treatment of the ultimate parent to eliminate income, expenses, gains and losses arising from transactions between those members.

For each period to which the election applies:

- The underlying profits of those members are to be adjusted to eliminate such items, and
- For the first accounting period for which the election has effect, the underlying profits must be further adjusted so as to ensure that the election does not give rise to duplications or omissions of items of income, expenses, gains or losses.

This is a long term election. See MTT52200 for guidance on elections.

Revocation of an election

Where an election is revoked, the underlying profits must be adjusted for the first accounting period in which the election does not apply, so as to ensure that the revocation does not give rise to duplications or omissions of items of income, expenses, gains or losses.

Tax consolidation group

Members in a territory are included in a "tax consolidation group" if their income, expenses, gains or losses may, as a result of a connection between the members, be (for tax purposes):

- Aggregated,
- Surrendered to each other, or
- Otherwise shared or transferred between them.

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21125 Adjusted profits - Intra-group transactions – Permanent differences arising from transfer pricing adjustments

Adjustments are required in certain cases where there is a transaction between two members of the same group that are located in different territories, and the transaction is recorded differently in the underlying profits accounts of each of those members.

There are two different cases in which an adjustment will be required. In each of these cases, the adjustment ensures that the transaction will be reflected in the adjusted profits in accordance with the transfer pricing adjustment. Note that this only applies to the value at which the transaction is recorded, not the timing of the transaction.

This adjustment is set out in section 150 of Finance (No.2) Act 2023.

Transfer pricing adjustment results in corresponding permanent differences for each counterparty
An adjustment is required where:

- There is a transaction between two members of a multinational group that are located in different territories,
- In the underlying profits accounts of those members, that transaction is not recorded in the same amount, is not recorded on an arm's length basis, or is not recorded at all, and
- Each member records a corresponding permanent difference in respect of the transaction, as a result of transfer pricing adjustments made to the taxable income.

In this case, the underlying profits of the members must be adjusted so that the transaction reflects the amount recorded in each member's respective taxable income.

Transfer pricing adjustment results in permanent difference for high tax counterparty only
An adjustment is required where:

- There is a transaction between two members of a multinational group that are located in different territories,
- In the underlying profits accounts of those members, that transaction is not recorded in the same amount, is not recorded on an arm's length basis, or is not recorded at all,
- One of the counterparties is a high tax member, and
- A permanent difference arises for the high tax counterparty but not the other counterparty in respect of the transaction, as a result of transfer pricing adjustments made to the taxable income.

In this case, the underlying profits of both members are to be adjusted to reflect the transfer pricing adjustment made to the taxable income of the high tax counterparty.

High tax member
For this purpose, a member is a "high tax member" for an accounting period if either:

- The nominal tax rate that applies to the member exceeds 15% in that period, and
- the effective tax rate of the standard members of the member's group in the territory where the member is located exceeds 15% in at least one of the two preceding accounting periods, or
- A transitional safe harbour election (see MTT15900) applies to the member.

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Permanent difference
For this purpose, a difference is a "permanent difference" if it is a difference between the treatment of an amount for the purposes of determining the member's liability to covered taxes and for accounting purposes, and it is not eliminated over time (and so does not give rise to a deferred tax asset or liability).

Post-filing adjustment of covered taxes following transfer pricing adjustment
A transfer pricing adjustment may also result in a post-filing adjustment of covered taxes. See MTT31020 for guidance on post-filing adjustments of covered taxes.

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21130 Adjusted profits - Relevant share acquisition adjustments

A purchase accounting adjustment is not to be reflected in the adjusted profits if it is a relevant share acquisition adjustment. An adjustment will be required if the underlying profit contain such items, in accordance with section 140 of Finance (No.2) Act 2023.

However, an adjustment is not required if:

- The acquisition of ownership interests occurred before 1 December 2021, and
- The members of the group do not have sufficient records to identify the adjustment made with reasonable accuracy.

Relevant share acquisition adjustment

A "relevant share acquisition adjustment" is an adjustment to the group's consolidated financial statements that arises because an existing member of the group has acquired ownership interests in an entity, and that acquisition has resulted in the entity becoming a member of the group.

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21140 Adjusted profits - Excluded dividends

To determine the member's adjusted profits, its underlying profits are to be adjusted to exclude any excluded dividends received or accrued by the member.

Certain types of distribution are exempt from the exclusion, unless they are distributions from a flow-through entity.

This adjustment is set out in section 141 of Finance (No.2) Act 2023.

Meaning of excluded dividend

An "excluded dividend" is:

- A dividend or other distribution arising as a result of a qualifying interest in a flow-through entity, or
- Any other dividend or other distribution arising as a result of a qualifying interest in an entity (except for those that are exempt from the exclusion).

See MTT41400 for guidance on the definition of flow-through entity.

An interest in an entity is a "qualifying interest" if it is:

- A direct ownership interest (see MTT17000), or
- An entitlement to exercise voting rights in relation to that entity.

Dividends and other distributions that are exempt from the exclusion

The following types of dividend and other distributions are exempt from the exclusion and therefore should not be treated as excluded dividends:

- Those arising as a result of a qualifying interest that is a short-term portfolio holding.
- Those arising as a result of a qualifying interest in an investment entity that is subject to a taxable distribution method election (see [MTT45170]).
- Those made by a member of the same group, if payments in respect of the distribution are treated as an expense of that member for the purposes of determining its underlying profits. This is the case regardless of whether the distribution was accounted for as a distribution at the time of payment.
- Any other dividend or other distribution, to the extent it reflects debt rather than a qualifying interest.

Dividends or distributions of these types are not to be excluded from a member's underlying profits, unless they arise as a result of a qualifying interest in a flow-through entity.

Portfolio holding

A qualifying interest in an entity held by a member of a group is a "portfolio holding" if, on the vesting date of the distribution, the group's members do not, between them, have qualifying interests that entitle them to 10% or more of the entity's profits, capital, reserves, and voting rights.

The group's members must collectively be entitled to less than 10% of each of these in order for a qualifying interest to be a portfolio holding.

Short-term portfolio holding

A portfolio holding is a "short-term portfolio holding" if it was held by the member for less than 1 year before the vesting date of the distribution. This assessment is made on a member-by-member

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basis, so where an ownership interest is transferred between group members, the period of time for which the previous member held the interest will not be considered.

The “vesting date” of a distribution is the earlier of:

- The day it is made, and
- The day on which the person to whom it arises is entitled to have it made.

The group may elect to treat all portfolio holdings held by a member as short-term portfolio holdings. This is a long term election. See MTT52200 for guidance on elections.

Domestic Top-up Tax – dividend receivable from protected cell company by wholly domestic group or entity

A dividend or other distribution received or accrued by a wholly domestic group or entity from a protected cell company will be treated as an excluded dividend for DTT purposes.

See MTT10130 for guidance on protected cell companies.

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21150 Adjusted profits - Excluded equity gain or loss

Excluded equity gains and losses are to be excluded when calculating the adjusted profits. Where the underlying profits include these items, an adjustment is required in accordance with section 142 of Finance (No.2) Act 2023

However, an election can be made, under section 165 of the Act, in respect of all the members of a territory to treat certain gains and losses as not being excluded.

Meaning of "excluded equity gain or loss"

There are three types of excluded equity gain or loss. The treatment of each of these is set out below.

Gain or loss from changes in fair value of a qualifying interest – section 142(2)(a)

A gain or loss is an excluded equity gain or loss under section 142(2)(a) if it arises from:

- A change in fair value of a qualifying interest, or
- The impairment of a qualifying interest.

Additionally, the members of the group must between them have aggregate qualifying interests that entitle them, at the relevant time, to 10% or more of the profits, capital, reserves, or voting rights of the entity in which the qualifying interest is held.

Profit or loss in respect of a qualifying interest – section 142(2)(b)

A profit or loss is an excluded equity gain or loss under section 142(2)(b) if it arises in respect of a qualifying interest that is included in underlying profits under the equity method of accounting.

Gain or loss from the disposal of a qualifying interest – section 142(2)(c)

A gain or loss is an excluded equity gain or loss under section 142(2)(c) if it arises from the disposal of a qualifying interest.

Additionally, the members of the group must between them have aggregate qualifying interests that entitle them, at the relevant time, to 10% or more of the profits, capital, reserves, or voting rights of the entity in which the qualifying interest is held.

Qualifying interest

An interest in an entity is a "qualifying interest" if it is:

- A direct ownership interest (see MTT17000), or
- An entitlement to exercise voting rights in relation to that entity.

This is defined in section 141(9) of F(No.2)A23.

Relevant time

The "relevant time" is:

- For a gain or loss falling under section 142(2)(a) or 142(2)(b), the end of the period in which the gain or loss arose, or
- For a gain or loss from the disposal of a qualifying interest (section 142(2)(c), immediately before the disposal.

Election under section 165 to have excluded equity gains or losses included

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An election can be made under section 165 to treat qualifying gains or losses as not being excluded equity gains or losses. Where the election applies, the qualifying gains and losses are to be reflected in the adjusted profits.

This election is made in respect of all the members of a territory.

This election is a long term election. See MTT52200 for guidance on making elections.

Meaning of "qualifying gain or loss"

A gain or loss falling under section 142(2)(a) is a qualifying gain or loss if either:

- The gain or loss is subject to covered taxes (as taxable gains or allowable losses) in the territory in respect of which the election is made, or
- The gain or loss is not subject to covered taxes in that territory, but gains or losses on disposal of the qualifying interest in question are subject to covered taxes in the territory in respect of which the election is made.

A profit or loss falling under section 142(2)(b) is a qualifying gain or loss if:

- The gain or loss is subject to covered taxes (as taxable gains or allowable losses) in the territory in respect of which the election is made, and
- The members of the group between them have aggregate qualifying interests that entitle them, at the relevant time, to 10% or more of the profits, capital, reserves, or voting rights of the entity in which the qualifying interest is held.

See above for guidance on the meaning of "the relevant time".

(Note that the latter condition also applies to the other types of excluded equity gains or losses, but it is already part of the conditions of 142(2)(a) and (c). See above for guidance on those conditions.)

A gain or loss falling under section 142(2)(c) is a qualifying gain or loss if the gain or loss is subject to covered taxes (as taxable gains or allowable losses) in the territory in respect of which the election is made.

Revocation of section 165 election

A special rule applies where an excluded equity gain election is revoked.

Where an election is revoked, the revocation will not have effect in relation to equity gains or losses in respect of a particular ownership interest if:

- That ownership interest gave rise to a loss that would have been excluded as an excluded equity loss in accordance with section 142, and
- The adjusted profits of any member of the group have included that loss, as a result of a section 165 election.

In this case, the election will continue to apply to the gains or losses in respect of that particular ownership interest.

This ensures that where a group has excluded equity losses reflected in the adjusted profits, subsequent gains on the same ownership interest will not be excluded.

Example 1 – 142(2)(a)

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In its underlying profits accounts for the 2024 period, A Ltd records a decrease in the fair value of B Ltd of £25 million, arising from a direct ownership interest of 20%. A Ltd is subject to covered taxes on such gains or losses in Territory A, where it is located.

The loss in respect of B Ltd is an excluded equity loss for A Ltd under section 142(2)(a) because:

- The interest held by A Ltd in B Ltd is direct, and it is therefore a qualifying interest,
- The loss arose from a change in fair value of that qualifying interest, and
- Members of the group hold an entitlement to 10% or more of the profits, capital, reserves and voting rights of B Ltd.

For the 2024 period onwards, A Ltd's group makes an election under section 165 to treat qualifying excluded equity gains and losses as not being excluded for members in Territory A.

The loss of £25 million is a qualifying excluded equity loss because the loss is subject to covered taxes under the domestic tax regime of Territory A and is treated as an allowable loss.

Had the section 165 election not been made, section 142(2)(a) would apply to exclude this loss when calculating the adjusted profits of A Ltd. However, a section 165 election was made, and the loss is qualifying, the loss will be treated as not excluded and no adjustment is required. It will therefore be reflected in the adjusted profits for A Ltd.

If the election is later revoked, any gain or loss in relation to the ownership interest held by A Ltd in B Ltd will remain subject to the election, despite the revocation, because:

- The adjusted profits of a group member (A Ltd) included an excluded equity loss in respect of its ownership interest in B Ltd as a result of a section 165 election, and
- Had that election not been made, that loss would have been excluded in accordance with section 142.

Example 2 – 142(2)(b)

X Ltd holds a direct ownership interest in Z Ltd that entitles it to 40% of the profits of Z Ltd, but does not provide any other entitlements or voting rights. It records a loss of £100,000 in relation to this ownership interest in its underlying profits for the 2030 period under the equity method of accounting.

X Ltd is located in Territory X and a section 165 election applies to it for the 2030 period. X Ltd is subject to covered taxes in Territory X on its gains and losses in respect of Z Ltd.

No other member of the X Ltd's group holds any interest in Z Ltd.

The loss is an excluded equity gain or loss because:

- It is a direct ownership interest and therefore a qualifying interest,
- The profit or loss is included in the underlying profits under the equity method of accounting.

Although X Ltd is not entitled to at least 10% of the capital, reserves and voting rights of Z Ltd, this does not prevent the loss from being an excluded equity gain or loss under section 142(2)(b).

The section 165 election will not apply to the loss because:

- Although the loss is subject to covered taxes,
- It falls within section 142(b), and

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- The members of X Ltd's group do not collectively hold at least 10% of the profits, capital, reserves and voting rights of Z Ltd.

The loss must therefore be excluded when determining the adjusted profits of Z Ltd.

If the election is later revoked, the revocation may apply to the ownership interest held by X Ltd in Z Ltd as no gain or loss has been included as a result of the election.

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21160 Adjusted profits - Revaluation method gain or loss

A gain or loss is to be included in the adjusted profits if it arises due to the use of an accounting practice that:

- Periodically adjusts the carrying value of the member's property, plant and equipment (as defined by International Accounting Standard 16),
- Records the changes in value in the member's accounts, outside of the profit and loss account, and
- Does not subsequently report the gains or losses in the profit and loss account.

Where such gains and losses are not reflected in the underlying profits, an adjustment is required in accordance with section 143 of Finance (No.2) Act 2023.

Note that the amount to be included is the gain or loss before adjustments to reflect tax expense amounts.

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21170 Adjusted profits - Asymmetric foreign currency gain or loss

Adjustments to the underlying profits may be required where a member's accounting functional currency and local tax currency are different.

Where a gain or loss arises from fluctuations in the exchange rate between those currencies, or between either of those currencies and a third currency, and that gain or loss is not reflected to the same extent in the underlying profits and taxable income, an adjustment will be required.

This adjustment is set out in section 144 of Finance (No.2) Act 2023.

Meaning of "accounting currency", "tax currency", and "third currency"

The accounting currency is the currency of the main economic environment in which a member operates.

The tax currency is the currency in which the profits of a member are determined for the purposes of determining its liability to covered taxes in the territory where it is located.

A third currency is a currency which is neither the accounting nor the tax currency of the member.

Fluctuation between accounting currency and tax currency

Where a member has a gain or loss because of fluctuations in the exchange rate between the accounting and tax currencies, and that gain or loss is reflected differently in the underlying profits and its taxable income (including where it is not reflected at all in one of these), the gain or loss is to be reflected in the member's adjusted profits on the same basis as it is reflected in the taxable income.

Fluctuation between accounting currency and a third currency

Where a gain or loss arises for a member because of fluctuations in the exchange rate between the accounting currency and a third currency, that gain or loss is reflected in its underlying profits, and it is not reflected in its taxable income, or is reflected to a different extent, the gain or loss is to be excluded from the member's adjusted profits.

Fluctuation between tax currency and third currency

Where a gain or loss arises for a member because of fluctuations in the exchange rate between the tax currency and a third currency, and it is not reflected in the underlying profits, or is reflected to a different extent, the gain or loss is to be fully reflected in the adjusted profits.

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21180 Adjusted profits - Illegal payments

Expenses accrued by a member for illegal payments (such as bribes or kickbacks) are to be excluded when calculating the adjusted profits. Where such amounts are included in the underlying profits, an adjustment is required in accordance with section 145 of Finance (No.2) Act 2023.

Meaning of "illegal"

For this purpose, a payment is considered illegal if the making of the payment is (by itself or as part of wider conduct) an offence under the law of:

- The United Kingdom,
- The territory of the member, or
- The territory of the ultimate parent.

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21190 Adjusted profits - Fines and penalties

Expenses accrued by a member for fines or penalties of 50,000 euros or more are to be excluded when calculating the adjusted profits.

Fines and penalties accrued that are in respect of the same conduct, or for continuing conduct, should be aggregated when assessing this threshold. This does not aggregate fines in respect of the same type of conduct.

For example, if a daily fine is issued in respect of a single parking violation, these daily fines are to be aggregated. However, if separate fines are issued for the same type of conduct on separate occasions, such as a number of separate parking violations, these should not be aggregated.

This adjustment is set out in section 145 of Finance (No.2) Act 2023.

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21200 Adjusted profits – Prior period errors

An adjustment is required where:

- There is a change to the net value of a member's assets and liabilities ,
- That change is attributable to a correction of an error that was reflected in the member's adjusted profits in a previous accounting period, and
- The error does not result in a post-filing adjustment of covered taxes (see [MTTxxxxx]).

The amount of that change should be reflected in the adjusted profits in accordance with section 146 of Finance (No.2) Act 2023.

Error results in a post-filing adjustment of covered taxes

Where an error results in a post-filing adjustment of covered taxes, that provision takes precedence.

A recalculation of the prior period will be required under that provision and so the amount will not be reflected in the adjusted profits of the current period.

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21210 Adjusted profits – Changes in accounting principles

Where there is a change to the net value of a member's assets and liabilities at the start of an accounting period, and:

- That change is attributable to a change in accounting principle or policy, and
- That accounting principle or policy change affects the income or expenses reflected in the member's adjusted profits,

the amount of that change should be reflected in the adjusted profits for that period.

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21220 Adjusted profits - Pension fund expense

There are two main types of pension schemes, defined contribution schemes and defined benefit schemes.

With both defined contribution and defined benefit schemes, the employer and employee typically contribute a percentage of an employee's salary into the pension scheme each year. The difference between the two schemes is the value of the benefit that is received on retirement. With a defined contribution scheme, the benefit on retirement is variable – the value of the pension pot can go up or down depending on how the investments perform. With a defined benefit scheme, the benefit on retirement is fixed – the pension provider guarantees a certain amount each year on retirement.

Defined benefit pension schemes must be kept sufficiently funded by the groups using them, to ensure that the scheme has the necessary funds to pay the defined benefits to its beneficiaries.

Payments to and from these funds are accounted for differently under different accounting standards.

For both defined benefit and defined contribution schemes, an adjustment is required in some cases to the underlying profits of a member, to ensure that the adjusted profits reflect the actual contributions made to, and receipts from, a pension fund in the accounting period.

The adjustment is set out in [update with reference to current Finance Bill when enacted]

Accounting treatment of defined benefit pension schemes

Groups will generally have a single sponsoring entity which is responsible for maintaining funding of the pension scheme.

Where a defined benefit scheme is underfunded, a liability and expenses will accrue in the sponsoring entity's accounts. Conversely, if the defined benefit scheme is overfunded, an asset and income will accrue. Accounting standards typically recognise the income or expenses in the profit or loss statement or other comprehensive income (OCI). Amounts recognised in OCI are outside of Pillar 2 underlying profits, see MTT21010. The timing and circumstances of recycling of the income and expenses from OCI to the profit and loss statement vary.

Where there are no actual pension contributions or receipts in a period, the effect of the adjustment is to reverse out any expense or income which has been recognised in the member's underlying profits.

Where contributions to or receipts from a pension fund have actually been paid or received in the period, these must be reflected in the adjusted profits. An adjustment will be required if the amount is not reflected in the underlying profits.

Pension adjustment

To determine the amount of the adjustment:

- Take the amount of income (expressed as a positive) or expense (expressed as a negative) arising directly in respect of a pension fund, as reflected in the member's underlying profits.
- Add the contributions made to the pension fund by the member in the period.
- Subtract any receipts from the pension fund in the period.

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The result is to be subtracted from the underlying profits of the member. If the result is a positive figure, this will result in a decrease to the underlying profits. If it is a negative figure, there will be an increase to the underlying profits.

Whether income or expense has arisen directly in respect of a pension fund
Groups will generally have a single sponsoring entity which is responsible for maintaining funding of the pension scheme. Where this is the case, only the sponsoring entity, in its underlying profits, can have income or expense arising directly in respect of the fund, and only that entity will make contributions to or receive amounts from the fund.

However, where employees of other group companies are also beneficiaries of the fund, those other companies will typically make payments to the sponsoring entity, to the extent that the fund needs topping-up for the benefit of their employees. (Or, in the less likely situation of the fund being overfunded and releasing cash to the sponsoring employer, it can receive amounts from the sponsoring employer.)

These intra-group payments will be reflected in the underlying profits appropriately with no need for an adjustment. They will not be considered as "contributions to" or "receipts from" a pension fund, and the income and expense recorded in the underlying profits will not be considered to have arisen "directly in respect of a pension fund", as they have arisen only indirectly in respect of the fund.

This treatment would apply regardless of whether the scheme that is being administered by the sponsoring entity is a defined benefit scheme or a defined contribution scheme.

Example 1
A Ltd and B Ltd are members of different groups. They each use different accounting standards.

They each contribute £10m to a defined benefit pension scheme in the accounting period. Neither company has receipts from a pension fund.

A £10m pension expense is reflected in the profit and loss account of A Ltd in accordance with its accounting standard.

A £10m pension expense is reflected in other comprehensive income in B Ltd, in accordance with its accounting standard.

The pension adjustment for A Ltd is determined as follows:

Description	**Amount (£)**
Expense included in underlying profits	-10m
Contributions made in period	+10m
Receipts from the fund in period	-0m
Total pension adjustment	0m

There will be no adjustment to the underlying profits for A Ltd. The contributions made by A Ltd in the accounting period are already reflected in its underlying profits, so there is no need for any adjustment.

The pension adjustment for B Ltd is determined as follows:

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Description	Amount (£)
Expense included in underlying profits	0m
Contributions made in period	+10m
Receipts from the fund in period	-0m
Total pension adjustment	+10m

The adjustment amount is positive, so £10m must be deducted from the underlying profits of B Ltd when calculating its adjusted profits. This ensures that the pension fund contribution for B Ltd is treated for MTT purposes as it would have been treated had its accounting standard allowed the contribution as a deduction in the profit and loss account.

Example 2
C Ltd and D Ltd are members of the same group. C Ltd administers a defined contribution pension scheme fund on behalf of the group.

C Ltd accrues a pension expense in its profit and loss account of £10m in respect of the pension scheme in an accounting period. However, C Ltd only makes a payment of £8m to the pension in that period.

D Ltd is a trading entity, and a number of the employees to which the pension cost in C Ltd relates actually work for D Ltd. Consequently, D Ltd makes an intercompany payment of £5m to C Ltd in respect of the pension cost. This amount is accrued and paid in the accounting period.

The adjustment to underlying profit for the pension fund expense in both entities would be calculated as follows:

Description	Amount (£)
Expense included in underlying profits	-10m
Contributions made in period	+8m
Receipts from the fund in period	-0m
Total pension adjustment	-2m

The adjustment amount is negative, so C Ltd must increase its underlying profits by £2m. This aligns the expense in the underlying profits with the amount actually contributed.

C Ltd's £5m intercompany receipt from D Ltd would not meet the definition of income that has arisen directly in respect of a pension fund, and therefore it is not to be reflected in the computation of the total pension adjustment for C Ltd. The timing of the intercompany receipt is not relevant.

The payment by D Ltd is not considered to be a contribution made to a pension fund. Section 147 is therefore not applicable to D Ltd. Only the sponsoring company (which is C Ltd in this example) contributes to and receives amounts from the pension fund.

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21230 Adjusted profits - Transactions requiring arm's length treatment

In general, transactions between members located in the same territory are not required to be adjusted when calculating underlying profits. This is because the movement of income from one member to another within the same territory generally does not impact on the overall amount of income subject to tax in that territory.

However, in some cases, an adjustment is required in respect of certain transactions between members of the same group located in the same territory. Where the conditions are met, these transactions must be reflected in the adjusted profits on an arm's length basis, in accordance with section 149 of Finance (No.2) Act 2023.

These adjustments concern transactions between members located in the same territory.

Transactions between members located in different territories may also be subject to adjustments to ensure that they are recorded on an arm's length basis. See MTT21240 for further guidance.

Conditions

An adjustment will be required to a member's underlying profits accounts where one of the following four conditions are met. The transaction must be reflected in the adjusted profits on an arm's length basis for both members involved in the transaction.

Condition A will be met where:

- A debit is recorded in the underlying profits accounts of the member
- That debit arises from a transaction comprising of a transfer of an asset between the member and another member of the same group located in the same territory, and
- The transaction is not recorded on an arm's length basis.

Condition B will be met where:

- The member is party to a transaction with another member of the same group located in the same territory
- One of the members is a minority owned member and the other is not, and
- The transaction is not recorded on an arm's length basis in the underlying profits accounts.

Condition C will be met where:

- The member is party to a transaction with another member of the same group located in the same territory,
- One of the members is an investment entity and the other is not, and
- The transaction is not recorded on an arm's length basis in the underlying profits accounts.

Condition D will be met where:

- The member is party to a transaction with another member of the same group located in the same territory, and
- The transaction is recorded at a different value in each member's underlying profits accounts.

Arm's length basis

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For MTT purposes, “arm’s length basis” is a basis for a transaction which reflects the conditions of the transaction as those conditions would have been, had the transaction been conducted between independent enterprises in a comparable transaction under comparable circumstances.

Transfer of assets or liabilities between group members
Some transfers of assets or liabilities between members of a group require the use of the arm’s length basis for both the transferor and transferee. See MTT44040 for further guidance.

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21240 Adjusted profits - Intra-group financing arrangements

When determining the adjusted profits, expenses arising from certain intra-group financing arrangements are to be excluded.

Expenses are to be excluded from a member's underlying profits where:

- The member is a low tax member for that period, and
- Over the expected duration of the arrangement, the intra-group financing arrangement is reasonably expected to increase the expenses of a low tax member (in its underlying profits), with no corresponding increase in the taxable income of a high tax member of the same group.

This is set out in Section 154 of Finance (No.2) Act 2023.

Qualifying intra-group financing arrangement

"Intra-group financing arrangement" means an arrangement between two or more members of a group under which a member (member A) directly or indirectly provides credit or otherwise makes an investment in another member (member B).

An intra-group financing arrangement is "qualifying" if member A is a high tax member and member B is a low tax member.

High tax member and low tax member

For this purpose, a member of a group is a "low tax member" in an accounting period if the effective tax rate for the standard members of the group located in the member's territory for that period would, ignoring intra-group financing arrangements, be less than 15%.

For this purpose, a member of a group is a "high tax member" in an accounting period if the effective tax rate for the standard members of the group located in the member's territory would, ignoring intra-group financing arrangements, be 15% or more.

Qualifying tier 1 capital

Where an expense is required to be included according to the rules on qualifying tier one capital, those rules will take precedence, and the expense is not to be excluded from the adjusted profits due to the rule on intra-group financing arrangements.

See MTT21300 for guidance on qualifying tier 1 capital.

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21250 Adjusted profits – Election to use realisation principle

A group may elect to use the realisation principle to determine certain gains and losses.

By electing to use the realisation principle, a member ensures that its adjusted profits only reflects a gain or loss in respect of an asset or liability when the asset or liability is disposed of. A gain or loss associated with a change in market value or impairment is not to be included in the member's adjusted profits.

The group may choose for the realisation principle to apply to either:

- All assets and liabilities that are subject to fair value and impairment accounting, or
- Tangible assets that are subject to fair value and impairment accounting.

This election is made in respect of a territory and can apply (at the choice of the group) to either:

- All of the members in that territory, or
- All of the investment entities in that territory.

This election is a long-term election. See MTT52200 for guidance on making elections.

This election is set out in section 161 of Finance (No.2) Act 2023.

Effect of election

Where the election applies to a member:

- The underlying profits must be adjusted to exclude unrealised gains and losses of the assets and liabilities to which the election applies, and
- The carrying value of those assets and liabilities will be the carrying value at the later of the commencement of the first accounting period to which the election applies, or the time the asset was acquired or the liability was incurred.

Revocation of election

Where an election is revoked (see MTT52200), the underlying profits for each member that was subject to the election should be adjusted in the first accounting period to which the election no longer applies ("the revocation period"). In effect, this reverses the adjustments that have been made in the previous periods where the election applied.

An adjustment is required for each asset or liability that was affected by this election and remains held by the member at the beginning of the revocation period.

The amount of that adjustment will be the difference between:

- The fair value of the asset or liability at the start of the revocation period, and
- Its carrying value (as determined under the election).

Where the fair value exceeds the carrying value, the amount will be added to the underlying profits.

Where the fair value is less than the carrying value, the amount will be subtracted from those profits.

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21260 Adjusted profits – Stock-based compensation election

A group may elect to adjust the amount of stock-based compensation that is included in the adjusted profits for the members in the territory subject to the election.

Where an election is made, the amount of any expense for stock-based compensation in the underlying profits of a member in the territory will be substituted for the amount that was allowed as a deduction for tax purposes for the same expense.

In some cases, an expense reflected in the adjusted profits in a previous period needs to be reversed as the result of the application of the election to an expense. The reversal is achieved by an adjustment in the current period that increases the adjusted profits.

This election is a long-term election. See MTT52200 for guidance on making elections.

This election is set out in section 162 of Finance (No.2) Act 2023.

Expense arising from an expiring option

A reversal of an expense is required where, as a result of a stock-based compensation election, an expense in relation to stock-based compensation is reflected in the adjusted profits of a member and that option subsequently expires without exercise.

An adjustment must be made to increase the member's adjusted profits for the accounting period in which the option expires. This is the case regardless of whether the election still applies for that period.

The amount of the increase will be the amount relating to that expense that had been included as an expense in the adjusted profits in a previous period.

Expense recorded prior to election

A reversal of an expense is required where some expenses in respect of stock-based compensation (the "pre-election expenses") were recorded in the member's underlying profits in a period prior to the election having effect, and the sum of the pre-election expenses is greater than what the sum would have been had the election applied to those expenses.

The excess pre-election expenses must be included in the adjusted profits of the member as if it were income. They are to be included in the first period in which an adjustment is made, as a result of the election, in respect of the amount of stock-based compensation.

Election revoked before all stock-based compensation fully paid

A reversal of an expense is required where:

- The underlying profits of a member are adjusted as a result of a stock-based compensation election,
- The election is revoked before all of the stock-based compensation has been paid, and
- The sum of expenses reflected in the adjusted profits as a result of the election is greater than the sum of the financial account expense accrued that has been paid by the last day of the last period for which the election applies.

The excess expenses must be included in the adjusted profits of the member as if it were income. They are to be included in the first accounting period for which the election does not apply.

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21270 Adjusted profits - Election to spread certain capital gains over five years

A group may elect for the net gain on the disposal of certain assets to be spread across a period of five years. Where the election has been made, a gain to which the election applies ("the gain") will be spread over the period for which the election is made and in which the gain has been realised (the "election period"), and the four preceding periods (the "look-back period").

The gain is to be spread to the earliest year first, insofar as members in the territory have losses against which the gain can be set. Any remainder is spread evenly between the five years and allocated to members in proportion to their respective amount of relevant gains.

The election is made in respect of a territory and will apply to all disposals of local tangible assets by members in that territory, in the period for which the election applies.

This election is an annual election. See MTT52200 for guidance on making elections.

This election is set out in section 163 of Finance (No.2) Act 2023.

Gains and losses affected

A gain will be subject to the election if it arises from the disposal of a local tangible asset, which is realised in a period for which the election is made, and it does not arise from the transfer of assets between members of the same group.

Local tangible asset

An asset is a "local tangible asset" if it is immovable property located in the same territory as the member disposing of it.

Method for spreading the gain

The gain is to be spread by the following process, as set out in section 163(2) F(no.2)A 2023.

Step 1 – Determine whether any member of the group in the territory in the first accounting period of the look-back period (the "carry-back period") has net losses in its underlying profits accounts for that period that arose from the disposal of local tangible assets (a "relevant net loss") . Ignore any losses which have already had a gain set against them as a result of this election.

Note that it is not necessary for the members identified here to be members of the group or located in the territory in the election period.

Step 2 – Where there are members with losses identified under step 1, allocate the gain between those members. To determine the proportion of the gain to be allocated to each member, divide:

- The relevant net loss of that member by
- The total relevant net loss of all members in the territory.

Step 3 - Adjust the underlying profits of each member by reducing its losses (but not below nil) by the amount of the gain allocated to it under Step 2.

Steps 4 to 6 – If there is still an amount of the gain that has not been allocated, repeat steps 1 to 3 for the second period of the look-back period, and then the third and fourth periods in turn.

Step 7 – if there is still an amount of the gain that has not been allocated, , repeat steps 1 to 3 as if the reference to the first accounting period was a reference to the election period.

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Step 8 - If there is still an amount of the net gain which was not used to reduce the members' losses, divide the amount remaining by 5.

Step 9 – Determine which standard members of the group located in the territory in the election period have net gains from the disposal of local tangible assets in the election period. These are "current gain members".

Step 10 – For each period in the look-back period and the election period, adjust the underlying profits for that period ("the adjustment period") of each current gain member by allocating the amount determined under Step 8 between the current gain members for that period in proportion to:

- The net gains made by the current gain member from the disposal of local tangible assets in the election period, divided by
- The net gains made by all current gain members for that period from the disposal of local tangible assets in the adjustment period.

Step 11 – If there are no current gain members for an accounting period in the look-back period, the amount determined under Step 8 is to be allocated equally between all standard members of the group located in the territory in that period.

Step 12 – If there are no standard members of the group in the territory in one of the accounting periods in the look-back period, the amount determined under Step 8 that would be allocated to that period is instead allocated to the election period, with the underlying profits of each current gain member adjusted under the same procedure as Step 10.

Effect on effective tax rate and top-up amounts
Where the underlying profits of a member are adjusted as a result of this election, the effective tax rate and top-up amounts for that member, and other members located in the same territory, must be recalculated.

Effect on covered tax balance
Any amount of tax in relation to the disposal of the local tangible assets in the election period for members affected by the election must be excluded from the member's covered tax balance.

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21280 Adjusted profits – Currency hedging election

At the election of the group, qualifying gains or losses arising from fluctuations in exchange rates are to be excluded when determining the adjusted profits. This election allows a group to align the treatment of a net investment hedge with the equity investment it is hedging.

The election is set out in section 166 of Finance (No.2) Act 2023.

This election is a long-term election. See MTT52200 for guidance on making elections.

Qualifying gain or loss arising from fluctuation in exchange rates

A gain or loss arising from fluctuations in exchange rates is "qualifying" to the extent that:

- The gain or loss is attributable to an instrument intended to act as a hedge against currency risk in ownership interests held by the member, or by another member of the group, other than a disregarded ownership interest,
- The gain or loss is recognised in other comprehensive income in the consolidated financial statements of the ultimate parent,
- The instrument is considered an effective net investment hedge under the authorised accounting standard upon which those statements are prepared,
- The economic and accounting effect of the hedge has not been transferred to any other entity, where the instrument is held by the member, and
- The economic and accounting effect of the hedge has been transferred to the member, where the instrument is not held by the member.

Where all these conditions apply, the underlying profits are to be adjusted to exclude the amount.

Disregarded ownership interest

For the purpose of this election, an ownership interest in an entity held by a member of a group is disregarded if the members of that group do not, between them, have qualifying interests that entitle them to 10% or more of the entity's profits, capital, reserves, and voting rights.

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21290 Adjusted profits - Election where assets and liabilities adjusted to fair value for tax purposes

When an event has occurred (a "triggering event"), a member may be legally required or permitted to adjust, for domestic tax purposes, the value of its assets or liabilities to fair value (make a "relevant tax adjustment"). An example of a triggering event is a member leaving or joining a tax consolidation group.

The group can then elect for an adjustment to be made to the adjusted profits for MTT purposes, in accordance with section 216 of Finance (No.2) Act 2023. This allows the group to align MTT outcomes with local tax law.

This is an annual election that is made in respect of the relevant tax adjustment itself. See MTT52200 for guidance on making elections.

Relevant tax adjustment - exceptions

An adjustment cannot be a relevant tax adjustment if:

- It is made in connection with transfer pricing, or
- It is made in connection with the sale of assets in the course of carrying on a trade.

Effect of an election under section 216

Where an election is made:

- The member has an "adjustment amount" in respect of each asset or liability that is subject to the relevant tax adjustment (the "relevant asset"), and
- For the purposes of determining the adjusted profits, the value of the relevant asset is to be treated as its fair value immediately after the triggering event.

This treatment is to apply for the adjustment period and all subsequent accounting periods.

In accordance with the election, the adjustment amounts are to be either:

- Included in the adjusted profits of the member for the adjustment period, or
- Split into five equal amounts to be included in the adjusted profits of the member in that period and the subsequent four accounting periods.

Adjustment period

The "adjustment period" is the accounting period in which the relevant tax adjustment was made.

Adjustment amount

To determine the adjustment amount, subtract:

- The carrying value of the relevant asset immediately before the triggering event

from

- The fair value of the relevant asset immediately after the triggering event.

If the triggering event resulted in a non-qualifying gain, reduce the adjustment amount by the amount of that gain. In the case of a non-qualifying loss, increase the adjustment amount by the amount of that loss.

Member leaves the group before the end of the fourth accounting period subsequent to the adjustment period

Where:

- An adjustment amount has been split over five periods, and
- The member leaves the group before the end of the fifth period,

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any part of the adjustment amount that has not been included in the adjusted profits of the member in a previous accounting period is to be included in the adjusted profits of the member for the final accounting period in which it was a member of the group.

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21300 Qualifying tier one capital

Entities in the banking and insurance sector are subject to regulations which require them to issue amounts of certain types of capital. This regulatory capital can include Additional Tier One Capital (issued by banks) and Restricted Tier One Capital (issued by insurers). Some of this regulatory capital may meet the definition of qualifying tier one capital.

Distributions paid or received in respect of qualifying tier one capital may be recognised as a change in equity in the accounts of a member. However, for MTT purposes, they should be recognised as an expense or as income. In such a case, an adjustment is required, in accordance with section 155 of Finance (No.2) Act 2023.

Definition

For MTT purposes, qualifying tier one capital is an instrument that:

- Is issued by an entity pursuant to regulatory requirements applicable to the banking or insurance sector,
- Is convertible to equity, or is written down if a pre-specified trigger event occurs, and
- Has other features designed to aid loss absorbency in the event of a financial crisis.

Adjustment for member making distribution

Where:

- An amount is recognised by a member as a decrease to its equity in an accounting period,
- That amount is attributable to distributions paid or payable in respect of qualifying tier one capital issued by that member, and
- The amount is not reflected in the underlying profits of the member for that period as an expense,

an adjustment is required to ensure that the amount is reflected as an expense in the adjusted profits.

Note that an expense that is required to be included under this rule will not be subject to the rules on intra-group financing arrangements (see MTT21240).

Adjustment for member receiving distribution

Where:

- An amount is recognised by a member as an increase to its equity in an accounting period,
- That amount is attributable to distributions received or receivable in respect of qualifying tier one capital held by that member, and
- The amount is not reflected in the underlying profits of the member for that period as income,

an adjustment is required to ensure that the amount is reflected as income in the adjusted profits.

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21400 Adjusted profits - Tax credits

The underlying profits of a member of a group and its covered tax balance (if necessary) need to be adjusted to ensure that qualifying refundable tax credits and marketable transferable tax credits are accounted for as income, rather than a tax expense.

See MTT21410 for the definition of qualifying refundable tax credits, and MTT21430 for the definition of marketable transferable tax credits.

Tax credits that are not marketable transferable tax credits or qualifying refundable tax credits are generally to be accounted for as a reduction to tax expense, rather than income (see MTT21440).

This is set out in Section 147A of Finance (No.2) Act 2023.

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21410 Adjusted profits - Qualifying refundable tax credits

In the adjusted profits, qualifying refundable tax credits are to be treated as income. Where a member has received qualifying refundable tax credits, the underlying profits are to be adjusted so that these items are reflected in the adjusted profits to the extent they have not been already.

The definition of a qualifying refundable tax credit is set out in section 148 of Finance (No.2) Act 2023.

Refundable tax credit

A "refundable tax credit" is a tax credit which is payable in cash (or cash equivalents) after any liability to covered taxes has been reduced or discharged by it.

A cash equivalent includes the discharge of the tax credit against a liability to a non-covered tax.

Qualifying refundable tax credit

A refundable tax credit is "qualifying" where the recipient is entitled to receive payment within 4 years of meeting the conditions for receiving it.

Refundable tax credit relating to a refundable imputation tax

A refundable tax credit is not qualifying if it is creditable or refundable pursuant to a refundable imputation tax, whether or not that tax is qualified or disqualified (see MTT25230).

Application to the UK's expenditure credit regimes

HMRC's view is the full amount of a tax credit claimed under one of the UK's expenditure credit regimes, such as the Research and Development Expenditure Credit (RDEC), is entirely a qualifying refundable tax credit. This is on the basis that considering whether an amount is qualifying or not on a case-by-case is inappropriate. The OECD Commentary to the Model Rules describing Qualifying Refundable Tax Credits (QRTC) includes language considering the design of the regime and it is explicit that the determination of whether a tax credit is a QRTC should not be made depending on the outcomes for a specific taxpayer. There is therefore no support in a view that sees different outcomes under s148 depending on the specific circumstances of the taxpayer.

This analysis is supported by the amount of tax credit a company is entitled to being determined first and then separately the legislation explaining how that credit is paid and made available to the claimant.

Therefore, having determined the amount of the tax credit, the first question then is whether there is anything within the rules determining the method the credit is made available to the claimant that prevents an element of the tax credit being considered as refundable. The UK's rules require the tax credit to discharge any of the claimant's liability for the CT due for the period before anything else is considered. The next step then ensures that any liability for the CT due on the tax credit itself is met. This can be done by either, an element equivalent to the outstanding liability to be used against the CT liability of the claimant in a later period, or as an alternative for it to be used to discharge the CT liability of a group member in the same period. These steps, therefore, work in tandem to ensure that in all circumstances the tax credit is used to discharge an amount equivalent to the tax liability arising on the credit itself. Although, typically, the total CT liability of the claimant may be less than the liability on the credit itself due to the claimant being loss making in the period, this may also apply when the claimant is in a profit situation, such as where it has tax losses carried forward.

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Further steps require the claimant to first, discharge the claimant's CT liability of another period, and then allows the ability to discharge the CT liability of a group member. The four methods of utilising the credit are all of a similar nature in requiring, or allowing in the period, the tax credit to be used to discharge liabilities of a covered tax. This discharge of covered taxes, but allowing and anticipating an amount that will be paid by way of cash or cash equivalent means that the tax credit should be considered refundable within the meaning of s148.

The RDEC regime also removes the claimant's entitlement to the credit for a period to the extent the credit is, broadly, in excess of the expenditure on workers' PAYE and NICs of the period. As the entitlement to this amount is removed for this period it should not be considered an element of refundable tax credit for the period.

As the amount available to be paid in cash or cash equivalent is fully a refundable tax credit, and as none of the amount the claimant is entitled to is delayed, the full amount is a qualifying refundable tax credit.

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21420 Adjusted profits – Marketable transferable tax credits

Some tax credits may be transferable to other persons, unlike an ordinary tax credit which is only creditable against tax for the recipient of the credit. A person disposing of such a tax credit will typically receive payment for the tax credit. Such tax credits may therefore have the economic character of government grants or refundable tax credits.

These transferable tax credits are subject to adjustments for MTT purposes.

Where a transferable tax credit is also determined to be marketable, the member holding the tax credit may need to make adjustments for MTT purposes on the receipt, transfer, use, or expiration of the tax credit (see MTT21420).

This is set out in section 148A of Finance (No.2) Act 2023.

Where a transferable tax credit is non-marketable, an adjustment may be required either to the covered tax balance (see [MTTxxxxx]) or the adjusted profits (see MTT21440).

Transferable tax credits

A tax credit is a 'transferable tax credit' if it meets the transferability condition. This condition differs depending on whether the credit is held by the original recipient of the credit or a purchaser of the credit.

For the person who was originally granted the credit (the "originator"), the transferability condition is met if:

- The type of credit may, under the law of the territory granting the credit, be transferred to an unconnected person or entity within 15 months of the end of the accounting period in which it was granted.

For a person who has acquired the credit (a "purchaser"), the condition is met if:

- The credit may, under the law of the territory granting the credit, be legally transferred to an unconnected person under the same or similar legal conditions that would apply to the originator, and before the end of the accounting period in which it was transferred to the purchaser.

Qualifying refundable tax credits

If a transferable tax credit is also a qualifying refundable tax credit, it will not be treated as a transferable tax credit. It will only be a qualifying refundable tax credit.

See MTT21410 for guidance on qualifying refundable tax credits.

Marketable transferable tax credits

A transferable tax credit is 'marketable' if the marketable condition is met. This condition also differs depending on whether it is held by the originator or a purchaser.

For the originator, the condition is met if:

- The credit is transferred to an unconnected person or entity within 15 months of the end of the accounting period in which the credit was granted, and it is sold at a price of at least 80% of its net present value, or
- The credit is not actually transferred, but similar credits are traded between unconnected persons or entities within 15 months of the end of the accounting period in

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which they are granted, and are typically traded at a price of at least 80% of their net present value.

For a purchaser, the condition is met if:

- The credit was acquired from an unconnected person or entity at a price of at least 80% of its net present value.

Net present value of a tax credit

When determining the net present value of a tax credit for this purpose:

- It is to be assumed that the entity that holds the credit is able to use it before it expires.
- The discount rate is to be determined by reference to the return on debt instruments issued by the government of the territory in which the credit was granted.

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21430 Adjusted profits - Marketable transferable tax credits – Adjustments required

In calculating the underlying profits of a member, the treatment of marketable transferable tax credits will differ depending on whether the member is the originator (the person to whom the credit was originally granted) or the purchaser.

This is set out in sections 148B and 148C of Finance (No.2) Act 2023.

Adjustments made by the originator

For the originator, the underlying profits are to be adjusted to reflect the value of a marketable transferable tax credit, as follows:

- Where the credit is not transferred within 15 months of the end of the period in which it was granted, the full value of the credit is to be recognised as income in the period the credit was received.
- Where:
    - The credit is transferred after it has been recognised as income for MTT purposes, and
    - It is transferred for consideration which is less than its value,

  the difference between the value of the credit and the consideration received for its transfer is to be recognised as a loss in the accounting period in which it is transferred.
- Where the credit is transferred within 15 months of the end of the period in which it was granted, the consideration for the transfer (rather than the value of the credit) is to be recognised as income in the period the credit was received.
- Where the credit has neither been transferred nor been fully used before its expiry, the value of the unused portion of the credit is to be reflected as a loss in the accounting period in which the credit expired.

Adjustments made by a purchaser

For a purchaser, the underlying profits are to be adjusted to reflect the value of a marketable transferable tax credit, as follows:

- Where the acquired credit is used in an accounting period, an amount of income is to be recognised in that period. This is the amount given by multiplying:
    - The amount used, divided by the full value of the credit (or acquired portion of the credit), by
    - The amount given by subtracting:
        - The purchase price of the credit from
        - The full value of the credit (or acquired portion of the credit).
- Where the credit is transferred onwards, an amount is to be recognised as a gain (or loss, if negative) in the period of transfer. That amount is given by subtracting:
    - The sum of:
        - The price of the credit paid by the purchaser, and
        - Any amounts previously recognised as income where the credit was used, from
    - The sum of:
        - The amount of credit that has been used, and
        - The consideration received for the onward transfer.
- Where the credit is not transferred onwards and expires before being fully used, a loss is to be recognised in the period of expiry. The value of that loss is given by subtracting:
    - The amount of the credit that was used (if any), from

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- The sum of:
  - The price of the credit paid by the purchaser, and
  - Any amounts previously recognised as income where the credit was used.

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21440 Adjusted profits – Non-marketable transferable tax credits

A transferable tax credit that is neither a marketable transferable tax credit nor a qualifying refundable tax credit is a non-marketable transferable tax credit.

When non-marketable transferable tax credits are used, and when they are first transferred, this is reflected in the covered tax balance (see MTT25400).

Where a purchaser of a non-marketable transferable tax credit transfers the credit onwards, or the credit expires before use, an adjustment is required when determining the adjusted profits.

These adjustments are set out in section 176C of Finance (No.2) Act 2023.

Purchaser transfers credit onwards

Where a purchaser of a non-marketable transferable tax credit transfers the credit to another party, an amount is to be reflected in either the adjusted profits or the covered tax balance for the accounting period in which the transfer occurred. That amount is the amount given by subtracting:

- The sum of:
  - The purchase price of the credit, and
  - Any amounts previously reflected in the covered tax balance of any period as a result of the purchaser using the tax credit, from
- The sum of:
  - The amount of the credit that has been used, and
  - The consideration for the transfer.

Where this amount is a positive figure, it will be reflected as a credit in the covered tax balance. This will reduce the covered tax balance (see MTT25000).

Where the amount is a negative figure, it will be reflected as a loss in the adjusted profits.

Credit expires before use by a purchaser

Where an acquired non-marketable transferable tax credit expires before being fully used by a purchaser, an amount must be reflected as a loss in the adjusted profits.

That amount is the amount given by subtracting:

- The amount of credit that was used by the purchaser, from
- The sum of:
  - The purchase price of the credit, and
  - Any amount previously reflected in the covered tax balance of any period as a result of the purchaser using the tax credit.

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25000 Calculating the covered tax balance

The covered tax balance is the total amount of taxes to be included for members in that territory. The aggregate covered tax balance of all the members in a territory is the numerator in the effective tax rate calculation for that territory.

The covered tax balance of a member is determined by the following process:

Step 1 – Determine the qualifying current tax expense accrued by the member for that period.

The qualifying current tax expense of a member is the current tax expense for that member which relates to covered taxes (see MTT25100).

Step 2 – Adjust for any amounts that must be excluded from the covered tax balance (see MTT25200)

Step 3 – Adjust for any amounts that must be reflected in the covered tax balance (see MTT25210).

Step 4 - Adjust for any amounts to be allocated to or from the member as a result of the special rules relating to:

- Permanent establishments (see MTT41040).
- Tax transparent entities and hybrid entities.
- An ultimate parent that is a flow-through entity.
- CFC regimes (MTT25500).
- Blended CFC regimes (see MTT25510).
- Intra-group distributions (see MTT25220).

Step 5 – Remove amounts which have been taken into account more than once.

This is set out in section 174 of Finance (No.2) Act 2023.

Deferred tax adjustments

Temporary differences in MTT are dealt with by deferred tax accounting. See MTT27000+ for guidance on determining the total deferred tax adjustment amount, which is to be reflected in the covered tax balance.

Negative covered tax balance where there is an adjusted profit

If the covered tax balance is less than zero, and the adjusted profits for the territory for the period are zero or greater:

- The covered tax balance for the period is deemed to be nil, and
- The negative covered tax balance is carried forward to subsequent periods.

See MTT25900 for further guidance.

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25100 Covered taxes

A tax is a covered tax in relation to a member if it is:

- A tax on profits of that member,
- A tax imposed on the member under an eligible distribution tax system (see MTTxxxxx),
- A tax imposed on the member as a substitute for a tax on profits that generally applies in the territory in which the tax is imposed, or
- A tax charged by reference to the capital of the company (or in reference to a combination of its capital and its profits).

A tax is considered to be a tax on the profits of a member where:

- That member has a direct or indirect ownership interest in another member of its group, and
- The tax is charged on that member on its share of the income or profits of the other member.

See MTT17020 for guidance on ownership interests.

This is set out in section 173 of Finance (No.2) Act 2023.

Taxes that are not covered

A tax will not be a covered tax if it is:

- Multinational Top-up Tax or an equivalent (see [MTTxxxxx]),
- A QDMTT ([see MTTxxxxx]),
- A qualifying undertaxed profits tax ([see MTTxxxxx]),
- A disqualified refundable imputation tax (see MTT25230), or
- Where the member carries on a life insurance business, a tax in respect of which amounts are charged to the member's policyholders.

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25200 Covered tax balance – Amounts to be excluded

The following amounts are to be excluded from the covered tax balance, in accordance with section 175 of Finance (No.2) Act 2023:

- Any amount that relates to income or gains that are not included in the adjusted profits of the member with the qualifying current tax expense.
- Any amount relating to an uncertain tax position.
- Any amount of credit or refund in respect of a qualifying refundable tax credit that reduces the qualifying current tax expense (see MTT21410).
- Any amount of credit or refund in respect of a marketable transferable tax credit (see MTT21420).
- Any amount that is not expected to be paid within three years of the end of the accounting period.
- Any amount allocated to another group member under a provision of MTT.
- Excluded amounts relating to a blended CFC regime (see MTT25510).

Tax expense reallocated to a CFC

Where an amount of qualifying current tax expense in respect of a controlled foreign company (CFC) regime is reallocated to a CFC from the owner of a CFC (see MTT25500), the related income should be treated as included in the adjusted profits of the CFC, rather than the owner, for the purpose of determining whether the amount should be excluded.

In some cases, an amount that would otherwise be reallocated to a CFC remains with the owner of the CFC due to the cap on amounts relating to mobile income. In this case, the amount of tax expense is to be excluded from the covered tax balance of the owner of the CFC if the related income or gains are not included in the adjusted profits of the CFC. The amount is then excluded from the covered tax balance of both the CFC and its owner.

This is set out in section 179(1A), 179(3A) and 179(3B) of Finance (No.2) Act 2023.

Example

Under a CFC regime that is not a blended CFC regime, C Ltd has a controlled foreign company (F Ltd).

C Ltd has 100 of qualifying current tax expense that is to be reallocated to F Ltd under the provision. However, 40 of this amount relates to mobile income, and the cap on amounts relating to mobile income is 25. This means that only 75 of the qualifying current tax expense is reallocated to F Ltd.

The 75 that is reallocated to F Ltd will be excluded from its covered tax balance if the income or gains to which that amount relates is not included in the adjusted profits of F Ltd.

Similarly, the 25 that remains with C Ltd will be excluded from the covered tax balance of C Ltd if the income or gains to which that amount relates is not included in the adjusted profits of F Ltd.

Tax expense reallocated to a permanent establishment

Where qualifying current tax expense is reallocated to a permanent establishment (see MTT41040), it should be treated as qualifying current tax expense for the purpose of determining whether it should be excluded on the basis that it relates to income or gains not included in the adjusted profits. In other words, the income or gains relating to the reallocated tax expense should be included in the adjusted profits of the permanent establishment, or the tax expense should be excluded.

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This is set out in section 177(1) of Finance (No.2) Act 2023.

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25210 Covered tax balance - Amounts to be included

The following amounts are to be reflected in the covered tax balance, in accordance with section 176 of Finance (No.2) Act 2023:

- Any amount of covered taxes reflected in a member's underlying profits but is not reflected in the member's qualified current tax expense.
- The total deferred tax adjustment amount (see MTT27000+).
- Any amount of covered tax paid or refunded in the current accounting period that relates to an uncertain tax position, where that amount was excluded from the covered tax balance in a previous period.
- Any amount of credit or refund in respect of a tax credit:
    - That has not been included in the qualifying current tax expense in the current period or a previous accounting period.
    - That is not a qualifying refundable tax credit or marketable transferable tax credit (see MTT21410 and [MTTxxxxx]).
- Any amount of covered taxes credited or refunded to the member, other than a qualifying refundable tax credit (see MTT21410).
- The amount of special loss deferred tax assets used by a member in the current accounting period, where applicable (see MTT27010).
- Any amount of covered taxes:
    - That relates to an amount reflected in the adjusted profits of a member, where the amount reflected in the adjusted profits is subject to covered taxes under the law of the member's territory, and
    - That is recorded in other comprehensive income by that member.
- Any amount of covered taxes relating to an amount that is reflected in the adjusted profits as a result of an adjustment for prior period errors (see MTT21200) or changes in accounting policies (see MTT21210).
- Any amount allocated to a member from another group member.

Where these amounts are not already reflected in the qualifying current tax expense of a member, an adjustment is required to ensure that they are reflected when determining the covered tax balance for the territory.

Domestic Top-up Tax

For DTT purposes, only amounts allocated to a member from another group member under section 178(1) are to be reflected in the covered tax balance.

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25220 Covered taxes – Intra-group distributions

In some cases, an amount of qualifying current tax expense must be reallocated between the members of a group as a result of an intra-group distribution. This requirement is set out in section 181 of Finance (No.2) Act 2023.

An amount of qualifying current tax expense must be allocated from "R" to "D" where:

- R and D are members of the same group,
- R has a direct ownership interest in D, and
- The underlying profits accounts of R reflect an amount of covered taxes accrued in respect of a distribution received by R from D.

See MTT17020 for guidance on ownership interests.

Distribution received

For this purpose, a "distribution received" includes a deemed distribution that is taken into account where a tax is charged on a shareholder of an entity in respect of the undistributed earnings or capital of that entity.

Therefore, an amount of covered taxes accrued in respect of such a deemed distribution may still result in a reallocation, even though the distribution was not actually "received".

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25230 Covered tax balance - Refundable imputation tax

An amount of tax that is disqualified refundable imputation tax will not be regarded as covered tax and must be excluded from the covered tax balance.

A refundable tax credit that arises in respect of a refundable imputation tax (whether qualified or disqualified) will not be a qualifying refundable tax credit. See MTT21410 for guidance on qualifying refundable tax credits.

This is set out in section 253 of Finance (No.2) Act 2023.

Disqualified refundable imputation tax

An amount of tax payable by a member will be "disqualified refundable imputation tax" if:

- It meets one of the following conditions:
  - It is charged as a result of a dividend made by the member and refundable to the beneficial owner of the dividend.
  - It is creditable against a tax liability of the beneficial owner of a dividend made by that member (other than a tax liability in respect of that dividend itself).
  - It is refundable to an entity upon the distribution of a dividend, and
- It does not meet the conditions to be a qualified refundable imputation tax.

Qualified refundable imputation tax

An amount of tax payable by a member is "qualified refundable imputation tax" to the extent that:

- It is refundable or creditable to the beneficial owner of a dividend distributed by that member (or the main entity of that member), and
- The refund is payable, or the credit is provided:
  - Under a foreign tax credit regime, by a territory other than the one which imposed the tax on the member,
  - To a beneficial owner of the dividend, where:
    - That beneficial owner is subject to tax in the territory which imposed the tax on the member, and
    - The nominal rate of that tax that is at least 15%,
  - To a beneficial owner of the dividend who is an individual, where:
    - The individual is tax resident in the territory which imposed the tax on the member, and
    - The individual is subject to tax on the dividends as ordinary income,
  - To a governmental entity or an international organisation,
  - To a resident non-profit organisation or a resident pension fund,
  - A resident investment entity that is not a member of the same multinational group as the member for whom the amount of tax is payable, or
  - To a resident life insurance company, to the extent that the dividends are:
    - Received in connection with a pension fund business, and
    - Subject to a tax in a similar manner as a dividend received by a pension fund.

Resident entity

An entity is "resident" for the purpose of the last two criteria if it is:

- Resident in the territory that imposed the tax in question, and (for each relevant type of entity respectively):

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- It is a non-profit organisation or pension fund that is created and managed in that territory,
- It is an investment entity that is created and regulated in that territory, or
- It is a life insurance company that is located in that territory.

See MTT18000 for guidance on determining the location of an entity.

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25400 Covered tax balance - Non-marketable transferable tax credits

Some tax credits may be transferable to other persons, unlike an ordinary tax credit which is only creditable against tax for the recipient of the credit. A person disposing of such a tax credit will typically receive payment for the tax credit. Such tax credits may therefore have the economic character of government grants or refundable tax credits.

The treatment of a transferable tax credit depends on whether or not it is marketable.

For marketable transferable tax credits, adjustments are made in the adjusted profits.

A non-marketable transferable tax credit will be reflected in the covered tax balance (as a reduction to that balance) when it is used. An adjustment may also be required to the covered tax balance when the credit is transferred.

In other cases, for non-marketable credits, the adjustment required will be to ensure a loss is reflected in the adjusted profits.

The treatment of non-marketable transferable tax credits is set out in sections 176A to 176C of Finance (No.2) Act 2023.

See MTT21420 for guidance on the meaning of "marketable" and the treatment of marketable credits.

Meaning of non-marketable tax credit, originator, and purchaser

A tax credit is "non-marketable" if:

- It may be transferred to another person or entity, or has already been acquired from the original recipient of the credit and
- It is neither a marketable transferable tax credit (see MTT21420) nor a qualifying refundable tax credit (see MTT21420).

The person or entity who is the original recipient of the credit is the "originator". A person or entity who has acquired the credit is a "purchaser".

Treatment for the originator

Where the originator uses a non-marketable transferable tax credit against a covered tax, that use is to be reflected in the covered tax balance, in the period in which it was used.

Where consideration is received on the disposal of such a credit, that amount is to be reflected as a credit in the covered tax balance, in the period in which it was received.

Treatment for a purchaser – credit used

Where a purchaser uses a non-marketable uses a non-marketable transferable tax credit against a covered tax, an amount is to be reflected in the covered tax balance, in the period in which it was used.

The amount to be reflected is given by multiplying:

- The amount used, divided by the full value of the credit (or acquired portion of the credit], by
- The amount given by subtracting the purchase price of the credit from the full value of the credit (or acquired portion of the credit).

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Treatment for a purchaser – credit transferred onwards

Where a purchaser of a non-marketable transferable tax credit transfers the credit to another party, an amount is to be reflected in either the adjusted profits or the covered tax balance for the accounting period in which the transfer occurred. That amount is the amount given by subtracting:

- The sum of:
  - The purchase price of the credit, and
  - Any amounts previously reflected in the covered tax balance of any period as a result of the purchaser using the tax credit, from
- The sum of:
  - The amount of the credit that has been used, and
  - The consideration for the transfer.

Where this amount is a positive figure, it will be reflected as a credit in the covered tax balance. This will reduce the covered tax balance.

Where the amount is a negative figure, it will be reflected as a loss in the adjusted profits.

Treatment for a purchaser – credit expires before use

Where an acquired non-marketable transferable tax credit expires before being fully used by a purchaser, an amount is reflected as a loss in the adjusted profits.

That amount is the amount given by subtracting:

- The amount of credit that was used by the purchaser, from
- The sum of:
  - The purchase price of the credit, and
  - Any amount previously reflected in the covered tax balance of any period as a result of the purchaser using the tax credit.

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25500 Covered tax balance – Controlled foreign company regimes

Under a controlled foreign company (CFC) tax regime, a member may be subject to tax on income earned by a foreign entity (a "CFC entity") in which the member has an ownership interest.

When determining the covered tax balance of each territory for MTT purposes, it may be necessary to reallocate (or 'push down') an amount of CFC tax from the owner to the CFC entity.

This is set out in section 179 of Finance (No.2) Act 2023.

See [cross-reference] for guidance on the UK's CFC regime. Note that the guidance on this page is not specific to the UK CFC regime (see below for the meaning of "CFC regime" for MTT purposes).

Blended CFC regimes

This guidance is not applicable to blended CFC regimes for accounting periods that commence on or before 31 December 2025 and end on or before 30 June 2027.

See MTT25510 for guidance on blended CFC regimes.

Conditions for reallocation

A reallocation of qualifying current tax expense is required where:

- A member ("C") is subject to a CFC regime,
- C has an ownership interest in another member of the group, and
- That member is a CFC entity in relation to C.

Qualifying current tax expense included in the underlying profits accounts of C must be reallocated to the CFC entity to the extent that:

- The tax expense arose in relation to C's share of the profits of the CFC entity,
- It has not already been reallocated under a different MTT provision, and
- Where the expense relates to mobile income, it does not exceed the cap on the reallocation of such expense.

Meaning of "CFC regime"

For MTT purposes, a CFC regime is a set of rules under which an entity with an ownership interest in another entity located in a different territory (the "CFC") is subject to current taxation on its share of part or all of the income earned by the CFC, regardless of whether the income is currently distributed to it.

MTT itself, and foreign equivalents of MTT, are not CFC regimes for this purpose.

Meaning of "CFC entity"

For MTT purposes, an entity is a "CFC entity" in relation to a member if it is:

- A CFC of that member,
- A PE of a CFC of that member, or
- An entity whose profits are treated as though they were the profits of a CFC of that member.

Cap on reallocation of tax expense in relation to mobile income

Where some of the qualifying current tax expense to be reallocated relates to mobile income, the amount relating to mobile income that is to be reallocated is capped.

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To determine the cap amount for a CFC entity:

- Step 1 - Find the effective tax rate of the group for the CFC entity's territory (ignoring the amount of qualifying current tax expense under consideration).
- Step 2 - Subtract that rate from the minimum rate of 15%.
- Step 3 - Multiply the result of step 2 by the amount of mobile income to which the tax expense relates.

Where the effective tax rate for the CFC entity's territory equals or exceeds 15% for the period, no amount of the tax that relates to mobile income will be reallocated.

Amount of tax expense relating to mobile income to be reallocated exceeds the cap

Where the amount of tax expense related to mobile income exceeds the cap amount, only the cap amount is to be reallocated. The remainder will continue to be reflected in the covered taxes of C.

Where:

- An amount of tax expense remains with C because the cap amount was exceeded, and
- The amount relates to income or gains that are not included in the adjusted profits of the CFC entity,

the amount is to be excluded from the covered tax balance of C.

This is in keeping with the normal rule that amounts of covered tax are only included in the covered tax balance where the related income is included in the member's adjusted profits (see MTT25200).

Mobile income

For this purpose, income is "mobile income" if it is a type of mobile income, and a member of a group is subject to tax on the income:

- Under a CFC regime, or
- As a result of an ownership interest in an entity that is regarded as tax transparent in that member's territory, but is not regarded as transparent in the territory of the entity.

(Note that the member which is subject to a tax may be a member of any multinational group, whether qualifying or not.)

The types of mobile income are:

- Dividends or dividend equivalents,
- Interest or interest equivalents,
- Rent,
- A royalty,
- An annuity, or
- Net gains from property that produces income of a type listed above.

Domestic Top-up Tax

Amounts allocated to a member are not to be included in the covered tax balance of the member for DTT purposes, in accordance with section 272(8)(b).

The cap on reallocation of tax expense in relation to mobile income does not apply for DTT purposes, in accordance with section 272(8)(d). This has effect for CFC tax expense that is allocated from a UK member to another group member.

Example

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F Ltd is a CFC entity in relation to C Ltd. C Ltd is subject to a CFC regime. They are both members of the same group for MTT purposes, and C Ltd has an ownership interest in F Ltd.

In the 2040 period, C Ltd records in its underlying profits accounts a CFC charge of 100 in relation to its share of the profits of F.

Of this amount, 40 does not relate to mobile income and 60 relates to mobile income of 600. These amounts have not been reallocated to any other member.

In the territory of F, the group has an effective tax rate of 12%.

A reallocation is required because:

- C Ltd is subject to a CFC regime,
- C Ltd has an ownership interest in F Ltd, and
- F Ltd is a CFC of C Ltd.

To determine the cap that applies to the mobile profits:

- Subtract the relevant effective tax rate of 12% from 15%, to arrive at 3%.
- Multiply 3% by the mobile income to which the tax expense relates, which is 600, to arrive at 18.

60 of the tax expense relates to mobile income. Only 18 of this can be reallocated because the remainder is in excess of the cap on mobile income that can be reallocated.

The total amount reallocated is the 40 that does not relate to mobile income, and 18 relating to mobile income.

An adjustment is required for the amount of qualifying current tax expense for C Ltd. The amount of 58 arising to C Ltd in relation to F Ltd should not be reflected in the covered tax balance for the territory of C Ltd.

An adjustment is also required for the qualifying current tax expense of F Ltd. The amount of 58 arising to C Ltd in relation to F Ltd should be reflected in the covered tax balance for the territory of F Ltd.

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25510 Covered tax balance - Blended CFC regimes

A special rule applies to amounts of tax charged under certain controlled foreign company (CFC) regimes, including the US's GILTI, in the first two years of the MTT regime. Where the conditions are met, amounts are reallocated to the CFC if the CFC is a member of the same group. Otherwise, the amounts are excluded from the covered tax balance.

A different treatment for blended CFC regimes is required because income attributed from CFCs to an owner under such a regime are blended at the owner level. It is impractical to disaggregate the amounts to identify what amounts of the blended CFC tax charge should be attributed to each CFC. An allocation key is therefore used to simplify the reallocation.

This is set out in sections 179(4) and 180 of Finance (No.2) Act 2023.

Conditions

An amount will be reallocated from a member ("C") to an entity ("F") in which it has an ownership interest if:

- C is subject to a blended CFC regime in a qualifying accounting period,
- F is a CFC entity in relation to C, and
- The blended CFC allocation key of F exceeds nil.

However, where C and F are not members of the same group for MTT purposes, the amount is not reallocated to F. It is only excluded from the covered tax balance of C.

See MTT17000 for guidance on ownership interests.

The amount to be reallocated or excluded

To determine the amount that may be reallocated, divide:

- The blended CFC allocation key for F

by

- The sum of all blended CFC allocation keys for the CFC entities in which C has an ownership interest.

Blended CFC allocation key

The blended CFC allocation key of a CFC entity in which C has an ownership interest is given by multiplying:

- C's share of the income of the CFC entity (as determined for the purposes of the CFC regime)

by

- The applicable CFC rate, less the applicable effective tax rate (ETR) of the CFC entity.

However, the blended CFC allocation key will be treated as nil where:

- The applicable ETR of the CFC entity exceeds 15%, or
- Subtracting the applicable ETR of the CFC entity from the applicable CFC rate of the period gives a negative result.

Applicable CFC rate

The applicable CFC rate is the rate which reflects the threshold for low taxation by reference to which the CFC regime is generally operated, taking into account any credit for foreign taxes available under the regime.

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Applicable ETR of a CFC entity
Where the ETR is computed for the members of C's group in the territory in which the CFC entity is located, the applicable ETR of the CFC entity will be that ETR with the following adjustments:

- Ignore any tax arising under a blended CFC regime, and
- Where the blended CFC regime permits foreign tax credit in respect of a Qualifying Domestic Minimum Top-up Tax (QDMTT) on the same basis as it would be permitted for covered taxes, treat amounts of QDMTT so credited as covered taxes.

Where the ETR is not so computed in the territory of the CFC entity, the applicable ETR of the CFC entity is the notional ETR of the CFC entities in which C has an ownership interest that are located in that territory.

That notional ETR is to be determined as though:

- Those entities were members of a multinational group whose ultimate parent's accounting period were the relevant period,
- The net adjusted profits for those entities were the aggregate of their profits and losses before tax as shown in their financial accounts,
- The combined covered tax balance for those entities were the aggregate of the taxes shown in their financial accounts,
- Any tax arising under a blended CFC regime were ignored, and
- Where the blended CFC regime permits foreign tax credit in respect of a QDMTT on the same basis as it would be permitted for covered taxes, amounts of QDMTT so credited were covered taxes.

Qualifying accounting period
An accounting period will be a "qualifying accounting period" for this purpose if it:

- Commences on or before 31 December 2025, and
- Ends on or before 30 June 2027.

Meaning of "blended CFC regime"
A CFC regime is a "blended CFC regime" if:

- An entity ("the entity") with ownership interests in a CFC may be subject to tax under the regime,
- Under the regime, the income, losses and creditable taxes of all of the CFCs of the entity are aggregated for determining the entity's tax liability,
- The regime does not take into account the income of the entity (or members of a consolidated group of which the entity is a member) that arises in the location of the entity, except to the extent that the entity may use its losses arising in that location to reduce its liability under the regime, and
- The regime operates by reference to a rate which is a threshold for low taxation.

The US GILTI regime is considered to meet the definition of a blended CFC regime.

Where a CFC regime does not meet these criteria, the guidance on this page will not apply to amounts of tax charged under the regime. Instead, the ordinary guidance on CFC regimes will apply (see MTT25500).

See MTT25500 for the definition of "CFC regime".

Meaning of "CFC entity"
See MTT25500 for the definition of "CFC entity".

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25900 Covered tax balance - Carry-forward of negative covered tax balance where there is an adjusted profit

When calculating the effective tax rate for a territory, it is possible that there may be a negative covered tax balance even though there is a positive figure for adjusted profits. This can arise because of a difference between the tax bases of MTT and the local tax regime.

For example, an expense that is allowed for local tax purposes may be disallowed for MTT purposes. If this expense produces a loss for local tax purposes, the covered tax balance may be negative but the adjusted profits will be positive.

A special provision is required in such a case to prevent a negative effective tax rate being recorded for the territory for the period. The effect of the provision is that the negative covered tax balance will be carried forward to a subsequent period.

This is set out in section 202 of Finance (No.2) Act 2023.

Conditions

The special provision is required if:

- When determining the adjusted profits for the territory for the period, there is not an adjusted loss (see MTT21000), and
- There is a negative covered tax balance for the territory.

When assessing whether there is a negative covered tax balance, it is necessary to first carry forward any amounts from a previous period:

- As a result of the application of this provision to that period, and
- As a result of an election to carry forward and reduce a collective additional amount (see MTT33030).

Effect of the provision

Where the above conditions apply, the covered tax balance for the territory for the period is to be added to the combined covered tax balance in the next period in which there is not an adjusted loss for the territory. (This will reduce the covered tax balance in that period, because it is a negative figure.)

For the current period, the covered tax balance for the territory is to be treated as nil. Consequently, the effective tax rate will be nil for the period.

Example

In 2051, the adjusted profits of a qualifying group in a territory is 15 and its covered tax balance in that territory is –10. The covered tax balance is to be carried forward because:

- There is a positive figure for adjusted profits, and
- There is a negative covered tax balance.

In 2052, the group makes an adjusted loss of 30 in the territory. The negative covered tax balance is not added to the covered tax balance for this period because there is an adjusted loss.

In 2053, the group makes an adjusted profit of 20 and has a covered tax balance of 5. The covered tax balance carried forward from 2051 is to be added to the covered tax balance in the 2053 period because there is not an adjusted loss.

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The carried-forward covered tax balance of –10 is added to arrive at a covered tax balance of –5. This amount will be carried forward again because amounts carried forward from a previous period as a result of this provision are to be added before the conditions are assessed.

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27010 Special loss deferred tax asset election

A group may elect that, for a territory, all of the standard members of the group will not calculate a total deferred tax adjustment amount. Instead, a special loss deferred tax asset is to be created where those standard members make an aggregated net adjusted loss in the effective tax rate calculation for the period (See step 2 of MTT20100). This asset is carried forward and utilised in subsequent periods in which there is a profit in the territory. For instance, where there is no tax regime in a territory, a group may elect for this treatment in order to determine a deferred tax asset for any losses in the territory.

This is set out in sections 187 and 188 of Finance (No.2) Act 2023.

Nature of the election

A special loss deferred tax asset election is different to other MTT elections.
It applies in respect of a territory, and:

- It must be made to have effect for the first accounting period in which the Pillar Two rules apply to a standard member of the group in that territory, and
- It cannot be made in any other period. Hence, once revoked, it cannot be made again.
- The election cannot be made in respect of territories with an eligible distribution tax system.
- Once the election has been made, it will continue to apply in subsequent periods until it is revoked.

Effect of the election

Where the election applies, the standard members in the territory will not have a total deferred tax adjustment amount.

A special loss deferred tax asset will be generated for the territory if there was a net adjusted loss in the effective tax rate calculation for the standard members in the territory (See MTT20100).

The value of that loss will be 15% multiplied by the net adjusted loss (expressed as a positive figure).

Utilisation of a special loss deferred tax asset where there is a net adjusted profit

Where, for an accounting period:

- A special loss deferred tax asset election applies to a territory,
- A group has a special loss deferred tax asset for that territory, and
- There is a net adjusted profit in the effective tax rate calculation for the standard members of that territory,

The special loss deferred tax asset is to be used to increase the covered tax balance of those members which made a profit.

The amount of the special loss deferred assets that will be used is the lower of:

- The total amount of the assets available, and
- The result of step 2 in the effective tax rate calculation (i.e. the aggregate adjusted profits) multiplied by 15% (See MTT20100).

Any remainder will continue to be a special loss deferred tax asset and will carry forward for use in subsequent periods in which the election has effect.

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The amount of assets to be used are allocated between the profit-making members in proportion to the adjusted profits of each of those members which made a profit.

Example 1
A group has two members (A Ltd and B Ltd) in Territory Z, which does not impose a corporate income tax. It enters the Pillar 2 regime in the accounting period ending 31 December 2035.

In 2035, A Ltd has an adjusted profit of nil and B Ltd has an adjusted loss of 200. In the effective tax rate (ETR) calculation there is a net adjusted loss of 200, and therefore the ETR is deemed to be 15%.

No deferred tax asset is recognised in the accounts of B Ltd because there is no corporate income tax imposed in Territory Z. Accordingly, B Ltd will have a nil total deferred tax adjustment amount for the accounting period ending 31 December 2035.

The group chooses to make a special loss deferred tax asset election in respect of Territory Z, with effect from the 2035 period.

As a result of the election:

- No deferred tax adjustment amount is recognised for either member in Territory Z, and
- Because there was a net adjusted loss for the standard members in the territory, a special loss deferred tax asset of (15% * 200) = 30 is created.

In 2036, A Ltd has an adjusted profit of 100 and B Ltd has an adjusted profit of 200. Because there is no corporate income tax in the territory, the combined covered tax balance for members A and B is nil.

The effective tax rate for each of members A and B in 2036 will be 0% and, absent the election, there would be a top-up tax due of (300 * 15%) = 45.

As a result of the election:

- A special loss deferred tax asset of 30 exists, and
- Because there was a net adjusted profit for the standard members in the territory, that asset must be utilised.

The asset is to be used to increase the covered tax balances of the standard members.

The amount of the special loss deferred tax asset to be used is 30 being the lesser of:

- The special loss deferred tax asset of 30, and
- The net adjusted profits of 300 multiplied by 15%, giving 45.

The asset is to be split between the members in proportion to their respective adjusted profits. A Ltd made an adjusted profit of 100 and B Ltd made an adjusted profit of 200. Therefore, A Ltd will use (30 * 100 / 300) = 10 of the asset and B Ltd will use (30 * 200 / 300) = 20 of the asset. Their respective covered tax balances will be increased by these amounts.

A top-up amount would arise in this case because after the full utilisation of all available special loss deferred tax assets, the ETR remains below 15%.

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27100 Total deferred tax adjustment amount

To determine its MTT liability, a group must calculate the effective tax rate (ETR) for members in each territory in which it operates (see MTT20100). The covered tax balance consists of the qualifying current tax expense accrued by the member after certain adjustments have been made (see MTT25000). One such adjustment is the addition of the total deferred tax adjustment amount.

The total deferred tax adjustment amount consists of:

- The deferred tax expense accrued in the member's underlying profits which relates to covered taxes (the 'deferred tax expense'), and
- Adjustments made to this figure.

This is set out in section 182(1) to (7) of Finance (No.2) Act 2023.

The deferred tax expense

The deferred tax expense is the deferred tax expense accrued in determining the member's underlying profits. This is the net movement in the deferred tax assets and liabilities during the accounting period. Only the amount of deferred tax expense accrued which relates to covered taxes should be included for MTT purposes.

The underlying profits of a member are, normally, its profits as determined for the purpose of preparing the group's consolidated financial statements.

See MTT21010 for further guidance on determining the underlying profits.

Amounts to be excluded from the deferred tax expense

The following items are excluded from the deferred tax expense:

- Any amount that relates to an amount not reflected in the member's adjusted profits (see MTT27110).
- Any amount that reflects disallowed or unclaimed accruals (see MTT27120).
- The impact of any valuation or accounting recognition adjustment in respect of a deferred tax asset (see MTT27130).
- Any amount of the deferred tax expense arising from a re-measurement due to a change in the tax rate (see MTT27140).
- Any amount of the deferred tax expense that reflects the generation or use of tax credits (see MTT27150).

Domestic Top-up Tax

For the purposes of Domestic Top-up Tax only, there is no need to exclude amounts of deferred tax expense that reflects the generation or use of a qualifying refundable tax credit.

See MTT27150 for further guidance on the exclusion of deferred tax expense relating to tax credits.

Reversal of deferred tax liability that was excluded as an unclaimed accrual

An adjustment is to be made to reflect the reversal of a deferred tax liability that was previously excluded in a previous accounting period as the result of an unclaimed accrual election.

See MTT27120 for guidance on unclaimed accruals.

Deferred tax asset not meeting recognition criteria

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An adjustment is to be made to reflect deferred tax assets that are not included in the deferred tax expense as a result of failing to meet the accounting recognition criteria.

See MTT27130 for guidance on adjustments relating to accounting recognition.

Reversal of recaptured deferred tax liabilities
Where a deferred tax liability that has been recaptured subsequently reverses, the liability is to be reflected in the total deferred tax adjustment amount in the period of reversal.

See MTT27400 for guidance on recapture of deferred tax liabilities.

Qualifying foreign tax credits
A qualifying foreign tax credit is to be included in the total deferred tax adjustment amount.

See MTT27160 for guidance on qualifying foreign tax credits.

Deferred tax assets recorded below the minimum rate
A member may choose to revalue deferred tax assets at 15% if:

- they have been recorded in the accounts using a tax rate below 15%, and
- the asset is attributable to a period in which the member had an adjusted loss.

See MTT27170 for guidance on deferred tax assets recorded below the minimum rate.

Deferred tax expense arises in relation to a covered tax exceeding 15%
Where:

- An amount of deferred tax expense is to be included in the total deferred tax adjustment amount after any adjustments have been made, and
- It relates to a covered tax with a rate exceeding 15%,

that amount must be adjusted to reflect the amount that would be recorded if the rate was 15%.

Inclusion of existing assets and liabilities on entry into regime
Special rules apply when determining which deferred tax assets and liabilities to take into account in the deferred tax expense, in the first accounting period for which Pillar 2 rules apply.

See MTT27300 for guidance on the deferred tax expense on entry into the regime.

Special loss deferred tax assets
A group may elect that for a territory, all the standard members of the group will not have to calculate a total deferred tax adjustment amount. Instead, a special loss deferred tax asset is created when the standard members have made an aggregated net adjusted loss in the effective tax rate calculation for the period.

See MTT27010 for guidance on special loss deferred tax assets.

Remeasurement after change in tax rate
Where an amount of deferred tax expense arises from a change to the tax rate, that amount must be excluded when determining the total deferred tax adjustment amount.

See MTT27140 for guidance on remeasurement after a change in the tax rate.

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27110 Deferred tax - Alignment with adjusted profits

Where an amount of the deferred tax expense reflects an item that is not reflected in the member's adjusted profits, it must be excluded when calculating the total deferred tax adjustment amount. This is to align the covered taxes with the adjusted profits when determining the effective tax rate.

See MTT21000 for guidance on determining the adjusted profits.

For example, where a territory taxes excluded equity gains upon disposal, but permits a tax deferral if the gain is "rolled-over" (for example, under business asset rollover relief under sections 152-162 Taxation of Chargeable Gains Act 1992), a deferred tax liability may be recognised. This liability must be excluded when determining the total deferred tax adjustment amount, because it arose in respect of an excluded equity gain, and that gain is excluded from the member's adjusted profits.

This is set out in section 182(2)(a) of Finance (No.2) Act 2023.

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27120 Deferred tax - Disallowed accruals and unclaimed accruals

Disallowed accruals and unclaimed accruals are to be excluded when determining the total deferred tax adjustment amount.

These amounts can be speculative, and it is not always clear when or whether these amounts will be paid. This rule is intended to prevent accruals of tax with respect to uncertain tax positions and distributions from a member being included in the covered tax balance until they are actually paid (via current tax expense).

This is set out in section 182(2)(b), (3) and (8) of Finance (No.2) Act 2023.

Disallowed accruals

A disallowed accrual is a movement in the deferred tax expense reflected in the member's underlying profits, which relates to either:

- An uncertain tax position, or
- A distribution from another member of the group.

The amounts relating to such movements are to be excluded when determining the total deferred tax adjustment amount.

When a current tax expense is subsequently recorded (for example, where the outcome of an uncertain tax position is that an amount of tax does become payable), the reversal of a deferred tax liability relating to that uncertain tax position will also be disregarded. The current tax expense will then be reflected in the covered tax balance (unless it is otherwise excluded).

Unclaimed accruals

An unclaimed accrual is an increase in a deferred tax liability that is reflected in the underlying profits which:

- Is not expected to reverse within the five following accounting periods, and
- By election, is not to be included in the total deferred tax adjustment amount.

This election allows a group to avoid having to monitor the liability or retrospectively perform recalculations when the liability has not reversed within the five-year period (see MTT27400). This election is made on an annual basis. See MTT52200 for guidance on making elections.

Reversal of deferred tax liability that had been treated as an unclaimed accrual

The relevant deferred tax expense is to be increased in an accounting period if:

- A deferred tax liability is reversed in that period, and
- That deferred tax liability was treated as an unclaimed accrual in a previous period.

The amount of the increase is the amount of the deferred tax liability that has reversed.

Consequently, unclaimed accruals are recognised in the covered tax balance when the tax is paid via current tax expense. The above adjustment ensures that any reversal of the deferred tax liability of the unclaimed accrual in the accounts does not offset the increase in covered tax balance recognised in current tax expense when the tax has been paid.

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27130 Deferred tax – Valuation adjustments and accounting recognition adjustments

In some cases, a deferred tax asset will be recognised in the accounts, but a valuation adjustment (liability) will be recorded against the asset to limit its value. In other cases, a deferred tax asset will not be recognised in the accounts because of a failure to meet the criteria for recognition. Both a valuation and recognition adjustment is applied in the accounts to the extent that the deferred tax asset is not forecast to be usable in the future. The terminology for such adjustments may vary in different accounting standards.

In subsequent periods, a further valuation adjustment or accounting recognition adjustment might be made in the accounts, which could result in the deferred tax asset being recognised, or recognised at a different value.

All such adjustments are to be excluded when determining the total deferred tax adjustment amount.

Because the generation of deferred tax assets reduces the covered taxes balance, it is necessary to ensure that a deferred tax asset relating to a domestic tax loss is recorded in the same year as the loss for MTT purposes. The above rule ensures that the deferred tax asset is recorded for MTT purposes in the same year as the economic loss which gave rise to such asset. Because valuation allowances and accounting recognition adjustments are disregarded under MTT rules, a deferred tax asset will be recorded in respect of a domestic tax loss regardless of whether there is a forecast of probable future use of the asset.

This is set out in section 182(2)(c) and (4) of Finance (No.2) Act 2023.

Deferred tax asset fails to meet accounting recognition criteria

Where a deferred tax asset relating to the carry forward of unused tax losses is not recognised in the accounts because the accounting recognition criteria are not met, the deferred tax asset is to be reflected in the total deferred tax adjustment amount.

For example, a tax loss that can be carried forward may not be recognised (in full in or in part) as a deferred tax asset for accounting purposes, due to uncertainty about whether there will be future profits against which to utilise the loss. For MTT purposes, the tax loss will nevertheless be reflected in the total deferred tax adjustment amount as a deemed deferred tax asset in the period when the loss arises.

Accounting recognition or revaluation in subsequent period

In some cases, amounts which were not originally recognised as a deferred tax asset may be recognised in a subsequent period, as the result of an accounting recognition adjustment. For example, a tax loss may not be recognised as a deferred tax asset because there is no expectation of future profits against which to utilise that loss. In a subsequent period, there may be a new expectation of future profits. The deferred tax asset could then be recognised in the accounts through a recognition adjustment.

Similarly, a valuation allowance (liability) may be recorded against a deferred tax asset that has been recognised, which offsets the recorded value of that deferred tax asset to the extent the loss is forecast to not be usable. If the financial forecast changes and it becomes probable that taxable profit will arise in the current or future period, the offsetting liability is reversed in the period in which the forecast changes.

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In these cases, the impact of the adjustment on the deferred tax asset is to be excluded when calculating the total deferred tax adjustment amount.

Utilisation of deferred tax asset that had been subject to a valuation or accounting recognition adjustment

Where the tax loss is utilised in a subsequent period, there will be a corresponding impact on the deferred tax expense in the accounts to reflect the utilisation of the deferred tax asset. On utilisation, the amount of the deferred tax asset that has reversed in the accounts should be reflected in the total deferred tax adjustment amount (this reversal is not ignored for MTT purposes).

Example

In Year 1, A Ltd incurs a tax loss of 100 in its business operations. The tax rate in the territory is 15%. A Ltd is uncertain whether there will be sufficient future profits from its business operations against which to utilise a deferred tax asset. Because of this, no deferred tax asset is recognised in the financial accounts.

When determining the total deferred tax adjustment amount, a deemed deferred tax asset for the loss is recognised for MTT purposes. Consequently, the covered tax balance for Year 1 includes the deemed deferred tax asset of (100 * 15%) = 15.

In Year 2, A Ltd determines that there will be future profits in its business operations. It recognises a deferred tax asset of 15 in its financial accounts by an accounting recognition adjustment. This adjustment is excluded for MTT purposes when determining the total deferred tax adjustment amount for Year 2. This is because it has already been recognised for MTT purposes in Year 1.

In Year 3, A Ltd makes a profit from its business operations against which it utilises the deferred tax asset recognised in its financial accounts. The utilisation of 15 will be reflected in the deferred tax expense and also recognised in the total deferred tax adjustment amount. No adjustment is required for MTT purposes.

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27140 Deferred tax - Re-measurement after change in tax rate

Where an amount of deferred tax expense arises from a change to the tax rate, that amount must be excluded when determining the total deferred tax adjustment amount. This is because the amounts accrued in this respect are simply changes to amounts already accrued in a previous year and should not be taken into account in the covered taxes balance for the current year (does not relate to current year adjusted profits).

Only the re-measurement of the amount of deferred tax expense is excluded. When the deferred tax asset or liability that has been remeasured reverses in a subsequent year, no further adjustment is required when calculating the total deferred tax adjustment amount in that year, that is, the tax rate prevailing for the period when the reversal takes place applies.

This is set out in section 182(2)(d) of Finance (No.2) Act 2023.

Example

In 2035, Z Ltd incurs a tax loss of 100. The tax rate is 10% so this is recognised as a deferred tax asset of 10. For the purposes of this example, Z Ltd has chosen not to apply s186.

In 2036, Z Ltd makes neither a profit nor a loss, and the tax rate increases to 15%. In Z Ltd's accounts the deferred tax asset in respect of the loss carried forward from 2035 is increased to 15. The increase of 5 to the deferred tax asset (and credit of 5 to deferred tax expense) is excluded from the total deferred tax adjustment amount for the 2036 period and so is not taken into account in calculating the covered tax balance and effective tax rate in 2036. Absent this exclusion, the covered taxes balance in 2036 would be lower by 5, causing the ETR to also reduce.

In 2037 (when the tax rate is still 15%), Z Ltd makes a profit of 100 and the carried forward tax loss is utilised in full so there is no actual tax payable and thus no current tax expense. This deferred tax asset of 15 is utilised and the accounts will show a deferred tax expense of 15. For MTT purposes, the 15 is reflected in the total deferred tax adjustment in 2037. The covered taxes balance for the year is 15 (made up of current tax expense of 0 and deferred tax expense of 15).

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27150 Deferred tax – Amounts relating to tax credits

A tax credit is an amount which can be directly credited against an amount of tax which would otherwise be payable. This is in contrast to a tax loss, deduction, or allowances, which can only be set against taxable income.

A deferred tax asset may be recognised in the accounts in a period where:

- A tax credit is available,
- It cannot be fully utilised, and
- The unused part of that tax credit can be carried forward.

In the accounts, under IFRS, a deferred tax asset will only be recognised if it is probable that there will be future taxable profits against which the tax credits can be utilised.

Any amount of deferred tax expense relating to such a deferred tax asset is to be excluded when calculating the total deferred tax adjustment amount. It is to be excluded both when the deferred tax asset is created and when it reverses. This results in the same outcome as if the deferred tax asset for the tax credit was not recorded at all. Because deferred tax assets from the generation and use of tax credits are excluded from the total deferred tax adjustment amount and will not reduce the covered taxes balance (when created), the generation of tax credits should not give rise to a top-up tax under section 203.

This is set out in section 182(2)(e) of Finance (No.2) Act 2023.

Foreign tax credits

This exclusion applies to all tax credits, including foreign tax credits, which are granted by one territory in respect of a tax imposed by another territory. Additional rules apply to certain foreign tax credits.

See MTT27160 for guidance on qualifying foreign tax credits.

Qualifying refundable tax credits

The exclusion applies to all tax credits, including qualifying refundable tax credits. See MTT21410 for guidance on the additional rules which apply to qualifying refundable tax credits.

However, see below for the difference in treatment for Domestic Top-up Tax purposes.

Domestic Top-up Tax

For the purposes of Domestic Top-up Tax, the exclusion will not apply to qualifying refundable tax credits. No adjustment needs to be made to exclude an amount of deferred tax expense relating to a qualifying refundable tax credit.

Example

J Ltd is tax resident in a territory with a 30% tax rate. In 20X1, J Ltd invests 2m in qualifying expenditure which generates a tax credit of 1m. The tax credit is subject to a limitation under which the maximum amount of credit which may be used in any period is limited to 0.5m, with any balance to be carried forward.

In 20X1, profits of 5m are earned resulting in a potential pre-tax credit tax liability of (30% * 5m) = 1.5m. The actual tax liability is 1m after the set-off of the maximum 0.5m per annum tax credit. A

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deferred tax asset of 0.5m arises in respect of the amount of carried-forward tax credit. This produces a deferred tax credit of 0.5m.

This deferred tax credit is excluded when determining the total deferred tax adjustment amount, so the covered tax balance for 20X1 will reflect the full 1m of current tax expense.
If there were no exclusion, the covered tax balance would be 0.5m (1m current tax less 0.5m deferred tax credit).

In 20X2, profits of 2m are earned resulting in a potential pre-tax credit tax liability of 0.6m. The actual tax payment is 0.1m after being offset by the 0.5m carried-forward tax credit. The reversal of the deferred tax asset produces a deferred expense of 0.5m in the 20X2 accounts.

This deferred tax expense is excluded when determining the total deferred tax adjustment amount, so the covered tax balance for year is limited to the 0.1m of current tax expense.

If there were no exclusion, the deferred tax expense would be taken into account in 20X2 and would result in a covered tax balance of 0.6m (0.1m current tax + 0.5m deferred tax expense).

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27160 Deferred tax - Qualifying foreign tax credits

The recognition and reversal of deferred tax assets arising from the generation or use of tax credits are generally excluded from the computation of a member's total deferred tax adjustment amount. However, there is an exception for qualifying foreign tax credits (also referred to in the legislation as a 'substitute loss carry forward').

Some territories' tax laws have Controlled Foreign Company ("CFC") regimes that require domestic losses to be offset against the income arising under the CFC regime. Where the CFC income has been subject to foreign tax, this may result in surplus foreign tax credits that the territory's tax law may allow to be carried forward.

Usually, territories limit the use of foreign tax credits so they can be offset against domestic tax on foreign income. However, some territories may operate 'loss recapture' rules under which, where a domestic loss has been offset against CFC income in an earlier period, in a later period foreign tax credits may be offset against domestic income. This is an exception to the usual rules.

The qualifying foreign tax credit rule in section 183 is intended to cater for cases where such loss recapture rules are operated.

The rationale for the exception is to recognise the deferred tax asset that would have arisen if the domestic loss had been carried forward, instead of being offset against the foreign income arising under the CFC regime. This exception allows for the same outcome whether a territory permits a loss carry-forward or foreign tax credit carry-forward (or equivalent mechanism) when there is a domestic source loss and foreign source income in the same year.

This is set out in section 183 of Finance (No.2) Act 2023.

Conditions for qualifying foreign tax credits

A foreign tax credit is qualifying if:

- The member with the foreign tax credit must be required, under the legislation of its territory, to first offset domestic losses against relevant foreign income before foreign tax credits can be utilised against tax on foreign income,
- The member must actually offset a domestic loss against relevant foreign income,
- To the extent that domestic losses have been offset against relevant foreign income in a previous period, the member with the foreign tax credit must be permitted under its domestic legislation to utilise foreign tax credits against domestic profits, and
- The foreign tax credit must be in respect of tax imposed by a territory other than the member's territory on the relevant foreign income.

Amount included in the total deferred tax adjustment amount (substitute loss carry forward asset)

The amount to be included in the total deferred tax adjustment amount is restricted to the lesser of:

- The foreign tax paid, and
- The amount of the domestic loss used to offset the relevant foreign income, multiplied by the tax rate in the territory in which the member is located.

Section 182(7) (adjustment where rate of tax exceeds 15%) applies to a qualifying foreign tax credit included in the member's total deferred tax adjustment amount.

Relevant foreign income

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The “relevant foreign income” of a member is the income of a CFC of that member on which the member is taxed as a result of a CFC regime.

The example below illustrates the operation of section 183. Company X (“Xco”) is resident in country X which has a 15% tax rate. In year 1, Xco has a domestic loss of 1,000. Xco also holds a 100% interest in company Y (“Yco”). Yco is resident in country Y and is treated as a CFC under country’s X tax law. The tax rate in country Y is 10%.

Under country X’s CFC rules, Xco is subject to tax on 500 of income which accrued to Yco and is subject to country Y’s tax of 10%.

Under country X’s tax law, this 500 of CFC income is treated as ‘foreign income’. Country X operates a system under which foreign tax is creditable and the country Y tax which is paid by Yco gives rise to a Foreign Tax Credit (“FTC”) for Xco. Under the law of country X, Xco must offset domestic losses against the foreign income before FTCs can be utilised. Accordingly, 500 of Xco’s domestic loss is offset against the 500 of foreign income arising under the CFC rules of country X.

Accordingly, Xco has a carried forward loss of 500, for which Xco recognises a deferred tax asset of 75 (500 x 15%) in its accounts. The offset of 500 of the 1000 domestic loss against the foreign profit means that Xco is not liable to tax in year 1 and so is not able to utilise any of the FTC of 50 (500 x 10%) in respect of the country Y tax on the 500 foreign income arising under the CFC rules of country X. However, country X permits the unutilised FTC to be carried forward and offset against future domestic income. Within Xco’s accounts, the unutilised FTC of 50 is recognised as a deferred tax asset.

In year 2, Xco has domestic profit of 1000 and no foreign income. After the offset of the 500 carried forward domestic loss from year 1, Xco has taxable profits in year 2 of 500 resulting in a country X tax liability of 75 (500 x 15%). Xco also has a brought forward FTC of 50 from year 1 which it then utilises against this tax liability resulting in a tax liability of 25 in year 2.

The table below summarises the impact of section 183 on covered taxes for Xco. Section 203 does not apply in this example.

Country X	**Year 1**	**Year 2**	**Explanation**
Taxable profit/ (loss)	(500)	500	In Y1, foreign income of 500 is offset against domestic loss of 1000. In Y2, 500 c/f domestic loss partially offsets domestic income of 1000.
Financial accounts			
Current tax expense	0	25	In Y2 500 taxable profit at 15% tax rate, offset by FTC of 50 (75-50=25)
Deferred tax expense: Domestic loss FTC	 (75) (50)	 75 50	 c/f domestic loss of 500 at 15% c/f FTC of 500 at 10%
Tax expense in P/L	(125)	150	Current tax expense plus deferred tax expense
Without S183			
Covered taxes	(75)	100	FTCs excluded from total deferred tax adjustment amount
Adjusted profits	(1000)	1000	Only Xco’s income

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ETR	-	10%	Covered taxes / adjusted profits
Top up tax due	0	50	In Y2, top-up tax would be due as FTCs are excluded from deferred tax adjustment amount.
S183 Impact			
Substitute loss carry forward asset	(50)	50	Lower of: Foreign tax paid of 50 (500 x 10%) Domestic loss used to offset foreign income 75 (500 x 15%)
Covered taxes	(125)	150	In Y1, the substitute loss carry forward asset results in a credit to covered taxes of 50.
Adjusted profits	(1000)	1000	
ETR	-	15%	
Top up tax due	0	0	No top up tax due as a result of special loss carry forward asset being recognised.

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27165 Deferred tax - Qualifying foreign tax credits where carry forward of credits not permitted

The tax laws of some territories require domestic losses to be offset against income arising under CFC regimes, but do not permit the carry forward of the resulting surplus foreign tax credits, where the CFC income was also subject to foreign tax. The surplus foreign tax credits which arise in such a case will be wasted. However, these territories may operate alternative loss recapture rules intended to produce a comparable result to regimes that are within the scope of section 183 Finance (No.2) Act 2023.

Where such alternative loss recapture rules apply, Finance Act 2024 section 183A provides for the creation of a deferred tax asset (a "special foreign tax asset") in the period in which the domestic loss is offset against the CFC income. The member can use this asset to increase its covered tax balance in subsequent periods.

The special foreign tax asset will be used in a subsequent period when there is a crediting of foreign tax credits that is only permitted because, in an earlier period, the domestic loss was offset against the CFC income. In that subsequent period, the member's covered tax balance is increased by the amount of the special foreign tax which has been used.

An example of an alternative loss recapture mechanism would be where excess foreign tax credits arising in a subsequent year can be used to offset a domestic tax liability on domestic source income that has been re-sourced as foreign source. As long as this loss recapture mechanism doesn't provide a more generous outcome than if the loss carry forward had been generated, an adjustment to covered taxes can be made under section 183A.

Conditions

A special foreign tax asset will arise in a period where the following conditions are met:

- The territory in which a member is located requires that domestic losses are offset against relevant foreign income before foreign tax credits can be applied against tax on foreign income,
- The territory limits the extent to which foreign tax credits can be applied against tax in a taxable period,
- The territory allows foreign tax credits to be used to a greater extent where a domestic loss has been used to offset (in whole or in part) relevant foreign income in a prior period, and
- The member has used a domestic loss (in whole or in part) to offset relevant foreign income.

Relevant foreign income

The "relevant foreign income" of a member is the income of a CFC of that member on which the member is taxed as a result of a CFC regime.

Amount of special foreign tax asset

The amount of the special foreign tax asset is the amount of the domestic loss used to offset relevant foreign income, multiplied by the lesser of:

- The nominal rate of tax in the member's territory for the taxable period in which it was used, and
- 15%.

Amount of special foreign tax asset used

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Where a member has a special foreign tax asset from a previous period, that asset will be used to increase its covered tax balance in a subsequent period. The amount so used is the lesser of:

- The remaining amount of the asset, and
- So much of the amount of the foreign tax credits which are credited in the subsequent period only as a result of the use of the domestic loss in the earlier period against the CFC income.

Example
Company X ("Xco") is resident in country X which has a 15% tax rate. In year 1, Xco has a domestic loss of 1,000. Xco also holds a 100% interest in company Y ("Yco"). Yco is resident in country Y and is treated as a CFC under country's X tax law. The tax rate in country Y is 30%. Assume that Xco is the only member of the multinational group which is located in country X.

Under the CFC rules of country X, Xco is subject to tax on 1,000 of income which accrued to Yco. Yco is also subject to tax on this 1000 of income at the country Y tax rate of 30%. Under country X's tax law this 1,000 of CFC income is treated as 'foreign income' and the country Y tax which is paid by Yco gives rise to a foreign tax credit ("FTC") for Xco. Under the tax law of country X, Xco must offset domestic losses against the foreign income before FTCs can be utilised. Accordingly, Xco's domestic loss is offset against the 1000 of foreign income arising under the country X CFC rules. The offset of the domestic loss of 1000 against the foreign income means that Xco is not liable to tax in year 1 and so is not able to utilise any of the FTC of 300 (1,000 x 30%) in respect of the country Y tax on the foreign income. The 1,000 of CFC income which accrues to Xco is not included in Xco's adjusted profits. The covered tax balance for year 1 before the special loss deferred tax asset is created is 0 because no tax is paid on Xco's adjusted loss of 1,000. Xco's utilisation of the domestic loss against the CFC income means it has no loss to carry forward to a future period.

Country X does not permit the unutilised FTC of 300 to be carried forward. However, although the usual rule in country X is that foreign tax credits can only be offset against domestic tax on foreign income, where there has been an offset of a domestic loss against CFC income in an earlier period country X allows the foreign tax credits to be used to a greater extent. Accordingly, under section 183A a special foreign tax asset can be recognised in Xco in year 1 of 150 (being the domestic loss that has been used (1000) multiplied by country X's tax rate of 15%).

In year 2, Xco has a domestic profit of 1,000 and foreign income of 1,000 which is subject to tax in country Y at 30% resulting in 300 of foreign tax being paid. Under country X's tax law, Xco has total taxable income of 2,000 resulting in a country X tax liability of 300. The usual rule in country X is that only 150 of the foreign tax of 300 would be creditable because only 150 of domestic tax is chargeable on the 1,000 of foreign income. However, because there has been an offset of a domestic loss against CFC income in year 1, the tax law in country X recharacterises the 1000 of domestic income as foreign income, and so permits the entire 300 of year 2 foreign tax to be credited. After this credit there is no tax payable in country X. In the absence of section 183A, Xco's covered tax balance for year 2 would be 0 whilst Xco's adjusted profits would be 1,000. This would result in an effective tax rate of 0% and a top-up tax liability of 150 (1,000 x 15%). However, since the foreign tax credit has been used to a greater extent on account of the domestic loss offset in year 1, section 183A applies so that the special foreign tax asset must be used. Xco's covered tax balance is increased by 150 (that is the amount of the special foreign tax asset which is used in year 2). The effective tax rate is therefore increased to 15% and no top-up tax is due.

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Example – application of s183A

Country X	**Year 1**	**Year 2**	**Explanation**
Taxable profit / (loss)	0	2,000	In Y1, foreign income of 1,000 is offset against domestic loss of 1,000. In Y2, Xco has domestic profit of 1,000 and foreign income of 1,000.
Financial accounts			
Current tax expense	0	0	In Y1, taxable profit is nil and no tax payable. In Y2, taxable profit of 2,000 at 15% is offset by full Y2 FTC of 300 (1,000 x 30% in country Y), resulting in 0 tax payable.
Deferred tax expense:	0	0	No deferred tax recognised as FTC of 300 in Y1 not usually allowed to be carried forward.
Tax expense in P/L	0	0	Current tax expense plus deferred tax expense
Without S183A			
Covered taxes	0	0	In Y1, no tax is paid on the adjusted loss of 1,000. In Y2, 1,000 of foreign income is subject to tax at 30% in country Y, resulting in foreign tax paid of 300. Per the laws of country X, foreign tax paid can only be credited against domestic tax on foreign income which would be 150 in Y2 (1,000 x 15%). However, because Xco offset foreign income of 1,000 against a domestic loss in Y1, country X allows the domestic income of 1,000 to be recharacterised as foreign income and the full 300 foreign tax paid can be credited. This results in 0 tax payable in Y2.
Adjusted profits	(1,000)	1,000	In Y1, the 1,000 of foreign income is not included in Xco's adjusted profits, so the adjusted loss consists of the 1,000 domestic loss. In Y2, Xco has a domestic profit of 1,000. The foreign income of 1,000 is excluded from the adjusted profits.
ETR	-	0%	Covered taxes / adjusted profit
Top up tax due	0	150	In Y2, top up tax would be due on the 1,000 domestic profit.
S183A Impact			
Special foreign tax asset	(150)	150	In Y1, 1,000 domestic loss is used to offset foreign income at country X's tax rate of 15%. In Y2, the special foreign tax asset is used.
Covered taxes	(150)	150	In Y2, the special foreign tax asset from Y1 is used, which increases covered taxes by 150.
Adjusted profits	(1,000)	1,000	As above
ETR	-	15%	As above
Top up tax due	0	0	No top up tax due as a result of the special foreign tax asset being recognised and used.

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27170 Deferred tax assets recorded below minimum rate

A member may choose to recognise the value of a deferred tax asset related to carried forward tax losses at a tax rate of 15%, where:

- A member calculates the value of a deferred tax asset at a tax rate below 15%, and
- The deferred tax asset is attributable to an accounting period in which the member had an adjusted loss.

The information return will be filled out according to the choice made by the group. This choice is not made in the format of an election.

This rule preserves the basic tenet that an MTT loss should offset the same amount of MTT income. For example, if the tax rate was 5%, a loss of 100 would give rise to a deferred tax asset of 5. When 100 of income was subsequently earned, the deferred tax asset of 5 would reverse and the covered taxes balance would be 5 through the deferred tax adjustment amount. Without this choice, top-up tax of 10 would be due when the 100 income was earned. With the member makes this choice, the deferred tax asset is recast to 15 and no top-up tax would be due. The outcome of the rule is that a loss of 100 shelters 100 of income.

This is set out in sections 182(5) and 186 of Finance (No.2) Act 2023.

Member's tax loss is greater than its adjusted loss

Where the member's tax loss upon which the deferred tax asset in the accounts is calculated exceeds its adjusted loss, only the part of the deferred tax asset that can be attributed to the member's adjusted loss calculated under Chapter 4 can be recalculated to a rate of 15%.

Member's tax loss is smaller than or equal to its adjusted loss

Where the member's tax loss upon which the deferred tax asset in the accounts is calculated is smaller than or equal to its adjusted loss, the entire deferred tax asset may be recalculated to a rate of 15%.

Example 1

X Ltd is resident in Country X which has a 10% tax rate. In year 1, X Ltd has a tax loss of 1,000,000, but has determined it's adjusted loss for the period to be 1,100,000.

X Ltd recognises a deferred tax asset of 100,000 in its accounts in respect of a carried forward tax loss of 1,000,000 (1,000,000 x 10%).

X Ltd's tax loss upon which the deferred tax asset is calculated is less than its adjusted loss, and therefore X Ltd can choose for the entire deferred tax asset to be recalculated at a rate of 15% for the purposes of its MTT calculations.

Therefore the total deferred tax asset for the purposes of X Ltd's MTT calculation is 150,000 (being 1,000,000 x 15%) if it chooses to recalculate the deferred tax asset.

As the full 1,000,000 loss is attributable to MTT adjusted loss, the full amount can be recast to shelter future MTT income of 1,000,000.

Example 2

Y Ltd is resident in Country Y which has a 10% tax rate. In year 1, Y Ltd has a tax loss of 1,000,000, but has calculated it's adjusted loss for the period to be 900,000.

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Y Ltd recognises a deferred tax asset of 100,000 in its accounts in respect of a carried forward tax loss of 1,000,000 (1,000,000 x 10%).

The tax loss upon which the deferred tax asset is calculated is greater than its adjusted loss, and therefore Y Ltd can only choose for part of the deferred tax asset to be recalculated at a rate of 15% for the purposes of its MTT calculations.

The difference between Y Ltd's tax loss and Y Ltd's adjusted loss is 100,000 and therefore only 900,000 (being 1,000,000 less 100,000) can be recast at a rate of 15%. The remaining 100,000 is not recast, but remains at 10%. Therefore, the total deferred tax asset for the purposes of Y Ltd's MTT calculation is 145,000 (being 900,000 x 15% plus 100,000 x 10%) if it chooses to recalculate the deferred tax asset.

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27300 Treatment of deferred tax asset and liabilities on entry into regime

In the first period in which the MTT rules apply to a member, its deferred tax expense will include the deferred tax assets and liabilities that are reflected in its underlying profits accounts at the beginning of that period. This effectively allows the group to include existing deferred tax assets and liabilities when calculating the covered tax balance to prevent distortions in the calculation of the effective tax rate upon entry into MTT. The simplified approach in the first period is designed to prevent a group having to undertake complex calculations as if the member had been subject to MTT rules in prior years.

The adjustments set out at MTT27100 do not apply.

Instead, the following adjustments are made, in accordance with section 185 of Finance (No.2) Act 2023.

Valuation of deferred tax assets and liabilities

A deferred tax asset or liability is to be taken into account in the deferred tax expense:

- At 15%, if the nominal tax rate to which it relates is 15% or above, or
- At the nominal tax rate, if that rate is below 15%.

The impact of any valuation adjustment or accounting recognition adjustment in respect of a deferred tax asset is ignored. Deferred tax assets which are not recognised (or not fully recognised) in the accounts due to such adjustments are recognised in full for MTT purposes.

The nominal tax rate is the tax rate in the territory in which the member is located which has been used to calculate the deferred tax expense accrued in the underlying profits accounts.

Valuation of deferred tax assets which relate to a loss

An exception to the ordinary valuation rule above applies if:

- A deferred tax asset is calculated based on a nominal tax rate below 15%;
- The asset arose as the result of a loss; and
- The member can demonstrate that the loss would have been taken into account when determining the adjusted profits, had the adjusted profits been determined for that period.

In this case, the asset will be calculated based on a rate of 15%.

This ensures that, where a loss is made prior to entry into the regime, and that loss is relieved against profits made after entry into the regime, top-up tax does not arise as a result of a valuation below 15%. This is a comparable outcome to that which would arise if the loss were made after entry into the regime.

Deferred tax assets which relate to a tax credit arising prior to the transition year

In the year of transition to MTT, and subsequent years, the reversal of pre-regime deferred tax assets relating to tax credits are taken into account in computing deferred tax expense. Since the deferred tax amount arose in a pre-GloBE year, the creation of the deferred tax asset will not have an impact on the GloBE calculations. The exclusion at s182(2)(e) does not apply to deferred tax assets relating to tax credits arising prior to the transition year.

The amount of deferred tax expense on reversal recorded for MTT purposes will be calculated as follows:

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- Using the formula: deferred expense in the accounts in respect of that deferred tax asset divided by the nominal tax rate, multiplied by 15%; or
- Using the tax rate applied in the financial accounts (if below 15%).

For example, if you assume that in a pre-Pillar Two period a member of a group incurs an expense of 100 which generates a tax credit of 40, 15 of which is used in the period, resulting in tax credit of 25 being carried forward and the recognition of deferred tax asset of 25. When the group enters the Pillar Two rules, the carried forward tax credit is unused so there is a deferred tax asset of 25 upon entry into the regime. Subsequently the member generates profits of 100 which are subject to tax at nominal rate of 25% utilising the tax credit in full (and reversing the deferred tax asset in full) and resulting in a deferred tax expense of 25 in the underlying profits accounts. Accordingly, under section 185(5), the deferred tax expense that is reflected in the total deferred tax adjustment amount (and also in determining the covered tax balance) for the accounting period in which the reversal occurs is 15 (being the actual deferred expense of 25/0.25 x 15%). Put another way, section 185(5) requires the actual deferred tax expense arising on use of the tax credit to be grossed-up at the nominal tax rate applying when the deferred tax asset relating to the tax credit reverses, and then multiplying it by 15%.

Exclusion of certain deferred tax assets arising after 30 November 2021

A deferred tax asset is to be excluded from the deferred tax expense if:

- It arose as a result of transactions after 30 November 2021 but before the commencement of the first accounting period for which the Pillar Two rules apply to the member; and
- It relates to an item which produces a mismatch between the member's taxable
- income and its adjusted profits (had those been determined for MTT purposes).

Such a mismatch will arise where the item is included in the member's taxable income but not in the adjusted profits, or the item is included in the adjusted profits but not in taxable income.
For example, a 'super-deduction' granted on an expense would be reflected in a member's taxable income but would not be reflected in the adjusted profits for MTT purposes. If the 'super-deduction' resulted in a tax loss, the consequent deferred tax asset would be excluded.

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27400 Recapture of deferred tax liabilities

Where a member has included a deferred tax liability (other than an excluded liability) within its total deferred tax adjustment amount for an accounting period (the "initial period"), the liability will be recaptured if it has not reversed by the end of the fifth accounting period following the initial period.

A deferred tax liability is the amount of income tax payable in future periods in respect of temporary differences between accounting and taxable profits. The deferred tax liability will reverse in a future period when the carrying amount of the asset or liability is recovered or settled.

Where a deferred tax liability has not fully reversed within the five-year period, the element that has not reversed is the "recaptured deferred tax liability".

The covered tax balance for the initial period must be recalculated to exclude the recaptured deferred tax liability. Additionally, the effective tax rate of the relevant territory and the top-up amount of the members located in that territory must be recalculated for the initial period.

The recalculations must be in accordance with section 206 of F(No.2)A 2023.

This is set out in sections 182(6) and 184 of Finance (No.2) Act 2023.

Recaptured deferred tax liability reverses after the fifth accounting period

Where a recaptured deferred tax liability reverses in an accounting period after the fifth accounting period, the deferred tax liability shall be included within the total deferred tax adjustment amount for the member in the period in which the reversal occurs.

When a deferred tax liability reverses, there is a credit to deferred tax expense reducing tax expense in the accounts. For deferred tax liabilities that reverse after the fifth accounting period, an adjustment is made to the deferred tax adjustment amount to remove this credit and therefore increase the tax expense. This effectively offsets the decrease, so the overall impact is nil. The reason for this is because the deferred tax liability that was recaptured has been excluded from the deferred tax adjustment amount and so any subsequent reversals should also be excluded.
See MTT27100 for guidance on the total deferred tax adjustment amount.

Example

Deferred tax liabilities that do not reverse out within 5 years are recaptured.

A deferred tax liability (DTL) of 100 is recognised within the accounts of a member in Year 0. In year 3, 60 of the deferred tax liability unwinds in the member's statutory accounts. The remaining 40 only reverses in the member's statutory accounts in Y7 and therefore 40 of the deferred tax liability has not been reversed within 5 years and must be recaptured. In the Y5 Globe return, the covered taxes balance for Y0 is recalculated to exclude the 40 deferred tax liability which is recaptured.

The table below shows how the deferred tax liability is reflected in the accounts and the effect of S184/182(6) on the deferred tax adjustment amount.

Year	Deferred tax liability per accounts	Total deferred tax adjustment amount pre-	S184/s182(6) adjustment	Final total deferred tax adjustment amount (TDTAA)	Explanation

		s184/s182(6) adjustments			
Year 0 – Initial period	100	100	(40)	60	Globe Return Y0: Member includes a DTL of 100 within its total deferred tax adjustment amount in year 0. Globe Return Y5: In year 5, 40 is recaptured and the year 0 TDTAA is recalculated as 100-40=60.
Year 1	0			0	No reversal
Year 2	0			0	No reversal
Year 3	(60)	(60)		(60)	Globe Return Y3: 60% of the DTL reverses in the member's accounts and there is a credit to TDTAA of (60).
Year 4	0			0	No reversal
Year 5	0			0	Globe Return Y5: In year 5 the 40 of DTL not yet reversed in the accounts is recaptured for MTT purposes and the TDTAA is recalculated for year 0. The TDTAA for year 5 is unaffected.
Year 6	0			0	No reversal
Year 7	(40)	(40)	40	0	Globe Return Y7: The reversal of 40 in the accounts is ignored for MTT purposes as it has already been recaptured in year 5 (and year 0's TDTAA recalculated).

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30000 Calculating top-up amounts

The MTT charge represents a top-up of tax where the effective tax rate in a territory is below 15%. The amount to be charged is called a top-up amount.

To determine a top-up amount, the effective tax rate of a territory must first be determined (see MTT20000+).

The aggregate net profits for the territory are then determined, and the substance based income exclusion amount (see MTT32000+) and any QDT credit (see MTT31020) is deducted. This provides the total top-up amount for a territory (see MTT31010).

The top-up amount of each individual member in the territory can then be determined (see MTT31000).

When the top-up amount of a member has been determined, the amount is then attributed to the responsible members who are chargeable for the top-up amount of that member, if any. The responsible member will typically be the ultimate parent. See MTT05120 for guidance on attributing top-up amounts to responsible members.

De minimis election

Where the de minimis election applies, the total top-up amount for a territory can be treated as being nil. See MTT30010 for guidance.

Investment entities

Top-up amounts for investment entities are calculated under separate rules, in accordance with section 220 of the Act. See MTT45120 for further guidance.

Minority owned members

The top-up amounts of minority owned members are calculated in the same way as they are for standard members, but they are calculated separately to the top-up amounts for standard members. See MTT41510 for further guidance on minority owned members.

Joint venture groups

The top-up amounts are determined for members of a joint venture group as though it was a separate group. Amounts are then attributed to responsible members as they are with other members of the group.

Domestic Top-up Tax

For DTT, the total top-up amount for the territory is calculated in the same way as it is for a group under MTT, except that, when determining the top-up amount of a standard member that is a qualifying entity, top-up amounts and additional top-up amounts of investment entities in the UK are to be included in the total top-up amount for the territory.

This is because investment entities cannot be qualifying entities for DTT purposes, so top-up amounts are allocated to the standard members. Where there are no standard members in the UK, DTT top-up amounts are not brought into charge.

Recalculation where covered tax amount not paid

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Where an amount in the covered tax balance has not been paid by a member within 3 years, it is necessary to recalculate the effective tax rate and top-up amounts for all members in the same territory as that member. See [MTTxxxxx] for further guidance.

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30100 De minimis election

Under certain circumstances where a group has limited presence in a territory, the group may elect that the total top-up amount for a territory for a period to be treated as nil.

This is generally known as the de minimis election. It is set out in section 199 of Finance (No.2) Act 2023.

Conditions

A group can make a de minimis election for a period if:

- The average revenue of its members in a territory is less than 10 million euros, and
- The average adjusted profits of those members is less than 1 million euros.

If the period is other than 365 days, the averages of the adjusted profits and revenue are adjusted proportionally (365 divided by the number of days in the period).

Average revenue

The average revenue is:

- The aggregate revenue of the members in each qualifying period, divided by
- The number of qualifying periods.

Average adjusted profits

The average adjusted profits is:

- The aggregate adjusted profits of the members for each qualifying accounting period, divided by
- The number of qualifying periods.

Qualifying periods

Normally, there are three qualifying periods:

- The period for which the election is made, and
- The two prior periods.

However, one of those prior periods will not be a qualifying period if, in that period:

- None of the members in the territory had revenue, and
- None of the members made a loss.

This ensures that the figures for average revenue and adjusted profit are not lowered as a result of the group being entirely inactive in a territory in one of the two prior periods.

Stateless members

A member that is not located in any territory for MTT purposes is located in a nominal territory.

A de minimis election cannot be made in respect of such a nominal territory.

Making the election

A de minimis election is an annual election and is made in respect of a territory. See MTT52200 for guidance on making an election.

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31000 Calculating the top-up amount of a member

The top-up amount of a member of a group (other than an investment entity) is determined by the following process.

Step 1: Determine the total top-up amount for the member's territory (see MTT31010). If there is no total top-up amount for that territory, the top-up amount for the member will be nil.

Step 2: Determine the adjusted profits of the member (See MTT20000+). If the member has an adjusted loss or no adjusted profits, its top-up amount will be nil.

Step 3: Determine the adjusted profits for the period of all the other members of the group that are located in same territory as the member in question (See MTT20000+). If there are no other members located in the same territory, the member's top-up amount is equal to the total top-up amount for the territory as determined at Step 1.

Step 4: Add together the adjusted profits of all members of the group in that territory that have profits (including those of the member in question).

Step 5: Divide the member's adjusted profits by the result of Step 4.

Step 6: Multiply the total top-up amount for the territory (the result of Step 1) by the result of Step 5, to arrive at the top-up amount of the member.

This is set out in section 193 of Finance (No.2) Act 2023.

See MTT45120 for guidance on determining the top-up amount of an investment entity.

Example

A group has three members in Territory Z. The total top-up amount for the territory is £7,000.

A Ltd has an adjusted profit of £100,000.

B Ltd has an adjusted loss of £50,000.

C Ltd has an adjusted profit of £25,000.

The top-up tax amount for each member is determined using the 6-step process.

Step 1: The total top-up amount is £7,000.

Steps 2 and 3: The adjusted profits of each member is above. B Ltd has an adjusted loss so its top-up amount will be nil.

Step 4: A Ltd and C Ltd have adjusted profits of £125,000.

Step 5: For A Ltd, adjusted profits of £100,000 are divided by £125,000, giving a ratio of 0.8.
For C Ltd, adjusted profits of £25,000 are divided by £125,000, giving a ratio of 0.2.

Step 6: The total top-up amount for the territory is £7,000.

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For A Ltd, the result of step 5 (0.8) multiplied by this amount is £5,600.

For C Ltd, the result of step 6 (0.2) multiplied by this amount is £1,400.

These are the top-up amounts for A Ltd and C Ltd.

The top-up amount for B Ltd was determined to be nil at step 2 because it did not have adjusted profits.

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31010 Total top-up amount for a territory

The total top-up amount for a territory is determined by the following process, which is set out in section 194 of Finance (No.2) Act 2023.

Step 1: Subtract the effective tax rate for the territory from 15% (see MTT20000+ for guidance on calculating the effective tax rate). If the result is nil or less, the total top-up amount for that territory is nil.

Step 2: Subtract the sum of the losses of those members of the group that made an adjusted loss for the period (see MTT21000+ for guidance on calculating the adjusted profits) from the sum of the profits of those members of the group that made an adjusted profit. The result is the aggregate net profits for the standard members in the territory.

Step 3: Subtract the substance-based income exclusion amount (see MTT32000) from the result of Step 2. If the result is nil or less, the total top-up amount for that territory is nil.

Step 4: Multiply the result of Step 1 (which will be a percentage) by the result of Step 3.
Note that the total top-up amount will be reduced where there is a QDT credit amount (see MTT31015).

Domestic Top-up Tax

For DTT purposes, the top-up amounts of investment entities are to be included in the total top-up amount for a territory when calculating the top-up amount of the standard members. See MTT45210.

Example

A group has two members in Territory A. One had an adjusted profit of £10,000 and the other had an adjusted loss of £2,000. The effective tax rate is determined to be 10% for the period and the substance-based income exclusion amount is £1,000.

There is no QDT credit for the territory.

Step 1: The effective tax rate of 10% is subtracted from 15% to arrive at 5%.

Step 2: The aggregate net profits are (£10,000 - £2,000) = £8,000.

Step 3: Subtract the substance-based income exclusion amount (£8,000 - £1,000) = £7,000.

Step 4: The total top-up amount for Territory A is (5% of £7,000) = £140.

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31020 Top-up amounts - Qualifying domestic minimum top-up tax credit (QDT credit)

A qualifying domestic top-up tax credit (QDT credit) arises for a period where a member accrues an amount of qualifying domestic minimum top-up tax for that period.

The QDT credit will reduce the total top-up amount for the territory (see MTT31010), in accordance with section 194(2)-(7) of Finance (No.2) Act 2023. Any collective additional amount (see [MTTxxxxx]) will also be reduced.

References to the "total top-up amount" on this page are to the total top-up amount as calculated prior to any reduction made in respect of QDT credits. Elsewhere, the term "total top-up amount" will refer to the amount determined after making reductions in respect of QDT credits.

Where the enforceability of an amount of qualifying domestic top-up tax is in question, it will be treated as not accruing.

See MTT15100 for guidance on the meaning of qualifying domestic minimum top-up tax.

Members do not have collective additional amount under section 206

Where:

- The members in the territory do not have a collective additional amount (see MTT33020), and
- The total top-up amount for the territory is greater than the sum of QDT credits for those members,

the total top-up amount is to be reduced by the sum of QDT credits for those members.

Where:

- The members in the territory do not have a collective additional amount, and
- The total top-up amount is less than the sum of QDT credits for those members,

the total top-up amount is to be reduced to nil. Excess credits cannot be used elsewhere.

Members have collective additional amount under section 206

Where:

- The members in the territory have a collective additional amount, and
- The sum of the total top-up amount and that collective additional amount is less than the sum of QDT credits for those members,

The total top-up amount and the collective additional top-up amount are both reduced to nil. Excess credits cannot be used elsewhere.

Where:

- The members in the territory have a collective additional amount, and
- The sum of the total top-up amount and that collective additional amount is equal to or greater than the sum of QDT credits for those members,

the total top-up amount is to be reduced by the amount given by the following formula:

- The sum of those QDT credits, multiplied by
- The total top-up amount, divided by
- The sum of the total top-up amount and the collective additional amount.

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The collective additional top-up amount will be reduced by the remainder of the QDT credit.

Example
A1 Group is a multinational group with members located in Territory A. For the 2025 period, the top-up tax for Territory A is £40 million. In the same period, the members in Territory A were charged a qualifying domestic top-up tax of £40 million, the enforceability of which is not in question. As a result, the members in Territory A have total QDT credits of £40 million.

For the 2024 period, the top-up tax for Territory A was originally calculated to be £25 million. However, due to post filing adjustments of covered taxes a recalculation was required, and the revised top-up tax for 2024 is now £35 million. Therefore, the members in Territory A have a total collective additional amount of £10 million.

For the 2025 period, the sum of the total top-up amount and the collective additional amount is £50 million. This exceeds the total QDT credits of £40 million for the period.

The total top-up amount for the 2025 period is to be reduced by:

- The sum of the QDT tax credits of £40 million, multiplied by
- The total top-up amount of £40 million, divided by
- The sum of the total top-up amount and the collective additional amount of £50 million.

The QDT credit applied to the total top-up amount is therefore £32 million. This results in a total top-up tax amount, after applying the QDT credit, of £8 million.

The collective additional amount will be reduced by the remaining QDT credit of £8 million. This will be set against the collective additional top-up amount of £10 million, reducing it to £2 million.

Enforceability of qualifying domestic top-up tax in question
Where the enforceability of an amount of qualifying domestic top-up tax is in question, the qualifying domestic top-up tax will be treated as not accruing to the member.

This is set out in section 256A of Finance (No.2) Act 2023.

The enforceability of an amount will be considered to be in question if:

- The member disputes the enforceability of the amount on the relevant grounds, or
- The tax authority of the territory in which the tax is imposed considers the amount to be unenforceable on the relevant grounds.

The “relevant grounds” are:

- That the amount is unenforceable on constitutional grounds or as a result of other superior law applying in the territory in which the tax is imposed, or
- That the amount is unenforceable as a result of a specific agreement with the government of that territory as to the tax liability of the member or the group.

Where the enforceability ceases to be in question, the amount of tax will cease to be treated as not accruing to the member.

The enforceability ceases to be in question when:

- The amount has been paid, and
- The enforceability may no longer be disputed because either:

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- A settlement has been reached,
- The appeal period has passed and there is no reasonable prospect of an extension, or
- The right to appeal has been exhausted.

Domestic Top-up Tax

This provision is not applicable for Domestic Top-up Tax purposes. This is because where Domestic Top-up Tax is chargeable, no other qualifying domestic top-up tax will be chargeable, so no QDT credit will arise.

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32000 Substance based income exclusion

The substance based income exclusion (SBIE) is a formulaic carve-out of profits generated from routine activities. It is set out in sections 195 to 198A of Finance (No.2) Act 2023.

The amount that is excluded (the "SBIE amount") consists of two elements, the payroll carve-out and the tangible asset carve-out.

The SBIE amount is calculated for a territory for a period and is deducted from the total adjusted profit for that territory (see MTT31010).

There are rules for calculating the eligible payroll costs (see MTT32010) and the tangible asset amount (see MTT32020).

There are special rules for employees and assets which are internationally mobile (see MTT32040).

There are special rules for calculating the eligible tangible asset amounts of assets which are subject to a lease, including dual use assets (see MTT32050).

Calculating the SBIE amount

The SBIE amount consists of:

- A percentage of the eligible payroll costs, and
- A percentage of the eligible tangible asset amount.

The percentage to be used when determining the SBIE amount for a period depends on the calendar year in which the period began:

PERIODS BEGINNING IN	PAYROLL PERCENTAGE	TANGIBLE ASSET PERCENTAGE
2023	10	8
2024	9.8	7.8
2025	9.6	7.6
2026	9.4	7.4
2027	9.2	7.2
2028	9.0	7.0
2029	8.2	6.6
2030	7.4	6.2
2031	6.6	5.8
2032	5.8	5.4
2033 and onwards	5	5

SBIE not compulsory

Claiming the SBIE is voluntary. This means that when a group prepares its claim, it can choose to claim only a subset of its total eligible payroll or tangible assets when calculating the SBIE. It might do this where the cost of accurately determining its payroll costs or tangible asset amount is large relative to the amount of top-up tax that is due, or where it is particularly difficult to determine the location of an asset or employee throughout the year (see MTT32040).

The filing member of a group can also make an election not to claim any SBIE for a period.

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Investment entities

The SBIE is calculated on an entity-by-entity basis for investment entities. See MTT45140 for guidance.

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32010 Substance based income exclusion - Eligible payroll costs

The eligible payroll costs of a member consist of costs incurred by the member in connection with the employment of an employee.

To be an eligible payroll cost:

- The employee concerned must be employed by the member which incurred the cost,
- The employee must be an individual,
- The costs must be primarily payable in respect of work done as part of the ordinary operating activities of the member, and
- The cost must not be an excluded cost.

The cost is included in the eligible payroll costs for the period in which it was incurred.

Eligible payroll costs include, but are not limited to:

- Salaries, wages, and other expenditure of direct benefit to an employee, such as health insurance or pension contributions,
- Payroll and other employment taxes, and
- Social security contributions.

The eligible payroll cost will be reduced if the employee spends 50% or less of their time in the employer's territory (see MTT32040).

Meaning of "employee"

For the purpose of determining the eligible payroll costs, a person is an employee of a member if they are:

- Regarded as an employee under the law of that member's territory, or
- Acting exclusively under the direction or control of that member or of the group (including on a part-time basis).

A person will be considered to meet the second condition if they are an independent contractor participating in the ordinary operating activities of the group, are under the direction and control of the group, and are not an employee of a corporate contractor.

Excluded costs

The following costs are specifically excluded from the allowable payroll costs:

- Costs taken into account when calculating the underlying profits of a permanent establishment of the member,
- Costs taken into account in a carrying value used to calculate an eligible tangible asset amount, and
- Costs that are core or ancillary international shipping costs (see MTT45600+).

Where the member has an ancillary international shipping profit cap adjustment of more than nil for the period, only the eligible proportion of ancillary international shipping costs are to be excluded for the SBIE. See MTT32060 for more details.

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32020 Substance based income exclusion - Eligible tangible asset amount

The eligible tangible asset amount of a member for a period is the average of:

- The recorded carrying value of all eligible tangible assets held by the member at the start of the period, and
- The recorded carrying value of all eligible tangible assets held by the member at the end of the period.

Where an entity joins or leaves a group, the eligible tangible asset amount must be apportioned based on the length of the transfer period. See MTT44010 for further guidance.

Where an asset is not located in the owner's territory for more than 50% of the time, the eligible tangible asset amount is reduced (see MTT32040).

Meaning of "recorded carrying value"

The carrying value must be recorded for the purpose of preparing the consolidated financial statements. Where the value of an asset is not recorded for this purpose, it should not be reflected in the eligible tangible asset amount.

For the purpose of determining the eligible asset amount, "carrying value" means the carrying value of the asset including:

- Accumulated depreciation, amortisation or depletion,
- Amounts attributable to the capitalisation of eligible payroll costs and costs that would be eligible payroll costs were they not excluded costs (see MTT32010),
- Amounts attributable to any purchase accounting adjustment relating to the asset,
- Any impairment loss, and
- So much of the reversal of a previous impairment loss as does not cause the carrying value to exceed the value it would have been, had the impairment loss not been recognised.

However, where the recorded value of an asset has increased solely as the result of a revaluation, that increase is not to be included in the carrying value for this purpose.

Asset not held at beginning and end of period

If a tangible asset is acquired during the period, its carrying value will be zero at the start of the period. If a tangible asset is disposed of during the period, its carrying value will be zero at the end of the period. In this case, its eligible tangible asset amount will be half of the carrying value recorded at the beginning or end of the period.

Where the asset is acquired and disposed of in the period, but is not held at either at the beginning or the end of the period, its value is not included in the eligible tangible asset amount.

Example

A member of a group has two eligible tangible assets at the beginning of the group's accounting period.

Asset A does not have a value recorded in the consolidated financial statements but has an estimated value of £4,000. Asset B has a value of £10,000 recorded in the balance sheet of the consolidated financial statements. It is sold before the end of the period.

The eligible tangible asset amount will be (£10,000 + £0 / 2) = £5,000.

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Asset A is not reflected in the figure because its value is not recorded.

Asset B is only reflected in the figure for assets held at the start of the period, because it was disposed of and is no longer held by the member at the end of the period.

Eligible tangible assets

Assets falling in the following categories are eligible tangible assets:

- Property, plant and equipment located in the member's territory.
- Natural resources located in that territory.
- A right to use a tangible asset located in that territory under a lease (but see MTT32050 in relation to certain operating leases and dual use assets).
- A license or similar right to use a tangible asset located in that territory, provided that:
    - The right is granted by a government of that territory, and
    - It is expected that, in the granting of that right, the member will, in using that right, incur significant expenditure in enhancing the value of tangible assets in that territory (whether or not those assets are themselves subject to the right).

The following types of assets are excluded from being eligible:

- Property (including land or buildings) held for sale, lease or investment, regardless of when such sale, lease or investment is carried out.
- Assets used in the course of core or ancillary international shipping activity (see MTT32060).

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32030 Substance based income exclusion - Permanent establishments and flow-through entities

[Guidance on flow-through entities is being developed.]

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32040 Substance based income exclusion - Internationally mobile employees and assets

Eligible payroll costs are apportioned where the employee spends 50% or less of their time working in the employer's territory.

Eligible tangible asset amounts are apportioned where the asset is located in the employer's territory for 50% or less of the period.

Internationally mobile employees

There are special rules for determining the eligible payroll costs of an employee who is not always working in the same territory as the employer (the member that incurs the payroll costs, see MTT32010) is located.

If the employee spends more than 50% of their working time for the employer in the employer's territory, their eligible payroll costs are included in full.

If 50% or less of the employee's working time for the employer is spent in the employer's territory, only a proportional amount of the payroll costs is to be included in the eligible payroll costs. The payroll costs are apportioned by the proportion of the time the employee spent in the employer's territory.

The eligible payroll costs of an internationally mobile employee can only be included in the substance based income exclusion for the employer's territory. The payroll costs cannot be included in the eligible payroll costs of another member where it has been excluded due to the employee working abroad.

The eligible payroll costs of internationally mobile employees are otherwise to be determined in accordance with the guidance at MTT32010.

Example

Markets Ltd is located in the UK. It has a marketing team that splits its time between the UK and visiting global customers. The total payroll costs of the team are £10 million in both 2024 and 2025.

For the 2024 period, each member of the team spends 55% of their time working for Market Ltd in the UK. This means that the full amount of their payroll costs (£10 million) can be used in calculating the eligible payroll costs.

For the 2025 period, each member of the team spends 45% of their time working for Markets Ltd in the UK. This means that only 45% (£4.5 million) of their payroll costs should be allowed when calculating the members' eligible payroll costs.

Internationally mobile assets

There are special rules for determining the eligible tangible asset amount of an asset which is not located in the owner's territory for the entire period.

If an asset is located in the owner's territory for more than 50% of the period, the eligible tangible asset amount is included in full.

If an asset is located in the owner's territory for less than 50% of the period, then the eligible tangible asset amount must be reduced in proportion to the amount of time for which the asset was located outside the owner's territory.

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The eligible tangible asset amount of an internationally mobile asset can only be included in the substance based income exclusion for the owner's territory. The amount cannot be included in the eligible tangible asset amount of another member where it has been excluded because the asset is located abroad.

The eligible tangible asset amount of international mobile assets is otherwise to be determined in accordance with the guidance at MTT32020.

Example
Construction Ltd is located in the UK. It undertakes large construction projects in the UK and around the world. When it is involved in a project overseas, it may use some specialist plant from the UK.

For the 2045 period, items of plant and machinery with an eligible tangible asset amount of £100 million are used on an overseas project for 4 months of the period, and in the UK for 8 months. As the plant and machinery is used in the UK for more than 50% of the period, its tangible asset amount is recorded in full.

In the same period, a specialist tunnelling machine with an eligible tangible asset amount of £30 million is used on an overseas project for 292 days in the period and is located in the UK for the remainder of the time. As the machinery is located in the UK for only 20% of the period, its eligible tangible asset amount is reduced accordingly to £6 million (£30m * 73/365).

DRAFT

32050 Substance based income exclusion - Leased assets and dual use assets

The lessee

A lessee is able to include amounts in relation to leased assets in its eligible tangible fixed asset amount, in accordance with the accounting treatment.

For an asset subject to a finance lease, the lessee will be able to include the eligible amount recorded in its accounts in relation to the asset. This is because a finance lease is accounted for as a transfer of the underlying asset to the lessee.

For an asset subject to an operating lease, the lessee will be able to include the eligible amount recorded in its accounts as a right-of-use asset.

The other rules that apply to the eligible tangible asset amount still apply in regard to leased assets, see MTT32020 and MTT32040.

Assets held for lease – the lessor

Normally, where an asset is held for a lease, it is excluded from being an eligible tangible asset (see MTT32020).

However, where:

- A member of a group holds property for lease,
- The property is located in the member's territory, and
- The lease is accounted for in the underlying profits accounts of the member as an operating lease,

Then the asset held for lease can be regarded as an eligible tangible asset for the member.

This overrides the normal exclusion for property held for lease (see MTT32020). Assets held for lease under a finance leases are still excluded from the SBIE.

The eligible tangible asset amount for an asset held for lease is calculated differently depending on whether the asset is a short-term rental asset.

If the asset is a short-term rental asset for that period, its eligible tangible asset amount can be included in full.

If the asset is not a short-term rental asset for that period, the carrying value of the asset is reduced for the purposes of calculating the eligible tangible asset amount. The carrying value as recorded at the start or end of the period should be reduced by the right-of-use amount for the property at that time.

The other rules that apply to the eligible tangible asset amount still apply in regards to leased assets (see MTT32020 and MTT32040).

Short-term rental asset

A short-term rental asset is an asset which is held for lease (under terms classed as an operating lease) and:

- The property was leased regularly during that period to different lessees, and
- The average length of the lease periods is no greater than 30 days.

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Right-of-use amount

The calculation of right-of-use amount at the start or end of the period differs depending on whether the lessee and lessor are part of the same group. This is because the lessor will not necessarily know the right-of-use amount recorded in the lessee's accounts when they are not in the same group.

Where they are members of the same group, the right-of-use amount is the carrying value of the lessee's right-of-use asset recorded in relation to the property at that time.

Where the lessee and lessor are not members of the same group, the right-of-use amount is the undiscounted value of any outstanding payments under the lease at that time.

The undiscounted value of any outstanding payments should be determined by applying the same accounting standard used when calculating the underlying profits of the lessee.

The undiscounted value should also include the value of any outstanding payments that would be due under any extension to the lease, where these would be accounted for in accordance with that standard.

Dual use assets

An asset is considered to be dual use where:

- Part of the asset comprising property is held for lease by a member, and
- Another part of that property is retained for use by the member.

Where there is a dual use asset, the two parts should be treated as separate assets for substance based income exclusion purposes.

The carrying value of the asset should be allocated between the notional separate assets on a just and reasonable basis.

DRAFT

32060 Substance based income exclusion - Interaction with international shipping exclusion

The substance based income exclusion (SBIE) and international shipping exclusion (see MTT45600+) both represent an exclusion of profits from the aggregate net profits for a territory, when determining the top-up amounts for a territory. (The exclusion of international shipping income and expense takes place when determining the adjusted profits of each member. The SBIE amount is deducted when the adjusted profits or losses of members in a territory are aggregated.)

In order to prevent double counting, the international shipping exclusion is treated as superordinate. Where an amount was already excluded under those rules, it cannot be excluded again under the SBIE. These amounts are said to be excluded from the SBIE amount.

A complication arises where the ancillary international shipping cap has effect. This limits the amount of income and expense that can be excluded as part of the international shipping exclusion. These amounts may then be included within the SBIE amount.

The rules at MTT32000+ still apply in relation to these amounts. The rules for internationally mobile employees and assets discussed at MTT32040 are likely to be particularly relevant.

Payroll costs

Where payroll costs are excluded from the adjusted profits as part of the international shipping exclusion, they are not to be included in the eligible payroll costs for SBIE purposes.

Tangible assets

An asset is excluded from the calculation of the eligible tangible asset amount where it has been used in the course of core international shipping activity (see MTT45610) or ancillary international shipping activity (see MTT45620).

For this purpose, the value of an asset used in international shipping activity should be attributed between its various uses (core activity, ancillary activity, and non-international shipping activity).

Ancillary international shipping cap

Where the ancillary international shipping cap applies, the value of the asset attributed to ancillary international shipping activity should be included in the SBIE. This value is to be reduced by the proportion to the ratio of ancillary shipping profits that were within the cap amount to total ancillary shipping profits.

Example

X Ltd has income for the 2045 period, some of which falls with the international shipping exclusion.

X Ltd has £120 million of core international shipping profits and £200 million of ancillary international shipping profits. Because of the cap on the ancillary international shipping profits at 50% of core international shipping profits, it is only eligible for the exclusion on £60 million of its ancillary international shipping profits.

This means that £140 million of ancillary profits are included in adjusted profits of X Ltd.
In 2045 X Ltd incurs payroll costs relating to its international shipping activity. These payroll costs meet the general conditions for the substance based income exclusion. These are broken down as follows:

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Usage	Payroll costs
100% related to core international shipping profits	£80 million
100% related to ancillary international shipping profits	£120 million

When calculating the eligible payroll costs as part of the SBIE, only the amounts not already included in the international shipping exclusion can be included in the SBIE amount.

Therefore, the £80 million of costs fully attributable to core international shipping profits are excluded from the SBIE amount.

The application of the ancillary cap has prevented 70% of the ancillary international shipping profits from being included in the international shipping exclusion. This means that 70% of the payroll expense relating to ancillary profits can be included in the SBIE amount.

Therefore, only £84 million of these payroll costs (70% of £120 million) can be included in the eligible payroll costs when determining the SBIE amount for X Ltd's territory.

The remaining £36 million has already been excluded from the profits as a result of the international shipping exclusion.

DRAFT

41010 Permanent establishments

For MTT purposes, a permanent establishment (PE) is treated as an entity that is distinct from its main entity. In the consolidated financial statements of a group, a permanent establishment will not be treated as a distinct entity. Consequently, some additional rules are required to ensure the effective tax rate is calculated appropriately for permanent establishments and their main entities.

See MTT10120 for guidance on the definitions of "permanent establishment" and "main entity" for MTT purposes.

Underlying profits of a permanent establishment

There are special rules regarding the determination of the underlying profits of a PE. A PE might not have separate financial accounts, in which case its underlying profits must be attributed to it based on the financial accounts of the main entity. See MTT41020 for guidance on the underlying profits of a PE.

When the underlying profits have been determined, further adjustments may be required to ensure that income and expenses have been properly attributed to the PE from the main entity.
The method of attribution of profits to a PE from a main entity varies. There are four different criteria under which a PE might be recognised for MTT purposes, and there is a different method of profit attribution for each of the four criteria.

See MTT41025 for guidance on profit attribution.

When the underlying profits of the PE have been determined, the ordinary adjustments are made (see MTT21100+) to arrive at the adjusted profits for the PE.

Covered taxes of a permanent establishment

Where profits have been allocated to a PE, the covered tax expense in respect of those profits is also allocated to the PE. See MTT41040 for guidance on allocation of covered tax expense.

Permanent establishment records adjusted loss

Where a PE records an adjusted loss, that loss will be reallocated to the main entity, where the relevant conditions are met. See MTT41030 for guidance on allocation of losses to a main entity.

DRAFT

41020 Permanent establishments – Underlying profits

For normal members of a group, the underlying profits are the profits determined when preparing the consolidated financial statements of the ultimate parent entity.

Different rules are required for permanent establishments (PEs) because their financial results will not necessarily be distinguished from the financial results of the main entity when preparing the consolidated financial statements.

The underlying profits of a PE are its profits as reflected in:

- The PE's separate financial accounts, or
- If the PE does not have separate financial accounts, the underlying profits accounts (see MTT21010) of the main entity, after those profits are attributed between the PE and the main entity under section 159 of Finance (No.2) Act 2023.

This is set out in section 135 of Finance (No.2) Act 2023.

See MTT421025 for guidance on the attribution of profits between a PE and its main entity.

No 'double counting'

The profits of a PE (as determined for MTT purposes) are not to be taken into account in determining the adjusted profits of the main entity, and vice versa, in order to prevent double counting.

However, see MTT41030 for guidance on when profits and losses of a PE may be treated as profits or an expense of the main entity, when determining the adjusted profits of the main entity.

DRAFT

41025 Permanent establishments – Attribution of profits to permanent establishment

The underlying profits of a PE are taken from separate financial accounts of the PE or the underlying profits accounts of its main entity (see MTT41020). Where the underlying profits of a permanent establishment (PE) are taken from the underlying profits accounts of its main entity, adjustments are required to ensure the proper attribution of profits between the PE and its main entity. These adjustments are set out in section 159 of Finance (No.2) Act 2023.

There are four criteria under which a PE might be recognised for MTT purposes (see MTT10120). Profits will be attributed to a PE from its main entity in accordance with the criteria under which that PE is recognised.

For PEs recognised under section 232(2)(d) of the Act, the adjustments are still required even where the underlying profits are taken from separate financial accounts of the PE. This is set out in section 135(2)-(3) of the Act.

Note that amounts of income and expense are to be attributed under these rules regardless of whether the income is subject to tax or the expense is tax-deductible.

Permanent establishment recognised under section 232(2)(a)

Where a PE is taxed by a territory in accordance with a tax treaty, its underlying profits are to be adjusted so that they only reflect amounts of income and expense that are attributable to it in accordance with that treaty, and do not reflect amounts attributable to the main entity in accordance with that treaty.

Permanent establishment recognised under 232(2)(b)

Where a PE is taxed by a territory in a similar way to residents of that territory, in the absence of a tax treaty, its underlying profits are to be adjusted so that they only reflect amounts of income and expense attributable to it in accordance with the law of the territory in which it is located, and do not reflect amounts attributable to the main entity in accordance with the laws of that territory.

Permanent establishment recognised under section 232(2)(c)

Where a PE is located in a territory with no corporate income tax system, but where that territory would have taxing rights over that PE under the OECD Model Tax Convention, its underlying profits are to be adjusted so that they only reflect amounts of income and expense attributable to it in accordance with Article 7 of the OECD Model Tax Convention, and do not reflect amounts attributable to the main entity in accordance with that article.

Underlying profits of permanent establishment recognised under section 232(2)(d)

Where a PE does not meet any of the conditions of section 232(2)(a), (b) or (c), and the PE income is exempted by the territory of the main entity, its underlying profits must be determined only by reference to its relevant income and relevant expenses.

The “relevant income” is the income of the permanent establishment that:

- is attributable operations outside of the territory where the main entity is located, and
- is exempted from tax in the territory where the main entity is located.

The “relevant expenses” are the expenses of the permanent establishment that:

- Are attributable to its operations outside of the territory where the main entity is located, and

- Are not deducted for tax purposes in the territory of the main entity.

Income and expenses that are not relevant must be removed from the figures in the accounts to arrive at the underlying profits of this category of PE.

Note that for this type of PE, these adjustments are required even where the underlying profits are taken from the separate financial statements of the PE.

DRAFT

41030 Permanent establishments – Allocation of adjusted loss to main entity

Where a permanent establishment (PE) records a loss in its adjusted profits, that loss is treated as an expense of its main entity, to the extent that the loss:

- Is treated as a tax expense of the main entity in the territory where the main entity is located, and
- is not set against income that is subject to tax in the territories of both the main entity and the PE.

Such an amount is to be:

- Excluded from the adjusted profits of the PE (added back to the adjusted loss), and
- Treated as an expense of the main entity for the same period, when calculating its adjusted profits.

This is set out in section 160 of Finance (No.2) Act 2023.

Permanent establishment records profit in subsequent period

If the PE records a profit in its adjusted profits in a subsequent accounting period, those profits will be treated as income of the main entity, until amounts of loss that were previously reallocated from the PE to the main entity have been fully recovered.

Any profits of the PE that are treated as income of the main entity are excluded from the adjusted profits of the PE.

DRAFT

41040 Permanent establishments – Allocation of covered tax expense

Where an amount of qualifying current tax expense is included in a member's accounts in respect of the profits of a permanent establishment (PE), that amount is to be allocated to the PE, in accordance with section 177 of Finance (No.2) Act 2023.

Where an amount has been reallocated to a PE, it will be excluded from the covered tax balance of the main entity.

Adjusted profits of permanent establishment reallocated to main entity

Where profits of a PE are treated as income of the main entity under section 160 (see MTT41030), covered taxes on those profits are also allocated to the main entity.

However, the amount of covered taxes that are reallocated is restricted to:

- The reallocated profits,

multiplied by

- The highest corporate tax rate on ordinary income in the main entity's territory.

Adjusted loss of permanent establishment reallocated to main entity

Where:

- A loss arising in the PE territory is treated as expense of the main entity under section 160 (see MTT41030), and
- There is a deferred tax asset in respect to that loss,

that deferred tax asset is ignored when determining the covered tax balance of either the main entity or the PE.

DRAFT

41110 Partnerships - Deemed continuity

In certain cases, the membership of a partnership can change, resulting in a new partnership.

Legally, this may constitute the cessation of the existing partnership and the commencement of a new partnership.

Where certain conditions are met, the new partnership will be treated as continuation of the old partnership for MTT purposes, in accordance with section 232A of Finance (No.2) Act 2023.

Change of membership

For MTT purposes, a partnership is considered to be the same partnership even when there is a change of membership, as long as a person who was a member before the change remains a member after the change.

Membership of partnership renewed due to transfer of ownership interests

Where:

- Ownership interests in a partnership are transferred to more than one individual or entity, and
- The result of this transfer is a partnership where none of the original partners are members,

the new partnership is treated as being the same partnership.

For this purpose, a transfer of ownership interests includes any series of transactions that have the effect of a transfer, such as the cancellation of interests and the issue of corresponding interests.

Partnership dissolved

If a partnership is otherwise dissolved, the partnership is treated as a continuing entity for the purpose of dealing with its rights and obligations under MTT, for all accounting periods up to dissolution.

For administration purposes, each person who was a partner of the partnership in the accounting period ending with the dissolution is treated as being a partner of that continuing entity.

DRAFT

41500 Standard and non-standard members

MTT operates on a principle of jurisdictional blending. This means that, when calculating the effective tax rate (ETR) and top-up amounts, the ETRs of group members within a territory are aggregated before assessing whether the minimum rate of 15% has been met.

However, there is a further division of group members within a territory. The legislation distinguishes between standard and non-standard members.

A member of a group will be a standard member unless it is:

- An investment entity (see MTT41510), or
- A minority owned member (see MTT41520).

These non-standard members will have their ETR and top-up amounts calculated separately from the standard members of a group.

For minority owned members (see MTT41510), the rules are applied as they are for standard members.

For investment entities, special rules apply (see MTT45100+).

This is set out in section 132(3)(a) of Finance (No.2) Act 2023.

Stateless members

Stateless members (see MTT18000) are standard members. However, their effective tax rate and top-up amounts will always be calculated separately, because they are treated as being located in a notional territory of which they are the only member.

Joint venture groups

Joint ventures and their subsidiaries are treated as being a separate group for MTT purposes. A joint venture that is neither a minority owned member or an investment entity will still be a standard member, but because it is treated as being in a separate group, its effective tax rate and top-up amounts will be calculated separately from the members of the group which is a partner in the joint venture.

See [MTTxxxxx] for further guidance on joint ventures.

DRAFT

41510 Non-standard members - Minority owned members

Where a group contains a minority owned member, a separate subgroup will exist for the purpose of calculating the effective tax rate and top-up amounts of those members. The effective tax rate and top-up amounts of the minority owned members will be calculated separately from the standard members of the group in the same territory.

Minority owned members are grouped together depending on the ownership interests held. This means that a group may have more than one minority owned subgroup in a territory, depending on the ownership structure.

The treatment of minority owned members is set out in section 228 of Finance (No.2) Act 2023.

Minority owned member

A member of a group is a "minority owned member" if:

- The ultimate parent holds no more than 30% of the ownership interests in that member, and
- The member is not an investment entity (see MTT45110).

See MTT17040 for guidance on calculating an ownership interest held by a specific entity.

Minority subgroup

A minority subgroup exists where:

- A minority owned member ("M") holds (directly or indirectly) ownership interests in another minority owned member, and
- No other minority owned member holds (directly or indirectly) ownership interests in M.

The minority owned subgroup will consist of:

- M, and
- The minority owned members in which M has ownership interests and which are members of M's group.

Note that multiple minority subgroups may exist within the same group.

Minority owned member that is not part of a minority subgroup

If a minority owned member does not hold ownership interests in another minority owned member, and no other minority owned member holds an ownership interest in it, it will not be part of a minority subgroup.

Calculating the effective tax rate and top-up tax must be done separately for:

- Each separate minority subgroup in a territory, and
- Each separate minority owned member that is not part of a minority subgroup.

Safe harbours

The qualifying domestic minimum top-up tax safe harbour election is made separately for minority owned subgroups, which are subject to adjusted disqualifying conditions (see MTT15120).

In the transitional safe harbour, a minority owned member is not treated as being in a separate subgroup and is included with the standard members of the group in the territory (see MTT15960).

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Example
A Ltd is the ultimate parent of ABC Group. In Territory A, ABC group has the following members, none of which are an investment entity: A Ltd, B Ltd, C Ltd, D Ltd and E Ltd.

A Ltd directly holds 100% of the ownership interests in B Ltd and 30% of the ownership interests in C Ltd. It has no indirect interests in C Ltd.

B Ltd holds 30% of the ownership interests in D Ltd, including direct and indirect interests.

D Ltd also holds 100% of the ownership interests in E Ltd.

C Ltd, D Ltd, E Ltd are minority owned members for ABC Group because:

- The ultimate parent of ABC Group holds no more than 30% of the interests in each entity, and
- None of them is an investment entity.

D Ltd and E Ltd form a minority subgroup, because:

- D Ltd and E Ltd are minority owned members,
- No minority owned member holds an interest in D Ltd, and
- E Ltd is owned by D Ltd.

C Ltd does not form a minority subgroup because it does not hold ownership interest in any other minority owned member.

ABC Group has three subgroups in Territory A:

- A subgroup consisting of the standard members (A Ltd and B Ltd),
- A minority subgroup consisting of D Ltd and E Ltd, and
- A subgroup consisting of C Ltd, which is a minority owned member that is not part of a minority subgroup.

The effective tax rate and top-up tax amounts are calculated separately for each subgroup.

DRAFT

42020 Sovereign wealth funds

A sovereign wealth fund is a governmental entity that has a principal purpose of carrying on a public function of that government, or managing or investing the assets of that government.

A sovereign wealth fund cannot be an ultimate parent of a group. Where a sovereign wealth fund would be the ultimate parent of a group, it is to be ignored for the purposes of MTT and will not be regarded as the ultimate parent of its group.

Where a sovereign wealth fund has a controlling interest in an entity ("A") arising from direct ownership interests, A is to be regarded as the ultimate parent of a group (consisting of A and any entities in which A has a controlling interest).

This is set out in section 252 of Finance (No.2) Act 2023.

See MTT10230 for guidance on the definition of governmental entity.

Example
ABC Government Fund is a sovereign wealth fund which is the ultimate parent of a qualifying multinational group.

A Holding Ltd is a wholly owned direct subsidiary of ABC Government Fund. A Holding Ltd has numerous subsidiaries in various territories.

Because ABC Government Fund meets the definition of a sovereign wealth fund, it is not to be regarded as the ultimate parent of a group and will be ignored for MTT purposes.

A Holding Ltd will be regarded as the ultimate parent of a group consisting of A Holding Ltd and the entities in which it has a controlling interest. That group will have to meet the requirements to be a qualifying group in its own right in order to be a qualifying group for MTT purposes.

DRAFT

42030 Protected cell companies, umbrella funds, and qualifying transformer vehicles

For guidance on protected cell companies and qualifying transformer vehicles, please see MTT10130.

For guidance on umbrella funds (other than protected cell companies), please refer to guidance for sub-divided entities at MTT10140.

DRAFT

42040 Release of debt for company in distress

Where a member of a group is in distress, and there are profits arising from a debt release reflected in its underlying profits, it may elect to exclude these profits when determining the adjusted profits. The election is set out in section 151 of Finance (No.2) Act 2023.

For a UK resident debtor company, this exclusion broadly aligns the treatment of the debt release for MTT purposes with the domestic corporation tax treatment.

See MTT21000+ for general guidance on determining the adjusted profits.

A section 151 election is an annual election. See MTT52200 for guidance on making elections.

Conditions

An election can be made to adjust the underlying profits in relation to profits arising from a debt release where one of the following circumstances, set out in section 151(2)(a)-(c) of F(No.2)A23, applies at the time of the debt release:

- The member meets an insolvency condition set out at section 322(6)(a)-(e) of Corporation Tax Act 2009.
- It is reasonable to suppose that within 12 months, ignoring any debts owed to connected persons and entities, the member will be unable to meet its debts to unconnected persons and entities as they fall due, and the member has obtained independent expert opinion to confirm this is the case.
- The member's liabilities exceed its assets.

The origin of the obligation to pay the debt being released is not significant.

Where more than one debt is released at the same time, the debts released are to be treated as a single aggregate amount when determining whether each of the circumstances applies.

Connected-party debt

The release of a debt owed to a connected party can only benefit from an adjustment under section 151 where section 151(2)(a) or (b) applies (and in the case of (b), only where it is released as part of arrangement that also involves the release of a third-party debt). Section 151(5)(c) precludes any adjustment of profits in relation to the release of a debt owed to a connected party where section 151(2)(c) is in point.

Independent expert opinion

An independent expert opinion is an expert opinion that is provided by somebody other than the company itself, or its board members. For example, advice from an auditor that the company could not be signed off as a going concern would generally be sufficient.

Adjustment to underlying profits

Where the election is made, an amount of the profits arising from the debt release will be excluded from the underlying profits when determining the adjusted profits.

The amount that is excluded depends on which of the paragraphs of section 151(2) apply.

Adjustment to be made when section 151(2)(a) applies

Where section 151(2)(a) applies, an adjustment is made to exclude the full amount of the profits arising from the debt release.

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Adjustment to be made when section 151(2)(b) applies but section 151(2)(a) does not
If section 151(2)(b) applies but section 151(2)(a) does not, an adjustment is made to exclude the full amount of the profits from the debt release, providing that:

- The debt released was not owed to a person or entity that is connected to the member, or
- The debt released was owed to a person or entity that is connected to the member, but:
    - The debt release can reasonably be regarded as part of arrangements to secure the solvency of the member, and
    - Those arrangements involve the release of another debt that is owed to a person not connected to the member.

Note that in order for 151(2)(b) to have applied in the first place, it will be necessary for the company to have been likely to become insolvent within 12 months by reference to third party debts only. The provision then allows relief for third party debts, and connected party debts which are released as part of arrangements to secure the solvency of the company that also involve the release of a third party debt.

Note also that, although debts that are released simultaneously are to be treated as a single aggregate amount when assessing whether each circumstance applies, the debts are not to be so aggregated when determining any adjustment that is to be made.

Adjustment to be made when only section 151(2)(c) applies
Where only section 151(2)(c) applies, an adjustment is made to exclude the lesser of:

- The amount of any profits arising as a result of the debt release,
- The amount by which the member's liabilities exceeded its assets immediately before the release if, as a result of the debt release, the member's assets exceed its liabilities, and
- The amount of profits arising from the debt release that are offset by local tax attributes when determining the member's liability to tax, if any profits are so offset.

A local tax attribute is any tax attribute (including foreign tax credits) of the member that are recognised under the law of its territory. An attribute may be a local tax attribute even if it is excluded from the member's covered tax balance.

Note that, although debts that are released simultaneously are to be treated as a single aggregate amount when assessing whether each circumstance applies, the debts are not to be so aggregated when determining any adjustment that is to be made.

Example
A Ltd has a debt to HoldCo Ltd of £10m. Both A Ltd and HoldCo Ltd are part of the ABC Group.

A Ltd also owes £20m to a third-party lender.

A Ltd has made substantial losses for the past two accounting periods. It is likely that, within 12 months, A Ltd will be unable to meet its debts to unconnected persons and entities as they fall due, ignoring the impact of connected party debts. The company's auditor has confirmed this likelihood.

A Ltd does not meet one of the insolvency conditions in CTA09.

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In order to secure the solvency of A Ltd, it negotiates a debt release from one of the third-party lenders. As part of the same recapitalisation arrangements for A Ltd, Holdco Ltd releases the £10m it is owed by A Ltd.

If it so elects, A Ltd will exclude in full any profit arising from the debt release by HoldCo Ltd from its adjusted profits. This is because:

- The circumstance in 151(2)(b) applies,
- The circumstance in 151(2)(a) does not apply, and
- Although the debt released was owed to a connected person, it is part of an arrangement to secure the solvency of A Ltd, and
- That arrangement involved the release of a debt owed by A Ltd to an unconnected person.

Additionally, any profit arising from the debt release by the third party will also be excluded in full from the adjusted profits of A Ltd, because:

- The circumstance in 151(2)(b) applies,
- The circumstance in 151(2)(a) does not apply, and
- The debt is to an unconnected person.

DRAFT

44000 Restructures

MTT is applied to groups rather than individual entities. Where the composition of the group changes, certain additional provisions are required. These are contained within sections 208 to 212 Finance (No.2) Act 2023. These cover situations where:

- A member joins or leaves a group,
- A transfer of a controlling interest is treated as acquisition of assets and liabilities, and
- Assets are transferred between members of a group.

44010 Restructures – Member joining or leaving a group

This section of guidance explains how to apply the MTT rules to a member that has joined or left a group.

Certain adjustments are required in relation to:

- Deferred tax assets and liabilities of the entity,
- Purchase accounting consolidation adjustments relating to the transfer of the entity, and
- The eligible tangible asset amount of the entity.

44020 Restructures – Transfer of controlling interest treated as acquisition of assets and liabilities

This section of guidance explains an exception to the rules in MTT44010, under which the acquisition or disposal should instead be treated as an acquisition or disposal of assets or liabilities.

44030 Restructures – Transfers of assets or liabilities

This section of guidance explains how to apply the Pillar 2 rules where there is a transfer of assets or liabilities during a qualifying reorganisation.

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Where:

- An entity joins or leaves a group (including where the entity becomes the ultimate parent of a new group), and
- Any portion of its assets, liabilities, income, expenses or cash flows are included on a line-by-line basis (see MTT19530) in the consolidated financial statements for the transfer period,

the entity will be treated as being a member of the group for the entire transfer period. The "transfer period" is the accounting period of the group in which the entity joins or leaves the group.

Consequently, an entity may be a member of two groups for the same period of time.

Certain adjustments are required in relation to:

- Deferred tax assets and liabilities of the entity,
- Purchase accounting consolidation adjustments relating to the transfer of the entity, and
- The eligible tangible asset amount of the entity.

This is set out in section 208 of Finance (No.2) Act 2023.

Profit, tax and payroll amounts to be taken account of only where included in the consolidated financial statements

Where an entity is treated as being a member of a group for a transfer period, only the profits, covered taxes, and eligible payroll costs taken into account in the consolidated financial statements of the group are to be taken account of for MTT purposes.

Purchase accounting consolidation adjustments

Where:

- The entity joins or leaves a group as the result of a transfer of ownership interests, and
- That transfer of ownership interests gives rise to purchase accounting consolidation adjustments,

those adjustments are to be ignored when determining the adjusted profits and covered tax balance of the entity in all accounting periods.

Deferred tax assets and tax liabilities

Where:

- An entity becomes a member of a group ("group A") as a result of a transfer of ownership interests in it, and
- The entity was a member of another group, ("group B"), immediately before the transfer,

special rules apply to the deferred tax assets and liabilities of the entity (except for special loss deferred tax assets, see MTT27010).

The deferred tax assets and tax liabilities of the entity existing immediately before the transfer are to be taken account of when the entity is a member of group A as though the ultimate parent of group A had a controlling interest in the entity when the assets and liabilities arose.

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If a deferred tax liability of the entity was included in the total deferred tax adjustment amount for that member in group B, the following treatment applies:

- The deferred tax liability for the entity is deemed to have reversed. That reversal does not need to be reflected in any calculation made in relation to group B.
- The deferred tax liability is to be treated as arising in the transfer period for the purpose of determining the total deferred tax adjustment amount for the member in group A.
- For recaptured deferred tax liabilities, any resulting reduction in the covered tax balance of the entity as a member of group A is only to have effect in the accounting period in which the deferred tax liability is recaptured. (See MTT27400 for further guidance.)

Eligible tangible asset amount

The eligible tangible asset amount of an entity that joins or leaves a group must be apportioned to the length of the transfer period for which it was a member of that group.

Where an entity becomes a member of a group, the eligible tangible asset amount is determined by multiplying:

- The eligible tangible asset amount for the transfer period, and
- The amount given by dividing:
  - The number of days in the post-transfer period, by
  - The number of days in the transfer period.

Where an entity ceases to be a member of a group, the eligible tangible asset amount is determined by multiplying:

- The eligible tangible asset amount for the transfer period, and
- The amount given by dividing:
  - The number of days in the pre-transfer period, by
  - The number of days in the transfer period.

The "post-transfer period" is the period:

- Beginning on the day on which the member became a member of a group, and
- Ending on the last day of the transfer period.

The "pre-transfer period" is the period:

- Beginning on the commencement of the transfer period, and
- Ending on the day before the day on which the member ceased to be a member of the group.

Example

On 1 April 2025, A Ltd ceased to be a member of Group A and joined Group B.

Group A and Group B both had accounting periods of 1 January 2025 to 31 December 2025. This means the transfer period of each group is the same.

In the transfer period, the eligible tangible asset amount of A Ltd was £2 million.

The eligible tangible asset amount of A Ltd that is attributable to Group A is £493,151. This is determined by the following calculation:

- The eligible tangible asset amount of £2 million, multiplied by
- The amount given by dividing:

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    - The number of days in the pre-transfer period (90 days), by
    - The number of days in the transfer period (365 days).

The eligible tangible asset amount of A Ltd that is attributable to Group B is £1,506,849. This is determined by the following calculation:

- The eligible tangible asset amount of £2 million, multiplied by
- The amount given by dividing:
    - The number of days in the post-transfer period (275 days), by
    - The number of days in the transfer period (365 days).

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44020 Restructure – Transfer of controlling interest treated as acquisition of assets and liabilities

In some cases, the acquisition or disposal of a controlling interest in a member is to be treated as an acquisition or disposal of the assets and liabilities of the member, in accordance with section 209 of Finance (No.2) Act 2023.

Where the treatment applies, any gain or loss made in relation to the transfer is treated as a gain or loss on the disposal of the assets or liabilities of the member, and is to be included in the adjusted profits of that member.

The guidance in MTT44010 will not apply to the member in this case.

This treatment applies where:

- The acquisition or disposal of the controlling interest is treated in the same, or a similar manner, as a transfer of the member's assets and liabilities by:
    - The territory in which the assets are located, where the member is tax transparent under the law of the territory in which it was created, or
    - The territory in which the member is located, in any other case, and
- That territory imposes a covered tax (see MTT25100) on the seller based on the difference between:
    - The tax basis, and either:
        - The consideration paid in exchange for the controlling interest, or
        - The fair value of the assets and liabilities.

Any such amount of covered tax should be included in the covered tax balance of the member being disposed of.

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44030 Restructures – Transfers of assets or liabilities – Transfer from a group member

Where:

- Assets or liabilities are transferred from a member of a group to another entity, and
- The transfer is made in the course of a qualifying reorganisation,

any gain or loss on the transfer is to be excluded from the adjusted profits of the member to the extent that it is a qualifying loss, and included in the adjusted profits to the extent that it is a non-qualifying gain or loss.

This is set out in section 210 of Finance (No.2) Act 2023.

Non-qualifying gain or loss made on transfer in the course of qualifying reorganisation

Where:

- A member transfers an asset or liability in the course of a qualifying reorganisation, and
- That member recognises a non-qualifying gain or loss on the transfer,

the non-qualifying gain or loss should be included in the adjusted profits of the member.

Meaning of "qualifying reorganisation"

A transfer of assets or liabilities occurs in the course of a "qualifying reorganisation" where:

- One of the three conditions A, B and C are met, and
- The transfer takes place as the result of a merger, de-merger, liquidation, change in form of an entity, or similar event.

Condition A is met where:

- Any consideration for the transfer is, or the transfer involves, wholly or mostly equity interests issued by the transferee, or by a person connected with the transferee, or
- In the case of a liquidation, any consideration for the transfer is, or the transfer involves, wholly or mostly, the cancellation of equity interests in the entity subject to the liquidation, or
- The reorganisation does not result in a change in the ownership of an entity.

To determine whether there has been a change in the ownership of an entity, the rules laid out in section 719 to 724A CTA2010 are used (see CTM06300 onwards), subject to the adjustments in section 212(5) Finance (No.2) Act 2023.

Condition B is met where any gain or loss of the transferor that arises from the transfer is not, wholly or partly, subject to tax.

Condition C is met where, under the law of the territory the transferee is located in, the value of the assets or liabilities for the purpose of determining the transferee's taxable income is the tax basis value of the assets or liabilities in the hands of the transferor, adjusted for any non-qualifying gain or loss.

Meaning of "non-qualifying gain or loss"

For the purpose of this provision, a "non-qualifying gain or loss" is a gain or loss of the transferee on the transfer of assets or liabilities, and is the lesser of:

- The amount of that gain or loss that is subject to tax in the transferee's territory, and

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- The amount of that gain or loss reflected in the underlying profits accounts of the transferee.

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44040 Restructures – Transfers of assets or liabilities – Transfer from a group member

Where assets or liabilities transferred to a member of a group, the value of those assets (for the purpose of determining the member's adjusted profits) depends on whether certain conditions are met.

This is set out in section 211 of Finance (No.2) Act 2023).

Conditions met – asset valuation

Where one of two conditions are met, the value of the assets or liabilities (for the purpose of determining the member's adjusted profits) is their carrying value in the hands of the transferor immediately before the transfer.

Those conditions are:

- Condition A - The transfer forms part of a qualifying reorganisation (see MTT44030).
- Condition B - The transferee and transferor are members of the same group, and:
  - The transferee and transferor are located in the same territory,
  - The transferee and transferor are included in the same tax consolidation group in that territory, and
  - An election to exclude intra-group transactions has effect in relation to those members at the time of the transfer (see MTT21120).

Neither condition met – carrying value to be used

If neither of the above conditions are met, the value of the assets or liabilities (for the purpose of determining the member's adjusted profits) is:

- The carrying value of those assets or liabilities immediately after the transfer, as determined under the accounting standard used in determining the underlying profits of the member, and
- After any adjustments required when calculating the adjusted profits (see MTT21000+).

Neither condition met - adjustment to arm's length basis

The adjusted profits are to be adjusted to ensure a transfer is reflected on an arm's length basis where:

- Neither condition A nor B is met,
- The transfer is from another member of the group, and
- Neither a gain nor a loss is recorded in the underlying profits accounts of the transferor in respect of the transfer.

The transfer must be reflected on an arm's length basis (see MTT21230) for both transferor and transferee.

Non-qualifying gain or loss made on transfer in the course of qualifying reorganisation – treatment of asset for transferee

Where:

- A member of a group transfers an asset or liability to another entity in the course of a qualifying reorganisation,
- That member recognises a non-qualifying gain or loss on the transfer, and
- The transferee is a member of a group,

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the value of the assets or liabilities is to be adjusted to exclude the non-qualifying gain or loss, in a manner consistent with the tax treatment of the assets or liabilities, when determining the adjusted profits of the transferee (for either MTT or Domestic Top-up Tax).

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45110 Investment entities – Definitions of "investment entity" and "insurance investment entity"

Definitions of investment entity and insurance investment entity are set out in section 236 of Finance (No.2) Act 2023.

See MTT10250 for guidance on the meaning of investment fund.

Investment entity

An entity is an investment entity if it is:

- An investment fund,
- A UK REIT or overseas REIT equivalent (see MTT10250),
- An entity:
    - That is 95% owned by one or more investment funds, UK REITs, or overseas REITS, and
    - Whose activities consist, wholly or almost wholly, of the holding of assets or the investment of funds for the benefit of those owners,
- An entity:
    - That is 85% owned by one or more investment funds, UK REITs, or overseas REITS, and
    - Whose income is wholly or almost wholly excluded dividends or excluded equity gains, or a mixture thereof, or
- An insurance investment entity.

See MTT17050 for guidance on determining the percentage ownership interest of an entity held by a class of entities.

Insurance investment entity

An entity is an insurance investment entity if it meets the following conditions:

- It is not an investment fund, but would be if it were designed to pool assets from more than one investor, or if there were no requirement for some of the investors to be not connected,
- The income or gains the entity is designed to generate are intended to offset liabilities under insurance or annuity contracts,
- No person other than members of the group has ownership interests in the entity, and
- Regulated entities hold 100% of the ownership interests in it.

See MTT17050 for guidance on determining the percentage ownership interest of an entity held by a class of entities.

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45120 Investment entities – Calculating the top-up amount of an investment entity

The following process is used to determine the top-up amount of an investment entity.

Step 1 – Determine the adjusted profits of the entity for the period. If the adjusted profits are nil or less, the top-up amount is nil.

Step 2 – Make any further adjustments to the adjusted profits that are required (see MTT45130).

Step 3 – Determine the substance based income exclusion for the entity (see MTT45140).

Step 4 – Make any further adjustments to the substance based income inclusion that are required (see MTT45150).

Step 5 – Subtract the substance based income exclusion amount (after any further adjustment have been made) from the adjusted profits (after any further adjustments have been made).

Step 6 – Determine the investment entity effective tax rate for the period (see MTT45150).

Step 7 – Subtract the investment entity effective tax rate from 15%. If the result is nil or less, the top-up amount is nil.

Step 8 – Multiply the result of Step 7 by the result of Step 5.

Additionally, if the taxable distribution method election (see MTT45170) applies to the entity, the positive undistributed income amount must be added to Step 8 to determine the top-up amount of the investment entity.

This is set out in section 220 of Finance (No.2) Act 2023.

Determining the adjusted profits of an investment entity

In the legislation, the term "standard member" is used to refer to the main subgroup in a territory for which the effective tax rate and top-up amounts are determined.

Investment entities are not standard members, and their effective tax rate and top-up amounts are determined separately from the standard members.

When applying the rules of Chapter 4 to an investment entity, the term "standard member" should instead be taken as a reference to the members of the subgroup in question.

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45130 Investment entities – Further adjustments required to adjusted profits and covered taxes

An adjustment may be required when calculating the top-up amount of an investment entity where an election applies in relation to an ownership interest in the entity, or where ownership interests in the entity are held by a person that is not a member of the group.

There are two types of adjustment that may be required, which are:

- External holding adjustments, and
- Election adjustments.

The relevant rules are set out in section 223 of Finance (No.2) Act 2023.

Conditions

An external holding adjustment is required if:

- A person that is not a member of the group has ownership interests in an investment entity (see MTT17020), and
- A tax transparency election does not apply in relation to the investment entity.

An election adjustment is required if:

- A tax transparency election applies in relation to an investment entity, or
- A taxable distribution method election applies in relation to the investment entity.

See MTT45160 for guidance on the tax transparency election and MTT45170 for guidance on the taxable distribution method election.

Adjustment to be made

Where an adjustment is required, the adjusted profits, substance based income exclusion amount, and covered tax balance of the investment entity are each reduced by a percentage (the "adjustment factor").

The adjustment factor is different for each of the two types of adjustment.

Both types of adjustment required

Note that, where both an election adjustment and an external holding adjustment are required, the external holding adjustment must be made first.

Amount allocated to investment entity in relation to a CFC regime

Where the covered tax balance of an investment entity includes an amount allocated to it in relation to a controlled foreign company regime (see MTT25500), that amount is to be disregarded for the purpose of either type of adjustments.

Adjustment factor

To determine the adjustment factor for an external holding adjustment, divide:

- The amount of profits of the investment entity that are attributable to ownership interests held by persons that are not members of the group, by
- The adjusted profits of the investment entity (determined in accordance with the rules at 21000+, and ignoring any further adjustments required under section 223).

To determine the adjustment factor for an election adjustment, divide:

- The amount of profits of the investment entity that are attributable to ownership interests held by the owners in relation to which a relevant election has been made, by

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- The total amount of profits of the investment entity attributable to ownership interests held by members of the group.

Determining the amount of profits attributable to an ownership interest

The amount of profits attributable to an ownership interest is determined by the same method as is used when determining the inclusion ratio (see 'Attribution of adjusted profits', MTT05140).

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45140 Investment entities – The substance based income exclusion

The substance based income exclusion (SBIE) amount for investment entities is determined on an entity-by-entity basis, in accordance with section 221 of Finance (No.2) Act 2023.

For members other than investment entities, the substance based income exclusion is determined on a territory-by-territory basis. See MTT32000 for guidance on the SBIE for members other than investment entities.

Calculating the substance based income exclusion amount

The SBIE amount of an investment entity consists of:

- A percentage of the eligible payroll costs of the entity, and
- A percentage of the eligible tangible asset amount of the entity.

These amounts, and the percentage figure, are determined for investment entities in the same way as they are ordinarily (see MTT32000). The only difference is that the amount is calculated on an entity-by-entity basis.

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45150 Investment entities - Calculating the effective tax rate of a territory

When calculating the top-up amount of an investment entity (see MTT45120), it may be necessary to determine the investment entity effective tax rate (ETR) of the territory of that investment entity, to complete Step 6.

The investment entity ETR for a period is calculated under the following process, in accordance with section 222 of Finance (No.2) Act 2023.

Step 1 – Determine the adjusted profits of each of the investment entities in the territory, after any further adjustments have been made (see MTT45130).

See MTT21000+ for general guidance on determining adjusted profits.

Step 2 – Find the net amount of those adjusted profits.

Step 3 – If the net adjusted profits is nil or less, the investment entity ETR is treated as being 15%.

Step 4 – Determine the covered tax balance of each investment entity (see MTT25000+).

Step 5 – Make any further adjustments to the covered tax balance that are required (see MTT45130).

Step 6 – Find the net of the covered tax balances of all the investment entities in the territory (after any further adjustments have been made).

Step 7 – Divide the net covered tax balances (Step 6) by the net adjusted profits (Step 2).

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45160 Investment entities – Tax transparency election

By election, an investment entity may be treated as a transparent entity for MTT purposes. This election is set out in section 213 of Finance (No.2) Act 2023.

The election is made where a member of a group holds an ownership interest (either direct or indirect) in an investment entity that is a member of the same group. This means that an investment entity might be treated as transparent only to a certain extent as a result of the election. If the investment entity is owned by multiple members, and it is desired for the investment entity to be treated as transparent for each of those members, an election must be made in respect of each owner.

A tax transparency election is a long term election. See MTT52200 for guidance on elections.

Conditions

A tax transparency election can be made where:

- An ownership interest in an investment entity is held by a member of the same group,
- The ownership interest gives rise to a share of profits,
- A taxable distribution method election has not been made in respect of the ownership interest, and
- Either:
  - The owner is subject to tax in the territory which it is located on increases in the fair value of the ownership interest, and the applicable rate of tax is at least 15%, or
  - The owner is a regulated mutual insurance entity.

See MTT45170 for guidance on the taxable distribution method election, which is a similar election that is made in respect of ownership interests in an investment entity.

Effect of an election

Where the election applies, the following treatment applies for the purpose of determining the adjusted profits and covered tax balance of the investment entity:

- The investment entity is to be treated as a flow-through entity,
- The investment entity is to be treated as being regarded as tax transparent in the territory of the owner, and
- The owner is treated as having direct ownership interest in the investment entity.

Where the investment entity itself would have had amounts of adjusted profit or covered taxes allocated to it (ignoring the tax transparency election), those amounts are to be so allocated to the investment entity and then reallocated to the owner in accordance with the election.

See MTTxxxxx for guidance on reallocating the profits of a flow-through entity and MTTxxxxx for guidance on reallocating the tax expense of a flow-through entity.

Determining the direct ownership interest held by an owner

When determining the direct ownership interest held by an owner in an investment entity:

- Section 246(1)(b) is not to be applied, and
- Only ownership interests giving rise to a share of profits are to be considered.

See MTT17030 for guidance on calculating percentage direct and indirect ownership interests.

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Regulated mutual insurance entity
An entity is a regulated mutual insurance entity if:

- It is regulated or authorised to carry on insurance business, and
- It is wholly owned by persons with which it has entered into insurance contracts.

Determining a gain or loss after the revocation of a tax transparency election
In the first year following the revocation of a tax transparency election (the "revocation period"), any gains or losses made by the investment entity on the disposal of an asset or liability are to be determined by reference to the fair value of the asset or liability on the first day of that period.

In any subsequent period for which the election does not apply, any gains or losses made by the investment entity on the disposal of an asset or liability are to be determined:

- Where the investment entity accounts for its assets on a realisation basis, by reference to the fair value of the asset or liability on the first day of the revocation period, or
- Where the investment entity accounts for its assets on a fair value basis, by reference to the fair value of the asset or liability at the end of the accounting period that precedes the period of disposal.

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45190 Investment entities – Attributing top-up amounts to responsible members

In MTT, top-up amounts are determined on an entity-by-entity basis, and then attributed to a responsible member which is charged to MTT.

Where an investment entity has a top-up amount (including an additional top-up amount), the amount is attributed to responsible members using broadly the ordinary method (see MTT05130). However, the inclusion ratio (see MTT05140) is determined using a slightly different method.

These differences are set out in section 225 of Finance (No.2) Act 2023.

See MTT05100+ for general guidance on chargeability in MTT, including responsible members.

See MTT45120 for guidance on determining the top-up amount of an investment entity.

Adjusted profits to reflect further adjustments required

The adjusted profits of investment entities are subject to further adjustments (see MTT45130) to which standard members are not subject.

When determining the inclusion ratio for the top-up amounts of an investment entity, these further adjustments should be reflected in the investment entity's adjusted profits.

Adjusted profits to include undistributed income amounts

Where the taxable distribution method applies to an investment entity, the entity may have an undistributed income amount, which is to be included in its adjusted profits.

When determining the inclusion ratio for the top-up amounts of an investment entity, any undistributed income amount should be included in the investment entity's adjusted profits.

None of the adjusted profits to be regarded as attributable to ownership interests held outside of the group

The inclusion ratio is determined in reference to the ownership interest held by the responsible member, as a proportion of all ownership interests held in the member with the top-up amount.

Where the member with the top-up amount is an investment entity, only the ownership interests held by members of the same group are to be considered when determining the inclusion ratio. Entities that are not members of the group are to be ignored.

The effect of this is that the aggregate inclusion ratio of the responsible members of an investment entity will be 1, ensuring that the entire top-up amount calculated for an investment entity is attributed to a responsible member.

This alteration is needed because the external holding adjustment (made as part of the further adjustments in MTT45130) ensures that the top-up amount of an investment entity will not include any amounts attributable to non-members of the group. It is therefore not necessary for any of the top-up amount to be attributed to non-members of the group as part of the inclusion ratio.

Example

Investment Ltd is an investment entity. It has a top-up amount of 10 that must be attributed to the responsible member or members.

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The total adjusted profits of Investment Ltd, after further adjustments have been made, is 100. There is no undistributed income amount.

Investment Ltd is 80% owned by its parent, A Ltd, which is a member of the same group. A Ltd is the only responsible member of Investment Ltd.

The remaining 20% of the ownership interests in Investment Ltd are held by Z Ltd, which is not a member of the group.

Because Investment Ltd is an investment entity, the ownership interests of Z Ltd are to be ignored when determining the inclusion ratio.

The inclusion ratio of Investment Ltd is determined as follows:

Step 1 – The total adjusted profits of Investment Ltd, after further adjustments have been made, is 100.

Step 2 – None of those profits are to be attributed to ownership interests held outside the group.

Step 3 – The product of Step 1, less the product of Step 2: 100 – 0 = 100.

Step 4 – The inclusion ratio is the product of Step 3 divided by the product of Step 1: 100 / 100 = 1.

The inclusion ratio of A Ltd in respect of Investment Ltd is 1.

The top-up amount attributed to A Ltd is the top-up amount of Investment Ltd multiplied by the inclusion ratio: 100 * 1 = 100.

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45200 Investment entities – Safe harbours

The QDMTT and transitional safe harbours apply differently for investment entities.

QDMTT safe harbour

The QDMTT safe harbour election is made separately for investment entities.

Generally, the normal QDMTT safe harbour rules apply. However, there are variations to the disqualifying conditions for investment entities.

See MTT15120 for further guidance.

Transitional safe harbour

Investment entities are usually excluded from the transitional safe harbour calculations. An exception applies where the investment entity and all the members of the group with a direct ownership interest in the investment entity are located in the same territory. See MTT15960 for further guidance.

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45210 Investment entities – Domestic Top-up Tax

For wholly domestic groups and entities, an investment entity is an excluded entity for DTT purposes (see MTT10020).

For multinational groups, top-up amounts of investment entities are determined, but only brought into charge where there is a qualifying entity in the UK that is a standard member.

This is set out in sections 267 and 272(8)(e) to (11) of Finance (No.2) Act 2023.

Investment entities – multinational groups

For multinational groups, an investment entity is not a qualifying entity (see MTT10010), but is still treated as member of the group under DTT for the purposes of:

- Determining its top-up amount, and whether that amount is to be attributed to another member of the group, and
- Assessing whether the group meets the revenue threshold for DTT purposes (see MTT11020).

For any other purpose, including chargeability, an investment entity is treated under DTT as not being a member of a group.

Investment entities – top-up amounts of investment entities attributed to standard members

The top-up amount (including additional top-up amounts) calculated for an investment entity is to be included in the total top-up amount for qualifying entities that are standard members of the group, where:

- The investment entity is located in the UK, and
- A qualifying entity in the same group as the investment entity is located in the UK.

Where the total top-up amount for the standard members was nil prior to the attribution of investment entity top-up amounts, the attributed top-up amount is to be divided equally among those standard members.

Where there is no qualifying entity that is a standard member, top-up amounts of investment entities are not brought into charge.

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45600 International shipping exclusion - Overview

Revenue generated and costs incurred in international shipping activity are excluded from the effective tax rate (ETR) calculation. The exclusion may apply to any international shipping activity conducted by a member of a qualifying multinational group. It is not necessary for the member of the group to have international shipping as their main business.

This exclusion was introduced to reflect the special treatment of the shipping industry by corporate tax regimes. Shipping enterprises are generally taxed under an alternative regime, such as the UK's tonnage tax regime.

International shipping activity is divided into two categories:

- Core international shipping, profits from which are excluded in full.
- Ancillary international shipping, profits from which are excluded up to a cap of 50% of the core international shipping profits for the jurisdiction (see MTT45625).

The exclusion is set out in sections 156 to 158 of Finance (No.2) Act 2023.

Strategic and commercial management condition

A member of the group will only qualify for the international shipping exclusion for a period if, in that period, the strategic or commercial management of each ship used in international shipping is effectively carried on from the territory in which the member is located. See MTT18000+ for guidance on locating entities.

This condition is met if either the strategic or commercial management of each ship is effectively carried on from that territory.

Note that the test is applied to all ships under the control of the member, whether owned, leased, or under any other arrangement.

Example

Ferry Ltd is a member of a qualifying multinational group that is located in the UK. Its business consists solely of transporting passengers by ship from one territory to another.

In the period ending in 2035, Ferry Ltd had ten ships that were used in its trade.

The strategic management of six of these ships was carried on within the UK. The commercial management of three of the other ships was carried on within the UK. Neither the strategic nor the commercial management of the tenth ship was carried on within the UK.

Ferry Ltd is not eligible for the international shipping exclusion for the 2035 period because:

- The strategic management of one of its ships was not carried on from the territory in which it is located,
- The commercial management of that ship was not carried on from that territory, and
- That ship was used for international shipping by Ferry Ltd in that period.

Meaning of "international shipping"

International shipping is defined as the transportation of passengers or cargo by ship between different territories.

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Towing and dredging are specifically excluded from the definition.

Interaction with substance based income exclusion (SBIE)
When determining the SBIE amount, amounts that have already been excluded from adjusted profits under the international shipping exclusion cannot also be included in the SBIE amount. This includes both payroll costs and the value of tangible assets attributable to the generation of core or ancillary international shipping profits.

See MTT32060 for guidance on the interaction between the international shipping exclusion and the SBIE amount.

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45610 International shipping exclusion – Core international shipping profits

The core international shipping profits of a member of a group consists of:

- Its core international shipping revenue, less
- Its core international shipping costs.

The member's underlying profits are adjusted to exclude this figure.

This is set out in section 157 of Finance (No.2) Act 2023.

Core international shipping revenue

The member's core international shipping revenue consists of all revenue earned by the member in consideration for its performance of core international shipping activities.

Core international shipping costs

The member's core international shipping costs consist of:

- All costs incurred by the member that are directly attributable to the performance of core international shipping activities, and
- A proportion of costs indirectly attributable to the performance of those activities.

That proportion is given by multiplying the total amount of those indirectly attributable costs by:

- The core international shipping revenue of the member for the period, divided by
- The total revenue of the member for the period.

Core international shipping activities

Core international shipping activities are:

- Carrying out international shipping (see MTT45600).
- Leasing out a ship to be used for international shipping, where the ship is fully equipped, crewed and supplied.
- Leasing out, to a member of the same group, a ship to be used for core international shipping activity.
- Arranging for international shipping to be carried out under slot-chartering arrangements.
- The sale of a ship that has been used in international shipping, where the ship has been held for use by the member for at least one year (not necessarily the year immediately prior to the sale).

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45620 International shipping exclusion – Ancillary international shipping profits

The ancillary international shipping profits are calculated in the same way as the core profits, with the exception of the ancillary international shipping cap.

The ancillary international shipping profits of a member of a group consists of:

- Its ancillary international shipping revenue, less
- Its ancillary international shipping costs, less
- Its ancillary international shipping cap adjustment (see MTT45625).

The member's underlying profits are adjusted to exclude this figure.

This is set out in section 158 of Finance (No.2) Act 2023.

Ancillary international shipping revenue

The member's ancillary international shipping revenue consists of all revenue earned by the member in consideration for its performance of ancillary international shipping activities.

Ancillary international shipping costs

The member's ancillary international shipping costs consist of:

- All costs incurred by the member that are directly attributable to the performance of ancillary international shipping activities, and
- A proportion of costs indirectly attributable to the performance of those activities.

That proportion is given by multiplying the total amount of those indirectly attributable costs by:

- The ancillary international shipping revenue of the member for the period, divided by
- The total revenue of the member for the period.

Ancillary international shipping activities

Ancillary international shipping activities consist of the following (insofar as they are performed primarily in connection with international shipping):

- Leasing out (other than to a member of the multinational group) a ship to be used for international shipping, where the ship is not fully equipped, crewed and supplied, and the lease does not exceed three years.
- Selling tickets for a domestic leg of an international voyage carried out by a third party.
- Leasing out a container of a kind that is used for international shipping.
- Storing such a container for a short period, or leasing out a space to be used for such storage.
- Engineering, maintenance, cargo handling, catering, and customer relations services.
- Holding assets necessary for the member to carry out a core activity.
- The disposal of emissions allowances that is necessary for the member to hold to carry out international shipping.

When determining whether a lease exceeds three years, it is necessary to consider any other relevant arrangements. This ensures that leases of longer than three years will not be treated as ancillary activity as the result of, for example, being split up into separate contracts.

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45625 International shipping exclusion - Ancillary international shipping cap adjustment

The amount of ancillary international shipping profits that can be excluded through the international shipping exclusion is capped at 50% of the core international shipping profits.

The cap is first calculated at the level of the territory, with any necessary adjustment then being apportioned between relevant members when determining their ancillary profits.

This is set out in section 158(8) of Finance (No.2) Act 2023.

Calculation

The cap threshold for the territory and the cap adjustment for each member can be determined through the following steps:

Step 1: Determine the core international shipping profits for all the members in the territory.

Step 2: If step 1 produces a positive figure, multiply by 0.5 to find the cap threshold for the territory. Otherwise, the cap threshold is nil.

Step 3: Determine the net ancillary international shipping profits for all the members in the territory (ignoring the cap adjustment itself).

Step 4: Subtract the cap threshold from the result of Step 3 to find the total cap adjustment for the territory. If the result is nil or less, there is no cap adjustment for any of the members in the territory. Otherwise, proceed to step 5.

Step 5: The cap adjustment for the territory is allocated between those members which have positive ancillary profits, apportioned according to the following formula:
(Ancillary profits of the individual member) / (Ancillary profits of all the members in the territory which have positive ancillary profits)

Interaction with substance based income exclusion (SBIE)

Amounts that have not been included in the international shipping exclusion because they exceed the ancillary cap can be included in the SBIE amount. See MTT32060 for further guidance.

Example 1a – core profits, ancillary profits

Z Ltd is a member of a group which has four other members located in this territory in the period ending in 2041.

All five of these members have international shipping business. Altogether, they have £1000 of core international shipping profits for the period.

Z Ltd has ancillary profits of £700. A1 Ltd and A2 Ltd have ancillary profits of £50 each. A3 Ltd has a net loss from ancillary activities of £20. A4 Ltd has neither a gain nor a loss from ancillary activities.

Step 1: The core international shipping profits for all the members is £1000 in total.

Step 2: The cap threshold for the territory is (£1000 * 0.5) = £500.

Step 3: The ancillary profit for the territory is (£700 + £50 + £50 - £20 + £0) = £780.

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Step 4: The cap adjustment for the territory is (£780 - £500) = £280.
Step 5: The proportion of the cap adjustment allocated to Z Ltd is (£700 / (£700 + £50 + £50)) = 0.875. (0.875 * £280) = £245.

Z Ltd will therefore have ancillary international shipping profits of £455 after deducting the cap adjustment (£700 - £245).

The remaining amount of the cap adjustment will be allocated between the other members which have ancillary profits (A1 Ltd and A2 Ltd).

A3 Ltd and A4 Ltd are not included in the calculation at step 5 because they do not have ancillary international shipping profits (A3 Ltd having a loss from ancillary activities and A4 Ltd having neither profit nor loss).

Example 1b – ancillary profits do not exceed cap threshold
The group amends its information return for the period ending in 2041. It now reports that Z Ltd has made £400 of ancillary profits, rather than £700. The other figures have not changed.

The result of step 3 is now £480, and the result of step 4 is therefore (£480 - £500) = -£20. As the result of step 4 is nil or less, there is no cap adjustment for any member located in the territory for this period.

Example 2a – core loss, ancillary profit
In the following period, ending in 2042, the five members located in the territory have made an aggregate loss of £500 from core international shipping activity.

Z Ltd made an ancillary profit of £200. A1 Ltd made a loss of £100 from ancillary activities. The other members made neither a profit nor a loss.

As this figure is nil or negative, the cap threshold determined at step 2 will be nil.

Step 1 – The core international shipping profits for the territory are -£500.

Step 2 – This is nil or less, so the cap threshold is nil.

Step 3 – The ancillary profit for the territory is (£200 - £100 + £0 + £0 + £0) = £100.

Step 4 – The cap adjustment for the territory is (£100 - nil) = £100.

Step 5 – For A1 Ltd, the cap adjustment is nil because it has no profit from ancillary activities. It therefore has ancillary international shipping profits of -£100. This is added back to the underlying profits as a result of the shipping exclusion.

The proportion of the cap adjustment allocated to Z Ltd is (£200/£200) = 1. (1*£100) = £100. This is deducted from the £200 net profits from ancillary activity to arrive at its ancillary international shipping profits of £100.

In aggregate, the ancillary international shipping profits for the territory is nil. This is correct because:

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- The core international shipping profits are negative, so the threshold of the cap is set to nil.
- Prior to applying the cap, the territory has net ancillary international shipping profits, and these must be reduced to nil for the territory overall.

Example 2b – core loss, ancillary loss

The group amends its information return for the period ending in 2042. It now reports a loss of £300 from ancillary international shipping activities for Z Ltd, rather than a profit of £200. The other figures have not changed.

The result of Step 3 is now (-£300 - £100) = -£400, and the result of step 4 is also (-£400 - £0) = -£400. As this is less than or equal to zero, there is no cap adjustment for the members located in the territory for this period.

The entirety of the -£400 will be reflected in the shipping exclusion. This is correct because:

- The core international shipping profits are negative, so the threshold of the cap is set to nil.
- Prior to applying the cap, the territory has net ancillary international shipping profits of -£400. This is mathematically beneath the threshold of nil, so the threshold is not exceeded and there is no need for a cap adjustment.

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49000 Transitional provisions

Certain MTT provisions only apply when a group first enters the regime, or in the first years of the regime. These transitional provisions are set out in Schedule 16 of Finance (No.2) Act 2023.

Intra-group transfers before entry into regime

For intra-group transfers taking place on or after 1 December 2021, a special rule may apply to prevent a step-up in basis for MTT purposes. This rule is not necessary if the transferor is subject to a Pillar 2 tax at the time of the transfer, because any gain on the transfer will be included in the adjusted profits for the purposes of the tax.

See MTT49010 for guidance on intra-group transfers.

Transitional relief for substance-based income exclusion (SBIE)

For periods commencing in 2032 or earlier, there are different rates applied for the purposes of calculating the SBIE amount. See MTT32000 for guidance on calculating the SBIE.

These rates also apply for the purpose of determining the SBIE amount for the purpose of the routine profits test under the transitional safe harbour (see MTT15950).

Transitional safe harbour

For periods commencing on or before 31 December 2026 and ending on or before 30 June 2028, a group may qualify for the transitional safe harbour for a territory. This aims to reduce the compliance burden of groups in the early years of the regime. See MTT15900+ for guidance on the transitional safe harbour.

Transitional reporting election

For periods ending on or before 31 December 2028 and ending before 1 July 2030, a group may elect, under certain circumstances, for different reporting requirements to apply in respect of a territory. See MTT52900 for guidance on the transitional reporting election.

Domestic Top-up Tax

[Guidance to be drafted on paragraph 45 of FA24.]

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49010 Intra-group transfers before entry into regime

A targeted anti-avoidance rule applies to prevent an increase to the carrying value of an asset being recognised for MTT purposes, where that increase arises as a result of an intra-group transfer made before MTT or other equivalent taxes apply to the transferor.

Deferred tax assets relating to the transferred asset may be limited.

The rule is set out in paragraph 2, Schedule 16 of Finance (No.2) Act 2023.

Conditions

- An asset is transferred between two members of a group in an accounting period,
- The transferor was not subject to MTT or a foreign equivalent in that period,
- The transferor was not subject to a qualifying domestic top-up tax in that period, and
- The transfer took place on or after 1 December 2021.
- The asset is not manufactured, and is not of a type sold, in the course of carrying on a trade by either the transferor or transferee.

Meaning of "subject to MTT or a foreign equivalent"

When determining whether the transferor was subject to MTT or a foreign equivalent, it is not considered subject to MTT for the purpose of this rule solely because another member of the group in the same territory is subject to the tax. This can happen in the case of intermediate parent members, which may be the responsible member for only some of the members of the group in the member's territory. See MTT05110 for guidance on responsible members.

Additionally, a member will not be considered to be subject to MTT if the QDMTT safe harbour (see MTT15100) applies to it.

Effect

Where the rule applies:

- The value of the asset is treated for MTT purposes as being the carrying value of the assets in the hands of the transferor immediately prior to the transfer, and
- Any deferred tax asset arising in relation to the assets in the underlying profits of the transferee is limited to the lesser of:
    - The cap amount, and
    - The value of deferred tax assets that arose in relation to the assets before their transfer and the tax paid amount.

Additionally, where the relevant time is later than the date of the transfer (i.e., when the transferee first becomes subject to MTT or a foreign equivalent):

- The value of the assets at the relevant time is to be adjusted to reflect:
    - Capitalised expenditure incurred from the date of transfer to the relevant time, and
    - Amortisation and depreciation of the assets, determined as they would have been by the transferor using the accounting policies and rates that were previously used, and
- The tax paid amount and the value of deferred tax assets arising in relation to the asset are adjusted accordingly.

Relevant time

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The “relevant time” is the later of:

- The date of the transfer, and
- The commencement of the first period in which the transferee is subject to MTT or a foreign equivalent.

Value of deferred tax assets

When determining the value of deferred tax assets arising in relation to the asset:

- If the rate of tax in relation to the asset exceeds 15%, it is to be valued as though the rate had been 15%, and
- Exclude the impact of any valuation adjustments or accounting recognition adjustments.

Tax paid amount

The tax paid amount is the sum of:

- The amount of tax expense of the transferor in relation to the transfer of assets that relates to covered taxes, and
- The amounts of qualifying current tax expense relating to the transfer of assets that would have been allocated to the transferor as a result of section 177 or 179 (see MTT41040 and MTT25500), assuming that:
    - The ultimate parent had been located in the UK and period of transfer had commenced on or after 31 December 2023 (i.e., the whole group were subject to MTT for the period), and
    - The restriction in section 179(2) on the allocation of mobile income were ignored.

When determining the tax expense of the transferor:

- Where a loss arising in the period of transfer is offset against a taxable gain arising on the transfer, ignore that offsetting, and
- Exclude the impact of any valuation adjustments or accounting recognition adjustments.

Cap amount

The cap amount is the amount given by:

- Dividing:
    - The amount of tax expense of the transferor in relation to the transfer of assets that relates to covered taxes, by
    - The nominal rate of tax to which the expense relates, and
- Multiplying the result of that division by 15%.

This means the cap amount is 15% of the value of the asset grossed up from the tax expense paid by the transferor on the asset.

Election to disapply the rule

Where the cap amount is exceeded by the sum of:

- The tax paid amount, and
- The value of deferred tax assets that arose in relation to the assets before their transfer,

the group may elect that the rule to be disapplied.

This is an annual election that is made in respect of a transfer. See MTT52200 for guidance on making elections.

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Meaning of "transfer of assets"
For the purpose of this rule, a "transfer of assets" includes a transaction relating to assets that does not result in a change in their ownership, if the transaction has a similar effect for accounting purposes to a change in ownership of the assets.

Series of transfers
Where there are a series of intra-group transfers, and each of those transfers meet the conditions of this rule, that series of transfers is treated as a single transfer.

In such a case:

- The value of the asset is to be treated as the carrying value of the asset in the hands of the transferor in the first transfer of the series,
- The cap amounts, tax paid amounts, and value of deferred tax assets are to be aggregated,
- The "date of transfer" when determining the relevant time is the date of the last transfer in the series, and
- The "transferee" when determining the relevant time is the transferee in the last transfer of the series.

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50100 Overview of administration

HMRC are responsible for collecting and managing the Multinational Top-up Tax (MTT). Schedule 14 sets out the legislative framework under which payment of MTT is to be administered.

The following pages provide some practical guidance in support of the legislation.

MTT51000+ provides guidance on the filing member and the obligations of the filing member. MTT is applied to groups, but administration is simplified by the selection of a single member of the group as the point of contact for compliance.

MTT52000+ provides guidance on the information return, also known as the GloBE Information Return.

MTT53000+ provides guidance on the self-assessment return.

MTT54000+ provides guidance on the payment date, interest, group payment notices, and relief of overpaid tax.

MTT55000+ provides guidance on compliance, including compliance checks, discovery assessments, HMRC determinations, penalties, appeals, and reviews.

Domestic Top-up Tax

Domestic Top-up Tax (DTT) is generally administrated in the same way as MTT. See MTT50200 for guidance on the administration of DTT.

Where this guidance refers to MTT, it is also referring to DTT, unless noted otherwise.

Accounting periods

References to accounting periods will refer to the accounting period of the consolidated financial statements of the group, rather than that of any individual member of the group. See MTT19520 for guidance on accounting periods.

Groups where the ultimate parent is not located in the UK

Note that groups which are headquartered outside of the UK are still required to register for MTT. See MTT51100 for guidance on identifying the filing member (which is obliged to register for MTT), and MTT51400 for guidance on the obligation to register.

Groups comprised entirely of excluded entities

Where all of a group's entities are excluded entities, it does not have administrative obligations. It is not required to register. See MTT50110.

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50110 Groups comprised entirely of excluded entities

Where a group is comprised entirely of excluded entities, they will not have an obligation to register or file returns.

Where all the UK members of a group are excluded entities, but the group has members in other territories, the group will need to register and file returns.

See MTT10200 for guidance on excluded entities.

See MTT51400 for guidance on registration.

See MTT52000 for guidance on the information return.

See MTT53000 for guidance on the self-assessment return.

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50200 Administration of Domestic Top-up Tax

Domestic Top-up Tax (DTT) is a tax that is calculated and administered in a similar way to Multinational Top-up Tax (MTT), with some exceptions. The guidance in this manual is generally applicable for both DTT and MTT, and references to MTT will also be references to DTT unless specified.

This page provides guidance on the differences in administration between DTT and MTT. See MTT06000 for a wider overview of DTT.

This is set out in paragraphs 3-5, Schedule 18 to Finance (No.2) Act 2023.

Differences in scope

MTT applies exclusively to multinational groups.

DTT can apply to entities in wholly domestic groups in addition to multinational groups. Consequently, any references in the guidance to multinational groups should be considered to include wholly domestic groups in the context of DTT.

MTT can only apply to groups, but DTT can apply to individual entities. In such a case, references in the guidance to a group, members of a group, or the filing member of a group, should be taken as references to the individual entity.

Filing member

The filing member for DTT will be the same as the MTT filing member. This is the case regardless of whether the filing member is the default filing member or a nominated alternative filing member.

The filing member will change for both taxes when an alternative filing member is nominated or when such a nomination is revoked or ceases to be valid (see MTT51200).

Filing member – individual entity in scope of DTT

It is possible for DTT to apply to an individual entity. In this case, the concept of identifying or nominating an alternative filing member will not be relevant as the entity will necessarily be responsible for all DTT obligations.

Registration

The registration process is the same for both DTT and MTT. Where a group is obliged to register for both, this can be done by a single registration.

The registration service for Pillar Two can be found on gov.uk: (Report Pillar 2 top-up taxes - GOV.UK (www.gov.uk)).

Registration – trigger day

The 'trigger day' is the first day of the first accounting period in which a member of the group that is located in the UK is a qualifying entity.

Penalties

The MTT penalty regime is replicated for DTT purposes. See MTT50210 for further guidance.

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50210 Administration of Domestic Top-up Tax – Penalties

The MTT penalty regime is replicated for DTT purposes. This is necessary because wholly domestic groups and entities will not be in scope of MTT.

Additionally, some penalties are tax-geared. The MTT and DTT liabilities will not overlap, so the penalty will need to be charged in respect of both taxes to ensure that the tax-geared element is charged on the aggregate liability.

This is set out in paragraph 6, schedule 18 to Finance (No.2) Act 2023.

Example

The filing member of a group has submitted a self-assessment return one week late. The self-assessment return contains information relating to both MTT and DTT.

The filing member will be charged a £100 penalty in respect of each of the taxes (see MTT55430).

Another multinational group submits its self-assessment return eight months late. It is necessary to charge a penalty in respect of both MTT and DTT because the penalty may be tax-geared.

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51000 Filing member

MTT applies to a group as a whole but, to simplify compliance, a single entity in the group is responsible for dealing with all aspects of administration relating to the MTT with HMRC. This entity is referred to in the legislation as the 'filing member'.

By default, the group's ultimate parent is the filing member, even when the ultimate parent is located outside of the UK. However, it is possible to nominate a different company within the group to be the filing member.

The following pages contain further guidance on the filing member.

This is set out in part 2, schedule 14 to Finance (No.2) Act 2023.

Domestic Top-up Tax

The filing member for DTT will be the same as the MTT filing member. This is the case regardless of whether the filing member is the default filing member or a nominated alternative filing member.

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51100 Identifying the filing member

By default, the filing member will be the ultimate parent of the group, even when it is located outside of the UK. A company that is a member of the group may be nominated as an alternative filing member (see MTT51200).

This is set out in paragraphs 2(1), (12) and (13), schedule 14 to Finance (No.2) Act 2023.

Ultimate parent is not a company

Where a trust or a partnership is the ultimate parent, the obligations may be discharged by certain partners or trustees (see MTT51300).

Multiparent groups

Where a multiparent group has not nominated a specific filing member, every ultimate parent in the multiparent group will be the filing member by default. Each of these entities will bear the obligations of the filing member (see MTT51300).

In all other cases, there will only be one filing member at any time.

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51200 Nominating an alternative filing member

The ultimate parent can nominate another company to be the filing member. If the ultimate parent does not nominate a company, or the nomination is not valid, then the ultimate parent of the group will be the filing member (see MTT51100).

For a nomination to be valid:

- The nominated filing member must be a company,
- It must be a member of the group, and
- The nomination must be made in writing.

The nominated company does not need to be a UK company, or have a previous registration with HMRC, although groups may decide it is convenient to use such a company.

The ultimate parent must provide the nominated company with everything it may reasonably require in order to comply with its obligations as the filing member.

This is set out in paragraph 2, schedule 14 to Finance (No.2) Act 2023.

Notifying HMRC

Although the nomination must be made in writing, it does not need to be submitted to HMRC. However, if HMRC requests a copy of the written nomination as part of a compliance check, the filing member will need to provide it.

Where there is a change in the filing member, the new filing member is obliged to inform HMRC of the change as part of its registration obligations (see MTT51400 - "Changes in registration information").

Ceasing to be a filing member

Once nominated, a company will continue to be the filing member until one of the following events occur:

- The ultimate parent makes a valid nomination for a different company to be the filing member,
- The filing member ceases to be a company,
- The filing member ceases to be a member of the group, or
- An HMRC officer or the ultimate parent revokes the nomination, which must be done in writing.

Revocations by HMRC

A nomination can only be revoked by an HMRC officer where the nominated filing member is failing to comply with its obligations. This includes cases where the ultimate parent has failed to provide the nominated filing member with all the resources the filing member needs to comply with its obligations.

HMRC will not revoke the nomination for a simple administrative failure. In general, HMRC will only revoke the nomination where the failure to meet an obligation is likely to increase the risk of a loss of tax. In such cases, HMRC will notify both the nominated company and the ultimate parent of the revocation.

The revocation takes effect from the date it is issued.

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Continuity following change in filing member
Where there is a change in filing member, there is a treatment of continuity between the old and new filing members. The new filing member assumes the obligations and liabilities of the old filing member, and anything done by or in relation to the old filing member is now treated as having been done by or to the new filing member.

Consequently, penalties may be imposed on the new filing member in relation to obligations that were previously obligations of the old filing member.

Anything done by HMRC in relation to the old filing member on the day HMRC receives notification of the change is treated as being done in relation to the new filing member. Anything in the process of being done at that time in relation to the old filing member may be considered in relation to the new filing member.

Notifying HMRC of a change in filing member
Where the filing member of a registered group changes, the new filing member must notify HMRC of the change by the later of:

- 6 months after the day the change occurs, or
- The registration date (see MTT51400).

Multiparent groups
In groups where there is more than one ultimate parent, a filing member can only be nominated if the nomination has been authorised in writing by every ultimate parent in the multiparent group.

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51300 Obligations of the filing member

The filing member is responsible for the following obligations:

- Registering with HMRC if the group qualifies for MTT (see MTT51400),
- Notifying HMRC when details of the filing member have changed (see MTT51400),
- Submitting information returns or overseas return notifications (see MTT52000),
- Completing the self-assessment return (see MTT53000),
- Making or revoking elections (see MTT52200), and
- Ensuring that the group keeps accurate records in respect of MTT (see MTT51500).

The filing member is the primary point of contact with HMRC in relation to the group's affairs concerning MTT, including any compliance activity. For example:

- HMRC must issue a notice of enquiry to the filing member if it wishes to enquire into a return.
- Assessments and determinations must be served on the filing member.
- Requests for information, and formal information notices where appropriate, should be made to the filing member, at least in the first instance. See MTT55250 for further guidance on information notices.

If the filing member fails to meet an obligation, or the group's self-assessment is found to be incorrect, the filing member may be liable to the following:

- Penalties for failure to comply with any of its obligations (see MTT55410, MTT55420, MTT55430 and MTT55450).
- Penalties for inaccuracies (see MTT55440).

Some of the group's rights must also be exercised by the filing member. For example, only the filing member can amend a return.

Where there is a change in the filing member, the new filing member takes on the obligations of the previous filing member.

This is set out in paragraph 3, schedule 14 to Finance (No.2) Act 2023.

Ultimate parent is not a company

Where the filing member is the group's ultimate parent, and that ultimate parent is not a company, the obligations of the filing member may be met by:

- Any general partner, in the case of a limited partnership,
- Any partner, in the case of any other partnership, and
- Any trustee, in the case of a trust.

In the case of any arrangement not listed above, the obligations of the filing member may be met by the person responsible for preparing its financial accounts.

Note that a limited liability partnership is a body corporate for MTT purposes.

Multiparent groups

If a group has more than one ultimate parent and does not appoint a filing member, each ultimate parent will bear the obligations of the filing member. However, each obligation only needs to be met by one of the ultimate parents.

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For example, where a multiparent group is required to register as a qualifying group, each ultimate parent has a responsibility to register. When one of the ultimate parents has registered, the obligation has been met, and the other ultimate parent(s) will not need to register. If none of the ultimate parents register, HMRC may apply penalties to all of the ultimate parents.

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51310 Administrative obligations - Dissolved partnership

In some cases, deemed continuity rules apply to partnerships to deem there to be continuity for the partnership (see MTT41110).

Where deemed continuity rules do not apply and a partnership is dissolved for MTT purposes, the partnership is treated as a continuing entity for the purpose of dealing with its rights and obligations under MTT, for all accounting periods up to dissolution.

For administration purposes, each person who was a partner of the partnership in the accounting period ending with the dissolution is treated as being a partner of that continuing entity.

This is set out in section 232A of Finance (No.2) Act 2023.

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51400 Registration

The filing member is obliged to register with HMRC if:

- The group is a qualifying multinational group for MTT purposes (see MTT10000), and
- It contains at least one member that is located in the UK (see MTT18000).

Note that groups which have an ultimate parent located outside of the UK are still required to register.

This is set out in paragraphs 6, 8 and 9 of Schedule 14 to Finance (No.2) Act 2023.

Registration process

The filing member registers by providing to HMRC:

- The name of the filing member.
- The name of the ultimate parent (if different to the filing member).
- The date of the first day of the first accounting period in which it becomes a qualifying multinational group (the 'trigger day').
- The end date of the accounting period in which the trigger day occurs.

The registration service is available on gov.uk.

Registration date

The filing member must register with HMRC no later than six months after the last day of the accounting period in which the trigger day occurred.

Example

XYZ Ltd is the filing member of XYZ Group and is located in the UK. The group's accounting periods are 12 months and end on 31 December each year. The group becomes a qualifying group for the first time for the period ending 31 December 2030. The first day of this period (the trigger day) is 1 January 2030.

The trigger day falls within the accounting period ending 31 December 2030. XYZ Ltd must register with HMRC by 30 June 2031.

Changes in registration information

If there is a change in the information that was submitted as part of the registration for MTT, the filing member must notify HMRC of the change by the later of:

- 6 months after the day the change takes place, or
- If the change occurs in the same period as the trigger day, the last day of that period.

Groups comprised entirely of excluded entities

Where all of a group's entities are excluded entities, it is not required to register.

Domestic Top-up Tax

The registration process will be the same process for DTT as for MTT. Where a group is obliged to register for both, it will be possible to do this by a single registration.

For DTT purposes, there is a different definition of "trigger day" (see MTT50200).

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51450 De-registration

A group that has registered for MTT may be de-registered by an HMRC officer.

A notice of de-registration will include an "effective date", from which the registration will cease to have effect. The registration will continue to have effect for the period ending immediately before that date.

De-registration may be appropriate where a group ceases to have an entity located in the UK. De-registration will ensure the group no longer has obligations to make returns or notifications to the UK in respect of MTT.

Where a registered group has ceased to be a qualifying group, but maintains a UK presence, a below-threshold notification may be more appropriate (see MTT53900).

This is set out in paragraph 7, Schedule 14 to Finance (No.2) Act 2023.

Conditions

An HMRC officer may de-register a group if:

- The filing member has applied for a de-registration notice, and
- The officer considers that the group will not be a qualifying group in the period containing the effective date, or any subsequent period.

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51500 Record-keeping

The filing member in a multinational group has a duty to keep and preserve such records as may be needed to enable it to deliver correct and complete returns.

The records can be maintained in any form.

This is set out in paragraph 31, schedule 14 to Finance (No.2) Act 2023.

Time limits

Unless otherwise specified by HMRC, records must be kept until the later of:

- The ninth anniversary of the last day of the accounting period to which the records relate, or,
- If a compliance check was opened into that accounting period on or before that date, the end of the period of 6 months beginning with the date a compliance check into that accounting period was completed.

HMRC may require these records at any time during this time period.

An earlier date may be specified by HMRC in a notice. HMRC may specify a different date for individual cases.

Penalties

The filing member may be liable to a penalty if it fails to comply with the record keeping duty. See MTT55450.

DRAFT

52000 The information return

The filing member is required to submit an information return to HMRC for each accounting period in which the group qualifies for MTT, unless the return has already been submitted to another authority outside the UK with which HMRC has an information sharing agreement (a 'qualifying authority'). In that case, an overseas return notification can be submitted instead.

This is set out in part 4, schedule 14 to Finance (No.2) Act 2023.

Overseas return notification

If the information return has already been submitted to another qualifying authority, the filing member is not required to submit the information return directly to HMRC (although it may still choose to do so). Instead, an 'overseas return notification' must be sent to HMRC.

The overseas return notification will include:

- The name of the jurisdiction to which the information return has been submitted.
- The name of the group member that submitted it.

HMRC will then obtain a version of the information return for that period from the qualifying authority using its automatic exchange of information processes.

Filing date

The information return or overseas return notification must be submitted to HMRC within 15 months of the end of the accounting period.

However, a group has 18 months to submit either an information return or overseas notification with HMRC for the first accounting period it is subject to MTT.

Amendments

The information return can be amended by notice to HMRC. Amendments to information returns can be made by the filing member in the period of 12 months starting on the due date of the return (see "time limits" above). The return can be amended any number of times within the time limits.

Penalties

Penalties may apply if the filing member fails to submit an information return or overseas return notification by the filing date. See MTT55420.

DRAFT

52100 The information return – Structure and format

The information return will contain the following information:

- Identification of the members of the group.
- Information on the corporate structure of the group.
- Information relevant to the determination of effective tax rates, top-up amounts, and allocation of top-up amounts.

The structure, format and contents of the information return is being developed further by HMRC and international partners at the OECD. This guidance will be updated when the structure and format are finalised.

This is set out in paragraph 10(2), schedule 14 to Finance (No.2) Act 2023.

DRAFT

52200 The information return – Making elections

A number of elections in the design of MTT allow for groups to simplify their compliance requirements. These elections must be made in the information return.

Where elections are made, they will apply to both Multinational Top-up Tax and Domestic Top-up Tax.

Some of these elections are made annually, while others (long term elections) will apply indefinitely once made.

Long term elections must apply for at least five accounting periods (the election period and the four subsequent periods) and can only be revoked from the sixth period onwards. Once revoked, a long term election cannot be made again for five periods.

This is set out in paragraphs 1-2, schedule 15 to Finance (No.2) Act 2023.

Long term elections

The following elections are long term elections:

- Section 127(8), excluded entities of a multinational group.
- Section 141(7), treat all portfolio holdings as short-term portfolio holdings
- Section 161, using the realisation principle in calculating certain gains and losses.
- Section 162, the treatment of stock-based compensation when determining members' underlying profits.
- Section 164, excluding intra-group transactions when determining members' underlying profits.
- Section 165, excluded equity gains or losses to be treated as not excluded.
- Section 166, adjusting underlying profits to exclude gains or losses relating to hedging currency risks.
- Section 187, the treatment of losses as special loss deferred tax asset.
- Section 213, the treatment of investment entities as a flow-through entity.
- Section 214, the taxable distribution method.

For a long term election to be valid, it must:

- Specify the first accounting period for which the election will apply,
- Be included in the information return for that period,
- Be made by the due date for that information return, and
- Not be made in one of the four periods following the revocation of the same election.

Revoking a long term election

Revocations of long term elections are also made in the information return. To be valid, a revocation must:

- Specify the first accounting period for which the revocation will apply,
- Be included in the information return for that period, and
- Be made by the due date for that information return.

Long term elections cannot be revoked in the four periods following the first election period.

Long term election under section 187 (treatment of losses as special loss deferred tax assets)

DRAFT

Special rules apply to an election made under section 187. An election under this section is made in respect of a particular territory. It can only be made once, in the return for the first accounting period in which the Pillar 2 rules apply to a standard member of the group located in that territory. It can be revoked in any subsequent period, but cannot be made again.

The election cannot be made in respect of a territory that has an eligible distribution tax system.

Where a group qualifies for the transitional safe harbour for a territory for a period, it does not need to make a section 187 election in that period. It can make the election in the return for the first period for which it has to complete the full calculations for that territory. See MTT15900 for further guidance on the transitional safe harbour.

Annual elections

The following elections are annual elections:

- Section 163, spreading certain capital gains over five years.
- Section 182(8), excluding the total deferred tax adjustment amount for the period.
- Section 186(2), deferred tax assets recorded at less than minimum rate
- Section 189, apply the deemed distribution tax amount to all members in a territory.
- Section 195(2), not to calculate the substance based income exclusion for a period.
- Section 199, to treat total top-up amount as nil.
- Section 205, to carry forward and reduce the collective additional amount.
- Section 216, assets and liabilities adjusted to fair value for tax purposes.
- Section 217(8), to treat a decrease in a liability in a prior period as insignificant.
- Section 221(4), not to calculate the substance based income exclusion for an investment entity.
- Paragraph 2(7) of Schedule 16, transitional arrangements for transfer of assets.
- Paragraph 3 of Schedule 16, the transitional safe harbour.

For an annual election to be valid, it must:

- Specify the accounting period for which the election will apply,
- Be included in the information return for that period, and
- Be made by the due date for that information return.

Amending an election

Within the time limits for amending an information return (see MTT52000), it is possible to amend a return so that an election or revocation is no longer included in the information return.

If such an amendment is made, the election or revocation is no longer included in the information return and is therefore not valid. An amendment is not a revocation.

Elections for Domestic Top-up Tax purposes

Some elections are only applicable for DTT purposes. These are:

- Section 271, an annual election to specify a single member of the group that is chargeable.
- Section 272(8)(a), a long term election which allows a wholly domestic group to use UK GAAP as an alternative accounting standard.

Aside from these, any election made in respect of MTT (or a foreign equivalent) is also made in respect of DTT, and vice versa. This ensures that the top-up amounts chargeable under DTT are the same amounts that would be charged under DTT.

DRAFT

52900 The information return – Transitional reporting election

The information return being developed with international partners at the OECD will require information on the adjustments to arrive at each members' adjusted profits and covered tax balance to be reported for each member of the group in all circumstances. It also requires the reporting of the additions and reductions for each adjustment.

The OECD Inclusive Framework has agreed a simplification which allows a group to elect to report under the transitional simplified jurisdictional reporting framework for an interim period. More information on this framework is within the GloBE Information Return document published in July 2023 on the OECD website.

The election is set out in paragraph 13, schedule 16 to Finance (No.2) Act 2023.

Conditions

The election can only be made in respect of an accounting period that begins on or before 31 December 2028 and ends before 1 July 2030.

In addition, one of the following conditions must be met for the territory for that period:

- There are no top-up amounts or additional top-up amounts.
- There are top-up amounts or additional top-up amounts, but they do not need to be allocated to different members, because there is only one responsible member responsible for all the members in the territory.
- There are top-up amounts or additional top-up amounts and multiple responsible members, but each responsible member is responsible for every member in the territory, and has the same inclusion ratio for each of those members.

See MTT32200 for further guidance on the allocation of the top-up charge between responsible members

Effect of the election

For each territory in respect of which an election is made, the group is not required to report all adjustments to the underlying profits, current tax expense or deferred tax expense on an individual member basis. These adjustments can be reported on a net basis.

Some adjustments will still need to be reported on a member-by-member basis, even when the transitional reporting election has been made. The notes to the information return will specify these adjustments.

The election does not remove the necessity for groups to maintain an accounting system that enables them to accurately and reliably undertake the GloBE calculations, and to have processes which allocate accounting information to each territory.

The transitional reporting election is an annual election. See MTT52200 for guidance on elections.

DRAFT

53000 The self-assessment return

The filing member of a registered group (see MTT51400) must submit a self-assessment return to HMRC for each accounting period, unless it has submitted a below-threshold notification.

The submission of the return will form the self-assessment of the group's total MTT liability as well as the liability of each member of the group for the period.

A self-assessment return or below-threshold notification must be submitted by all registered groups, including groups that do not have any MTT liability for the period and groups that do not have any responsible members in the UK for the period.

See MTT53900 for guidance on below-threshold notifications.

This is set out in part 5, schedule 14 to Finance (No.2) Act 2023.

Filing date

A self-assessment return, or valid below-threshold notification, must be submitted to HMRC within 15 months of the end of the accounting period.

However, a group has 18 months to submit the self-assessment return for the first accounting period it is subject to MTT.

See MTT55430 for guidance on penalties relating to the self-assessment return.

Amendments

The filing member may amend a self-assessment return by submitting a notice to HMRC. A return may be amended any number of times.

The time limit is 12 months beginning with the filing date (regardless of when the return was actually submitted).

HMRC will issue a notice to specify how amendments must be submitted.

DRAFT

53100 The self-assessment return - Structure and format

The self-assessment return will contain information on the group's UK charge to Multinational Top-up Tax and Domestic Top-up Tax. It will not contain detailed information on the calculations made to determine the amount of tax payable, which will be contained in the information return (see MTT52000+).

The structure and format of the self-assessment return is being developed further by HMRC. This guidance will be updated when the structure and format are finalised.

This is set out in paragraph 13(6), schedule 14 to Finance (No.2) Act 2023.

DRAFT

53900 Below-threshold notifications

The filing member of a group can submit a below-threshold notification (BTN) to HMRC. The BTN will be made once and remain in place until it becomes invalid. Its effect is to disapply the obligation to submit a self-assessment return.

A BTN can be submitted to HMRC for a specified accounting period when the filing member considers that the group is not a qualifying group in that accounting period is not expected to become a qualifying group again in any subsequent accounting period.

Once submitted, the notification will remain valid for each period in which the group is not a qualifying group and is not likely to become qualifying in the two following periods.

See MTT10000 for guidance on when a group is qualifying.

This is set out in paragraph 13(4)-(8), schedule 14 to Finance (No.2) Act 2023.

Withdrawing a below-threshold notification

A BTN is withdrawn when the filing member submits a self-assessment return. This includes a nil return.

The BTN will be automatically withdrawn when a self-assessment return is submitted for the period to which the BTN relates or any subsequent period.

Once the BTN has been withdrawn, the obligation to file a self-assessment return will resume until another valid BTN is submitted, or until the group is de-registered.

No effect on information return

The submission of a BTN only has an effect on the obligation to make a self-assessment return. The obligation to submit information returns is not affected. See MTT52000+ for guidance on the information return.

Example

XYZ Ltd is the ultimate parent and filing member of XYZ Group and is located in the UK. The Group's accounting periods run to 31 December. The group first became qualifying in the accounting period ending 31 December 2030 and registered with HMRC in June 2031. The group submits self-assessment returns for accounting periods ending 31 December 2030 to 31 December 2034.
XYZ Group's consolidated global revenues for accounting periods ending 31 December 2031 to 31 December 2035 are as follows:

Accounting period ending	Consolidated revenue (€ m)
31 December 2031	800
31 December 2032	700
31 December 2033	700
31 December 2034	700
31 December 2035	800

XYZ Group projects that their global revenues for the next two accounting periods will be:

Accounting period ending	Consolidated revenue (€ m)

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31 December 2036	800
31 December 2037	700

XYZ Group is not a qualifying group for the accounting period ending 31 December 2035 but have not met the conditions to file a BTN as XYZ Ltd expects to become a qualifying group in a subsequent period (the period ending 31 December 2037).

The group must continue to submit a self-assessment return for each period.

The consolidated revenue continues to decline in 2038 and subsequent periods. XYZ Ltd does not expect consolidated group revenue to exceed €750m in any foreseeable period.

XYZ Ltd will be able to submit a BTN for the period ending 31 December 2040 because the group is not a qualifying group for that period and XYZ Ltd does not expect the group to become qualifying in any subsequent period.

In October 2044, XYZ Ltd acquires ETC Ltd, which has revenue of €500m. The group is now projected to have revenue exceeding the threshold in the periods ending in 2045 and 2046.

The BTN ceases to be valid for the period ending 31 December 2045. Although XYZ Group is not a qualifying group for that period, it is likely to be a qualifying group in one of the two subsequent periods (namely, the period ending 31 December 2047).

As filing member, XYZ Ltd must submit a self-assessment return for the accounting period ending 31 December 2045 and all subsequent periods. Submitting this self-assessment return will have the effect of withdrawing the BTN.

If XYZ Group meets the criteria for making a BTN again at a later date, XYZ Ltd must make a new notification.

DRAFT

54000 Payments and interest

Part 10, schedule 14 to Finance (No.2) Act 2023 sets out the conditions under which payment of MTT must be made. The following pages provide some practical guidance in support of the legislation.

MTT54100 explains when MTT liabilities must be made and the rate of interest that accrues on late payments.

MTT54200+ explains how HMRC may issue a group payment notice when MTT liabilities are not paid and the time limits for doing so.

MTT54300+ provides guidance on how relief of overpaid tax can be claimed.

MTT54400+ provides guidance on the treatment of payments where the MTT liability of one member of a group is discharged by another (group payments), or where a partner discharges the liability of their partnership (partnership payments), and the recovery of such amounts by the payer.

DRAFT

54100 Payment date and interest

MTT liabilities must be paid in full within 15 months beginning with the day after the end of the accounting period for which it is due. This is extended to 18 months for the first accounting period for which the group is a qualifying group.

The payment date aligns with the filing date for the self-assessment return (see MTT53000) and the information return (see MTT52000).

This is set out in paragraphs 32-33, schedule 14 to Finance (No.2) Act 2023.

Late payment interest

If amounts are not paid by the payment date, interest will accrue from the day after the payment date. The rate is provided in regulations made under section 178 of the Finance Act 1989.

Repayment interest

Repayment interest is due on an amount of tax paid which is more than was due and is subsequently repaid by HMRC. This might happen where there is an amendment to a return (see MTT53000) or as a result of a claim for overpayment relief (see MTT54300).

Repayment interest is due from the later of:

- The date the payment was due, or,
- The day on which the amount the paid.

The rate is provided in regulations made under section 178 of the Finance Act 1989.

Example

XYZ Group's accounting periods run to 31 December each year. The group becomes a qualifying group for the first time for the period ending 31 December 2030. The group registers on 1 June 2031.

The filing date for the group's first self-assessment return and information return is 30 June 2032. This is also the payment date.

For subsequent periods, the filing and payment date will be 31 March, which is 15 months after the end of the accounting period.

DRAFT

54200 Group payment notices - Introduction

Where a responsible member has not paid its full MTT liability within certain time limits, HMRC may issue a notice (a 'group payment notice') to another member of the group which requires that member (the 'recipient') to pay the outstanding amount. This allows HMRC to take action to recover unpaid amounts if a group's liability has not been paid.

The unpaid MTT liability and any interest for which the responsible member is liable becomes the deemed liability of the recipient. The notice will specify a date by which this deemed liability must be paid by the recipient.

This is set out in paragraphs 34-36, schedule 14 to Finance (No.2) Act 2023.

Selecting a recipient

The group payment notice may be issued to any member of the group, or any person who was a member of the group during the accounting period to which the liability relates. The member does not need to be resident in the UK, nor an incorporated company. However, the following types of entity cannot be issued with a group payment notice:

- Ring-fenced entities (except in certain circumstances, see MTT54230).
- A securitisation company ([cross-reference to other manual]).
- A covered bond vehicle (see [MTTxxxxx]).
- An investment entity (see MTT45110).

When selecting the recipient, HMRC will assess the resources available to the group members and the ability of HMRC to enforce collection. The choice will reflect the HMRC officer's view of the most cost-effective way for HMRC to fully recover the outstanding liabilities.

DRAFT

54210 Group payment notices – Effect of a group payment notice

Where a member receives a group payment notice, the liability of the responsible member (the 'relevant liability') becomes the recipient's 'deemed liability'. This deemed liability includes the unpaid MTT and interest as well as interest accruing after the date of the notice.

The deemed liability is treated as having become due and payable on the same date that the relevant liability became due and payable.

Any payments made in respect of the relevant liability are treated as having been made in respect of the deemed liability.

This is set out in paragraph 37, schedule 14 to Finance (No.2) Act 2023.

Example
A Ltd and B Ltd are members of Group AB.

A Ltd has an unpaid MTT liability of £1000 (the relevant liability). A valid group payment notice is issued to B Ltd in respect of this amount (the deemed liability).

A Ltd makes a payment of £100 in respect of its unpaid liability. This reduces both the relevant liability and the deemed liability of B to £900.

B Ltd makes a payment of £500 in respect of the relevant liability. This reduces both the relevant liability and the deemed liability of B to £400.

Effect of making intra-group payments
Where the recipient of a group payment notice makes any payment towards a deemed liability, they are entitled to recover that payment from the responsible member that was originally liable.

Payments made by the recipient towards a deemed liability are not allowed as deductions in calculating their income, profits or losses for any UK tax purposes. Similarly, if the recipient is reimbursed for making a payment towards a deemed liability, this is not treated as a receipt for UK tax purposes.

DRAFT

54220 Group payment notices – The notice, time limits, and appeals

A group payment notice must include certain information and be issued within the time limits.

It may be appealed solely on the grounds that the recipient is not a member of the group.

This is set out in paragraphs 34 and 36, schedule 14 to Finance (No.2) Act 2023.

Information contained in the group payment notice

The group payment notice will specify the date by which the recipient must pay the amount. This date cannot be earlier than 30 days after the date the notice is issued.

The group payment notice must also state:

- The amount of any tax that remains unpaid,
- The date any tax first became payable, and
- The member's right of appeal

Time limits to issue a payment notice

A group payment notice may be issued by HMRC if the amount payable has not been paid within 3 months of the relevant date.

A group payment notice may only be issued within 3 years and 6 months of the relevant date.

The relevant date

If the amount payable is assessed in a self-assessment return, the relevant date is the later of:

- The date on which the amount must be paid,
- The date the return is delivered,
- The date an enquiry is completed, if a notice of enquiry is given,
- The date on which the last notice of enquiry is given, if multiple notices are given,
- The date of the closure notice, if an enquiry results in an amended return, or
- The date on which an appeal is finally determined, if there is an appeal against a closure notice.

If the amount payable is assessed as a discovery assessment, the relevant date depends on whether there is an appeal against that assessment. Where there is no appeal, it is the date on which the notice of assessment is issued. Where there is an appeal, it is the date on which the appeal is finally determined.

If the amount is assessed in a determination, and the determination has not been superseded, the relevant date is the date on which the notice of the determination was issued.

Appeals against group payment notices

The recipient of the group payment notice does not have the right to appeal against the amount of the relevant liability.

The recipient may only appeal against the group payment notice itself on the grounds that it is not a person to whom the notice can be given (see MTT54200 and MTT54230). An appeal must be made in writing within 30 days of the date on which the notice was given.

Where an appeal is made, anything required by the notice to be paid is due and payable as if there had been no appeal.

DRAFT

54230 Group payment notices - Ring-fenced entities

A group payment notice can only be issued to a ring-fenced entity if the responsible member that was originally liable is also a member of the same ring-fenced body sub-group.

A 'ring-fenced entity' is a body corporate which is a ring-fenced body or a member of a ring-fenced body sub-group.

A 'ring-fenced body sub-group' is a group of entities consisting of:

- A ring-fenced body parent undertaking and its subsidiaries, or
- A ring-fenced body, which is not a subsidiary of a ring-fenced body parent undertaking, and its subsidiaries.

In this context, a ring-fenced body has the same meaning as in section 142A of the Financial Services and Markets Act 2000, and a ring-fenced body parent undertaking is a body corporate subject to rules made under section 192JA of the same Act.

This is set out in paragraph 35, schedule 14 to Finance (No.2) Act 2023.

DRAFT

54290 Partnership payment notices

Where a partnership has not paid its MTT liability within certain time limits, HMRC may issue a notice (a "partnership payment notice") to a partner in the partnership. The partnership payment notice requires that partner (the "recipient") to pay the outstanding amount. This allows HMRC to take action to recover unpaid amounts if a partnership's liability has not been paid.

The recipient is required to pay any unpaid MTT liability for which the partnership is liable, and any interest on that liability. The notice will specify a date by which the liability must be paid by the recipient.

This is set out in paragraph 37A, schedule 14 to Finance (No.2) Act 2023.

See also MTT41110 for guidance on the continuity of partnerships, and MTT51310 for guidance on administration of dissolved partnerships.

Selecting a recipient

The group payment notice may be issued to any partner of the partnership, or any former partner who was a partner at any time during the period that the liability relates to. The partner does not need to be resident in the UK.

Where the partnership is a limited partnership, the notice can be issued to any general partner, or person who was a general partner at any time during the period that the liability relates to.

When selecting the recipient, HMRC will assess the resources available to the partners and the ability of HMRC to enforce collection. The choice will reflect the HMRC officer's view of the most cost-effective way for HMRC to fully recover the outstanding liabilities.

Information contained in the partnership payment notice

The partnership payment notice will specify the date by which the recipient must pay the amount. This date cannot be earlier than 30 days after the date the notice is issued.

The partnership payment notice must also state:

- The amount of any tax that remains unpaid,
- The date any tax first became payable, and
- The partner's right of appeal.

Time limits to issue a partnership payment notice

A partnership payment notice may be issued by HMRC if the amount payable has not been paid within 3 months of the relevant date.

A partnership payment notice may only be issued within 3 years and 6 months of the relevant date.

The relevant date

If the amount payable is assessed in a self-assessment return, the relevant date is the later of:

- The date on which the amount must be paid,
- The date the return is delivered,
- The date an enquiry is completed, if a notice of enquiry is given,
- The date on which the last notice of enquiry is given, if multiple notices are given,
- The date of the closure notice, if an enquiry results in an amended return, or

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- The date on which an appeal is finally determined, if there is an appeal against a closure notice.

If the amount payable is assessed as a discovery assessment, the relevant date is either:

- The date on which the notice of assessment is issued, if there is no appeal against the assessment, or
- The date on which the appeal is finally determined, if there is such an appeal.

If the amount is assessed in a determination, and the determination has not been superseded, the relevant date is the date on which the notice of the determination was issued.

Appeals against partnership payment notices

The recipient of the partnership payment notice does not have the right to appeal against the amount of the relevant liability.

The recipient may only appeal against the partnership payment notice itself on the grounds that it is not currently a partner in the partnership, or was not a partner during the period that the liability relates to. An appeal must be made in writing within 30 days of the date on which the notice was given.

Where an appeal is made, anything required by the notice to be paid is due and payable as if there had been no appeal.

DRAFT

54300 Relief of overpaid tax

There may be situations where a member of a multinational group has paid an amount of MTT which is later found to exceed the amount that it was required to pay.

Part 12, Schedule 14 to Finance (No.2) Act 2023 sets out the conditions under which relief for any overpaid MTT may be given. The following pages provide some practical guidance in support of the legislation.

DRAFT

54310 Relief of overpaid tax – Making a claim

Where a person has paid more MTT for an accounting period than was due, that person may make a claim to HMRC for repayment of the amount that was not due (the 'excess amount').

To be valid, the claim must be made by the overpayment claim date and contain the necessary information and be made in the correct form.

The claim must be submitted separately to a self-assessment return.

Further details will be provided about the information and form of a claim.

This is set out in paragraphs 51-53, Schedule 14 to Finance (No.2) Act 2023.

The overpayment claim date

If an excess amount was paid because of a mistake on a self-assessment return, the claim must be made within 4 years of the end of the relevant accounting period.

Otherwise, the claim must be made within 4 years of the end of the accounting period in respect of which the amount was paid.

Circumstances under which a claim may be denied

A claim for relief for overpaid MTT will not be allowed where one of the following circumstances apply:

- When a member of the group has an unpaid liability to tax for any accounting period.
- When the claimant is or will be able to seek tax relief under some other allowable method (for example, through amending a return).
- When the claimant knew (or should have reasonably known) that relief could have been sought under another allowable method, but can no longer claim that relief because the period has expired.
- When the reason for the overpayment was a mistake in the calculation of the payable amount, and the amount was calculated in accordance with the practice generally prevailing at the time.

Repayment interest

Where HMRC grants relief on overpaid tax, interest will be payable. See MTT54100.

Compliance check

HMRC may conduct a compliance check into a claim for relief of overpaid tax. See MTT55270.

DRAFT

54320 Relief of overpaid tax – Excessive amount repaid by HMRC

If an amount of MTT has been repaid, and the amount repaid exceeds the amount that HMRC were liable to repay at that time, HMRC may recover any excess amount that should not have been repaid.

HMRC will assess the amount that should not have been repaid and notify the amount to the person to whom the repayment was made.

If the total amount assessed is determined to be less than the amount that should have been assessed, HMRC can make a supplementary assessment of the tax due within the time window. HMRC will make a separate notification of this amount to the person to whom the repayment was made. That person will then be liable to MTT for that amount.

HMRC may reduce or withdraw the assessment if appropriate. The person's liability would then be reduced accordingly.

This is set out in paragraph 54, Schedule 14 to Finance (No.2) Act 2023.

The time window

The assessment must be made within 4 years of the end of the accounting period in which HMRC become aware of evidence of facts sufficient to support the assessment.

DRAFT

54400 Effect of group payments and recovery of group payments

Where a group member makes a payment of MTT on behalf of another member of the same group, under a group payment notice (see MTT54200) or otherwise, they are entitled to recover that amount from the other group member.

Where a group member makes a payment in respect of MTT (under a group payment notice or otherwise) the payment is not allowed as a deduction in calculating the partner's taxable income.

Equally, the reimbursement of the payment by another group member is not to be treated as taxable income in hands of the recipient, or as a deduction in the hands of the payer.

References to taxable income and deductions include for Income Tax, Corporation Tax, Domestic Top-up Tax and Multinational Top-up Tax.

No payment, or reimbursement, of MTT is to be treated as a distribution for either Income Tax or Corporation Tax purposes.

This is set out in paragraphs 37-38, schedule 14 to Finance (No.2) Act 2023.

Effect on group payment notices

Where a payment has been made in respect of an MTT liability by a member, and that liability is the subject of a group payment notice, both the outstanding liability and the amount due by virtue of the group payment notice will be reduced by the amount of the payment.

DRAFT

54410 Effect of partnership payments and recovery of partnership payments

Where a partner of a partnership makes a payment of MTT on behalf of that partnership, under a partnership payment notice (see MTT54290) or otherwise, they are entitled to recover that amount from the other partners.

Where a partner makes a payment in respect of the partnership's MTT liability (under a partnership payment notice or otherwise) the payment is not allowed as a deduction in calculating the partner's taxable income.

Equally, the reimbursement of the payment by another partner is not to be treated as taxable income in hands of the recipient, or as a deduction in the hands of the payer.

References to taxable income and deductions include for Income Tax, Corporation Tax, Domestic Top-up Tax and Multinational Top-up Tax.

No payment, or reimbursement, of MTT is to be treated as a distribution for either Income Tax or Corporation Tax purposes.

This is set out in paragraphs 37-38, schedule 14 to Finance (No.2) Act 2023.

See also MTT41110 for guidance on the continuity of partnerships, and MTT51310 for guidance on the administration of dissolved partnerships.

Effect on partnership payment notices

Where a payment has been made in respect of an MTT liability by a partnership or any of the partners, and that liability is the subject of a partnership payment notice, both the outstanding liability and the amount due by virtue of the partnership payment notice will be reduced by the amount of the payment.

DRAFT

55000 Compliance

The following pages provide some practical guidance on the compliance framework for MTT.

MTT55100+ explains the scope of a compliance check and provides guidance on how notice will be given within specific time-limits.

MTT55300+ provides information on the scope and time-limits for discovery assessments.

MTT55350+ provides guidance on HMRC determinations and when they can be used.

MTT55400+ gives further information on the types of penalties that may be raised in relation to MTT.

MTT55500+ provides guidance for appeals and reviews in respect of a decision relating to MTT.

This is set out in Parts 6, 7, 8, 11 and 12 of schedule 14 to Finance (No.2) Act 2023.

DRAFT

55210 Compliance checks – Notice and scope

Where a self-assessment return has been submitted for an accounting period, HMRC may enquire into the return by providing a written notice within the time window.

A compliance check may cover anything in the return.

See MTT53000 for further guidance on the self-assessment return.

This is set out in paragraphs 16-17, schedule 14 to Finance (No.2) Act 2023.

Notice and scope of a compliance check

HMRC must give the filing member written notice of the intention to enquire into a return by issuing a notice of enquiry (a "compliance check notice"). The notice must be given within a statutory time limit, often called the "compliance check window" (see MTT55220).

The compliance check notice will be issued to the filing member in the form of a letter. This process is not automated. Care should be given to the wording to ensure it is in line with standard HMRC guidance.

Where a compliance check notice has been issued for a return, further notices should not be issued for the same return, except where they are being issued in relation to an amendment.

Scope of a compliance check

A compliance check into a return can extend to anything in the return, or anything required to be contained in the return. This includes anything related to the amount of MTT chargeable and whether MTT was chargeable in the period.

The compliance check notice will usually specify the matters being enquired into, but this is not obligatory. Where the matters are specified in the compliance check notice, this does not prevent HMRC from including other matters in the compliance check.

If the compliance check is due to an amendment to the MTT return, the scope of the compliance check is limited to matters relating to or affected by that amendment. This is unless the compliance check window for the original return is still open, or an enquiry into a return has been completed.

HMRC cannot open a compliance check into a return if a compliance check has previously been opened into that return, except if an amendment to the return is made, in which case a compliance check can be opened in relation to the amendment. A discovery assessment for the period may still be made.

55220 Compliance checks - Time limits

To open a compliance check, HMRC must give a compliance check notice to the filing member. This must be received by the filing member within the time limit (the 'compliance check window').

The time limit depends on when the return is delivered.

If the return is delivered on or before the filing date (see MTT53000), the compliance check window will end 12 months after the filing date.

This is set out in paragraph 16, schedule 14 to Finance (No.2) Act 2023.

Example 1
XYZ Ltd submits a self-assessment return on 20 March 2027. The filing date for the self-assessment return is 31 March 2027.

The compliance check window for the self-assessment return ends on 31 March 2028.

Late returns
If the return is delivered after the filing date, the compliance check window will end on the first quarter day (31 January, 30 April, 31 July or 31 October) following the first anniversary of the day the return was delivered.

Example 2
XYZ Ltd submits a self-assessment return on 1 May 2028. The filing date for the self-assessment return was 31 March 2028.

The compliance check window for the self-assessment return ends on 31 July 2029.

Amended returns
If the return is amended, the compliance check window will end on the quarter day following the first anniversary of the day the return was amended. This extended time limit for amended returns applies even if the amendment was made before the filing date.

Example 3
XYZ Ltd submits a self-assessment return on 1 March 2029. XYZ Limited amends the self-assessment return on 29 March 2029. The filing date for the self-assessment return is 31 March 2029.

The compliance check window for the self-assessment return ends 30 April 2030.

55230 Compliance checks - Taxpayer amendments

If a filing member amends the self-assessment return while a compliance check is in progress, the amendment does not restrict the scope of the compliance check but may be considered together with any matters arising in the compliance check.

Any potential changes to the tax liability as a result of the amendment only become effective once the compliance check is closed. See MTT55260 for guidance on closure notices.

A compliance check does not extend the time limits for making an amendment. If the time limit for amending the return has expired, the filing member cannot amend the return. See MTT53000 for guidance on amendments to the self-assessment return.

If the filing member is within time to amend its return, HMRC may take the amendment into account as part of the compliance check before issuing a closure notice, even if this means prolonging the compliance check to deal with any new points raised.

This is set out in paragraph 20, Schedule 14 to Finance (No.2) Act 2023.

Effect of the amendment

An amendment will not take effect, insofar as the amendment affects the amount stated in the group's self-assessment of the amount of tax payable, until:

- HMRC issues a final closure notice to complete the compliance check, and that notice specifies whether a deferred amendment is to take effect, and to what extent it is to take effect, or
- HMRC gives a partial closure notice which states that the amendment is to take effect, and that notice relates to a matter to which the amendment also relates or which is affected by the amendment.

If the conclusions in the final closure notice state that either:

- The amendment was not considered in the compliance check, or
- No amendment of the return is required arising from the compliance check,

then the amendment takes effect on the issue of the closure notice.

Otherwise, the amendment takes effect as part of the amendments made by the closure notice.

Amendment anticipating conclusions in a closure notice

As a result of negotiations leading up to the close of a compliance check, HMRC may receive a revised return from the filing member that fully and accurately anticipates the conclusions of the check before they are stated in a closure notice. The revised return may be submitted within the applicable time limits so that it is a valid amendment.

HMRC cannot conclude a compliance check into a group's return by just accepting the revised return, even if the figures subsequently stated in the closure notice will be identical to those in the revised return. To complete the compliance check, HMRC must issue a closure notice.

The amendment will be deferred due to the ongoing compliance check and will take effect in accordance with the closure notice, as above.

Repayment during an ongoing compliance check

If the filing member of a group is within the time limit to amend its return during a compliance check, then an amendment which gives rise to a repayment does not restrict the scope of the compliance check but may be considered together with any matters arising in the compliance check.

Provided HMRC is satisfied that any such claim meets the requirements of the legislation, HMRC will follow the relevant procedures with respect to issuing a repayment.

DRAFT

55240 Compliance checks - Jeopardy amendments

A jeopardy amendment may be made to the self-assessment return while a compliance check is open, if HMRC believes that:

- The self-assessment understates the group's tax liability, and
- There is likely to be a loss of tax to the Crown unless the assessment is amended immediately.

HMRC will amend the assessment to address the understatement of tax by issuing a written notice to the filing member.

This is not a routine procedure. The guidance in the Enquiry Manual at EM1951 to EM1955 should be read before making a jeopardy amendment.

HMRC should only make a jeopardy amendment where there is a real risk of the loss of substantial amounts of tax. For example, where the amount of MTT payable by a member of the group has been established, but the group has refused to make payment and HMRC has information suggesting that liable companies are about to go into liquidation or move assets abroad.

This is set out in part 6, schedule 14 to Finance (No.2) Act 2023.

Compliance checks on amended returns

If the scope of the compliance check is limited to the amended part of a return (see MTT55230), the jeopardy amendment may only be made if the understatement of the liability can be attributed to the amendment.

Appeals

The filing member may appeal against a jeopardy assessment.

Where the filing member has appealed against a jeopardy amendment, the appeal (and any related postponement application) will still be open legally when HMRC issues the closure notice with revenue amendment, as legislation prohibits determination or hearing of the appeal before that date.

The appeal against the jeopardy amendment can be determined either:

- By agreement between HMRC and the filing member taking effect under Para 61, Sch 14, Finance Act 2023,
- By the filing member withdrawing the appeal in circumstances where HMRC do not object to the withdrawal (see Para 61(4), Sch 4, Finance Act 2023), or
- By the Tribunal.

Once the filing member has sent an appeal to HMRC, it has the right to request a review by HMRC and the right to notify the appeal to the Tribunal.

It is advisable to ask the filing member, during the negotiations leading up to the issue of the closure notice, to give HMRC written agreement that any appeal against the jeopardy amendment can be withdrawn or settled by agreement under Para 61, Sch 14, Finance Act 2023 at the same time that the revenue amendment is recorded.

HMRC will not release any tax postponed for recovery as a result of an appeal against the jeopardy amendment until the appeal has been formally determined.

See MTT55500 for guidance on appeals.

Closure notice following a jeopardy amendment
HMRC does not conclude a compliance check into a group's MTT return by issuing a jeopardy amendment, even if the figures subsequently stated in the closure notice are identical to those in the jeopardy amendment. To complete the compliance check, HMRC must issue a closure notice.

Whether or not the jeopardy amendment is under appeal, the closure notice should follow the standard format.

HMRC does not need to make any special reference to the jeopardy amendment as the closure notice states the amount of tax which should be included in the return.

Jeopardy amendment under appeal – closure notice amendment not appealed
If the filing member does not appeal an amendment made by a closure notice within 30 days of the date of the closure notice, HMRC still has to dispose of the appeal against the jeopardy amendment. If the filing member agrees to withdraw the appeal against the jeopardy amendment, it can be treated as determined by agreement under Para14 Sch14 of Finance Act 2023.

If the filing member does not agree to withdraw the appeal, and refers the appeal to the Tribunal, then the general guidance in the ARTG manual should be consulted.

HMRC will not release any tax postponed for recovery as a result of an appeal against the jeopardy amendment until the appeal has been formally determined.

Jeopardy amendment under appeal - revenue amendment appealed
If the filing member appeals a closure notice, HMRC has to dispose of the appeals against both the jeopardy amendment and the closure notice. If agreement cannot be reached, the decision maker should follow the advice in the ARTG Manual.

HMRC will not release any tax postponed for recovery as a result of an appeal against the jeopardy amendment until the appeal has been formally determined.

If the group, through its filing member, refers the appeal to the Tribunal, the officer (or review team) should ask the Tribunal to:

- First, determine the appeal against the closure notice,
- Then, determine the appeal against the jeopardy amendment in the same figures.

If necessary, the officer (or review team) may need to explain that this is essentially an administrative procedure to dispose of the appeal against the jeopardy amendment and to give the group finality for the return period.

55250 Compliance checks - Information notices

Most people will co-operate fully when asked for information or documents. However, to address cases where they do not, Schedule 36 FA 2008 has been extended in its application to cover MTT. The basic rules and guidance as set out in the law and guidance at CH20000 will therefore apply for MTT.

There are safeguards to ensure that HMRC acts reasonably and that any action HMRC takes is appropriate to the circumstances and does not unreasonably interfere with a person's rights under Article 8 of the Human Rights Act. See CH21340.

The information or documents HMRC ask for or the inspection HMRC carries out must be reasonably required to check a person's tax position (see CH21520). HMRC cannot require a person to give us or require them to allow us to inspect some types of information (see CH22000). Amongst other things, this will include documents that were created for the dominant purpose of a tax appeal (see CH22160).

There are Factsheets covering the use of our information and inspection powers and these should be issued as appropriate. See CH21200.

An overview of HMRC powers to ask for information or documents is at CH20200. Detailed guidance starts at CH23000.

An overview of HMRC powers to carry out an inspection is at CH20250 and detailed guidance starts at CH25000.

This is set out in paragraph 68, schedule 14 to Finance (No.2) Act 2023.

Filing member as primary point of correspondence

Requests for information and information notices should be given to the filing member, at least in the first instance. See MTT51000+.

DRAFT

55260 Compliance checks – Closure notice

HMRC must issue a closure notice to the filing member at the end of every compliance check for each accounting period. The closure notice is issued in the form of a letter.

A compliance check is only finished when HMRC has issued the closure notice to the filing member of a group stating that the check is complete and that either:

- No amendment is required, or
- The return must be amended, as specified in the closure notice.

When it is issued, the closure notice takes effect. The compliance check is completed and, where HMRC has concluded that an amendment is required, the amendment is made.

Along with the notice, HMRC should provide the filing member with information supporting the conclusion reached.

This is set out in paragraphs 20 and 22, schedule 14 to Finance (No.2) Act 2023.

Partial closure notices

A partial closure notice may also be issued by HMRC. A partial closure notice allows HMRC to complete one or more of the matters being checked before fully completing the compliance check.

See CH279600 for guidance on partial closure notices.

Jeopardy amendments

See MTT55240 for guidance on closing a compliance check when a jeopardy amendment has been made.

Issuing a closure notice following amendment that has been deferred due to ongoing compliance check

See MTT55230 for guidance on how to close a compliance check when the filing member has amended a return within the time limits during an ongoing compliance check into that return.

Right of appeal

The filing member can appeal against a revenue amendment and the normal rules for appeals and postponement applications apply. It can then negotiate further, settle under Para 61 Sch 14 Finance Act 2023, ask for a review, or notify the appeal to the Tribunal. See MTT55500 for guidance on appeals and reviews.

Reissuing a closure notice

Reissuing a closure notice is not a routine procedure. HMRC will not do so unless there is a good reason to believe or accept that the original closure notice has not been received by the filing member of a group.

If a closure notice is returned undelivered, HMRC cannot reissue it until a new address for the filing member is entered on the group's record.

55270 Compliance checks - Claims for relief of overpaid tax

HMRC may enquire into a claim for relief of overpaid tax. See MTT54310 to confirm that a claim is valid before considering a compliance check.

To open a compliance check, HMRC must give notice to the claimant within the compliance check window.

When a compliance check has been opened into a claim, the claim will not take effect until a closure notice is issued.

A compliance check into a claim will be handled separately from any compliance check into a self-assessment return.

This is set out in paragraph 54, schedule 14 to Finance (No.2) Act 2023.

Compliance check window

Notice must be given to the claimant by the quarter day following the first anniversary of the date the claim was made.

Quarter days are 31 January, 30 April, 31 July, and 31 October.

Closure notice

HMRC will conclude a compliance check by issuing a closure notice to the claimant stating that:

- The compliance check is complete,
- Whether or not an amendment is required,
- Any amendments, if required.

Where an amendment is required, HMRC must make the adjustments necessary to give effect to the amendment. This must be done within 30 days of the issue of the closure notice.
The adjustment may take the form of an assessment, or a discharge or repayment of tax.

HMRC may not make multiple enquiries into a claim.

HMRC may recover excessive amounts repaid as relief of overpaid tax. See MTT54320.

Right to appeal

Claimants have the right to appeal. See MTT55510.

They may also apply to the Tribunal to direct HMRC to complete the enquiry.

DRAFT

55300 Discovery assessments and HMRC determinations

This guidance focuses on the legal background of discovery assessments in the Multinational Top-up Tax (MTT) context. There is existing procedural guidance in the Enquiry Manual at EM3200 which should also be consulted.

As established in Part 5, Schedule 14 to Finance Act 2023 the assessment contained in a self-assessment return creates a legal charge to tax. Subject to the right of HMRC to make a discovery assessment, the return is final once made. This is unless, within the relevant time limits, the filing member amends the return or an HMRC officer decides to open a compliance check into it.

The ability to make discovery assessments ensures that additional tax liable as a result of mistaken or incorrect MTT returns is assessed. There are taxpayer safeguards and restrictions governing the use of discovery assessments, including time limits on when an assessment can be made that are dependent on customer behaviour.

It is important to note a discovery assessment can only be made where there has been careless or deliberate behaviour or where information was not made available to HMRC.

The following pages set out the use of these powers in more detail, including the time limits by which a discovery assessment is to be issued, its scope and what a notice of assessment must include.

This is set out in part 8, schedule 14 to Finance (No.2) Act 2023.

DRAFT

55310 Discovery assessments - Scope

HMRC can make a discovery assessment for a period if it is discovered that there would otherwise be a loss of tax for that period. The loss of tax would arise because either:

- An amount of MTT which ought to have been assessed to tax has not been assessed, or
- An assessment to tax is (or has become) insufficient.

A discovery assessment is only appropriate when a 'discovery' leads to the identification of such a loss of tax.

This is set out in paragraphs 27 and 28, schedule 14 to Finance (No.2) Act 2023.

Meaning of discovery

For a period where the filing member has submitted a self-assessment return, HMRC may only make a discovery assessment if:

- The loss of tax arose through careless or deliberate behaviour by a member of the group (or a person acting on behalf of a member of the group), or
- At the time the compliance check window closed (see MTT55220), or a compliance check was completed, HMRC could not have been reasonably expected to be aware of the loss of tax from the information made available to it.

A change of opinion on information that was previously made available in a relevant return is not grounds for making a discovery assessment.

See MTT55320 for guidance on the meaning of 'made available to HMRC'.

No self-assessment return submitted

A discovery assessment can still be made where a group has not submitted a self-assessment return for a period, including where it has submitted a below threshold notification or been de-registered.

An HMRC determination may be more appropriate (see MTT55350).

Restrictions on discovery assessments

HMRC cannot make a discovery assessment if:

- The compliance check window is still open,
- There is an open MTT compliance check into the group, or
- The loss of tax is attributable to a mistake in the return as to the basis on which the tax liability ought to have been calculated, and the return was made on that basis, or in accordance with the practice generally prevailing at the time it was made.

DRAFT

55320 Discovery assessments - Information made available to HMRC

Information is made available to HMRC if it is contained in, for the relevant accounting period or one of the two preceding periods:

- A self-assessment return,
- An information return,
- An overseas return notification,
- A below-threshold notification, or
- Any documents, accounts, or other information produced or provided for the purposes of a compliance check into any such return or notification.

Information is also considered to be made available to HMRC if either:

- HMRC could reasonably be expected to infer both the existence and relevance of the information from any of the information specified above, or
- The filing member (or somebody acting on its behalf) has notified HMRC in writing of both the existence and relevance of the information.

This is set out in paragraph 28, schedule 14 to Finance (No.2) Act 2023.

Information provided in relation to a different tax

Information is not considered to be made available if it is contained in a return for a purpose other than MTT (for example, a Corporation Tax return) or in any documents, accounts or other information produced or provided for the purposes of a compliance check into a return or claim other than for MTT.

However, anything considered to have been made available for MTT purposes will also be considered as having been made available for DTT purposes, and vice versa.

Onus on the group

The onus is on the group to draw the attention of HMRC to any important information that is relevant to the group's tax liability. This is particularly true if there is some doubt as to the interpretation of that information.

It is not sufficient for a group to simply provide the information if:

- It is hidden away,
- It is obscure, or
- Its relevance is unclear.

Where HMRC are notified in writing of information, a group has not made information available to HMRC unless the group notifies HMRC of both the existence and relevance of the information, unless it is reasonable to expect HMRC to infer it. See SALF409 for further guidance.

Information provided by a person or entity other than the filing member

Where information is provided by an entity or person other than the filing member, it will not necessarily be considered to have been made available to HMRC. The filing member, or a person acting on their behalf, should notify HMRC of the existence and relevance of such information to ensure that it is made available.

DRAFT

55330 Discovery assessments - Time limits

When considering the time limit for making a discovery assessment, there is no link between any compliance check period and the period of assessment. The link is with the date on which HMRC is making the assessment and the accounting period (AP).

HMRC can make a discovery assessment within:

- 4 years of the end of the AP in which the loss of tax arises, in general cases
- 6 years of the end of the AP in which the loss of tax arises, where the loss of tax is due to careless behaviour by a member of the group (or a person acting on behalf of a member of the group),
- 20 years of the end of the AP in which the loss of tax arises, where the loss of tax is due to deliberate behaviour by a member of the group (or a person acting on their behalf).

Where the loss of tax results from a filing member failing to meet its obligation to register with HMRC (see MTT51400), a discovery assessment may be made within 20 years of the end of the AP in which the loss of tax arises.

This is set out in paragraph 29, schedule 14 to Finance (No.2) Act 2023.

Example 1

Group A submits its self-assessment return (through its filing member) for the period ending 31 December 2024. After the compliance check window has closed, new information becomes available to HMRC indicating that the amount of MTT assessed should have been greater. A discovery assessment is appropriate as the new information shows a loss of tax for the period.

The discovery assessment for this period can be made by 31 December 2028 if the error was not due to careless or deliberate behaviour (4 years), 31 December 2030 if due to careless behaviour of a relevant person (6 years) or 31 December 2044 if due to deliberate behaviour of a relevant person (20 years).

Example 2

Group B submits a below threshold notification (through its filing member) for the period ending 31 December 2038. Subsequently, new information becomes available to HMRC showing that the group was a qualifying group for the period. The below threshold notification was invalid and a self-assessment return should have been submitted. A discovery assessment is appropriate as the new information shows a loss of tax for the period.

The discovery assessment for this period can be made by 31 December 2042 if the error was not due to careless or deliberate behaviour (4 years), 31 December 2044 if due to careless behaviour of a relevant person (6 years) or 31 December 2058 if due to deliberate behaviour of a relevant person (20 years).

Discovery assessments could also be issued for any other accounting periods for which a self-assessment return was not submitted due to the submission of the below-threshold notification, subject to the above time limits.

DRAFT

55340 Discovery assessments – Notice of a discovery assessment

The discovery assessment is assessed as a separate charge and is not an amendment to the self-assessment return.

A notice of assessment must be given to the filing member, stating:

- The tax due,
- The date of issue, and
- The time limit for making an appeal against the assessment.

The amount of the discovery assessment will be the amount which, in the view of HMRC, should be charged to make up for the loss of tax.

Once a notice of assessment is given, the assessment cannot be altered except in accordance with the express provisions of paragraph 30, schedule 14 to Finance (No.2) Act 2023.

Appeals

The filing member can appeal against the assessment. Please refer to MTT55500 for further guidance on appeals.

DRAFT

55350 HMRC determinations

If a filing member of a multinational group fails to submit a self-assessment return, HMRC can determine the amount of tax payable by the group for the accounting period (make an 'HMRC determination') to the best of the HMRC officer's knowledge and belief.

An HMRC determination can be made regardless of whether the group has registered for MTT. This is set out in paragraphs 24 and 25, schedule 14 to Finance (No.2) Act 2023.

Time limits

An HMRC determination cannot be made on or before the filing date or more than 3 years after the filing date (see MTT53000).

Notice of an HMRC determination

HMRC must issue a notice of the determination to the filing member.

The notice of an HMRC determination must state the date on which it is issued.

See MTT51100 for guidance on identifying the filing member, which will be the ultimate parent by default. Note that it is possible to identify a filing member even if the group has not registered.

Right of appeal

Although there is no right of appeal against a determination, filing a self-assessment return can supersede a determination (see MTT55360).

HMRC determinations and the below threshold notification

A determination may also be appropriate in situations where the group has failed to submit a self-assessment return because a below-threshold notification was submitted for a prior accounting period, but HMRC has reasonable grounds to believe the below threshold notification was not valid for that period.

Where the deadline for issuing a determination has passed, a discovery assessment may still be issued, subject to the relevant conditions (see MTT55310).

Effect of determination

A determination has the same effect for enforcement purposes as a self-assessment return (FA20/SCH8/PARA17). 'Enforcement purposes' means the purposes of provisions providing for:

- Tax-related penalties,
- Collection and recovery of tax, and
- Interest on overdue tax.

DRAFT

55360 HMRC determinations - Superseded by self-assessment

An HMRC determination will be superseded by a self-assessment return for the relevant accounting period, as long as an information return or overseas return notification has also been submitted to HMRC.

The determination is superseded when the return is submitted.

See MTT52000 for further guidance on information returns, and MTT53000 for further guidance on self-assessment returns.

This is set out in paragraph 26, schedule 14 to Finance (No.2) Act 2023.

Time limits

A self-assessment return will not supersede a determination if it is made later than both:

- 3 years after the day on which the power to make the determination first became exercisable, and
- 12 months after the date of the determination.

Examples

The following example, with different scenarios, demonstrates how and when a determination is superseded by a self-assessment return.

Example

- Group A makes up its consolidated accounts to 31 December annually.
- The filing date for its self-assessment return for APE 31 Dec 2032 is 31 March 2034.
- 1 April 2035 is the day on which the power to make the HMRC determination first becomes exercisable.
- HMRC has reasonable grounds to believe the filing member is obliged to submit a self-assessment return for the accounting period.

Scenario 1

- HMRC makes a determination for that period on 10 July 2035.
- The filing member submits a return in February 2036.
- The self-assessment supersedes the HMRC determination, because:
    - it is within 12 months of the date of the HMRC determination, and
    - it is also within 3 years of the day on which the power to make the determination first became exercisable

Scenario 2

- HMRC makes a determination for that period on 10 July 2035.
- The filing member submits a return in October 2036.
- The self-assessment supersedes the HMRC determination, because:
    - it is within 3 years of the day on which the power to make the determination first became exercisable,
    - even though it is more than 12 months after the date of the HMRC determination

Scenario 3

- HMRC makes a determination for that period on 10 March 2037.
- The filing member submits a return in August 2038.

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- The self-assessment supersedes the HMRC determination, because:
    - it is within 12 months of the date of the HMRC Determination,
    - even though it is more than 3 years after the day on which the power to make the determination first became exercisable

Scenario 4

- HMRC makes a determination for that period on 10 March 2037.
- The filing member submits a return in August 2038.
- The self-assessment does not supersede the HMRC determination, because:
    - it is more than 12 months after the date of the HMRC determination, and
    - it is also more than 3 years after the day on which the power to make the determination first became exercisable.

Proceedings to recover tax

If proceedings to recover tax assessed in an HMRC determination are underway, and a self-assessment return is submitted which supersedes the determination, the proceedings may continue as if they were proceedings for the recovery of the self-assessed amount (insofar as the self-assessed amount is due and payable and has not been paid).

Action undertaken to enforce deduction from accounts

If action is being taken under Schedule 8 Part 1 of the Finance (No. 2) Act 2015 to recover tax assessed in an HMRC determination, and a self-assessment return is submitted which supersedes the determination, that action may continue as if it was an action taken to recover the self-assessed amount (insofar as the self-assessed amount is due and payable and has not been paid).

However, this is capped at the amount of tax that was being recovered in relation to the HMRC determination.

DRAFT

55400 Penalties

There are five types of penalties that may be raised in relation to MTT:

- Failure to register (FA08/SCH41)
- Penalties relating to the information return (FA23/SCH14/PART11/Para 42)
- Penalties relating to the self-assessment return (FA23/SCH14/PART11/Para 43)
- Penalties for inaccuracies (FA07/SCH24)
- Penalties relating to record-keeping (FA23/SCH14/PART11/Para 46)

These penalties are explained in detail in the following pages in this section.

The filing member of the group is responsible for the obligations that fall upon a group and is consequently liable for the penalties that may be raised in relation to MTT.

A penalty of any type can be appealed. See MTT55500 for further information about appeals.

Where more than one penalty is charged in respect of a single accounting period, the penalty amount will be reduced so that ultimately the total penalty percentage charged does not exceed the highest percentage that is chargeable. See CH84970.

This is set out in part 11, schedule 14 to Finance (No.2) Act 2023.

Domestic Top-up Tax

The MTT penalty regime is replicated for DTT purposes. See MTT50210 for further guidance.

DRAFT

55410 Penalties – Failure to register

If a group becomes a qualifying multinational group, the filing member is obliged to register with HMRC (see MTT51400). If it fails to meet this obligation within the time limit, it will be liable to a penalty under Schedule 41 of Finance Act 2008.

The filing member will have a 30-day notice period to pay the penalty from the point at which the penalty is raised.

This is set out in paragraph 41, schedule 14 to Finance (No.2) Act 2023.

The Compliance Handbook (CH70000) has further details regarding failure to notify penalties:

- Please refer to CH72000 to determine the type of failure to notify.
- Please refer to CH72500 on how to calculate the penalty.
- Please refer to CH74000 on how to process the penalty.
- Please refer to CH74500 and MTT55510 on how to deal with an appeal to the penalty.

Reasonable excuse

The filing member will not be liable to a failure to register penalty if they have a reasonable excuse for not registering with us at the appropriate time, provided that they did so without unreasonable delay after the excuse had ended (see CH160000).

Behaviours

Penalties under Schedule 41 are designed to address the behaviour that caused the failure. The more serious the behaviour, the higher the possible amount of the penalty. There are three types of behaviour:

- Deliberate and concealed,
- Deliberate but not concealed,
- Non-deliberate.

The penalty payable is capped depending on the seriousness of the behaviour:

- For deliberate and concealed behaviour, the cap is 100% of the potential lost revenue.
- For deliberate but not concealed behaviour, the cap is 70% of the potential lost revenue.
- For any other case, the cap is 30% of the potential lost revenue.

Potential lost revenue is the amount of tax payable by members of the group for the accounting period which, by reason of the failure to register, remains unpaid by those members at the payment date. This aligns with the filing date (see MTT53000).

DRAFT

55420 Penalties relating to the information return

If a group is registered for MTT, the filing member is obliged to submit either an information return or an overseas return notification to HMRC for each period (see MTT52000). If it fails to meet this obligation within the time limit, it will be liable to a penalty.

If the information return has been submitted to another qualifying authority, the filing member may be able to submit an overseas return notification to HMRC rather than an information return.

Therefore, a group will be liable to a penalty relating to an information return in the following cases:

- It has not submitted the information return to HMRC or any other qualifying authority.
- It has submitted the return to another qualifying authority, which discharges its obligation to submit an information return to HMRC, but it has failed to either submit an information return or make an overseas return notification to HMRC.

The penalty charged will be the same in each case.

There will not normally be any partial mitigation of a penalty charged for failure to submit a return or notification on time. These penalties will apply automatically once the due date has passed, unless there is a reasonable excuse.

This is set out in paragraph 42, schedule 14 to Finance (No.2) Act 2023.

Amount of the penalty

The amount of penalty varies according to how long after the filing date the filing member submits the return or notification.

The penalty is:

- £100, if the filing member submits the return or notification within 3 months of the filing date.
- £200, if the filing member submits the return or notification within 6 months of the filing date.
- If the return or notification has not been submitted after 6 months, £200 plus £60 for each day after 6 months up to the day the return or notification is submitted.

However, the penalties will increase if a group:

- Was obliged to submit an information return or overseas return notification for three consecutive accounting periods,
- Received (through a filing member) a penalty relating to the information return for each of the first two of those periods, and
- Is liable (through a filing member) to a penalty for the third period.

If these conditions are met, the amount of the penalty for the third period (and any subsequent consecutive periods) will increase to:

- £500, if the filing member submits the return or notification within 3 months of the filing date.
- £1000, if the filing member submits the return or notification within 6 months of the filing date.
- If the return or notification has not been submitted after 6 months, £1000 plus £60 for each day after 6 months up to the day the return or notification is submitted.

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These higher amounts are applicable to failures occurring in all successive accounting periods until the filing member submits its return or notification for an accounting period by the filing date. If the filing member then fails to submit its return or notification on time for the next accounting period, the lower rates apply.

Example
Filing member 'A' submits returns or notifications for the group's accounting periods as follows:

Accounting period ended	**Filing date**	**Date return or notification actually submitted**	**Penalty under FA23/SCH14/PART11/PARA 42**
31 December 2024	30 June 2026 (i.e. 18 months after end of first AP)	1 month late (i.e. filing made on 31 July 2027)	£100
31 December 2025	31 March 2027 (i.e. 15 months after end of AP)	4 months late (i.e. filing made on 31 July 2027)	£200
31 December 2026	31 March 2028 (i.e. 15 months after end of AP)	1 month late (i.e. filing made on 30 April 2028)	£500 (3rd consecutive accounting period)
31 December 2027	31 March 2029 (i.e. 15 months after end of AP)	7 months late (i.e. filing made on 31 October 2029)	£1,000 plus £1800 (i.e., £60 for each of the 30 days between 1 October and 30 October 2029 (inclusive) on which the filing member failed to submit the return or notification)
31 December 2028	31 March 2030 (i.e. 15 months after end of AP)	On time	Nil
31 December 2029	31 March 2031 (i.e. 15 months after end of AP)	4 months late (i.e. filing made on 30 June 2031)	£200
31 December 2030	31 March 2032 (i.e. 15 months after end of AP)	1 month late (i.e. filing made on 30 April 2032)	£100
31 December 2031	31 March 2033 (i.e. 15 months after end of AP)	1 month late (i.e. filing made on 30 April 2033)	£500 (3rd consecutive accounting period)

Reasonable excuse
The filing member may make a claim that there is a reasonable excuse for not submitting the return or notification. When HMRC accepts a claim, a penalty is not charged. When a Tribunal has determined following an appeal that there was a reasonable excuse, HMRC will withdraw any penalty notice.

Insufficiency of funds is not a reasonable excuse.

If the filing member is reliant on another person to meet the obligation, it can only use this as a reasonable excuse if it has itself taken reasonable care to avoid the failure.

When a reasonable excuse ceases, the excuse will be treated as continuing if the filing member remedies the failure without unreasonable delay.

See CH160000 for further guidance on reasonable excuse.

Assessment and notification of penalty
HMRC charge penalties relating to the information return by formal assessment. Where a penalty is assessed, HMRC will issue a penalty notice to the filing member stating:

- The amount of the penalty,
- The date of issue, and
- The time during which an appeal can be made.

The assessment of a penalty is to be treated for procedural purposes in the same way as an assessment to tax. It may be enforced as if it were an assessment to tax and can be combined with an assessment to tax. See FA23/SCH14/PART11/PARA42.

Time limits
An assessment of a penalty relating to the information return must be made before the end of the period of 12 months beginning with:

- The end of the appeal period for the assessment of the liability to tax which would have been shown in the return, or
- If there is no such assessment, the date on which that liability is ascertained, or it is ascertained that the liability is nil.

Appeal period
'Appeal period' refers to the period during which the filing member:

- Could appeal, or
- Has made a valid appeal that has not been determined or withdrawn.

Liability and payment
A penalty relating to the information return is raised against the filing member and does not attract interest charges.

A penalty relating to the information return must be paid within 30 days of the day on which notification of the penalty is issued.

Payments received by the filing member will be ignored for corporation tax purposes if:

- The payment is received from a company (or companies) within the charge to corporation tax,
- The payment is received as part of an agreement between the filing member and that company (or companies) to reimburse or indemnify the filing member in respect of a penalty relating to the information return, and
- The payments do not, in total, exceed the amount of the penalty.

Appeal
A filing member may appeal against a penalty. Once appealed against, the collection of a penalty is postponed. This means that no action can be taken to collect a penalty while it remains under appeal.

Reduction in special circumstances

DRAFT

HMRC has discretion to reduce a penalty because of special circumstances. All the guidance on special reduction for all relevant taxes is in a separate chapter at CH170000.

DRAFT

55430 Penalties relating to the self-assessment return

If a group is registered for MTT, the filing member is obliged to submit a self-assessment return to HMRC for each period, unless a below-threshold notification is in effect (see MTT53000). If it fails to meet this obligation within the time limit, it will be liable to a penalty.

Therefore, a group will be liable to a penalty if:

- A self-assessment return has not been submitted for a period, and
- A valid below-threshold notification has not been made (or has been made and then withdrawn).

There will not normally be any partial mitigation of a penalty charged for failure to submit a return or notification on time. These penalties will apply automatically once the due date has passed, unless there is a reasonable excuse.

This is set out in paragraph 43, schedule 14 to Finance (No.2) Act 2023.

Amount of the penalty

The amount of penalty varies according to how long after the filing date the filing member submits the return or notification.

If the return or notification is delivered more than six months after the filing date, tax-related penalties may be charged if they are higher than the applicable flat-rate penalties.

The penalty is:

- £100, if the filing member submits the return or notification within 3 months of the filing date.
- £200, if the filing member submits the return or notification within 6 months of the filing date.
- The higher of £200 or 10% of the unpaid tax, if the filing member submits the return or notification within 12 months after the filing date.
- The higher of £200 or 20% of the unpaid tax, if the return or notification is not submitted within 12 months of the filing date.

The unpaid tax is the total amount of liability of group members for the accounting period that remains unpaid on the day after the filing date.

However, the penalties will increase if a group:

- Was obliged to submit a self-assessment return for three consecutive accounting periods,
- Received a penalty (through a filing member) relating to the self-assessment return for each of the first two of those periods, and
- Is liable (through a filing member) to a penalty for the third period.

If these conditions are met, the amount of the flat-rate penalty for the third period (and any subsequent consecutive periods) will increase to:

- £500, if the filing member submits the return or notification within 3 months of the filing date.
- £1000, if the return or notification is not submitted within 3 months (the higher-of tests continue to apply as applicable).

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Example
Filing member 'A' submits returns or notifications for the group's accounting periods as follows:

Accounting period ended	**Filing date**	**Date return or notification actually submitted**	**Penalty under FA23/SCH14/PART11/PARA 43**
31 December 2024	30 June 2026 (i.e. 18 months after end of first AP)	1 month late (i.e. filing made on 31 July 2027)	£100
31 December 2025	31 March 2027 (i.e. 15 months after end of AP)	7 months late (i.e. filing made on 31 October 2027)	£200 or if the unpaid tax on 1 April 2027 (the date a paragraph 43 penalty first arose) was more than £2000, 10% of the unpaid tax. Thus, if the unpaid tax on 1 April 2027 was £1,000,000, a £100,000 penalty would be due.
31 December 2026	31 March 2028 (i.e. 15 months after end of AP)	1 month late (i.e. filing made on 30 April 2028)	£500 (3rd consecutive accounting period)
31 December 2027	31 March 2029 (i.e. 15 months after end of AP)	13 months late (i.e. filing made on 30 April 2030)	£1000 or if the unpaid tax on 1 April 2029 (the date a paragraph 43 penalty first arose) was more than £5000, 20% of this unpaid tax. Thus, if the unpaid tax on 1 April 2029 was £1,000,000 a £200,000 penalty would be due.
31 December 2028	31 March 2030 (i.e. 15 months after end of AP)	On time	Nil
31 December 2029	31 March 2031 (i.e. 15 months after end of AP)	4 months late (i.e. filing made on 30 June 2031)	£200
31 December 2030	31 March 2032 (i.e. 15 months after end of AP)	1 month late (i.e. filing made on 30 April 2032)	£100
31 December 2031	31 March 2033 (i.e. 15 months after end of AP)	1 month late (i.e. filing made on 30 April 2033)	£500 (3rd consecutive accounting period)

Reasonable excuse
The filing member may make a claim that there is a reasonable excuse for not submitting the return or notification. When HMRC accepts a claim, a penalty is not charged. When a Tribunal has determined following an appeal that there was a reasonable excuse, HMRC will withdraw any penalty notice.

Insufficiency of funds is not a reasonable excuse.

If the filing member is reliant on another person to meet the obligation, it must take reasonable care to avoid the failure for this to be a reasonable excuse.

When a reasonable excuse ceases, the excuse is treated as continuing as long as the filing member remedies the failure without unreasonable delay.

See CH160000 for further guidance on reasonable excuse.

Assessment and notification of penalty
HMRC charge penalties relating to the self-assessment return by formal assessment. Where a penalty is assessed, HMRC will issue a penalty notice to the filing member stating:

- The amount of the penalty,
- The date of issue, and
- The time during which an appeal can be made.

The assessment of a penalty is to be treated for procedural purposes in the same way as an assessment to tax. It may be enforced as if it were an assessment to tax and can be combined with an assessment to tax. See FA23/SCH14/PART11/PARA43.

Time limits
An assessment of a penalty relating to self-assessment return must be made before the end of the period of 12 months beginning with:

- The end of the appeal period for the assessment of the liability to tax which would have been shown in the return, or
- If there is no such assessment, the date on which that liability is ascertained, or it is ascertained that the liability is nil.

Appeal period
'Appeal period' refers to the period during which the filing member:

- Could appeal, or
- Has made a valid appeal that has not been determined or withdrawn.

Liability and payment
A penalty relating to the self-assessment return is raised against the filing member and does not attract interest charges.

A penalty relating to the self-assessment return must be paid within 30 days of the day on which notification of the penalty is issued.

Payments received by the filing member will be ignored for corporation tax purposes if:

- The payment is received from a company (or companies) within the charge to corporation tax,
- The payment is received as part of an agreement between the filing member and that company (or companies) to reimburse or indemnify the filing member in respect of a penalty relating to the information return, and
- The payments do not, in total, exceed the amount of the penalty.

Appeal
A filing member may appeal against a penalty. Once appealed against, the collection of a penalty is postponed. This means that no action can be taken to collect a penalty while it remains under appeal.

Reduction in special circumstances
HMRC has discretion to reduce a penalty because of special circumstances. All the guidance on special reduction for all relevant taxes is in a separate chapter at CH170000.

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55440 Penalties for inaccuracies

HMRC is responsible for making sure that everyone pays the right amount of tax. Most people do pay the right tax at the right time and take care with the documents they submit. The purpose of the penalty provisions is to seek to influence behaviour by supporting those who try to meet their obligations and penalising those who do not. People expect reassurance from HMRC that there is no advantage for those who do not comply.

To provide this assurance, HMRC will charge penalties where people do not pay the right tax at the right time because the documents they submit to HMRC contain an inaccuracy, or because they fail to take reasonable steps to notify HMRC where an HMRC determination understates their liability to tax.

There are different circumstances under which HMRC may issue a penalty assessment. Penalties for inaccuracies are specifically for when a person carelessly or deliberately:

- Understates the tax they owe, or
- Makes a false or inflated statement of a loss or a claim for repayment of tax.

A filing member may be liable to a penalty for inaccuracies under Schedule 24 of Finance Act 2007 in relation to relevant documents (and the information provided with them) which must be submitted to HMRC for MTT purposes.

The filing member has 30 days to pay the penalty from the point at which the penalty is raised. This is set out in paragraph 45, schedule 14 to Finance (No.2) Act 2023.

Relevant documents

The relevant documents are:

- Information returns and overseas return notifications (see MTT52000).
- Self-assessment returns and below-threshold notifications (see MTT53000).

A filing member may also be liable to a penalty under Schedule 24 FA07 if it is issued with an HMRC determination which understates the amount of MTT which is due, and it fails to take reasonable steps to notify HMRC of the understatement. See MTT55350 for further guidance on HMRC determinations.

Further guidance

Further guidance can be found in the Compliance Handbook at the following pages:

- To determine when a penalty for inaccuracy or failure to notify an under-assessment is payable, see CH81010.
- To identify the types of inaccuracies, see CH81100.
- To calculate the penalty due, see CH82000.
- To process the penalty, see CH83000.
- To deal with appeals against a penalty, see CH84000.
- To consider miscellaneous issues that may affect the penalty, see CH84500.

HMRC can agree to a special reduction of the penalty in special circumstances. See CH82490.

There are also specific rules covering:

- How the penalty provisions apply in relation to agents and companies.
- What happens if a person incurs a penalty for an inaccuracy, and also incurs another penalty on the same tax.

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The penalty provisions in Sections 100 to 103 of TMA 1970 do not apply to a penalty under Schedule 24 FA 2007.

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55450 Penalties relating to record-keeping

The filing member has a duty to keep and preserve such records as may be needed to enable it to deliver correct and complete MTT returns (see MTT51500).

A penalty of £3,000 may be charged for each accounting period in relation to which:

- The filing member has failed to keep or to preserve adequate records for the required duration,
- HMRC reasonably requires facts to be proved, which would have been proved by those records had the filing member upheld its obligations, and
- Those facts are not proved by other documentary evidence provided to HMRC.

This is set out in paragraph 46, schedule 14 to Finance (No.2) Act 2023.

Assessment and notification of penalty

HMRC charge penalties relating to record-keeping by formal assessment. Where a penalty is assessed, HMRC will issue a penalty notice to the filing member stating:

- The amount of the penalty,
- The date of issue, and
- The time during which an appeal can be made.

The assessment of a penalty is to be treated for procedural purposes in the same way as an assessment to tax. It may be enforced as if it were an assessment to tax and can be combined with an assessment to tax. See FA21/SCH14/PART11/PARA46.

Time limits

An assessment of a penalty relating to record keeping must be made before the end of the period of 12 months beginning with:

- The end of the appeal period for the assessment of the liability to tax which would have been shown in the return, or
- If there is no such assessment, the date on which that liability is ascertained, or it is ascertained that the liability is nil.

Appeal period

'Appeal period' refers to the period during which the filing member could either make an appeal, or has made a valid appeal that has not been determined or withdrawn.

Liability and payment

A penalty relating to record-keeping is raised against the filing member and does not attract interest charges.

A penalty relating to record-keeping must be paid within 30 days of the day on which notification of the penalty is issued.

Payments received by the filing member will be ignored for corporation tax purposes if:

- The payment is received from a company (or companies) within the charge to corporation tax,
- The payment is received as part of an agreement between the filing member and that company (or companies) to reimburse or indemnify the filing member in respect of a penalty relating to record-keeping, and
- The payments do not, in total, exceed the amount of the penalty.

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Appeal
A filing member may appeal against a penalty. Once appealed against, the collection of a penalty is postponed. This means that no action can be taken to collect a penalty while it remains under appeal.

Reduction in special circumstances
HMRC has discretion to reduce a penalty because of special circumstances. The guidance on special reduction for all relevant taxes is in a separate chapter at CH170000.

DRAFT

55500 Appeals and reviews

The following pages provide some practical guidance on how decisions relating to MTT can be appealed.

MTT55510 provides guidance for making an appeal.

MTT55520 explains the situations in which a request to postpone a payment of MTT can be made.

MTT55530 provides more information on how an appeal will be concluded.

MTT55540 provides guidance on when HMRC will offer a review of a decision, and the review process for requesting a review.

This is set out in part 12, schedule 14 to Finance (No.2) Act 2023.

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55510 Appeals - Making an appeal

The filing member may appeal against any of the following decisions on tax:

- The conclusion of a compliance check, where an amendment is required in the closure notice.
- A partial closure notice
- An assessment of a penalty.
- A discovery assessment.
- An assessment, or supplementary assessment, for excessive repayment of tax.
- A jeopardy amendment during a compliance check to prevent loss of tax.

Although not a decision on tax, a person served a payment notice to pay an MTT liability may also appeal against the notice in limited circumstances.

This is set out in paragraph 55, schedule 14 to Finance (No.2) Act 2023.

Notice of appeal

The notice of appeal must be given to HMRC in writing within 30 days of the specified date.
The notice of appeal must specify the grounds of appeal.

Specified date

The 'specified date' is:

- For appeals against the conclusion of a compliance check, the date on which the closure notice was issued,
- For appeals against a discovery assessment, a penalty, or an assessment for excessive repayment of tax, the date on which the notice of assessment was issued,
- For appeals against a jeopardy amendment, the date on which the jeopardy amendment notice was issued.

Late notice of appeal

A late notice of appeal may be accepted after the 30-day limit if either:

- HMRC agree, or
- A Tribunal gives permission for notice to be given.

HMRC must agree to notice being given after the 30-day limit if:

- the appellant has requested in writing that HMRC do so,
- HMRC are satisfied that there was a reasonable excuse for not giving the notice within the relevant time limit, and
- The request has been made without unreasonable delay.

HMRC must notify the appellant of whether the request has been agreed or not.

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55520 Appeals – Postponement of tax

This is set out in paragraphs 63 and 67(2), schedule 14 to Finance (No.2) Act 2023.

Postponement of Tax

In general, an appeal does not postpone any liability to pay MTT due.

However, a liability may be postponed if:

- An application is made to HMRC and it is determined that there are reasonable grounds to believe that the person is overcharged,
- A tribunal directs it, or
- HMRC and the filing member agree to a postponement.

The period of postponement will end on the date that the appeal is determined.

For general information on postponements of tax during an appeal, see the Appeals, Reviews and Tribunals Guidance (ARTG) Manual.

Applications to postpone payment

The filing member can apply to HMRC to request postponement of payment if they have reason to believe that:

- A person has been overcharged MTT, or
- The amount of tax previously postponed is incorrect.

The application must state the amount believed to be overcharged and the grounds for that belief.

The application must be made within 30 days of the specified date (see MTT55510). It may be made more than 30 days after, if there is a change in the circumstances of the case, as a result of which the filing member has grounds for making a request, by direction of a Tribunal, or by HMRC agreement.

HMRC will then determine the amount of tax, if any, for which payment should be postponed. This amount must be the amount by which it is reasonable to believe that the person has been overcharged.

If the appellant does not agree with the determination, it may refer the application to the Tribunal.

Agreements to postpone

HMRC and the filing member may agree that payment should be postponed pending the determination of the appeal.

Any such agreement must be made in writing. It may be made with a person acting on behalf of the appellant.

The agreement should take effect in the same way that it would do if it were a direction from a Tribunal. An agreement may specify that is to be treated in the same way as a settlement agreement (see MTT55530).

Agreements may modify an existing determination made by HMRC following an application to postpone payment.

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Any agreement may subsequently be modified by a determination by HMRC following an application to postpone payment, or by Tribunal direction.

Appeals against penalties
A person may appeal against a penalty that is payable by that person.

Penalties relating to the information return (MTT55420), penalties relating to the self-assessment return (MTT55430), and penalties relating to record-keeping (MTT55450) are automatically postponed once appealed.

This means that no action can be taken to collect a penalty while it remains under appeal. An appeal against a penalty must be made in writing by the person that is required to pay the penalty, this will usually be the filing member.

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55530 Appeals – Concluding an appeal

When a valid appeal has been made, there are different possible routes to determining the outcome of the appeal:

- HMRC may conduct a review into the matter (see MTT55540).
- The appeal may be settled by an agreement between HMRC and the appellant.
- The appeal may be referred to a Tribunal.

For general information on appeals, see the Appeals, Reviews and Tribunals Guidance (ARTG) Manual.

This is set out in paragraphs 57-62, schedule 14 to Finance (No.2) Act 2023.

Appeal against jeopardy amendment made during compliance check

If an appeal against a jeopardy amendment is made while a compliance check into the return is still in progress, it is not possible to have a review or to refer the matter to a Tribunal until the compliance check has been concluded.

Conclusion of appeals

Appeals can either be concluded by agreement between HMRC and the appellant or determined by the Tribunal.

If the appellant notifies HMRC that they do not wish to proceed with the appeal and HMRC does not respond within 30 days in writing indicating they are unwilling for the appeal to be withdrawn, then the appeal is considered to be concluded as an agreement that no variation was necessary.

When HMRC and the appellant can reach agreement, HMRC must write to the appellant setting out whether the decision appealed against should be:

- Upheld without variation,
- Varied in a particular manner,
- Discharged or cancelled.

If the appellant does not respond in writing within 30 days of the settlement agreement that they wish to withdraw from the agreement, then the appeal is treated as if the tribunal had decided the appeal in the way set out in the settlement agreement.

Settlement agreements

Appeals may be settled by agreement before, during or after review and at any time before any decision is made by the tribunal. Where the appeal is settled following review, see ARTG4830 and ARTG4840.

Where the appeal is settled after the customer has notified the appeal to the tribunal, see ARTG8460.

Determination by Tribunal

Any person who wishes to notify an appeal against an HMRC decision or assessment to the tribunal can do so online through the gov.uk website.

Once the appeal has been determined any tax overpaid must be repaid or any tax unpaid must be collected. Late payment interest and repayment interest will also be payable on these amounts.

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55540 Appeals - Reviews

HMRC can offer to review an appeal, and the appellant may accept up to 30 days from the date of the offer.

The appellant can request that It requires HMRC to review an appeal, in which case HMRC must do so.

A review cannot be requested or offered if:

- The appellant has already made a request on the same matter.
- HMRC has already offered a review of the same matter.
- The appeal has been notified to the Tribunal.

See ARTG4000 for guidance on reviews of tax decisions.

This is set out in paragraphs 57-59, schedule 14 to Finance (No.2) Act 2023.

HMRC offer to review

An HMRC offer to review must be made in writing and contain a statement of HMRC's view of the matter.

If the offer is not accepted within the 30-day window, and the appellant has not referred the matter to the Tribunal, then HMRC's view of the matter will be treated as though it were a settlement agreement (see MTT55530). However, there is no right to withdraw as there is with a settlement agreement.

Review requested by appellant

If the request is valid, HMRC must provide the appellant of its view of the matter within 30 days from the day it received the request, unless a longer period is reasonable.

Review process

HMRC will decide the nature and extent of the review. In making this decision, HMRC must consider the steps it took to decide the matter and the steps any person took to resolve the disagreement about the matter.

The appellant may provide information during the review. HMRC must take this information into account if it is provided at a time that gives it reasonable opportunity to consider the information.

Concluding a review

Unless an extension is agreed, HMRC will notify the filing member of the conclusions of the review within 45 days of either:

- HMRC's view of the matter (where the filing member requested a review), or
- HMRC receiving notification of the filing member's acceptance of the offer (where HMRC offered the review).

The conclusion will be that the HMRC view is either upheld, varied, or cancelled.

The conclusion is to be treated as though it was part of a settlement agreement (see MTT55530), except there is no right to withdraw. However, the appellant may notify its appeal to the Tribunal.

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HMRC must notify the appellant of the conclusion and the reasoning for that conclusion within 45 days of the relevant day, unless another period is agreed.

Relevant day
The 'relevant day' is the day HMRC notified the appellant of its view of the matter or, if it offered the review, the day it received the acceptance of the offer.

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Multinational Top-up Tax and Domestic Top-up Tax – Supplementary draft guidance

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Multinational Top-up Tax and Domestic Top-up Tax – Supplementary draft guidance - Introduction

This release of draft guidance is being published to provide technical guidance on the legislation implementing Multinational Top-up Tax (MTT) and Domestic Top-up Tax (DTT), in Parts 3 and 4 of Finance (No.2) Act 2023. These measures constitute the UK's adoption of a qualifying Income Inclusion Rule and a qualifying domestic minimum top-up tax (part of the Pillar 2 or GloBE rules). Following feedback in this consultation window, the guidance manual will be published in full in late spring.

Please see the collection page on gov.uk for previous releases of draft guidance.

Content included in this release

Content new to this release includes:

- Guidance on new provisions introduced under the current Finance Bill, including the Undertaxed Profits Rule.
- Guidance on provisions significantly amended by the current Finance Bill.
- Guidance on joint venture groups.
- Guidance on flow-through entities.
- Guidance for the insurance sector.
- Guidance on additional top-up amounts and post-filing adjustments of covered taxes.
- Pages that have been significantly amended following previous consultation responses.

Please note that the draft guidance is expected to be published after the current Finance Bill has received royal assent. The draft guidance therefore references Finance Act 2025. Content related to the current Finance Bill may be revised following royal assent before being published in the HMRC guidance manual.

Consultation responses

HMRC welcomes comments on:

- The draft guidance included here,
- Any previously released draft guidance, and
- Suggestions for any other content that may be useful.

Please submit comments to the inbox: pillar2.consultation@hmrc.gov.uk. Include "HMRC guidance" in the subject line and refer to the page number (MTTxxxxx) and page title for pages that have been drafted, or refer to the legislation for pages that have not yet been drafted.

The specified closing date for responses to this consultation is 8 April 2026. Responses received after this date will still be reviewed.

This will be the last draft guidance document released as a consultation document, but comments on guidance after publication of the manual will still be welcome at the same email address. HMRC will also consider potential improvements to guidance pages when responding to requests for clearances or other similar stakeholder queries.

Previous consultation responses

All previous consultation responses have been reviewed and recorded.

DRAFT

In some cases, changes have been made to existing draft guidance pages, but these have not been republished in draft form in this document as the change is minor.

In other cases, no changes have been made to the guidance. There are a number of reasons why this may be the case:

- The point raised has been prioritised, but it is complex and requires detailed analysis that is still in progress.
- The issue is expected to be resolved at OECD Inclusive Framework level, and HMRC does not wish to pre-empt potential multilateral discussions by issuing guidance.
- The change will be made at a later time as other work on the guidance has taken priority.
- The point raised is correct, but it can already be discerned from the guidance as drafted.

If you have previously raised a point in a consultation response and it has not been acted on, and you think it requires urgent consideration, please highlight the point in your response to this release of draft guidance.

Further changes to the guidance manual

A number of changes are intended to be made to the guidance manual before it is published:

- Changes following certain government amendments to the Finance Bill.
- Inclusion of the map between the legislation and the OECD Model Rules, and a reverse map.
- Guidance on chargeability will be reorganised and brought together with the UTPR guidance.
- Further improvements will be made to the guidance before and after publication, including the reflection of points raised in the consultations.

HMRC is not intending to publish pages on eligible distribution tax systems, deductible dividend regimes, or multi-parent groups as these regimes and entities are not found in the UK.

DRAFT

01010 Effective date of FA25 amendments and the retrospection election

In the Finance Act 2025, a number of amendments were made to the MTT legislation in Finance (No.2) Act 2023.

The commencement date for these amendments varies:

- Amendments that will always be beneficial to the taxpayer will typically apply retrospectively for periods beginning on or after 31 December 2023 (the implementation date of MTT).
- Some amendments will apply prospectively for periods beginning on or after 31 December 2024.
- The majority of amendments will, by default, apply prospectively for periods beginning on or after 31 December 2024, unless a retrospection election is made.

Where the retrospection election is made, the relevant amendments will all apply retrospectively for all members of the group from the implementation date.

The only provision to fall outside these categories is the transitional safe harbour anti-arbitrage rule (see MTT15980), which is effective from the 14 March 2024.

The retrospection nature is of a different nature to other MTT elections. It is set out in paragraph 63 in Part 3 of Schedule 4 of FA25.

Nature of the retrospection election

The retrospection election will apply on a group basis. It will also apply to any joint venture groups owned by the consolidated group that makes the election.

HMRC does not need to be notified that an election has been made. The retrospection election is in effect made when the group submits a self-assessment return that has been prepared on the basis that the election has been made.

Once an election has been made, it cannot be revoked. It will apply to every accounting period for which the election would have an effect.

Conditions

The following conditions must be met for a retrospection election to be valid:

- The election must be made on or before the day on which the first self-assessment return or below-threshold notification for the first accounting period beginning on or after 31 December 2023 is submitted, and
- Written consent must be given by all relevant members (see below).

Therefore, the group should obtain written consent by the date the self-assessment return is submitted.

See MTT53000 for guidance on the self-assessment return filing date.

Written consent

An election cannot be made without the written consent of:

- Every responsible member of the group, unless the filing member is the only responsible member (see MTT05110), and

- Every member of the group (including former members) who would be chargeable to a DTT top-up amount (see MTT06100) for a period beginning before 31 December 2024, under the following assumptions:
    - The retrospection election has been made, and
    - An election to make a single member liable for DTT has not been made (see MTT06120).
- Every qualifying entity in respect of which another person is chargeable to a DTT top-up amount for a period beginning before 31 December 2024, under those assumptions.

This includes the written consent of any person who may be chargeable to MTT and every person who would be chargeable to DTT, or chargeable in respect of another person, at the time the election is made.

The filing member should retain evidence that the election was made and retain any records of written consent given in accordance with the record-keeping requirements (see MTT51500). Where:

- The filing member was unaware that a member needed to give consent at the time the election was made, and
- The filing member obtains written consent from that person within a period of 60 days beginning on the day the filing member realised that the person needed to provide consent,

that written consent is treated as having been given prior to the election being made.

Amendments subject to the retrospection election

The table below sets out the package of amendments to which the retrospection election applies. Where an election is made these amendments will all take effect for accounting periods beginning on or after 31 December 2023 for all members of the group.

Amendments are included in the retrospection election even where HMRC considers the amendment to be entirely clarificatory. Therefore, it should not be inferred that an alternate interpretation of the original legislation is acceptable because an amendment has been made subject to the retrospection election.

Amendment title	**Amended or inserted section(s) of Finance (No.2) Act 2023**	**Paragraph of Schedule 4, FA25**	**Multinational Top-up Tax manual reference**
Use of substituted values	Sections 137A and 197	Paragraph 11A	MTT21010
Flow-through entities	Sections 168, 169, 170, 178, and 240	Paragraphs 12, 13, 14, 15, and 16	MTT41400, 41430, 41450, 41460, and 18020
Blended CFC regimes	Sections 180 and 180A	Paragraph 24	MTT25510, 25511
No allocation of deferred tax assets and liabilities under blended CFC regimes	Section 180	Paragraph 25	MTT25510
Cross-border allocation of current tax under cross-crediting regimes	Section 181A	Paragraph 26	MTT25520

Cross-border allocation of deferred tax	Section 181B	Paragraph 27	MTT27180
Extension of qualifying foreign tax credits	Section 183	Paragraph 28	MTT27160
Deferred tax recapture	Section 184	Paragraph 29	MTT27400
Existing deferred tax assets and liabilities arising under blended CFC regimes	Section 185	Paragraph 30	MTT27300
Substance based income exclusion: permanent establishments and flow-through entities	Sections 195 - 198ZA	Paragraphs 31-32B	MTT32000 and 32030
Eligible payroll costs	Section 196	Paragraph 33	MTT32010
Additional top-up amounts	Sections 203 and 206	Paragraph 33A and 33B	MTT33000+
Joint ventures	Sections 227 and 266	Paragraphs 35 and 36	MTT41600
Allocation of DTT	Sections 270 and 272	Paragraphs 37 and 38	MTT31100
DTT excluded entities	Section 267	Paragraph 39	MTT10020
De minimis rule	Sections 199 and 228	Paragraph 40	MTT30100 and MTT41510
Transitional safe harbour	Part 2, Schedule 16	Paragraph 41	MTT15910, 15920, and 15925
Inclusion ratio	Sections 201 and 223	Paragraphs 44 and 45	MTT05140 and 45130
Minor amendments	Sections 141, 148A, 170, 171, 176B. 176C. 176D, 212, 215, 216, 217, 222, 242, 255, Schedule 14	Paragraphs 48 to 62A, except 58B.	MTT21140, 21420, 41450, 42010, 25400, 41200, 44030, 45170, 21290, 25300, 45150, 17000, 51100, and 51450

Amendments that apply retrospectively regardless of the retrospection election

The table below sets out the amendments which apply retrospectively whether or not the retrospection election has been made.

These amendments take effect from the implementation date of MTT.

These amendments are those which HMRC considers to be beneficial to taxpayers in all circumstances. However, amendments that reflect unilateral UK policy choices are included in the

retrospection election, even if they would otherwise fall into this category.

Amendment title	**Amended or inserted section(s) of F(No.2)A23**	**Paragraph of Schedule 4, FA25**	**MTT guidance manual reference**
Permanent establishments as excluded entities	127	Paragraph 11	MTT10200

Joint venture conditions	226	Paragraph 34(d)	MTT41600
Removal of requirement for SBIE election	195	Paragraph 43	MTT32000
Specification of territories and taxes	241, 246, Schedule 16A	Paragraph 46	MTT00130
Filing etc not required before 30 June 2026	Schedule 14	Paragraph 47	MTT52000, 53000, 54100
Minor amendment (top-up amount of investment entity)	220	Paragraph 58B	[cross-reference to be added]

Amendments that apply prospectively regardless of the retrospection election
The table below sets out the amendments which apply prospectively whether or not the retrospection election has been made.

These amendments take effect for periods beginning on or after 31 December 2024, except for the anti-arbitrage rule.

The anti-arbitrage rule was announced by ministerial statement on 14 March 2024, and the provision applies prospectively from that date in accordance with paragraph 42(2). Paragraph 42(3)-(5) consists of minor consequential changes which apply prospectively for periods beginning on or after 31 December 2024.

Amendment title	**Amended or inserted section(s) of F(No.2)A23**	**Paragraph of Schedule 4, FA25**	**MTT guidance manual reference**
Tax equity partnerships	176D-176F	Paragraph 17-23	[cross-reference when page created]
Joint venture conditions	226	Paragraph 34(a)-(c)	MTT41600
Transitional safe harbour anti-arbitrage rule	Sch16, paras 6A and 6B; Sch16 para 4; section 155; Sch17	Paragraph 42	MTT15980

DRAFT

05130 The charge – Attributing top-up amounts to a responsible member

Top-up amounts are determined separately for each member of the group. The member's top-up amount is then attributed to the responsible members to determine the amount of tax to be charged to each responsible member.

The amount to be attributed to a responsible member is given by multiplying:

- The top-up amount of the member (the "relevant member"), by
- The inclusion ratio of the responsible member (see MTT05140).

This is set out in sections 200 and 201 of Finance (No.2) Act 2023.

See MTT31000+ for guidance on determining the top-up tax amount of a member.

Indirectly held interests

It is possible for a responsible member to hold an interest in the relevant member through another responsible member which holds a more direct interest.

In this case, the amount attributable to the responsible member with the more direct interest should be calculated first. That amount is then deducted when determining the amount attributable to the responsible member with the less direct interest.

The amount to be attributed cannot be reduced below nil as a result of the deduction.

This treatment applies in respect of each ownership interest held by the responsible member.

Example

Responsible Member A holds a direct interest in X Ltd of 20%. It also holds an indirect interest of 36% in X Ltd via Responsible Member B. Responsible Member A holds a 60% ownership interest in Responsible Member B, which in turn holds a 60% interest in X Ltd.

The inclusion ratio of Responsible Member A is 0.56. The inclusion ratio of Responsible Member B is 0.6.

For the 2030 period, X Ltd has a top-up amount of 100.

The top-up amount attributable to Responsible Member B is (0.6*100) = 60.

The top-up amount attributable to Responsible Member A in respect of the indirectly-held interest is (0.36*100) = 36. From this is deducted the amount of 60 already attributed to Responsible Member B. This reduces the amount attributable to zero in respect of this ownership interest.

The top-up amount attributable to Responsible Member A in respect of the directly-held interest is (0.2*100) = 20. No reduction is applicable.

DRAFT

05140 The charge – Attributing top-up amounts to a responsible member – Inclusion ratio

A responsible member's inclusion ratio for a relevant member is determined by the following process:

Step 1: Determine the adjusted profits of the relevant member (see MTT21000+).

Step 2: Determine how much of those profits are attributable to ownership interests held by individuals and entities other than the responsible member, excluding interests in respect of which an amount has been excluded from the adjusted profits.

Step 3: Subtract the result of Step 2 from Step 1 to find the profits of the relevant member that are attributable to the responsible member.

Step 4: The inclusion ratio is given by dividing Step 3 by Step 1. This represents the profits attributable to the responsible member in proportion to the total adjusted profits.

If a relevant member is wholly owned by a responsible member, the inclusion ratio will always be 1.

This is set out in section 201 of Finance (No.2) Act 2023.

Exclusion of ownership interests where amounts are excluded from adjusted profits
The inclusion ratio considers how to attribute the adjusted profits between ownership interests.

Therefore, where an amount of profits has already been excluded from the adjusted profits due to a reallocation to another member (for example, where adjusted profits are reallocated from a flow-through entity), none of the residual adjusted profits should be considered attributable to the ownership interests of that member.

Attribution of adjusted profits
In step 2 of the process for determining the inclusion ratio, it is necessary to determine the profits to be attributed to ownership interests held by persons other than the responsible member.

The amount to be so attributed is the amount that would, in hypothetical consolidated financial statements (CFS) prepared by the responsible member, have been treated in those CFS as attributable to persons other than the responsible member. The accounting standard used to prepare the CFS of the ultimate parent is to be used for the purpose of determining these hypothetical consolidated financial statements.

Additionally, that amount should be determined using the following assumptions:

- That the relevant member's profits were its adjusted profits as determined for MTT purposes (see MTT21000+).
- That the responsible member had a controlling interest (see MTT17020) in the relevant member, such that all of the relevant member's income and expenses were consolidated on a line-by-line basis with those of the responsible member.
- That all of the profits of the relevant member were attributable to transactions with persons who are not members of the group.
- That all ownership interests that are not directly or indirectly held by the responsible member were held by persons other than members of the group.

Ultimate parent does not prepare consolidated financial statements
Where the ultimate parent does not prepare CFS, the accounting standard used for inclusion ratio purposes must be the same as is used by the UPE to create hypothetical CFS.

DRAFT

See MTT19500 for guidance on the consolidated financial statements.

Investment entities
The inclusion ratio is applied to investment~~s~~ entities with certain modifications. See MTT45190 for further guidance.

Example
X Ltd is a 70% subsidiary of Y Ltd. Y Ltd is a responsible member. The remaining shares are 20% owned by Z Ltd and 10% owned by an individual person. X Ltd has adjusted profits of £10 million and a top-up amount of £1 million.

The inclusion ratio of Y Ltd in respect of X Ltd is determined as follows.

Step 1: X Ltd has adjusted profits of £10 million.

Step 2: In the hypothetical consolidated financial statements of Y Ltd, £3 million of the profit of X Ltd is attributable to persons other than Y Ltd.

Step 3: £10 million – £3 million = £7 million

Step 4: £7 million / £10 million = 0.7

The inclusion ratio for Y Ltd in respect of X Ltd is therefore 0.7.

This ratio is then applied to the top-up amount of X Ltd of £1 million. Y Ltd is therefore responsible for £700,000 of top-up tax in respect of X Ltd.

Where the inclusion ratio must also be determined for Z Ltd, this will be done separately.

Amendment in Finance Act 2025
Section 201 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

DRAFT

10110 Scope – Meaning of "entity"

[New paragraph to be added to previously-released page:]

Investment funds

The definition of entity is extremely wide. One impact is that funds, however structured, will typically be regarded as entities, as funds will typically prepare separate financial accounts.

DRAFT

10130 Scope – Protected cell companies and qualifying transformer vehicles

[New paragraph to be added to previously-released page:]

Treatment of foreign protected cell companies
The UK legislation specifies the treatment for a PCC incorporated under UK legislation.

For a PCC incorporated under an equivalent foreign law, HMRC would accept the same treatment. Where the PCC definition varies in the foreign law, HMRC may accept the same treatment depending on the exact nature of the arrangement.

Distribution received from protected cell company
Where a distribution is received from a PCC, the 10% test for excluded dividend status (see MTT21140) should be applied by reference to the recipient group's percentage ownership of the relevant cell issuing the distribution, rather than of the PCC as a whole.

DRAFT

10250 Scope - Definitions of “investment fund” and “REIT”

[Revision of previously-released section:]

Investment fund

An entity is an investment fund if it meets the conditions in section 236 of the Act.

Many funds – most obviously, but not exclusively, those which are listed – have arrangements in place for the transfer of interests in those funds between investors. Such funds should not be regarded as failing the conditions in section 236(a) or (c) simply because they now have investors which did not provide the assets which were originally pooled, or because some investors bought shares from others rather than making contributions directly to the fund.

Similarly, the condition in section 236(e) should not be regarded as having been failed simply because one investor acquired a holding of interests in the fund at a different price to another, reflecting changes in the value of the fund.

The condition in section 236(a) refers to what the potential investment fund is designed to do. This test should be applied on an ongoing basis, not once and for all when the fund is set up. For example, some investment trusts were formerly the owners of trading groups, before selling those groups and changing their activities to investment of the trade proceeds. The activities that such entities were designed to do would have changed when they decided to become investment trusts. In the opposite case, if an investment fund was acquired in its entirety by a single buyer with the intention of retaining it, that entity would no longer be designed to pool assets from a number of unconnected investors and so would cease to be an investment fund from the point of its acquisition.

Sometimes, a fund (the “main fund”) will be set up with a number of “feeder funds” as its immediate direct investors. The investors (in the commercial sense of the word) will invest in the feeder funds, rather than the main fund. Where the main fund and the feeder funds are seen as tax transparent in the territories in which they are created, the feeder funds should be looked through, and the tests in section 236 should be applied to the ultimate investors.

DRAFT

15110 QDMTT safe harbour – The election

The group must make an election to access the QDMTT safe harbour for a territory. This is an annual election (see MTT52200), and it is made in respect of all the members of a group located in a territory.

The election can only be made if the following conditions are met for the territory for the period:

- An accredited qualifying domestic top-up tax applies in that territory, and
- None of the four disqualifying conditions apply.

Where a disqualifying condition applies, the group may not make the election at all for the relevant territory.

This is set out in Chapter 1, paragraph 3 of Schedule 16A to Finance (No.2) Act 2023.

The election is made separately for joint venture groups and non-standard members (investment entities and minority owned members). Different conditions apply for the elections in respect of those members (see MTT15120).

Effect of an election

Where a QDMTT safe harbour election is made, all the members in the relevant territory are treated as not having top-up amounts or additional top-up amounts for MTT purposes.

Note that the election is made separately for joint venture groups and non-standard members (see MTT15120).

Disqualifying condition A – flow-through entity that is an ultimate parent not chargeable to the QDMTT

This disqualifying condition is met if:

- The ultimate parent is located in the territory,
- The ultimate parent is a flow-through entity, and
- The QDMTT that applies in that territory:
    - Does not generally impose a charge on the ultimate parent due to it being a flow-through entity, and
    - Does not impose a charge on the ultimate parent in circumstances where there would otherwise be an amount of tax that was not charged to any member of the group in that territory

Disqualifying condition B – flow-through entity that is a responsible member not chargeable to the QDMTT

This disqualifying condition is met if:

- A responsible member of the group (see MTT05110) is located in the territory,
- The member is not the ultimate parent of the group,
- The member is a flow-through entity (see MTT41400), and
- The QDMTT applying in the territory:
    - Does not generally impose a charge on the member due to it being a flow-through entity, and
    - Does not impose a charge on the member in circumstances where there would otherwise be an amount of tax that was not charged to any member of the group in that territory.

DRAFT

Conditions A and B exist because a QDMTT may be accredited for the safe harbour even though it does not impose a charge on flow-through entities (even where this would result in an amount of tax not being charged at all). The conditions "switch off" the safe harbour for groups where this outcome may arise.

Note that the part of the condition that relates to the design of the QDMTT does not depend on the particular facts relating to the group. Even if a charge is in fact imposed on another entity in respect of the flow-through entity, the disqualifying condition will still be met if the QDMTT does not impose a charge on a flow-through entity as a last resort.

Disqualifying condition C – groups in initial phase of international expansion not subject to the QDMTT

This disqualifying condition is met if:

- The QDMTT applying in the territory provides that it does not apply to a multinational group in the initial phase of international expansion,
- That provision is not limited in application to circumstances where the members of a multinational group in the territory are not subject to Pillar Two rules, and
- The provision applies to the group.

This condition exists because a QDMTT may still be accredited for safe harbour purposes where it contains the provision described. The condition works to "switch off" the safe harbour for groups that benefit from such a provision.

The provision envisaged by this rule is an extension of Article 9.3 of the OECD Model Rules in the design of a QDMTT.

Disqualifying condition D – enforceability of QDMTT amount in question

This disqualifying condition is met if the enforceability of an amount of QDMTT accruing to a standard member of the group is in question.

See MTT31015 for guidance on how to determine whether the enforceability of an amount of QDMTT is in question.

DRAFT

15910 Transitional safe harbour – The election

[New paragraph to be added to previously-released page:]

Stateless members

For MTT purposes, a stateless member is located in a nominal territory. This territory does not exist for CbCR purposes. A transitional safe harbour election cannot be made for a stateless member, because a CbC Report (whether actual or notional) will not include data for that nominal territory.

DRAFT

15920 Transitional safe harbour - Source of data

The figures used in the transitional safe harbour tests are:

- Revenue, which is taken from the CbC Report.
- Profit (loss) before income tax, which is taken from the CbC Report.
- Qualifying income tax expense, which should be taken from the same accounts that were used to prepare the CbC Report for the territory.
- The substance based income exclusion amount, which must be calculated according to the rules required under the full calculation, using the same accounts that were used to prepare the CbC Report for the territory.

The CbC Report must be qualifying.

This is set out in Paragraph 4, Schedule 16 to Finance (No.2) Act 2023.

See MTT19525 for the adjustments to be made to these figures.

Meaning of Country-by-Country (CbC) Report

For MTT purposes, a CbC Report is one prepared and filed in accordance with legislation implementing the OECD's guidance on Country-by-Country Reporting. This is set out in section 251A of Finance (No.2) Act 2023.

Where no legislation requires a CbC Report to be filed by the group for the MTT period, the OECD guidelines themselves may be used for the purpose of a notional CbC Report.

A CbC Report that is prepared only in respect of certain territories in which the group has members will not be considered a CbC Report for MTT purposes.

See IEIM300000 for guidance on CbC Reporting in the UK.

Group not required to prepare and file a CbC Report – Notional CbC Reports

Generally, the scope of MTT and CbC Reporting (CbCR) is the same. However, in some cases, groups in scope of MTT will not be in scope of CbCR, or will be exempt from CbCR requirements.

Additionally, in other cases, a group will be required to prepare a CbC Report for a different period than the accounting period for MTT purposes. (For example, where the ultimate parent does not produce consolidated financial statements, the MTT period will run to the calendar year by default in accordance with section 251(2) of the Act; there is no equivalent rule in CbCR.)

In these cases, there is no requirement for a group to prepare and file a CbC Report for the MTT accounting period. Instead, for the purposes of completing the test, the group can use the figures that would have appeared in a qualifying CbC Report, had it been required to prepare and file one. In HMRC guidance this is referred to as a "notional CbC report".

Where a notional CbC Report is used, the group will be treated as having prepared and filed a CbC Report. However, it is necessary that the requirements for a CbC Report to be qualifying are met in regard to the notional CbC Report. This means that the information relied on for the purposes of the safe harbour must be prepared on the basis of qualified financial statements.

The figures from the notional CbC Report must be determined according to:

- The CbCR legislation of the ultimate parent, or
- If there is no such legislation, the OECD's guidance on CbCR.

Only the information pertaining to the test relied on needs to be included in the information return.

Qualifying CbC Report
A CbC Report will be a qualifying CbC Report in respect of a territory if, for that territory, the relevant information relating to that territory is prepared on the basis of qualified financial statements.

This ensures that, where information on some territories in the report is not prepared using qualified financial statements, the group can still qualify for the safe harbour for the other territories.

Relevant information
The "relevant information" is the information that pertains to any of the three safe harbour tests.

This is the case even if some of that information is not used in the test being relied on by the group. For example, if the simplified effective tax rate test is relied on, it is still necessary for the figure for revenue to be prepared on the basis of qualified financial statements.

Other information in the CbC Report must still be calculated in accordance with the relevant CbCR legislation or OECD guidelines as applicable.

Qualified financial statements
The "qualified financial statements" are either:

- The accounts used to prepare the consolidated financial statements of the group, or
- The financial statements of individual members of the group, provided that the information therein is reliable and maintained in a manner consistent with its use under the applicable accounting standard.

The qualified financial statements must be prepared in accordance with acceptable accounting standards or authorised accounting standards.

The CbC Report will not qualify in respect of a territory if the relevant information for that territory is derived from a combination of these two categories of qualified financial statements.
Where the consolidated financial statements do not include entities for reasons of materiality, the financial accounts of those non-material members are also considered to be qualified financial statements, even if they are not prepared in accordance with an acceptable or authorised accountings standard.

In addition to the qualified financial statements, a group may need to use management accounts to determine amounts that must be allocated from a main entity to a permanent establishment. This will not prevent the relevant information in the CbC Report from being considered to be based on the qualified financial statements.

PPA adjustments
Where statements contain PPA adjustment, an additional condition must be met in order for them to be considered qualifying financial statements. See MTT15921.

Example
A group prepares and files a CbC Report in accordance with legislation implementing the OECD guidance on CbCR for all of the three territories in which it operates.

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The relevant information in the Report relating to Territory A is derived only from the accounts used to prepare the group's consolidated financial statements.

The relevant information relating to Territory B is derived only from the financial statements of individual members that are prepared in accordance with the acceptable accounting standard used in that territory.

The relevant information relating to Territory C is partly derived from the accounts used to prepare the group's consolidated financial statements, and partly derived from the separate financial statements of individual members.

The CbC Report is qualifying for Territory A and Territory B because:

- The Report was prepared and filed in according with OECD guidance, and
- The relevant information relating to each of those territories were derived exclusively from one of the two categories of qualified financial statements.

It is not qualifying for Territory C, because a combination of the two categories of qualified financial statements were used to derive the relevant information relating to Territory C.

When determining whether the transitional safe harbour tests are met, the qualifying income tax expense and substance based income exclusion amount must be determined based on:

- The accounts used to prepare the group's consolidated financial statements, for Territory A, and
- The financial statements of individual members, for Territory B.

Multi-parent groups
For multi-parent groups, the CbC Report must cover all of its constituent groups to be qualifying.

Amendment in Finance Act 2025
Schedule 16, paragraph 4 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

DRAFT

15921 Transitional safe harbour – Purchase price accounting adjustments

Where the financial statements used to prepare the country-by-country report reflect purchase price accounting adjustments, a special rule applies.

The consistent reporting condition must be satisfied in order for the statements to be qualifying financial statements.

Where that condition is met, the goodwill adjustment must be made.

This is set out in paragraph 4A of Schedule 16 to Finance (No.2) Act 2023.

Consistent reporting condition

The relevant statements cannot be qualified financial statements if:

- A CbC Report has been submitted by the group for a period beginning on or after 1 January 2023 and ending before the accounting period for which the election is being made, and
- The financial accounts used to prepare that CbC report did not reflect purchase price accounting adjustments.

An exception applies if the group was required by law to reflect purchase price accounting adjustments in its financial statements.

Goodwill adjustment

An adjustment will be required where:

- An impairment of goodwill is reflected in the profit (loss) before income tax of a territory,
- That goodwill is in relation to a transaction entered into on or after 1 December 2021.

The profit (loss) before income tax is to be adjusted so that it does not reflect the impairment:

- When determining whether the routine profits test is met, and
- When determining whether the simplified effective tax rate test is met, unless:
  - The relevant statements reflect a reversal of deferred tax liability in relation to the goodwill, or
  - The relevant statements reflect the recognition or increase of a deferred tax asset in relation to the goodwill.

Introduction by Finance Act 2025

This provision was introduced into F(No.2)A23 by FA25. This guidance page is not applicable for period beginning before 31 December 2024 unless the retrospection election is made (see MTT01010).

DRAFT

15980 Transitional safe harbour – Anti-arbitrage rule

An anti-arbitrage rule applies for transitional safe harbour purposes to exclude certain amounts from the profit (loss) before income tax and income tax expense when completing the tests for the transitional safe harbour.

The rule is set out in paragraphs 6A and 6B to Schedule 16 of Finance (No.2) Act 2023.

For further guidance on the anti-arbitrage rule, see Chapter 2.6 of the December 2023 Administrative Guidance document published by the OECD.

Introduction by Finance Act 2025
This provision was introduced in an amendment to Finance (No.2) Act 2023 by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

DRAFT

18020 Determining location of flow-through entities and permanent establishments

Rules on determining the location of flow-through entities and permanent establishments are set out in section 240 of Finance (No.2) Act 2023.

See MTT41010 for general guidance on permanent establishments, and MTT41400 for general guidance on flow-through entities.

Location of flow-through entities

Where flow-through entity:

- Is the ultimate parent of a group, or
- Would be a responsible member if it were located in the territory in which it was created,

it is located in that territory.

A flow-through entity that is not a responsible member is a stateless entity.

See MTT18000 for guidance on stateless entities, MTT18030 for guidance on the place of creation, and MTT05110 for guidance on responsible members.

Location of permanent establishments

The location of a permanent establishment (PE) depends on which of the four conditions it meets under section 232(2)(a)-(d).

An entity that is a PE because of a tax treaty is located in the territory where it is treated as a PE under that tax treaty.

A PE that is taxed on a similar basis to other tax residents is located in the territory in which it is subject to net basis taxation based on its business presence.

A PE that is located in a territory without a corporate income tax, but would be taxable by that territory if it did have a corporate income tax, is located in the territory in which it is situated. Other PEs are stateless entities.

Amendment in Finance Act 2025

Section 240 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

DRAFT

21010 The underlying profits

[New paragraph to be added to previously-released page:]

Substituted values

Where an MTT provision requires a value in the underlying profits accounts to be substituted with another value (the 'substituted value'), that substituted value:

- Should be used for all purposes of the MTT calculation (instead of the value recorded in the accounts), and
- Is to be updated

in accordance with the accounting standard used in determining the underlying profits of the member.

For example, where the carrying value of an asset has been substituted and the value of that asset is relevant to the deferred tax expense, the substituted value should be used to determine the deferred tax expense.

Because the accounting standard used in preparing the underlying profits accounts is to be followed, where that standard does not require or permit the recognition of a deferred tax asset or liability, no such asset or liability should be recognised as a result of the substitution of a new value.

However, where the value of an asset has been substituted, and that substituted value is being used, no adjustments for impairment are required (i.e. the group is not required to undertake impairment testing on the substituted value). This provision is only needed in relation to assets as liabilities are not typically subject to impairment.

Where:

- the value of an asset recorded in the underlying profits accounts has been substituted, and
- In the underlying profits account for any period, its value has been impaired, and that impaired value is less than the substituted value of that asset for that period,

the value from the underlying profits accounts is to be used for that period and all subsequent periods, rather than the substituted amount.

The rules in relation to impairment losses are designed to prevent a group having to conduct impairment testing in relation to the substituted values.

This treatment is set out in section 137A of the Act.

DRAFT

21170 Adjusted profits - Asymmetric foreign currency gain or loss

[New paragraphs to be added to previously-released page:]

Example 1
Company A prepares its individual financial statements with the Euro as its presentational and functional currency. It has made an election to change its functional currency for UK tax purposes to sterling and therefore calculates its taxable profit or loss by reference to sterling. This example assumes a EUR:GBP exchange rate of 1.2:1.

Company A has a foreign exchange loss relating to a sterling-denominated asset in its accounts.

Company A	Accounts **Euros**	UK Tax Computation **GBP**	Functional Currency Exchange **Euro/GBP 1.2:1**	Adjusted Profits Calculation **Euros**
Foreign exchange loss on revaluation of sterling investments	(260)	-	-	-

The 260 loss in the accounts is a fluctuation between the accounting currency (Euro) and sterling investments. The 260 loss is excluded from the member's adjusted profits if it is also excluded from taxable profit/(loss). As the investment is denominated in the same currency as the tax functional currency, no exchange gain or loss arises for tax purposes. The amount is therefore also excluded from adjusted profits.

Example 2
Company A also has a foreign exchange loss relating to a US dollar denominated asset. During the accounting period the US dollar has fluctuated against the Euro and sterling to different degrees. In this example the foreign exchange loss in the 'Accounts' and the 'UK Tax Computation' in the table below, has been calculated with reference to prevailing Euro/USD and GBP/USD exchange rates respectively.

Company A	Accounts **Euros**	UK Tax Computation **GBP**	Functional Currency Exchange **Euro/GBP 1.2:1**	Adjusted Profits Calculation **Euros**
Foreign exchange loss on revaluation of sterling investments	(260)	-	-	-
Foreign exchange loss on revaluation of USD investments	(200)	(180)	(36)	(216)

The 260 foreign exchange loss on revaluation of sterling investments is dealt with as per Example 1.

The 200 loss in the accounts is a fluctuation between the accounting currency, Euro, and a third currency, US dollar. It is therefore excluded from the member's adjusted profits.

The 180 loss in the UK tax computation is a fluctuation between the tax currency, sterling, and a third currency, US dollar. It is therefore fully reflected in the member's adjusted profits but will be translated into Euros to provide a 216 loss in the adjusted profits.

21300 Adjusted profits - Qualifying tier one capital

Entities in the banking and insurance sectors are subject to regulatory requirements to hold a certain amount of capital. The regulations allow groups to raise part of this capital through hybrid capital instruments that contain certain features to allow for loss-absorbency, in the event of the bank or insurer coming under financial strain and having depleted levels of capital. These features include discretionary coupons and mandatory triggers, whereby the instrument is converted to equity or written down if the bank or insurer's capital falls below a designated threshold. Instruments that meet these regulatory requirements are typically called Additional Tier One Capital in the banking sector and Restricted Tier One Capital in the insurance sector.

These instruments are usually treated as equity for financial accounting purposes. In such cases, the coupon payments on the instruments will be reflected in equity, and no expense will be recognised in the underlying profits.

However, these instruments are often treated as debt instruments for tax purposes. In this case, payments in respect of Additional Tier One Capital are deductible as interest expense by the issuer and included as interest income of the holder for tax purposes. This results in a permanent difference between financial accounting and taxable income.

Section 155 of Finance (No.2) Act 2023 ensures that these instruments are also treated as debt instruments for the purposes of Multinational Top-up Tax and Domestic Top-up Tax, by requiring any amounts in respect of distributions payable and receivable on these instruments to be reflected in the adjusted profits of the member. An adjustment is required to achieve this where the instrument is recognised as equity.

Definition

For MTT purposes, qualifying tier one capital is an instrument that:

- Is issued by an entity pursuant to regulatory requirements applicable to the banking or insurance sector,
- Is convertible to equity, or is written down if a pre-specified trigger event occurs, and
- Has other features designed to aid loss absorbency in the event of a financial crisis.

In practice, the definition will be satisfied so long as the instrument meets the regulatory requirements to form part of the bank or insurer's additional or restricted tier one capital.

Adjustment for member making distribution

Where:

- An amount is recognised by a member as a decrease to its equity in an accounting period,
- That amount is attributable to distributions paid or payable in respect of qualifying tier one capital issued by that member, and
- The amount is not reflected in the underlying profits of the member for that period as an expense,

an adjustment is required to ensure that the amount is reflected as an expense in the adjusted profits.

Note that an expense that is required to be included under this rule will not be subject to the rules on intra-group financing arrangements (see MTT21240).

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Adjustment for member receiving distribution

Where:

- An amount is recognised by a member as an increase to its equity in an accounting period,
- That amount is attributable to distributions received or receivable in respect of qualifying tier one capital held by that member, and
- The amount is not reflected in the underlying profits of the member for that period as income,

an adjustment is required to ensure that the amount is reflected as income in the adjusted profits.

Instrument written down

The adjustment is restricted to distributions and so any write-down of the principal (for example, through conversion to equity) would not be adjusted by this section.

This means the write-down of an instrument will not lead to a credit being recognised in the adjusted profits of the issuer if the instrument is accounted for as an equity instrument.

If the instrument is accounted for as a liability instrument, the credit in respect of the write-down of the instrument will be taken to the income statement and will therefore be included in the adjusted profits of the member, unless the rules on companies in distress apply (see MTT42050).

DRAFT

25300 Post-filing adjustments of covered taxes

Where a group determines that the covered taxes of a member in a prior period has increased or decreased, this will be dealt with in the return for the current year. Either the prior year will be recalculated, potentially resulting in an additional top-up tax amount in the current year, or the increase or decrease in liability will be reflected in the covered tax balance in the current year, even though it relates to a prior year.

Where the covered taxes have increased for the period, or there is an insignificant decrease, the adjustment to covered taxes will be made in the current period and no recalculation is required.

Where the covered taxes have decreased for the period, and no election is made to treat the decrease as insignificant, recalculations will be required for that period and subsequent periods. An election can be made if the aggregate decrease to covered taxes for the prior period is less than 1 million Euros.

Where recalculations are required as the result of a loss being set back to a prior period, a deferred tax asset is created.

This is set out in section 217 of Finance (No.2) Act 2023.

Increase or insignificant decrease

Where:

- The liability has increased, or
- The liability has decreased and the group has elected to treat it as insignificant,

that increase or decrease is to be reflected in the covered tax balance in the current period. An adjustment should be made if it is not already so reflected.

Election to treat decrease as insignificant

A decrease in liability for a prior period is to be treated as insignificant if:

- The aggregate covered tax balance of the members of the subgroup for that prior period is not reduced by 1 million euros or more, when taking into consideration all post-filing adjustments arising in the current period, and
- The filing member has made an election for decreases in that prior period to be treated as insignificant.

This election must be made annually and applies to a territory. See MTT52200 for guidance on making elections.

Decrease not treated as insignificant

Where the liability has decreased, and the decrease is not to be treated as insignificant, the following are to be recalculated for the prior period to take account of the decrease:

- The effective tax rate for the member and the other members in the territory,
- The top-up amounts of those members, and
- If the liability to covered taxes has decreased because of a reduction of the member's profits, its adjusted profits (but only to the extent necessary to prevent the effective tax rate from decreasing)

The following further adjustments may also be required:

- The adjusted profits of those members in subsequent accounting periods are to be adjusted in consequence of the decrease to the covered tax balance, and the effective

tax rates and top-up amounts must also be accordingly recalculated for the subsequent periods.

- If the amount of the decrease is reflected in the covered tax balance of the member for the current period, that balance is to be adjusted to exclude it.

A recalculation can result in an additional top-up tax amount arising in respect of the recalculated period. See MTT33200 for guidance on the treatment of an additional top-up amount arising from a recalculation.

Deferred tax asset arising where a loss is set against a profit in an earlier year

Where the decrease in liability to covered taxes arises as a result of the member offsetting a loss in a later period against profits in a prior period, the member is treated:

- As having a deferred tax asset that arises in the later period that is equal to the amount that is offset, multiplied by the lesser of:
  - 15%, and
  - The tax rate that applied to the profits against which the amount was offset, and
- As having used that asset in the prior accounting period.

Covered taxes adjusted as the result of a compliance check

Where the covered taxes are adjusted as a result of a compliance check into a return, section 217 does not apply to the adjustment and the adjustment is to be reflected in the prior year in accordance with the ordinary compliance check procedures (see MTT55100+).

No return submitted for prior period

Where an information return or self-assessment return has not yet been submitted for the prior period, the change in liability should be reflected in that return for the prior period.

Where no return was due for the prior period, it is possible that an intervening period for which a return has already been submitted is affected by the change. In this case, the rules apply in the same manner, as though a return had been submitted for the period in which the covered taxes have changed.

Amendment in Finance Act 2025

Section 217 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

DRAFT

25310 Post-filing adjustment of covered taxes - Effect of rate changes to deferred tax expense

Any deferred tax expense resulting from a change in tax rate is excluded when determining the total deferred tax adjustment amount in the current year (see MTT27140).

The impact of a change in tax rate on the deferred tax expense is instead addressed as a post-filing adjustment to covered taxes under section 217 (see MTT25300), to the extent that the movement in the tax rate occurs below 15% (a "relevant change" in the rate).

In some cases, where there is a change in the rate of tax for a member, there will be an increase or decrease to the value of deferred tax expense that was reflected in the covered tax balance of the member in a previous accounting period.

This is set out in section 218 of Finance (No. 2) Act 2023.

Relevant change of rate

If there is a change of rate but, both before and after the change, the rate remains at the minimum rate of 15% or above, none of the change of rate will be relevant.

When the rate is below 15% and increases, the relevant rate of change will be the change from the original rate to 15%. The change in rate beyond 15% will not be relevant.

When the rate is above 15% and decreases, the change from 15% to the new rate will be relevant. The change from the original rate to 15% is not relevant.

If the rate is below 15% and decreases, the entire decrease will be relevant.

Example

In Territory A, the tax rate is 10% and changes to 12.5%. The entire change in rate is relevant as it does not increase beyond 15%.

In Territory B, the tax rate is 14% and changes to 16%. The relevant change in rate is 1% as the increase beyond 15% is not relevant.

In Territory C, the tax rate is 25% and changes to 19%. None of the change is relevant as the rate is above 15% before and after the change.

In Territory D, the tax rate is 17% and changes to 10%. The decrease from 17% to 15% is not relevant. The relevant change in rate is 5%, which is the decrease from 15% to the new rate of 10%.

Change in domestic tax rate reduces the member's covered tax balance

Section 217 will apply to a part of the reduction of a member's covered tax balance where:

- The tax rate of a member changes in an accounting period,
- That change is to some extent relevant, and
- If the deferred tax expense for a previous period were recalculated to account for the rate change, the member's covered tax balance would be reduced.

The decrease to the covered tax balance for any previous period is to be treated as a post-filing adjustment of covered taxes, to the extent that it relates to a relevant change.

Change in domestic tax rate increases the member's covered tax balance

Section 217 will apply to a part of the increase of a member's covered tax balance where:

- The tax rate of a member changed in a previous accounting period,
- That change is to some extent relevant,
- The member's deferred tax expense for the current accounting period reflects the reversal of deferred tax assets or liabilities,
- Those deferred tax assets or liabilities were recognised at a different rate in an accounting period prior to the rate change at a different rate, and
- If the deferred tax expense for a previous period were recalculated to account for the rate change, the member's covered tax balance would be increased.

The increase to the covered tax balance for any previous period is to be treated as a post-filing adjustment of covered taxes, to the extent that it relates to a relevant change.

Post-filing adjustments of covered taxes

The treatment of post-filing adjustments of covered taxes depends on whether there is an overall increase or insignificant decrease to the covered tax balance for the entity's subgroup in the territory for the prior period, in accordance with section 217.

Post-filing adjustment identified under section 218 will be aggregated with any other post-filing adjustments in order to determine this.

See MTT25300 for further guidance on post-filing adjustments of covered taxes.

Example 1

In Year 1, a member claims 15 of covered tax resulting from a deferred tax liability on 100 adjusted profits at 15%.

In Year 2, the domestic tax rate in the territory changes from 15% to 10%. The entire change of rate is relevant as the entire decrease is below 15%.

If, as a result of the change in the domestic tax rate, the member recalculated the deferred tax expense using the new rate of 10% for Year 1, the covered tax balance would be reduced from 15 to 10.

As the entire rate of change is relevant, the whole amount of the reduction of 5 in the prior year covered tax balance is subject to section 217 and recalculations will be required if the conditions of that section are met.

Example 2

A member has adjusted profits of 100 in each of the Years 1, 2 and 3. The 100 income is attributable to interest income which is taxed when received in cash.

In Year 1, the member has adjusted profits of 100 and the domestic tax rate is 10%. The member has a deferred tax liability of 10 (as the tax will only be paid when the cash is received in Year 3) which results in a deferred tax expense of 10. There is no current tax expense and the effective tax rate for the member is 10% (covered tax of 10/ adjusted profits of 100).

In Year 2, the member accrues interest income of 100 and recognises a deferred tax liability at the Year 2 tax rate. In Year 3, the member accrues 100 interest income for the year. The member also

receives the 300 of interest income in cash (relating to Years 1, 2 and 3), resulting in a current tax charge equal to 300 x Year 3 tax rate. There is no other income and expenses in any year.

If the tax rate remained the same, the accounting and covered tax balance entries would be as follows:

Scenario 1: the tax rate is 10% in Years 1, 2 and 3

	10% rate	10% rate	10% rate
Accounts	Year 1	Year 2	Year 3
Pre-tax profit	100	100	100
Current tax	0	0	(30)
Deferred tax	(10)	(10)	20
Post-tax profit	90	90	90
Covered tax	10	10	10

Let us now assume the domestic rate in Year 2 increases to 15%.

The Year 2 deferred tax liability is 15 (100 x 15%). The accounts also record an additional deferred tax expense of 5 attributable to the difference in tax rate from 10% of 15% for the 100 income in Year 1 that has not yet been taxed. The total deferred tax expense in the accounts in Year 2 is therefore 20.

However, under section 182(2)(d) (see MTT27140), the additional deferred tax expense of 5 in respect of the change in tax rate is excluded from the covered tax balance in Year 2. The covered tax balance for Pillar 2 is therefore 15 in Year 2.

In Year 3, the member must pay tax at 15% on the 300 of interest income which is received in cash in Year 3 (representing the 100 of interest which accrued in Year 3 and the 200 which accrued in Years 1 and 2). This result in a current tax expense of 45 (300 x 15%). The deferred tax liability attributable to the Year 1 and Year 2 interest income also reverses.

Ignoring section 218, the accounting and covered tax balance entries would be as follows:

Scenario 2: Tax rate increases from 10% to 15% (absent section 218)

	10% rate	Increase to 15% rate	15% rate
Accounts	Year 1	Year 2	Year 3
Pre-tax profit	100	100	100
Current tax	0	0	(45)
Deferred tax	(10)	(20)	30
Post-tax profit	90	80	85
Covered tax	10	15	15

Accordingly, the aggregate covered tax balance for Years 1, 2 and 3 would only reflect a tax expense of 40 when in fact there had been actual tax paid of 45.

Section 218(2) seeks to address this point by requiring an adjustment under section 217 to record an additional expense of 5 in Year 3.

Taking into account section 218, the accounting and covered tax balance entries would be as follows:

Scenario 3: Tax rate increases from 10% to 15% (including impact of section 218)

	10% rate	Increase to 15% rate	15% rate
Accounts	Year 1	Year 2	Year 3
Pre-tax profit	100	100	100
Current tax	0	0	(45)
Deferred tax	(10)	(20)	30
Post-tax profit	90	80	85
Covered tax	10	15	20

This results in the aggregate covered tax balance for Years 1,3 and 3 being 45 which matches the actual tax paid.

DRAFT

25320 Top-up amounts - Recalculation where covered taxes not paid

Where covered taxes have not been paid, a recalculation may be required, in accordance with section 219 of Finance (No.2) Act 2023.

Recalculations are required when:

- An amount of current tax expense that has been included in the covered tax balance of a member has not been paid,
- The amount has not been paid within the period of three years starting with the last day of the accounting period in which the unpaid amount was included in the covered tax balance, and
- The total of unpaid amounts included in the covered tax balance for the member for that period exceeds €1 million.

The following amounts must be recalculated to exclude the unpaid amount:

- The effective tax rate for the member's territory.
- The top-up amounts of the members in that territory (see MTT31000+).

Where a recalculation results in an additional top-up tax amount, that amount is to be treated in accordance with section 206 of the Act (see MTT33200).

DRAFT

25511 Covered tax balance - Blended CFC regimes - Applicable ETR of a CFC entity

The applicable effective tax rate (ETR) of a CFC entity is the ETR must be determined in order to apply the blended CFC regime provision. Normally, it will be the ETR of the subgroup of which the CFC entity is a member, determined for the purpose of MTT.

If the CFC is not a member of the group to which the provision is applying, the ETR of one of the subgroups of the group will typically be used as the applicable ETR.

An alternative method is used where no ETR is computed for the territory due to the application of a safe harbour.

In any other scenario (for example, where no ETR is calculated in the territory at all), the applicable ETR will be a notional ETR determined for the purpose of applying the blended CFC regime provision.

This is set out in section 180(8) and 180A of Finance (No.2) Act 2023.

For guidance on subsets of a group, see MTT41500.

Single subgroup in territory
Where the ETR is calculated for MTT purposes for a single subgroup in the territory for the group of the CFC owner ("C"), the applicable ETR of the CFC entity will be that ETR with the following adjustments:

- Ignore any tax arising under a blended CFC regime, and
- Where the blended CFC regime permits foreign tax credit in respect of a Qualifying Domestic Minimum Top-up Tax (QDMTT) on the same basis as it would be permitted for covered taxes, treat amounts of QDMTT so credited as covered taxes.

This will be the case regardless of whether the CFC entity is a member of the group.

Multiple subgroups in territory
Where:

- Multiple ETRs are calculated for at least one subset of the group in the territory, and
- The CFC is:
  - A member of the group, and
  - A member of one of those subsets,

The applicable ETR will be the ETR of that subset, with the adjustments specified above.

Where:

- Multiple ETRs are calculated for different subsets of the group in the territory, and
- The CFC entity is not a member of one of those subsets (including where it is not a member of the group at all),

the applicable ETR will be the ETR of the subset whose members collectively have the highest attributable income in relation to the CFC entity. The adjustments specified above are to be made to that ETR.

Where this is not determinative, see "Other scenarios" below.

Transitional safe harbour election applies to territory
Where:

- C's group has made a transitional safe harbour election in the territory for the relevant period, and
- The CFC entity is a member of a subgroup of the consolidated group or a joint venture group, and
- The ETR of that subgroup is not calculated as a consequence of that election,

the simplified ETR (see MTT15940) should be used as the ETR.
This is the case regardless of which test was used to qualify for the transitional safe harbour.

QDMTT safe harbour election applies to territory
Where C's group has made the QDMTT safe harbour election for a subgroup in the territory for the relevant period, the ETR will not be calculated for that subgroup. Instead, the following rate is to be taken as the ETR of that subgroup:

- The aggregate tax expense of that subgroup determined for the purpose of the QDMTT, plus
- Any QDMTT paid,

Divided by

- The income of that subgroup determined for the purpose of the QDMTT.

Other scenarios
In any other scenario (for example, where no ETR is calculated in the territory at all), the applicable ETR of the CFC entity is the notional ETR of the CFC entities in which C has an ownership interest that are located in that territory.

That notional ETR is to be determined as though:

- Those entities were members of a multinational group whose ultimate parent's accounting period were the relevant period,
- The net adjusted profits for those entities were the aggregate of their profits and losses before tax as shown in their financial accounts,
- The combined covered tax balance for those entities were the aggregate of the taxes shown in their financial accounts,
- Any tax arising under a blended CFC regime were ignored, and
- Where the blended CFC regime permits foreign tax credit in respect of a QDMTT on the same basis as it would be permitted for covered taxes, amounts of QDMTT so credited were covered taxes.

Amendment in Finance Act 2025
Section 180 was amended by FA25, and section 180A was inserted by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

DRAFT

25520 Covered tax balance – Allocation of current taxes under cross-crediting regime

Where a multinational group has standard members in a territory in which a cross-crediting regime applies, the qualifying current tax expense is allocated to the standard members of the group in another territory in accordance with the methodology in section 181A of Finance (No.2) Act 2023.

Cross-crediting regime

A cross-crediting regime applies in a territory if, under the laws of that territory:

- Taxes paid with respect to one source of income arising in another territory give rise to foreign tax credits, and
- Those foreign tax credits can be used against another source of income arising in a third territory.

Example

MNE Group A has an ultimate parent, A1 Ltd, which is located in Territory A.

A1 Ltd has a PE in Territory B (PE1) and Territory C (PE2).

The tax rate is 15% in Territory A, 20% in Territory B and 5% in Territory C.

A1 Ltd has a gross tax liability of 15 in Territory A on 100 of foreign income arising to PE1 in Territory B.

A1 Ltd has a gross tax liability of 7.5 in Territory A on 50 of foreign income arising to PE2 in Territory C.

Territory A provides a foreign tax credit of 20 for the tax paid of 20 in Territory B. Of that foreign tax credit, 15 is set against the tax liability in Territory A in relation to PE1.

The remaining, surplus foreign tax credit of 5 can be set against the tax liability in Territory A in respect of PE2. The gross tax liability of 7.5 in relation to PE2 is offset by a foreign tax credit of 2.5 for the tax paid in Territory C, and by a further foreign tax credit of 5 (the surplus tax credit in respect of PE1).

There is a cross-crediting regime in Territory A because that territory grants a foreign tax credit for tax paid in Territory B in respect of the income of PE1, and any surplus foreign tax credit may be used against the tax liability which arises in respect of the income of PE2 in Territory C.

Cross-crediting regime methodology

The cross-crediting regime methodology is set out in Chapter 3.1 of the June 2024 Agreed Administrative Guidance document published by the OECD.

When using this guidance, the OECD defined terms should be read as if they were substituted by their equivalents in UK legislation. For example, a reference to a Five-Year Election is to be read as an election to which paragraph 1 of Schedule 15 (long term elections) applies.

The methodology may be enacted into UK legislation by regulations.

Introduction in Finance Act 2025

Section 181A was introduced in FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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27160 Deferred tax - Qualifying foreign tax credits

The recognition and reversal of deferred tax assets arising from the generation or use of tax credits are generally excluded from the computation of a member's total deferred tax adjustment amount. However, there is an exception for qualifying foreign tax credits (also referred to in the legislation as a 'substitute loss carry forward').

Some territories' tax laws have Controlled Foreign Company ("CFC") regimes that require domestic losses to be offset against the income arising under the CFC regime. Where the CFC income has been subject to foreign tax, this may result in surplus foreign tax credits that the territory's tax law may allow to be carried forward.

Usually, territories limit the use of foreign tax credits so they can be offset against domestic tax on foreign income. However, some territories may operate 'loss recapture' rules under which, where a domestic loss has been offset against CFC income in an earlier period, in a later period foreign tax credits may be offset against domestic income. This is an exception to the usual rules.

The qualifying foreign tax credit rule in section 183 is intended to cater for cases where such loss recapture rules are operated.

The rationale for the exception is to recognise the deferred tax asset that would have arisen if the domestic loss had been carried forward, instead of being offset against the foreign income arising under the CFC regime. This exception allows for the same outcome whether a territory permits a loss carry-forward or foreign tax credit carry-forward (or equivalent mechanism) when there is a domestic source loss and foreign source income in the same year.

This is set out in section 183 of Finance (No.2) Act 2023.

Conditions for qualifying foreign tax credits

A foreign tax credit is qualifying if:

- The member with the foreign tax credit must be required, under the legislation of its territory, to first offset domestic losses against relevant foreign income before foreign tax credits can be utilised against tax on foreign income,
- The member must actually offset a domestic loss against relevant foreign income,
- To the extent that domestic losses have been offset against relevant foreign income in a previous period, the member with the foreign tax credit must be permitted under its domestic legislation to utilise foreign tax credits against domestic profits, and
- The foreign tax credit must be in respect of tax imposed by a territory other than the member's territory on the relevant foreign income.

Amount included in the total deferred tax adjustment amount (substitute loss carry forward asset)

The amount to be included in the total deferred tax adjustment amount is restricted to the lesser of:

- The foreign tax paid, and
- The amount of the domestic loss used to offset the relevant foreign income, multiplied by the tax rate in the territory in which the member is located.

Section 182(7) (adjustment where rate of tax exceeds 15%) applies to a qualifying foreign tax credit included in the member's total deferred tax adjustment amount.

Relevant foreign income

The "relevant foreign income" of a member includes:

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- The income of a CFC of that member on which the member is taxed as a result of a CFC regime, and
- Other qualifying income.

"Other qualifying income" is income that meets the requirements in the administrative guidance on substitute loss carry-forward guidance, which can be found in Chapter 4.1 of the June 2024 Agreed Administrative Guidance document published by the OECD.

Amendment in Finance Act 2025
Section 183 was amended by FA25. This guidance page reflects the current version of the legislation.

Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

Example
The example below illustrates the operation of section 183. Company X ("Xco") is resident in country X which has a 15% tax rate. In year 1, Xco has a domestic loss of 1,000. Xco also holds a 100% interest in company Y ("Yco"). Yco is resident in country Y and is treated as a CFC under country's X tax law. The tax rate in country Y is 10%.

Under country X's CFC rules, Xco is subject to tax on 500 of income which accrued to Yco and is subject to country Y's tax of 10%.

Under country X's tax law, this 500 of CFC income is treated as 'foreign income'. Country X operates a system under which foreign tax is creditable and the country Y tax which is paid by Yco gives rise to a Foreign Tax Credit ("FTC") for Xco. Under the law of country X, Xco must offset domestic losses against the foreign income before FTCs can be utilised. Accordingly, 500 of Xco's domestic loss is offset against the 500 of foreign income arising under the CFC rules of country X.

Accordingly, Xco has a carried forward loss of 500, for which Xco recognises a deferred tax asset of 75 (500 x 15%) in its accounts. The offset of 500 of the 1000 domestic loss against the foreign profit means that Xco is not liable to tax in year 1 and so is not able to utilise any of the FTC of 50 (500 x 10%) in respect of the country Y tax on the 500 foreign income arising under the CFC rules of country X. However, country X permits the unutilised FTC to be carried forward and offset against future domestic income. Within Xco's accounts, the unutilised FTC of 50 is recognised as a deferred tax asset.

In year 2, Xco has domestic profit of 1000 and no foreign income. After the offset of the 500 carried forward domestic loss from year 1, Xco has taxable profits in year 2 of 500 resulting in a country X tax liability of 75 (500 x 15%). Xco also has a brought forward FTC of 50 from year 1 which it then utilises against this tax liability resulting in a tax liability of 25 in year 2.

The table below summarises the impact of section 183 on covered taxes for Xco. Section 203 (additional top-up amounts where covered taxes less than expected) does not apply in this example.

Country X	**Year 1**	**Year 2**	**Explanation**
Taxable profit / (loss)	(500)	500	In Y1, foreign income of 500 is offset against domestic loss of 1000. In Y2, 500 c/f domestic loss partially offsets domestic income of 1000.
Financial accounts			

Current tax expense	0	25	In Y2 500 taxable profit at 15% tax rate, offset by FTC of 50 (75-50=25)
Deferred tax expense: Domestic loss FTC	 (75) (50)	 75 50	 c/f domestic loss of 500 at 15% c/f FTC of 500 at 10%
Tax expense in P/L	(125)	150	Current tax expense plus deferred tax expense
Without S183			
Covered taxes	(75)	100	FTCs excluded from total deferred tax adjustment amount
Adjusted profits	(1000)	1000	Only Xco's income
ETR	-	10%	Covered taxes / adjusted profits
Top up tax due	0	50	In Y2, top-up tax would be due as FTCs are excluded from deferred tax adjustment amount.
S183 Impact			
Substitute loss carry forward asset	(50)	50	Lower of: Foreign tax paid of 50 (500 x 10%) Domestic loss used to offset foreign income 75 (500 x 15%)
Covered taxes	(125)	150	In Y1, the substitute loss carry forward asset results in a credit to covered taxes of 50.
Adjusted profits	(1000)	1000	
ETR	-	15%	
Top up tax due	0	0	No top up tax due as a result of special loss carry forward asset being recognised.

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27165 Deferred tax - Qualifying foreign tax credits where carry forward of credits not permitted

The tax laws of some territories require domestic losses to be offset against income arising under CFC regimes, but do not permit the carry forward of the resulting surplus foreign tax credits, where the CFC income was also subject to foreign tax. The surplus foreign tax credits which arise in such a case will be wasted. However, these territories may operate alternative loss recapture rules intended to produce a comparable result to regimes that are within the scope of section 183 of Finance (No.2) Act 2023.

Where such alternative loss recapture rules apply, section 183A Finance (No.2) Act 2023 provides for the creation of a deferred tax asset (a "special foreign tax asset") in the period in which the domestic loss is offset against the CFC income. The member can use this asset to increase its covered tax balance in subsequent periods.

The special foreign tax asset will be used in a subsequent period when there is a crediting of foreign tax credits that is only permitted because, in an earlier period, the domestic loss was offset against the CFC income. In that subsequent period, the member's covered tax balance is increased by the amount of the special foreign tax which has been used.

An example of an alternative loss recapture mechanism would be where excess foreign tax credits arising in a subsequent year can be used to offset a domestic tax liability on domestic source income that has been re-sourced as foreign source. As long as this loss recapture mechanism doesn't provide a more generous outcome than if the loss carry forward had been generated, an adjustment to covered taxes can be made under section 183A of the Act.

Conditions

A special foreign tax asset will arise in a period where the following conditions are met:

- The territory in which a member is located requires that domestic losses are offset against relevant foreign income before foreign tax credits can be applied against tax on foreign income,
- The territory limits the extent to which foreign tax credits can be applied against tax in a taxable period,
- The territory allows foreign tax credits to be used to a greater extent where a domestic loss has been used to offset (in whole or in part) relevant foreign income in a prior period, and
- The member has used a domestic loss (in whole or in part) to offset relevant foreign income.

See MTT27160 for guidance on the meaning of "relevant foreign income".

Amount of special foreign tax asset

The amount of the special foreign tax asset is the amount of the domestic loss used to offset relevant foreign income, multiplied by the lesser of:

- The nominal rate of tax in the member's territory for the taxable period in which it was used, and
- 15%.

Amount of special foreign tax asset used

Where a member has a special foreign tax asset from a previous period, that asset will be used to increase its covered tax balance in a subsequent period. The amount so used is the lesser of:

- The remaining amount of the asset, and

- So much of the amount of the foreign tax credits which are credited in the subsequent period only as a result of the use of the domestic loss in the earlier period against the CFC income.

Amendment in Finance Act 2025
Section 183 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

Example
Company X ("Xco") is resident in country X which has a 15% tax rate. In year 1, Xco has a domestic loss of 1,000. Xco also holds a 100% interest in company Y ("Yco"). Yco is resident in country Y and is treated as a CFC under country's X tax law. The tax rate in country Y is 30%. Assume that Xco is the only member of the multinational group which is located in country X.

Under the CFC rules of country X, Xco is subject to tax on 1,000 of income which accrued to Yco. Yco is also subject to tax on this 1,000 of income at the country Y tax rate of 30%. Under country X's tax law this 1,000 of CFC income is treated as 'foreign income' and the country Y tax which is paid by Yco gives rise to a foreign tax credit ("FTC") for Xco. Under the tax law of country X, Xco must offset domestic losses against the foreign income before FTCs can be utilised. Accordingly, Xco's domestic loss is offset against the 1000 of foreign income arising under the country X CFC rules. The offset of the domestic loss of 1000 against the foreign income means that Xco is not liable to tax in year 1 and so is not able to utilise any of the FTC of 300 (1,000 x 30%) in respect of the country Y tax on the foreign income. The 1,000 of CFC income which accrues to Xco is not included in Xco's adjusted profits. The covered tax balance for year 1 before the special loss deferred tax asset is created is 0 because no tax is paid on Xco's adjusted loss of 1,000. Xco's utilisation of the domestic loss against the CFC income means it has no loss to carry forward to a future period.

Country X does not permit the unutilised FTC of 300 to be carried forward. However, although the usual rule in country X is that foreign tax credits can only be offset against domestic tax on foreign income, where there has been an offset of a domestic loss against CFC income in an earlier period, country X allows the foreign tax credits to be used to a greater extent. Accordingly, under section 183A a special foreign tax asset can be recognised in Xco in year 1 of 150 (being the domestic loss that has been used (1000) multiplied by country X's tax rate of 15%).

In year 2, Xco has a domestic profit of 1,000 and foreign income of 1,000 which is subject to tax in country Y at 30% resulting in 300 of foreign tax being paid. Under country X's tax law, Xco has total taxable income of 2,000 resulting in a country X tax liability of 300. The usual rule in country X is that only 150 of the foreign tax of 300 would be creditable because only 150 of domestic tax is chargeable on the 1,000 of foreign income. However, because there has been an offset of a domestic loss against CFC income in year 1, the tax law in country X recharacterises the 1000 of domestic income as foreign income, and so permits the entire 300 of year 2 foreign tax to be credited. After this credit there is no tax payable in country X. In the absence of section 183A, Xco's covered tax balance for year 2 would be 0 whilst Xco's adjusted profits would be 1,000. This would result in an effective tax rate of 0% and a top-up tax liability of 150 (1,000 x 15%). However, since the foreign tax credit has been used to a greater extent on account of the domestic loss offset in year 1, section 183A applies so that the special foreign tax asset must be used. Xco's covered tax balance is increased by 150 (that is the amount of the special foreign tax asset which is used in year 2). The effective tax rate is therefore increased to 15% and no top-up tax is due.

Example – application of s183A

Country X	**Year 1**	**Year 2**	**Explanation**
Taxable profit / (loss)	0	2,000	In Y1, foreign income of 1,000 is offset against domestic loss of 1,000. In Y2, Xco has domestic profit of 1,000 and foreign income of 1,000.
Financial accounts			
Current tax expense	0	0	In Y1, taxable profit is nil and no tax payable. In Y2, taxable profit of 2,000 at 15% is offset by full Y2 FTC of 300 (1,000 x 30% in country Y), resulting in 0 tax payable.
Deferred tax expense:	0	0	No deferred tax recognised as FTC of 300 in Y1 not usually allowed to be carried forward.
Tax expense in P/L	0	0	Current tax expense plus deferred tax expense
Without S183A			
Covered taxes	0	0	In Y1, no tax is paid on the adjusted loss of 1,000. In Y2, 1,000 of foreign income is subject to tax at 30% in country Y, resulting in foreign tax paid of 300. Per the laws of country X, foreign tax paid can only be credited against domestic tax on foreign income which would be 150 in Y2 (1,000 x 15%). However, because Xco offset foreign income of 1,000 against a domestic loss in Y1, country X allows the domestic income of 1,000 to be recharacterised as foreign income and the full 300 foreign tax paid can be credited. This results in 0 tax payable in Y2.
Adjusted profits	(1,000)	1,000	In Y1, the 1,000 of foreign income is not included in Xco's adjusted profits, so the adjusted loss consists of the 1,000 domestic loss. In Y2, Xco has a domestic profit of 1,000. The foreign income of 1,000 is excluded from the adjusted profits.
ETR	-	0%	Covered taxes / adjusted profit

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Top up tax due	0	150	In Y2, top up tax would be due on the 1,000 domestic profit.
S183A Impact			
Special foreign tax asset	(150)	150	In Y1, 1,000 domestic loss is used to offset foreign income at country X's tax rate of 15%. In Y2, the special foreign tax asset is used.
Covered taxes	(150)	150	In Y2, the special foreign tax asset from Y1 is used, which increases covered taxes by 150.
Adjusted profits	(1,000)	1,000	As above
ETR	-	15%	As above
Top up tax due	0	0	No top up tax due as a result of the special foreign tax asset being recognised and used.

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27180 Deferred tax – Cross-border allocation

Deferred tax expense in respect of deferred tax assets and liabilities (on the balance sheet) is to be allocated between the standard members of a multinational group in one territory to the standard members of the group in another territory, in accordance with the deferred taxes methodology.

This is set out in section 181B of Finance (No.2) Act 2023.

Deferred taxes methodology

The deferred taxes methodology is set out in Chapter 4.2 of the June 2024 Agreed Administrative Guidance document published by the OECD.

When using this guidance, the OECD defined terms should be read as if they were substituted by their equivalents in UK legislation. For example, a reference to a Five-Year Election is to be read as an election to which paragraph 1 of Schedule 15 (long term elections) applies.
The methodology may be enacted into UK legislation by regulations.

Introduction in Finance Act 2025

Section 181B was introduced in FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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27300 Treatment of deferred tax asset and liabilities on entry into regime

In the first period in which the MTT rules apply to a member, its deferred tax expenses or credits may include movements in respect of the existing deferred tax assets and liabilities that are reflected in its underlying profits accounts at the beginning of that period. This effectively allows the group to include existing deferred tax assets and liabilities when calculating the covered tax balance to prevent distortions in the calculation of the effective tax rate upon entry into MTT. The simplified approach in the first period is designed to prevent a group having to undertake complex calculations as if the member had been subject to MTT rules in prior years.

The adjustments set out at MTT27100 do not apply.

Instead, the following adjustments are made, in accordance with section 185 of Finance (No.2) Act 2023.

Valuation of deferred tax assets and liabilities

An existing deferred tax asset or liability is to be taken into account in the calculation of the deferred tax expense or credit for MTT purposes:

- At 15%, if the nominal tax rate to which it relates is 15% or above, or
- At the nominal tax rate, if that rate is below 15%.

The impact of any valuation adjustment or accounting recognition adjustment in respect of a deferred tax asset is ignored. Deferred tax assets which are not recognised (or not fully recognised) in the accounts due to such adjustments are recognised in full for MTT purposes.

The nominal tax rate is the tax rate in the territory in which the member is located which has been used to calculate the deferred tax expense accrued in the underlying profits accounts.

Valuation of deferred tax assets which relate to a loss

An exception to the ordinary valuation rule above applies if:

- A deferred tax asset is calculated based on a nominal tax rate below 15%,
- The asset arose as the result of a loss, and
- The member can demonstrate that the loss would have been taken into account when determining the adjusted profits, had the adjusted profits been determined for that period.

In this case, the asset will be calculated based on a rate of 15%.

This ensures that, where a loss is made prior to entry into the regime, and that loss is relieved against profits made after entry into the regime, top-up tax does not arise as a result of a valuation below 15%. This is a comparable outcome to that which would arise if the loss were made after entry into the regime.

Deferred tax assets which relate to a tax credit arising prior to the transition year

In the year of transition to MTT, and subsequent years, the reversal of pre-regime deferred tax assets relating to tax credits are taken into account in computing deferred tax expense. Since the deferred tax amount arose in a pre-GloBE year, the creation of the deferred tax asset will not have an impact on the GloBE calculations. The exclusion at s182(2)(e) does not apply to deferred tax assets relating to tax credits arising prior to the transition year.

The amount of deferred tax expense on reversal recorded for MTT purposes will be calculated as follows:

- Using the formula: deferred expense in the accounts in respect of that deferred tax asset divided by the nominal tax rate, multiplied by 15%; or
- Using the tax rate applied in the financial accounts (if below 15%).

For example, if you assume that in a pre-Pillar Two period a member of a group incurs an expense of 100 which generates a tax credit of 40, 15 of which is used in the period, resulting in tax credit of 25 being carried forward and the recognition of deferred tax asset of 25. When the group enters the Pillar Two rules, the carried forward tax credit is unused so there is a deferred tax asset of 25 upon entry into the regime. Subsequently the member generates profits of 100 which are subject to tax at nominal rate of 25% utilising the tax credit in full (and reversing the deferred tax asset in full) and resulting in a deferred tax expense of 25 in the underlying profits accounts. Accordingly, under section 185(5), the deferred tax expense that is reflected in the total deferred tax adjustment amount (and also in determining the covered tax balance) for the accounting period in which the reversal occurs is 15 (being the actual deferred expense of 25/0.25 x 15%). Put another way, section 185(5) requires the actual deferred tax expense arising on use of the tax credit to be grossed-up at the nominal tax rate applying when the deferred tax asset relating to the tax credit reverses, and then multiplying it by 15%.

Exclusion of certain deferred tax assets arising after 30 November 2021
A deferred tax asset is to be excluded from the deferred tax expense if:

- It arose as a result of transactions after 30 November 2021 but before the commencement of the first accounting period for which the Pillar Two rules apply to the member; and
- It relates to an item which produces a mismatch between the member's taxable income and its adjusted profits (had those been determined for MTT purposes).

Such a mismatch will arise where the item is included in the member's taxable income but not in the adjusted profits, or the item is included in the adjusted profits but not in taxable income.

For example, a 'super-deduction' granted on an expense would be reflected in a member's taxable income but would not be reflected in the adjusted profits for MTT purposes. If the 'super-deduction' resulted in a tax loss, the consequent deferred tax asset would be excluded.

Deferred tax assets and liabilities arising under a blended CFC regime
A deferred tax asset or liability arising under a blended CFC regime will not be included upon entry into the Pillar 2 regime. Any such asset or liability will be ignored when determining the deferred tax expense.

Amendment in Finance Act 2025
Section 185 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

27400 Recapture of deferred tax liabilities

[New paragraphs to be added to previously-released page:]

Deferred tax liability recapture methodology

Recapture of deferred tax liabilities should be done using the methodology set out in Chapter 1 of the June 2024 Administrative Guidance document published by the OECD.

When using this guidance, the OECD defined terms should be read as if they were substituted by their equivalents in UK legislation. For example, a reference to a Five-Year Election is to be read as an election to which paragraph 1 of Schedule 15 (long term elections) applies.

The methodology may be enacted into UK legislation by regulations at a later time.

Amendment in Finance Act 2025

Section 184 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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30100 De minimis election

Under certain circumstances where a group has limited presence in a territory, the group may elect that the total top-up amount for a territory for a period to be treated as nil.
This is generally known as the de minimis election. It is set out in section 199 of Finance (No.2) Act 2023.

Conditions
A group can make a de minimis election for a period if, over the qualifying periods:

- The average revenue of the relevant members in a territory is less than 10 million euros, and
- The average adjusted profits of those members are less than 1 million euros.

If a qualifying period is other than 365 days, the averages of the adjusted profits and revenue are adjusted proportionally (365 divided by the number of days in the period).

Relevant members
A member is a relevant member if it is:

- A standard member, or
- A minority owned member.

Average revenue
The average revenue is:

- The aggregate revenue of the relevant members in each qualifying period, divided by
- The number of qualifying periods.

Average adjusted profits
The average adjusted profits are:

- The aggregate adjusted profits of the members for each qualifying accounting period, divided by
- The number of qualifying periods.

Qualifying periods
Normally, there are three qualifying periods:

- The period for which the election is made, and
- The two prior periods.

However, one of those prior periods will not be a qualifying period if, in that period:

- None of the members in the territory had revenue, and
- None of the members made a loss.

This ensures that the figures for average revenue and adjusted profit are not lowered as a result of the group being entirely inactive in a territory in one of the two prior periods.

Stateless members
A member that is not located in any territory for MTT purposes is located in a nominal territory.
A de minimis election cannot be made in respect of such a nominal territory.

Making the election
A de minimis election is an annual election and is made in respect of a territory. See MTT52200 for guidance on making an election.

Amendment in Finance Act 2025

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This section was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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31100 Calculating the top-up amount of an entity – Domestic Top-up Tax

The mechanism for allocating top-up amounts to a member is different for DTT compared to MTT.

This alternate method allocates amounts to members in proportion to their respective contributions to the total top-up amount for the territory.

Under the DTT mechanism, top-up amounts are allocated based on the effective tax rate of each profit-making entity. The MTT mechanism allocates top-up amounts based on the adjusted profits of each entity.

The DTT mechanism is set out in section 272 Finance (No.2) Act 2023, which substitutes section 193 of the Act for DTT purposes.

See MTT06100+ for further guidance on chargeability in DTT.

Election to make one member liable
A group may elect to make one member liable for DTT. Where this election is made, there will be no need to allocate top-up amounts between group members. See MTT06120 for further guidance.

Introduction by Finance Act 2025
This provision was inserted into F(No.2)A23 by FA25. This guidance page is not applicable for periods beginning before 31 December 2024 unless the retrospection election is made (see MTT01010).

For those prior periods, where no election is made, the ordinary MTT mechanism is used to determine the top-up amounts of members for DTT purposes.

Allocation mechanism
The top-up amount of a standard member of a group is determined by a nine-step process.

Step 1: Determine the total top-up amount for the standard members of a group, which is the sum of the top-up amounts and additional top-up amounts of:

- The standard members, and
- Any investment entities.

Step 2: For each standard member determine the adjusted profits and covered tax balance.

Step 3: For each standard member with positive adjusted profits, determine the effective tax rate by dividing its covered tax balance by its adjusted profits.

Step 4: For each standard member of the group whose effective tax rate is below 15%, determine its top-up tax percentage. This is found by subtracting the member's effective tax rate from 15%.

Step 5: For each such standard member, calculate an allocation key amount by multiplying:

- The member's top-up tax percentage, by
- The member's adjusted profits.

Step 6: Determine the group allocation key amount, which is the sum of the allocation key amounts determined in step 5.

Step 7: Determine the allocation key ratio for each member by dividing:

- The member's allocation key amount (the product of step 5), by

- The group allocation key amount (the product of step 6).

Step 8: Determine each member's top-up amount by multiplying:

- The total top-up amount of the group (step 1), by
- The member's allocation key ratio (step 7).

Step 9: If none of the standard members has a positive adjusted profits, or none of them has an effective tax rate below 15%, the total top-up amount (the product of step 1) is divided equally between the standard members.

Calculating the top-up amount of a single entity

The top-up amount of a single entity is the sum of any top-up amount and additional top-up amounts of the entity for the period.

Investment entities

For DTT purposes, the top-up amounts of investment entities are to be included in the total top-up amount for a territory (the product of step 1) when calculating the top-up amount of the standard members.

Where:

- The standard members do not have any top-up amounts or additional top-up amounts, and
- There is a total top-up amount as the result of amounts attributed from investment entities,

the total top-up amount will be divided evenly between the standard members of the group, in accordance with section 272(11) of the Act.

See MTT45210 for further guidance.

Minority owned subgroup

To determine the top-up amounts of the members of a minority owned subgroup, the same mechanism is applied to the members of that subgroup.

Joint venture group

To determine the top-up amounts of a member of a joint venture group the same mechanism is applied to the joint venture group. This means that joint venture group members will be charged top-up amounts under DTT, where there is a charge for the joint venture group.

See MTT41630 for further guidance of DTT chargeability for joint venture groups.

Example 1

A group has three standard members located in the UK:

- A Ltd has an adjusted profit of £1 million and a covered tax balance of £120,000.
- B Ltd has an adjusted profit of £2 million and a covered tax balance of £120,000.
- C Ltd has an adjusted loss of £100,000 and a covered tax balance of £10,000.

The standard members have top-up amounts of £490,000, and no additional top-up amounts.

The group also has an investment entity with a top-up amount of £10,000 and no additional top-up amounts.

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The group does not make a section 271 election.

The top-up tax allocated to each member is determined using the nine-step process.

Step 1: The total top-up amount is £500,000.

Step 2: The adjusted profit and covered tax balance of each member is above.

Step 3: The effective tax rate is 12% for A Ltd and 6% for B Ltd (covered tax balance divided by adjusted profit). We do not need to determine the effective tax rate of C Ltd as it is loss-making.

Therefore, C Ltd will have no top-up amount allocated to it.

Step 4: The top-up tax percentage is 3% for A Ltd and 6% for B Ltd (15% minus their respective effective tax rates).

Step 5: The allocation key amount is £30,000 for A Ltd and £120,000 for B Ltd (top-up tax percentage multiplied by adjusted profit).

Step 6: The group allocation key amount is £150,000 (sum of both allocation key amounts in step 5).

Step 7: The allocation key ratio is 0.2 for A Ltd and 0.8 for B Ltd (their respective allocation key amounts divided by the group allocation key amount).

Step 8: The top-up amount is £100,000 for A Ltd and £400,000 for B Ltd (total top-up amount multiplied by their respective allocation key ratios).

Step 9: A Ltd and B Ltd both have positive adjusted profits and so this step does not apply.

The total top-up amount for DTT is allocated as follows:
A Ltd - £100,000
B Ltd - £400,000
C Ltd – nil

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32010 Substance based income exclusion - Eligible payroll costs

The eligible payroll costs of a member consist of costs incurred by the member in connection with the employment of an employee.

To be an eligible payroll cost:

- The employee concerned must be employed by the member which incurred the cost,
- The employee must be an individual, and
- The cost must not be an excluded cost.

The cost is included in the eligible payroll costs for the period in which it was incurred.

Eligible payroll costs include, but are not limited to:

- Salaries, wages, and other expenditure of direct benefit to an employee, such as health insurance or pension contributions,
- Payroll and other employment taxes, and
- Social security contributions.

The eligible payroll cost will be reduced if the employee spends 50% or less of their time in the employer's territory (see MTT32040).

Meaning of "employee"

For the purpose of determining the eligible payroll costs, a person is an employee of a member if they are:

- Regarded as an employee under the law of that member's territory, or
- Participating in the ordinary operating activities of the member (including on a part-time basis).

Excluded costs

The following costs are specifically excluded from the allowable payroll costs:

- Costs taken into account when calculating the underlying profits of a permanent establishment of the member (see MTT32030),
- Costs taken into account in a carrying value used to calculate an eligible tangible asset amount, and
- Costs that are core or ancillary international shipping costs (see MTT45600+).

Where the member has an ancillary international shipping profit cap adjustment of more than nil for the period, only the eligible proportion of ancillary international shipping costs are to be excluded for the SBIE. See MTT32060 for more details.

Amendment in Finance Act 2025

Section 196 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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33000 Additional top-up amounts

An additional top-up amount can arise in two different scenarios:

- There is a negative covered tax balance that exceeds 15% of a loss in the adjusted profits (see MTT33100).
- A recalculation of a prior period results in an increase to the top-up tax for that period (see MTT33200).

An additional top-up amount will first be calculated as a collective additional amount for the members in the territory.

Amounts of Qualifying Domestic Minimum Top-up Tax may be credited against the collective additional amount.

The collective additional amount is then allocated between the members. The method of allocation differs depending on which circumstance gave rise to the collective additional amount.

The additional top-up amount of each member is then brought into charge in broadly the same manner as an ordinary top-up amount of the member (see MTT31000), with certain alterations.

See MTT05100+ and MTT06100+ for guidance on chargeability for MTT and DTT respectively.

Election to carry forward and reduce collective additional amount where covered taxes less than expected

Where the collective additional amount arose where covered taxes were less than expected, an election can be made to carry forward the amount to a year where there is an adjusted profit for the territory. See MTT33120 for further guidance.

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33100 Additional top-up amount where covered taxes are less than expected

An additional top-up amount arises for the standard members of a group in a territory where:

- The members have a collective loss for the period when their adjusted profits are aggregated,
- Those members have a combined covered tax balance that is less than nil, and
- That covered tax balance (when expressed as a positive figure) is greater than the expected covered tax amount.

The "expected covered tax amount" is the collective loss (expressed as a positive figure) multiplied by 15%.

The additional top-up amount that arises is the difference between:

- The expected covered tax amount, and
- The combined covered tax balance.

The additional top-up amount is a collective additional amount.

A QDT credit will apply to the collective additional amount where the members accrue QDMTT in the current period.

The collective additional amount will then be allocated between members (see MTT33110).

This is set out in section 203 of Finance (No.2) Act 2023.

Election to carry forward collective additional amount
The collective additional amount can be carried forward to a period where there is an adjusted profit for the territory (see MTT33120).

Example
A1 Group is a group with members located in Territory A. In the 2024 period, the standard members in Territory A have a collective loss of £20 million for their adjusted profits, and a combined covered tax balance of negative £5 million.

An additional top-up amount arises for the members of A1 Group in Territory A because:

- Those members have a collective loss,
- Their combined covered tax balance is less than nil, and
- That balance expressed as a positive figure (£5m) is greater than 15% of the expected covered tax amount (15% of £20m = £3m).

The value of the collective additional amount is the difference between:

- The expected covered tax amount of £3 million, and
- The combined covered tax balance of £5 million.

Therefore, the collective additional amount for the members for the 2024 period is £2 million.

QDT crediting
The members of the subgroup in the current period may be charged QDMTT for the collective additional amount. These amounts are credited against the collective additional amount for MTT purposes. For DTT purposes, there will be no QDT credit.

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Where those members have another collective additional amount, the QDMTT accrued may need to be apportioned to determine the QDT credit applicable.

Note that different rules apply for QDT credits for a collective additional amount arising following a recalculation.

QDT crediting - Single collective additional amount
The collective additional amount will be reduced by the QDMTT amounts accrued, but not below nil.

QDT crediting - Two collective additional amounts
Where:

- There are two collective additional amounts, and
- The sum of both those amounts is less than or equal to the value of the QDMTT amounts accrued,

the collective additional amount arising due to covered taxes being less than expected will be reduced to nil.

Where the sum of both the collective additional amounts exceeds the value of the QDMTT amounts accrued, the QDT credit to be applied to the collective additional amount arising due to covered taxes being less than expected is determined by the following process:

Step 1: Divide:

- The value of the collective additional amount arising due to covered taxes being less than expected,

by

- The sum of both collective additional amounts.

Step 2: Multiply the result of Step 1 by the value of the QDMTT amounts.
Step 3: Reduce the collective additional amount arising due to covered taxes being less than expected by the result of Step 2.

Example
The standard members in Territory A have a collective additional amount arising following recalculations of £1000 and a collective additional amount arising due to covered taxes being less than expected of £500.

Those standard members have accrued amounts of QDMTT arising in the present period of £1350.

To determine the QDT credit to be applied to the collective additional amount arising due to covered taxes being less than expected:

Step 1: Divide £500 by (£1000 + £500 =) £1500 = 1/3
Step 2: Multiply the value of the QDMTT amounts by 1/3 (£1350 * 1/3 = £450)
Step 3: Reduce the collective additional amount of £500 by £450.

The collective additional amount arising due to covered taxes being less than expected is therefore reduced to £50 by the QDT credit.

33110 Additional top-up amount where covered taxes are less than expected - Allocation to members

A collective additional amount arising where covered taxes were less than expected is to be allocated between members of the group in accordance with section 204 of Finance (No.2) Act 2023.

Amounts so allocated are an additional top-up amount of the member.

A collective additional amount arising from a recalculation, including special additional top-up tax amounts, are allocated between members under a different rule (see MTT33210).

Method of allocation

The collective additional amount will be allocated to those members which:

- Have a negative covered tax balance, where
- That balance (when expressed as a negative number) is less than the member's adjusted profits multiplied by 15%.

The additional top-up amounts of each such member is determined by the following process:

Step 1: Calculate the amount given by subtracting:

- Each member's negative covered tax balance, expressed as a negative number

from

- Its adjusted profits multiplied by 15%.

Step 2: Add together the amounts determined under Step 1.

Step 3: Divide the amount determined for each member under Step 1 by the result of Step 2.

Step 4: Multiply the result of Step 3 for each member by the collective additional amount.

Attributing additional top-up amount to responsible members

Additional top-up amounts are to be allocated to responsible members in the same was as ordinary top-up amounts.

Ordinarily, top-up amounts will not be allocated to a member with no adjusted profit. Therefore, where no member of the group in has made an adjusted profit in a territory, it would be impossible to allocate a top-up amount. In this case, the members in a territory with an additional top-up amount under section 203 are treated as having adjusted profits for the purpose of attributing amounts to responsible members (see MTT05130). This ensures its additional top-up amount can be properly attributed to responsible members.

The member will be treated as having adjusted profits of the following amount:

- The additional top-up amount,

Divided by

- 15%.

For example, a member of a loss-making group with an additional top-up amount of 45 is treated as having adjusted profits of 300.

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This is not applicable for Domestic Top-up Tax, which has a different rule for bringing top-up amounts into charge.

Example
A collective additional amount of 65 has arisen for a territory with two standard members:

X Ltd has adjusted profits of 100 and a covered tax balance of –20.
Y Ltd has adjusted profits of –200 and a covered tax balance of –45.

The additional top-up amount is allocated between each member is as follows.

Step 1: X Ltd: 15 (15% of its adjusted profits of 100) subtract –20 = 35
Y Ltd: -30 (15% of –200) subtract –45 = 15.

Step 2: 35 + 15 = 50.

Step 3: X Ltd: 35/50 = 0.7
Y Ltd: 15/50 = 0.3

Step 4: X Ltd: 50 * 0.7 = 35
Y Ltd 50 * 0.3 = 15.

When attributing these additional top-up amounts to responsible members, the members are treated as having adjusted profits of their additional top-up amount divided by 15%:
X Ltd: 35/0.15 = 233.33
Y Ltd: 15/0.15 = 100

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33120 Additional top-up amount where covered taxes are less than expected – Election to carry forward

An election can be made under section 205 of Finance (No.2) Act 2023 to carry forward a collective additional amount of a group, where the collective additional amount arose as a result of covered taxes being less than expected.

Some or all of the collective additional amount can be carried forward until a period where the members have a positive figure in the adjusted profits.

This allows a group to avoid being charged an amount of tax in a period in which it has negative adjusted profits.

An election under section 205 is an annual election. See MTT52200 for guidance on making an election.

Effect of an election

When the election is made:

- The collective additional amount for the current period is reduced by the qualifying amount, and
- The qualifying amount is to be subtracted from the combined covered tax balance for the standard members of the group in that territory in the next accounting period in which the members of the group in the territory do not have a collective loss when determining the adjusted profits.

Qualifying amount

The "qualifying amount" is:

- The collective additional amount,

less

- The amount of any deferred tax asset deemed to arise under section 217(7) for the period (see MTT25300).

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33200 Additional top-up amount following recalculation of prior period

In certain cases, it is necessary for a group to recalculate its top-up amounts for a prior period.

Where the top-up amount increases as a result of a recalculation, a collective additional top-up amount will arise in accordance with section 206 of Finance (No.2) Act 2023.

There are four circumstances where such a recalculation is required:

- The election to spread capital gains over 5 years (see MTT21270).
- The recapture of a deferred tax liability (section 184(2) MTT27400).
- A post filing adjustments of covered taxes resulting in a significant decrease in liability (see MTT31020).
- An adjustment where covered taxes are not paid (see MTT31030).

Additionally, a special additional top-up tax amount may arise under section 192 of the Act following a recalculation where a member subject to the deemed distribution tax election leaves the group.

Any such amount is added to the collective additional amount following a recalculation.

A QDT credit will apply to the collective additional amount where the members accrue QDMTT in the current period.

The collective additional amount will then be allocated between members (see MTT33210).

Determining the collective additional amount

The following steps are taken to determine the total collective additional amount.

- For each prior period, carry out the recalculation or recalculations required to establish the revised top-up amount for the members in that period.
- Determine whether there has been an increase to the top-up amount for any period.
- Add together the increases to the top-up amount, for each period where there was an increase.
- Add any special additional top-up tax amount.

QDT crediting

The members of the subgroup in the current period may be charged QDMTT for the collective additional amount. These amounts are credited against the collective additional amount for MTT purposes. For DTT purposes, there will be no QDT credit.

Where those members have another collective additional amount, or an ordinary top-up amount, the QDMTT accrued may need to be apportioned to determine the QDT credit applicable.

Note that different rules apply for QDT credits for a collective additional amount arising due to covered taxes being less than expected.

QDT crediting - Single collective additional amount and no top-up amount

Where there is no other top-up amount or collective additional amount, the collective additional top-up amount following recalculations will be reduced by the QDMTT amounts accrued, but not below nil.

QDT crediting – Two collective additional amounts

Where:

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- There are two collective additional amounts, and
- The sum of:
    - Those amounts, and
    - Any ordinary top-up amount for the period

is less than or equal to the value of the QDMTT amounts accrued,

the collective additional amount arising due to covered taxes being less than expected will be reduced to nil.

Where:

- There are two collective additional amounts, and
- The sum of:
    - Those amounts, and
    - Any ordinary top-up amount for the period

exceeds the value of the QDMTT amounts accrued,

the following process will be used to determine the applicable QDT credit.

Step 1: Divide:

- The value of the collective additional amount arising following recalculations,

by

- The sum of both collective additional amounts and any ordinary top-up tax amount.

Step 2: Multiply the result of Step 1 by the value of the QDMTT amounts.

Step 3: Reduce the collective additional amount arising following recalculation by the result of Step 2.

The collective additional amount arising following recalculation here includes any special additional top-up tax amount.

Example
The standard members in Territory A have a special additional top-up tax amount of 90, a collective additional amount arising due to covered taxes being less than expected of 7000, and an ordinary top-up tax amount of 2910.

Those standard members have accrued amounts of QDMTT arising in the present period of £9000.

To determine the QDT credit to be applied to the collective additional amount arising following recalculations:

Step 1: Divide 90 by (90 + 7000 + 2910 =) 1000 = 0.09
Step 2: Multiply the value of the QDMTT amounts by 0.09 (£9000 * 0.09 = 81)
Step 3: Reduce the collective additional amount of 90 by 81.

The collective additional amount arising following recalculations is therefore reduced to 9 by the QDT credit.

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33210 Additional top-up amount following recalculation of prior period – Allocation to members

A collective additional amount arising following a recalculation is to be allocated between members of the group in accordance with section 207 of Finance (No.2) Act 2023.

Amounts so allocated are an additional top-up amount of the member.

A collective additional amount arising where covered taxes are less than expected is allocated between members under a different rule (see MTT33110).

Method

The collective additional amount is allocated between the members as follows:

Step 1: Determine the aggregate top-up amount (following recalculations) that the current members would have for the periods that have been recalculated.

Step 2: For those accounting periods, determine the total top-up amount that each member would have in accordance with the recalculation that gave rise to the collective additional amount.

Step 3: Where the result for Step 2 for a member is greater than nil, divide that result by the result by the result of step 1. Otherwise, the result of this step is nil for that member.

Step 4: The additional top-up amount for each member is equal to the amount given by multiplying the collective additional amount by the result of Step 3 for that member.

Attributing additional top-up amount to responsible members

Additional top-up amounts are to be allocated to responsible members in the same was as ordinary top-up amounts.

Ordinarily, top-up amounts will not be allocated to a member with no adjusted profit. Therefore, where no member of the group in has made an adjusted profit in a territory, it would be impossible to allocate a top-up amount.

Where there is an additional top-up amount under section 206, and the members in the territory collectively have negative adjusted profits, each member with an additional top-up amount is treated as having adjusted profits for the purpose of attributing amounts to responsible members (see MTT05130). This ensures its additional top-up amount can be properly attributed to responsible members.

A member will be treated as having adjusted profits of the following amount:

- Its additional top-up amount,

Divided by

- 15%.

For example, a member of a loss-making group with an additional top-up amount of 45 is treated as having adjusted profits of 300.

This is not applicable for Domestic Top-up Tax, which has a different rule for bringing top-up amounts into charge.

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41400 Treatment of tax transparent entities

In certain cases, a reallocation of profits or taxes is required to properly align the profits and taxes of tax transparent entities.

For hybrid entities, and certain reverse hybrid entities, profits or taxes may be pushed down from an owner to the hybrid.

For flow-through entities, profits may be pushed up from the flow-through entity to an owner.

Additionally, adjusted profits of a flow-through entity may be excluded where they are held by an external investor.

Hybrid entities
A hybrid entity is regarded as tax transparent by the territory of an owner, but opaque by its own territory.

Where an owner records adjusted profits relating to the hybrid, those profits will be reallocated to the hybrid (see MTT41420).

Where an owner is taxed on the profits of the hybrid, that tax will be pushed down to the hybrid (see MTT41460).

Reverse hybrid entities
A reverse hybrid entity is regarded as tax transparent by its own territory, but opaque by the territory of an owner.

An owner which sees the reverse hybrid entity as opaque cannot suffer any tax on the reverse hybrid's profits. However, where an indirect owner sees the reverse hybrid as transparent, and also sees the entities between itself and the reverse hybrid as transparent, that indirect owner may suffer tax on the reverse hybrid's profit. Such tax may be pushed down to the reverse hybrid.

Flow-through entities
A flow-through entity is regarded as tax transparent by its own territory, and is not tax resident elsewhere.

An entity may also be treated as a flow-through entity in certain circumstances where it is not tax resident anywhere, but only to the extent that it is regarded as tax transparent by its owners.

A flow-through entity will have one or more reference entities. A reference entity is a non-flow-through entity that has a direct ownership interest or an indirect ownership interest held entirely through intermediate flow-through entities. A flow-through UPE may be a reference entity in certain cases.

The adjusted profits of a flow-through entity will be reallocated to its reference entities which see it (and all entities between them and it) as transparent. However, where the entity is not treated as a flow-through entity to a certain extent, profits will not be reallocated (see MTT41430).

Flow-through entities – exclusion of profits
The adjusted profits of a flow-through entity that are attributable to persons outside the group will be excluded in certain circumstances (see MTT41440). The most common circumstance is where the

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entity with profits is treated as a flow-through entity in relation to all members of the group and the person outside the group holds a direct interest in it.

Where the ultimate parent is a flow-through entity, its adjusted profits will be excluded where certain conditions are met (see MTT41450).

Treatment of tax expense
In general, amounts of qualifying covered tax expense will be reallocated or excluded along with the profits.

In certain cases where there is no reallocation of profits because they were not reflected in the underlying profits, an amount of tax expense may still be reallocated.

Tax expense may also be reallocated to a reverse hybrid entity in certain circumstances.

Amounts of tax expense that are in respect of mobile income to be reallocated are subject to a cap.

See MTT41460 for the treatment of tax expense in relation to tax transparent entities.

Location of flow-through entities
Special rules apply when determining the location of a flow-through entity. See MTT18020 for further guidance.

Application of the SBIE in relation to flow-through entities
See [cross-reference when page created] for guidance on the application of the substance based income exclusion in relation to flow-through entities.

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41410 Meaning of "flow-through entity" and "tax transparent"

Meaning of "tax transparent"
An entity is tax transparent in a territory to the extent that the territory attributes its income, expenditure, profits or losses, for the purposes of covered taxes, to the direct owner of the entity in proportion to its interest in the entity.

This is set out in section 238 of Finance (No.2) Act 2023.

Partially transparent entities
An entity may be subject to covered taxes on some types of income but not others. This is most common with certain types of Investment Entities, where the entity may be transparent in a territory for income but not for chargeable gains.

In this case, the entity will be regarded as tax transparent to the extent of its income only. The entity must be treated separately in respect of its chargeable gains, which will form part of the entity's underlying profits rather than part of the underlying profits of its owner.

If the requirements are met, the filing member of the group may make a tax transparency election under section 213 in relation to the investment entity and another member of the group in such a case. This will cause the investment entity to be regarded as owned by the other member of the group and tax transparent to the extent it is not already (and so in the example referred to, the investment entity would be treated as tax transparent for the purposes of chargeable gains, with those gains treated as accruing to the other entity named in the election).

Example
A life assurance company, A, invests into an Authorised Contractual Scheme ("ACS"). The ACS itself is not taxed on any income or gains. A is taxed on £100 of loan relationship income of the ACS as it arises.

The ACS disposes of a property giving rising to a gain of £200. A suffers policyholder tax in relation to a £200 fair value movement of its units in the ACS.

As A is not subject to a covered tax on the capital gain arising in the ACS, it is not a tax transparent entity to the extent of its capital gains income.

The ACS is tax transparent for income purposes. £100 of loan relationship income is to be allocated to A under the rules regarding transparent entities in section 168.

The underlying profit of the ACS will include the £200 gain. If the ACS meets the criteria, the filing member of the group can make an election to be treated as a tax transparent entity owned by another specified group member to the extent of its chargeable gains under section 213.

Meaning of "flow-through entity"
An entity is a flow-through entity if:

- It is regarded as tax transparent in the territory in which it is created, and
- It is not subject to a covered tax on its profits in another territory as a result of being tax resident in that territory.

This is set out in section 168 of the Act.

See MTT18020 for guidance on determining the location of a flow-through entity.

Meaning of "reference entity"
The first non-flow through entity in the ownership chain of an FTE is a reference entity in relation to the FTE. Amounts of profit may be reallocated from an FTE to a reference entity (see MTT41430).

An entity will be a reference entity if:

- It is a member of the same group as the FTE,
- It is not itself an FTE, and
- It holds an ownership interest in the FTE directly, or indirectly through entities all of which are FTEs.

Where no reference entity is identified under this rule, the ultimate parent of a group will be the reference entity, even if it is an FTE.

Certain non-tax resident entities treated as flow-through entities
A member of a group will also be treated as an FTE where:

- It is not tax resident in any territory,
- It is not subject to covered taxes,
- It does not have a place of business in the territory where it is created, and
- It is not regarded as tax transparent in that territory.

Such a member will be treated as being regarded as tax transparent in the territory it is created to the extent that:

- It is regarded as tax transparent in the territory where the holders of its direct ownership interests are located, and
- Its income, expenditure, profits and losses are not attributable to a permanent establishment.

To the extent that such a member is treated as tax transparent, it will necessarily meet the definition of flow-through entity.

Note that it is possible for an entity to be partially tax transparent as a result of this rule (and therefore partially a flow-through entity), where it is created in a territory without a tax regime and where some of its direct owners see it as transparent and some do not.

This is set out in section 169 of the Act.

Amendment in Finance Act 2025
Section 168 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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41420 Tax transparent entities - Reallocation of profits and taxes to hybrid entities

The adjusted profits of the owner of a hybrid entity may include amounts relating to that hybrid entity. When calculating the effective tax rate for MTT purposes, those amounts are to be pushed down to the hybrid entity, where certain conditions are met.

This is set out in section 167 of Finance (No.2) Act 2023.

In practice, this rule will rarely apply, as the owner of a hybrid entity will not typically recognise accounting profits in relation to that hybrid entity (thought it may recognise taxable profits in relation to that entity).

However, this provision also provides the basis for the reallocation of covered taxes from an owner to a hybrid entity under section 178(1A) of the Act (see MTT41460).

Hybrid entity

A hybrid entity is a member of a group that:

- Is not regarded as tax transparent in the territory in which it is located, but
- Is regarded as tax transparent in the territory of a member of the group that holds an ownership interest in it ("G").

See MTT41410 for guidance on the meaning of tax transparent.

Hybrid entity - Adjustment required

An adjustment is required where:

- Profits of a hybrid entity are reflected in the adjusted profits of G, and
- The basis for the profits of the hybrid entity being reflected in the adjusted profits of G is that M (and any entities through which G holds its interest in M) is regarded as tax transparent in G's territory.

Those profits must be:

- Excluded from the adjusted profits of G, and
- Reflected in the adjusted profits of the hybrid entity.

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41430 Tax transparent entities - Reallocation of profits of flow-through entities

A proportion of the underlying profits of a member that is a flow-through entity (FTE) will be allocated to each of its reference entities in relation to which one of two conditions is met.

The conditions require that the FTE and the reference entity (and every intermediate entity in the ownership chain) are considered tax transparent by the reference entity's territory.

Where there is an external investor, a proportion of the FTE's underlying profits will be excluded from the adjusted profits where certain conditions are met.

This is set out in section 168 of Finance (No.2) Act 2023.

See MTT41410 for guidance on the meaning of flow-through entity and reference entity.

Proportion to be allocated

The proportion of the underlying profits to be allocated is equal to the percentage ownership interest the reference entity has in the FTE, as long as one of two conditions are met.

The conditions are met in relation to an ownership interest held by a reference entity in the FTE.

Where the reference entity has multiple ownership interests in an FTE, only the ownership interests which meet one of the conditions are to be considered when determining the proportion of underlying profits to be allocated.

See MTT17040 for guidance on determining the percentage ownership interest held by a specific entity.

Conditions

Condition A is met if:

- The reference entity has a direct ownership interest in the FTE,
- That ownership interest is a flow-through ownership interest, and
- The FTE is regarded as tax transparent in the territory of the reference entity.

Condition B is met if:

- The reference entity has an indirect ownership interest in the FTE,
- That ownership interest is a flow-through ownership interest,
- Every entity through which ownership is held is regarded as tax transparent by the reference entity's territory, and
- The reference entity does not hold the interest through another reference entity.

Flow-through ownership interest

An ownership interest held in an FTE by a member of a group is a flow-through ownership interest if:

- The FTE is regarded as tax transparent in the territory in which it was created, disregarding any treatment as such by section 169 (see MTT41410),
- The interest is held directly and the FTE is treated as tax transparent by section 169 to the extent of the interest, or
- The interest is derived from such a direct ownership interest.

Example

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UPE Ltd is a reference entity in respect of a flow-through entity ("FTE"). It is located in Territory A, which regards the FTE as tax transparent. The FTE was created in Territory B, which regards the FTE as tax transparent.

It owns 100% of the FTE via two ownership interests:

- 90% through a direct ownership interest.
- 10% through an indirect ownership interest, held through a single entity, X Ltd.

X Ltd is not a member of the same group and is therefore not a reference entity. It is regarded as opaque by Territory A.

90% of the profits of the underlying profits of the FTE will be allocated to UPE Ltd, because:

- The FTE is regarded as tax transparent in the territory in which it was created,
- The ownership interest that UPE Ltd holds in the FTE is therefore a flow-through ownership interest,
- That ownership interest is a direct ownership interest,
- The territory of UPE Ltd, the reference entity, regards the FTE as tax transparent,

Therefore, Condition A is met in respect of the 90% direct ownership interest held by UPE Ltd.

Condition A is not met in respect of the 10% indirect ownership interest held by UPE Ltd, because it is not a direct ownership interest.

Condition B is not met in respect of the 10% ownership interest held by UPE Ltd, because:

- Although the ownership interest is a flow-through ownership interest, and X Ltd is not a reference entity,
- The reference entity holds the interest through an entity (X Ltd) which is not regarded as tax transparent in the territory of the reference entity.

Therefore, no more than 90% of the FTE's profits will be allocated to UPE Ltd.

Amendment in Finance Act 2025

Section 168 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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41440 Tax transparent entities – Exclusion of profits of flow-through entity where owner is not a group member

Where the following conditions are met, an amount of the profits of the flow-through entity (FTE) will be excluded from its adjusted profits:

- Every ownership interest held in the FTE by a member of the group is a flow-through ownership interest (see MTT41430), and
- A person that is not a member of the group has an ownership interest in the FTE that is:
    - Direct, or
    - Held through a direct ownership interest in an entity, and a reference entity of the FTE that is a member of the group has an ownership interest in that entity.

The proportion of the underlying profits to be excluded is equal to the percentage ownership interest that the external investor has in the FTE.

This is set out in section 168(9) to (9A) of Finance (No.2) Act 2023.

Flow-through entity is a main entity

Where the FTE is a main entity of a permanent establishment under section 232(2)(a)-(c), its underlying profits will be attributed to the permanent establishment in accordance with section 159 of the Act (see MTT41025).

If a proportion of its underlying profits must be excluded in relation to an external investor, the amount should be excluded before any attribution from the FTE to the permanent establishment.

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41450 Tax transparent entities - Exclusion of profits of ultimate parent that is a flow-through entity

Where the ultimate parent of a group is a flow-through entity (FTE), the profits of the flow-through entity will typically be taxed at the level of the owners, who will not be members of the group.

Because the owners are not members of the same group, the taxes they incur cannot be realigned with the profits of the ultimate parent. This could potentially result in a low effective tax rate for the ultimate parent, even though its profits are being taxed in the hands of its owners.

To address this, the profits of an ultimate parent that is an FTE are excluded where certain conditions are met in relation to its direct owners. The conditions differ depending on whether there is a profit or a loss in the adjusted profits.

Where an amount of the adjusted profit is excluded, a commensurate adjustment to the covered tax balance of the ultimate parent is made.

In addition to the ultimate parent itself, certain permanent establishments may also have an amount of their adjusted profit or loss excluded under this provision.

This is set out in section 170 of Finance (No.2) Act 2023.

See MTT21000+ for general guidance on calculating the adjusted profits.

See MTT41410 for the definition of a flow-through entity.

Determining the amount to be excluded

An amount of profits will be excluded where the ultimate parent has a positive adjusted profit if:

- It represents an amount of profits to which the holder of a direct ownership interest in the ultimate parent ("the owner") is entitled, as a result of that interest, and
- Condition A, B, or C is met in relation to the owner.

The conditions are set out in section 170(3)-(5) of the Act.

The amount of adjusted profits to be excluded is the amount proportionate to the ownership interests that meets the condition.

The actual amount of profits to which the owner is entitled is not relevant, because the adjusted profits determined for MTT purposes will likely be different to the amount determined for accounting purposes.

Determining the amount to be excluded – loss in adjusted profits

Where the ultimate parent has negative adjusted profits, that loss may be further adjusted to exclude an amount of the loss.

For an amount of loss to be excluded, the holder of an ownership interest in the ultimate parent must be allowed to use that amount when computing its taxable income.

Profits reallocated to ultimate parent as a result of section 168

Where profits have been reallocated to an ultimate parent under section 168 of the Act (see MTT41430), the holders of ownership interests in the ultimate parent are potentially regarded,

when determining the amount to be excluded, as being entitled to those profits, as though the profits had accrued to the ultimate parent.

This means that, for the first part of Condition A (section 170(3)(b)) to apply to an ownership interest under this scenario, the holder of the ownership interest must be taxed on those reallocated profits. In practice, this will require the ownership interest holder to see the entire chain of entities down to the entity making a profit as transparent.

Example
XYZ Holdings is a flow-through entity located in Territory X. It is the ultimate parent of XYZ Group.

An individual who is tax resident in Territory X has a direct ownership interest in XYZ Holdings which entitles them to 3% of the profits and assets of XYZ Holdings.

XYZ Holdings has adjusted profits of 100,000 for the period to 31 December 2025. The group's accounting period runs to 31 December.

The individual is subject to a basic rate of income tax of 25% on their entitlement to the profits of XYZ Holdings. They will be taxed on their entitlement to XYZ Holding's 2025 income in the tax year ending 5 April 2026.

A further adjustment is required for this period because:

- The ultimate parent of the group, XYZ Holdings, is a flow-through entity,
- XYZ Holdings has recorded a profit in its adjusted profits for the period,
- A holder of a direct ownership interest in XYZ Holdings would be entitled to an amount of its profits as a result of that ownership interest, and
- At least one of the three conditions are met.

The individual is entitled to 3% of the profits of XYZ Holdings. XYZ Holdings made an adjusted profit of 100,000 in the period. Therefore, 3000 will be excluded from the adjusted profits of XYZ Holdings.

The actual amount of profits to which the individual is entitled is not relevant. For instance, although XYZ Holdings has made an adjusted profit for MTT purposes, it may record a loss for the purposes of determining the profit entitlement of its owners. Nonetheless, the amount of 3000 would still be excluded in accordance with the proportion of ownership interests held.

Effect of exclusion on covered tax balance
Where an amount of adjusted profits of the ultimate parent has been excluded, the covered tax balance must be adjusted by the same proportion.

If there is a positive covered tax balance, the balance is reduced. If it is negative, it will be increased.

See MTT25000 for guidance on determining the covered tax balance.

Example
An ultimate parent that is a flow-through entity has adjusted profits of 100 and a covered tax balance of 20 in a period.

As a result of section 170, 10 of the adjusted profits are excluded.

As the amount excluded represents 10% of the adjusted profits, the covered tax balance will be reduced by 10%.

After the exclusion, the ultimate parent has adjusted profits of 90 and a covered tax balance of 18.

If the covered tax balance were –20, the adjustment would result in an increase to the covered tax balance of 10%. This would increase the covered tax balance to –18.

Permanent establishments of the ultimate parent

Section 170 may apply to a permanent establishment where the ultimate parent is an FTE, and:

- The ultimate parent wholly or partly carries out its business through the permanent establishment, or
- An FTE carries out business through the permanent establishment, and:
    - The FTE is regarded as tax transparent in the ultimate parent's territory, and
    - The ultimate parent holds an interest directly in that FTE, or indirectly through one or more entities, and all those are regarded as tax transparent in the ultimate parent's territory.

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41460 Tax transparent entities – Reallocation of tax expense

Where a hybrid entity or a flow-through entity (FTE) has profits reallocated under sections 167 and 168 (see MTT41420 and MTT41430), qualifying current tax expense in respect of those profits will also be reallocated.

Tax expense will also be reallocated where profits would have been reallocated had they been included in the member's underlying profits.

For an entity that is a reverse hybrid, tax expense may be pushed down from an entity with an ownership interest to an FTE.

Where amounts of tax expense to be reallocated relate to certain types of mobile income, they are subject to a cap which may limit their reallocation.

For Domestic Top-up Tax purposes only, amounts of foreign tax will not be reallocated to a hybrid entity.

Exclusion of tax expense

Where an amount of adjusted profits has been excluded, any tax expense on those profits will also be excluded in accordance with section 175(2)(a) of the Act.

Reallocation of tax expense

Where:

- Profits have been allocated to or from a member with an ownership interest in a hybrid or transparent entity, and
- The member from whom the profits have been allocated has an amount of qualifying current tax expense in respect of those profits,

The tax expense is to be allocated to the member along with the profits.

Reallocation of tax expense where profits not reallocated

Tax expense will be reallocated to an owner where:

- A member has an amount of qualifying current tax expense,
- That amount is in respect of profits not included in the member's underlying profits, and
- If those profits had been included in the member's underlying profits, they would have been allocated to an owner under section 167 or 168.

Push-down of tax expense to reverse hybrid entities

Qualifying current tax expense will be reallocated to an FTE where:

- The territory of one of its reference entities does not regard the FTE (or any member of the group through which its interest in the FTE is held) as tax transparent,
- That reference entity (or any member of the group ("X") with an interest in the reference entity) has an amount of qualifying current tax expense,
- That tax expense is in respect of profits not included in the reference entity's (or X's) adjusted profits, and
- Had the profits been included in the reference entity's (or X's) adjusted profits, a corresponding amount of profits would have been allocated to the FTE under section 167 (ignoring the requirement that the FTE must not be regarded as tax transparent by the territory where it is located) or 168,

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Treatment of reallocated tax expense
Section 175(2)(a) of the Act excludes amounts of qualifying current tax expense from a member's covered tax balance where the income or gains are not included in the adjusted profits.

That subsection is applied to a reallocated tax expense in the hands of an owner under the following assumptions:

- That the reference to the member's adjusted profits were to the adjusted profits of the member from whom the tax expense was allocated, and
- That the profits allocated from that member to the owner under section 167 or 168 are not excluded from that member's adjusted profits.

Where the condition is not met, the tax expense is to be excluded from the covered tax balance of the member to which the amount was reallocated.

See MTT25200 for general guidance on amounts to be excluded from the covered tax balance.

Cap on reallocation of tax expense in relation to mobile income
Where some of the qualifying current tax expense to be reallocated relates to mobile income, the amount relating to mobile income that is to be reallocated is capped.

The effect of the cap is that, where such income is reallocated, no more than 15% of the covered taxes will be reallocated, which ensures that the reallocated tax expense cannot shelter other profits in that territory.

To determine the cap amount:

- Step 1 - Find the effective tax rate of the group for the territory of the entity to which the tax expense is being reallocated (ignoring the amount of qualifying current tax expense under consideration).
- Step 2 - Subtract that rate from the minimum rate of 15%.
- Step 3 - Multiply the result of step 2 by the amount of mobile income to which the tax expense relates.

Where the effective tax rate for the relevant territory equals or exceeds 15% for the period, no amount of the tax that relates to mobile income will be reallocated.

For an example of the mobile income cap, see MTT25500 for guidance on CFC entities, for which the same rule applies.

Amount of tax expense relating to mobile income to be reallocated exceeds the cap
Where the amount of tax expense related to mobile income exceeds the cap amount, only the cap amount is to be reallocated. The remainder will continue to be reflected in the covered taxes of the member.

Where:

- An amount of tax expense remains with a member because the cap amount was exceeded, and
- The amount relates to income or gains that are not included in the adjusted profits of the entity to which the expense would have been reallocated (were it not for the mobile income cap),

the amount is to be excluded from the covered tax balance of the member that has retained the tax expense.

This is in keeping with the normal rule that amounts of covered tax are only included in the covered tax balance where the related income is included in the member's adjusted profits (see MTT25200).

Mobile income

For this purpose, income is "mobile income" if it is a type of mobile income, and a member of a group is subject to tax on the income:

- Under a CFC regime (see MTT25500), or
- As a result of an ownership interest in an entity that is regarded as tax transparent in that member's territory, but is not regarded as transparent in the territory of the entity.

(Note that the member which is subject to a tax may be a member of any multinational group, whether qualifying or not.)

The types of mobile income are:

- Dividends or dividend equivalents,
- Interest or interest equivalents,
- Rent,
- A royalty,
- An annuity, or
- Net gains from property that produces income of a type listed above.

Domestic Top-up Tax

In accordance with section 272(8)(c), qualifying current tax expense imposed by a territory other than the UK is not to be reallocated as a result of the reallocation of profits under section 167, for DTT purposes only.

No amounts of tax expense will be reallocated under the normal rule at section 178(1A), under which tax expense may be reallocated, even though the profits are not reallocated under sections 167 or 168 because they were not reflected in the underlying profits (see "reallocation of tax expense where profits not reallocated" above).

This means that tax imposed by the UK may be excluded from the covered tax balance of a qualifying entity, where it is pushed down to a foreign hybrid, but foreign taxes cannot be pushed down to a qualifying entity that is a hybrid in relation to one of its owners.

Amendment in Finance Act 2025

Section 178 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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41600 Joint venture groups

Where an entity has its financial results reported in the consolidated financial statements of a consolidated group under the equity method of accounting, and the other criteria listed below are met, that entity will be a joint venture parent for MTT purposes.

"Joint venture" is defined specifically for MTT purposes, so an entity that is a joint venture under an accounting standard will not necessarily be a joint venture under MTT.

The entity will not be a member of the consolidated group because its financial results are not reported on a line-by-line basis in the consolidated financial statements of the group (see MTT10100). Instead, the joint venture parent will be the parent of a joint venture group. That joint venture group will consist of that joint venture parent and any subsidiaries which it consolidates into its own consolidated financial statements.

The effective tax rate and top-up amounts of the joint venture group will be determined as though it were a separate group.

Those top-up amounts are charged to responsible members as though the joint venture group members were members of the consolidated group, for MTT. For DTT,

This is set out in sections 226 and 227 of Finance (No.2) Act 2023.

Owning consolidated group
The consolidated group that reports the financial results of the joint venture parent in its consolidated financial statements must meet the revenue threshold test (see MTT11000). The revenue of joint venture members will not be included in the revenue threshold test for the owning consolidated group.

Joint venture group
A joint venture group consists of a joint venture parent and any joint venture subsidiaries. As the tests for the joint venture parent are carried out in respect of the owning group, it may be a joint venture group in respect of each group that has an ownership interest in the joint venture parent.

A joint venture parent without any subsidiaries will also form a joint venture group, consisting of that single joint venture parent.

If a joint venture group is a qualifying group in its own right (see MTT11000), it will be treated as a consolidated group for MTT purposes. It will not be a joint venture group.

Joint venture parent
An entity is a joint venture parent if its financial results are reported under the equity method of the consolidated financial statement of the ultimate parent entity that owns, directly or indirectly, at least 50% of its ownership interests.

The following cannot be a joint venture parent

- The ultimate parent entity of a group that is subject to the Pillar 2 rules
- A joint venture subsidiary
- An Excluded entity
- An entity that is owned by a MNE group composed exclusively of Excluded Entities
- An entity that:

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- Operates exclusively, or almost exclusively to hold assets or invest funds for the benefit of its investors
- Carries out activities that are ancillary to those carried out by the Excluded Entity that directly holds the groups ownership interest in it, and
- Substantially all of its income is excluded from the computation of GloBE Income or Loss

A joint venture group cannot be subject to MTT in its own right. If a group that would otherwise be a joint venture group in relation to a consolidated group is subject to MTT or a foreign equivalent in its own right, it will be a consolidated group and will not be subject to MTT in relation to a consolidated group.

Joint venture subsidiary
An entity is a joint venture subsidiary of a joint venture parent if its assets, liabilities, income, expenses and cash flows are included in the consolidated financial statements of a joint venture parent.

If a joint venture parent has a permanent establishment, the permanent establishment is treated as a separate joint venture subsidiary of the joint venture group.

This broadly mirrors the rules for identifying the members of a consolidated group (see MTT10100).

Multiple joint venture groups in territory
Where there are multiple joint venture groups in a territory, a separate calculation is required for each joint venture group.

Standard members and non-standard members
Standard members, investment entities and minority owned members (the two types of non-standard member) each have their effective tax rate and top-up amounts calculated in separate subgroups within a territory.

Where the joint venture group contains these different subgroups, the same procedure will apply. Because they are members of a joint venture group, their effective tax rate is already calculated separately. Therefore, for example, an investment entity that is a joint venture group member will have its top-up amounts calculated separately from:

- Investment entities of the consolidated group and any other joint venture groups, and
- Standard members and minority owned members of the consolidated group and any joint venture group.

Although the treatment of a joint venture group is similar to non-standard members, in that the effective tax rate and top-up amounts are calculated separately, a joint venture group member is not a type of non-standard member as it is not a member of the group. When calculating the top-up amounts of the joint venture group, a joint venture group member will be either a standard member or a non-standard member.

See MTT41500 for guidance on standard and non-standard members.

Undertaxed profits rule

Where joint venture group members are determined to have an untaxed amount under the undertaxed profits rule (UTPR), those amounts will be charged to other members of the consolidated group.

Where certain conditions are met, the untaxed amounts of joint venture groups are to be treated as nil.

See MTT71100 for guidance on the treatment of joint venture groups under the UTPR.

Amendment in Finance Act 2025
Section 226 was amended by FA25. This guidance page reflects the current version of the legislation.

Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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41610 Joint venture groups – Calculating top-up amounts

The effective tax rate and top-up amounts of a joint venture group are calculated under the same provisions that apply to the consolidated group.

Those provisions of the legislation have effect for a joint venture group as if:

- References to an ultimate parent were to the joint venture parent,
- References to a member of a multinational group were to a member of the joint venture group, and
- References to the filing member were to the filing member of each multinational group whose ultimate parent holds (directly or indirectly) at least 50% of the ownership interests in the joint venture parent.

This is set out in section 227 of Finance (No.2) Act 2023.

Both owners in scope of MTT

A joint venture is brought into scope of MTT by virtue of its owner being in scope itself. The joint venture is brought into scope in relation to that owner and may be in scope in relation to both of its owners. This remains true in Domestic Top-up Tax, where the members of a joint venture group are qualifying entities.

Elections made by one owner in relation to the joint venture group will not apply for the other owner. This means that the ETR and top-up amounts of the joint venture group will be calculated separately for each owner and may not be the same, even though the joint venture group consists of the same entities for both groups.

Safe harbours

The qualifying domestic minimum top-up tax safe harbour election is made separately for joint venture groups and different disqualifying conditions apply in relation to joint venture groups (see MTT15120).

The transitional safe harbour is also made separately for joint venture groups. A notional Country-by-Country Report may be used if the joint venture group does not prepare an actual Report. See MTT15960 for further guidance.

De minimis election

The de minimis election (see MTT30100) is made separately for joint venture groups and the consolidated group.

Example

ABC Group has a joint venture business with the XYZ Group, A-Z Co. The ultimate parents of each of those consolidated groups hold 50% of the direct ownership interests in A-Z Co.

Both consolidated groups are in scope of MTT. A-Z Co has no subsidiaries. Neither A-Z Co nor any member of either consolidated group is an excluded entity.

The financial results of A-Z Co, which do not meet the revenue threshold test, are reported under the equity method in the consolidated statements of both ABC Group and XYZ Group.

A-Z Co will be a joint venture parent in relation to both ABC Group and XYZ Group and is a joint venture group.

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The effective tax rate and top-up amounts of A-Z Co will be calculated separately from the other members of each group, for the purposes of each group. Any election made by ABC Group relating to its JV group will have no effect for the calculation of any top-up due to XYZ group, and vice versa.

Amendment in Finance Act 2025
Section 227 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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41620 Joint venture groups – Chargeability under Multinational Top-up Tax

Where an MTT top-up amount is calculated for a joint venture group, it will be charged to a responsible member under the ordinary rules, as though the joint venture were a member of the consolidated group.

See MTT05100+ for guidance on chargeability for MTT purposes.

Chargeability of joint venture group members under primary charging mechanism
A member of a joint venture group cannot be an intermediate parent member or a partially owned parent member of that group. By definition, a member of a joint venture group cannot be the ultimate parent of a group.

Therefore, a member of a joint venture group cannot be a responsible member and will not itself receive an MTT charge.

Chargeability of joint venture group members under the Undertaxed Profits Rule
Where joint venture group members are determined to have an untaxed amount under the UTPR, those amounts will be charged to other members of the consolidated group.

See MTT71100 for guidance on the treatment of joint venture groups under the UTPR.

Domestic Top-up Tax
The guidance on this page does not apply for DTT purposes. Chargeability is different under MTT and DTT. See MTT41620 for guidance on chargeability of joint venture groups for DTT purposes.

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41630 Joint venture groups – Chargeability – Domestic Top-up Tax

In Domestic Top-up Tax, an entity will be chargeable if it is a qualifying entity (see MTT10010).

A joint venture group member will be a qualifying entity if:

- It is located in the UK,
- It is not an excluded entity for DTT purposes (see MTT10020), and
- It is owned by:
  - A group that is subject to MTT or a foreign equivalent, or
  - A single entity that is in scope of DTT.

Application of chargeability rules to joint venture groups

The general rules for determining the amount to be charged to a member at MTT06110 will apply to joint venture groups.

See MTT31100 for guidance on calculating the top-up amount of an entity for DTT purposes, and MTT06100 for guidance on chargeable persons.

Reporting liabilities

Where a joint venture group is owned by more than one consolidated group or entity that is in scope of DTT, the filing members for each consolidated group (or the single entity) will record 100% of the DTT allocated to members of the joint venture group within their respective returns.

Where a payment is made against the liability of a member of a joint venture group, this will reduce the liability for that member in relation to both groups.

Amendment in Finance Act 2025

Section 227 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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45130 Investment entities – Further adjustments required to adjusted profits and covered taxes

[Revision of paragraph on previously-released page:]

Adjustment factor

To determine the adjustment factor for an external holding adjustment, divide:

- The amount of profits of the investment entity that are attributable to ownership interests held by persons that are not members of the group (excluding interests in respect of which an amount has been excluded from the member's adjusted profits), by
- The adjusted profits of the investment entity (determined in accordance with the rules at 21000+, and ignoring any further adjustments required under section 223).

If the entity has no adjusted profits, the adjustment factor is nil.

To determine the adjustment factor for an election adjustment, divide:

- The amount of profits of the investment entity that are attributable to ownership interests held by the owners in relation to which a relevant election has been made (excluding interests in respect of which an amount has been excluded from the member's adjusted profits), by
- The total amount of profits of the investment entity attributable to ownership interests held by members of the group.

If no profits are so attributable, the adjustment factor is nil.

Amendment in Finance Act 2025

Section 223 was amended by FA25. This guidance page reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

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45160 Investment entities – Tax transparency election

By election, an investment entity may be treated as a transparent entity for MTT purposes. This election is set out in section 213 of Finance (No.2) Act 2023.

The election is intended to deal with situations where a member of the group ('the owner') has ownership interests in an investment entity and is taxed on the change in the fair value of these interests, such that the profits of the investment entity are effectively taxed upon the owner as they accrue.

If this tax was not taken into account, then the group could be required to pay a top up tax on the investment entity's profits, even when these have been fully taxed at the owner level.

The election addresses this issue by treating the investment entity as fiscally transparent, both in the jurisdiction of the investment entity and in the jurisdiction of the owner. This allows the underlying profits of the investment entity to be treated as profits of the owner for the purposes of multinational top up tax and domestic top up tax, thereby ensuring that the profits and the tax on those profits are matched in the effective tax rate calculations.

The election is made where a member of a group holds an ownership interest (either direct or indirect) in an investment entity that is a member of the same group. This means that an investment entity might be treated as transparent only to a certain extent as a result of the election. If the investment entity is owned by multiple members, and it is desired for the investment entity to be treated as transparent for each of those members, an election must be made in respect of each owner.

A tax transparency election is a long term election. See MTT52200 for guidance on elections.

See MTT45170 for guidance on the taxable distribution method election, which is a similar election that is made in respect of ownership interests in an investment entity.

Conditions

A tax transparency election can be made where:

- An ownership interest in an investment entity is held by a member of the same group,
- The ownership interest gives rise to a share of profits,
- A taxable distribution method election has not been made in respect of the ownership interest, and
- Either:
    - The owner is subject to tax in the territory which it is located on increases in the fair value of the ownership interest, and the applicable rate of tax is at least 15%, or
    - The owner is a regulated mutual insurance entity.

The last requirement looks at the tax treatment of the owner in respect of the ownership interests in the investment entity. The 'subject to tax' test is limited to covered taxes. The test therefore cannot be met on the basis that the owner's territory applies a QDMTT.

The tax in the owner territory can be applied to the change in fair value of the ownership interest itself, or the underlying investments held by the investment entity, provided that all fair value increases are effectively taxed.

If the owner is a regulated mutual insurance entity, the election can be made even if the owner is not subject to tax on the investment entity profit on a mark to market basis. This is because the income of the investment entity will entirely belong to the policyholders, so the mutual will have no net income in respect of the investment income.

Example 1
A life insurance company owns 100% of an Open-ended Investment Company ("OEIC"). The insurance company is subject to tax on the changes in fair value of the OEIC under section 212 TCGA 1992 at a rate above 15%.

The conditions to make an election are met.

Example 2
A life insurance company A owns 60% of a fund. Another group company, B, owns the remaining 40%.

Company B has made a taxable distribution method election for its ownership interest. Company A is subject to tax in its location on increases in the fair value of its ownership interests in the fund at 20%.

The conditions for A to make an election have been met.

Effect of an election
Where the election applies to an ownership interest, the following treatment applies in regard to that ownership interest, for the purpose of determining the adjusted profits and covered tax balance of the investment entity:

- The investment entity is to be treated as a flow-through entity,
- The investment entity is to be treated as being regarded as tax transparent in the territory of the owner, and
- The owner is treated as having direct ownership interest in the investment entity.

Where the investment entity itself would have had amounts of adjusted profit or covered taxes allocated to it (ignoring the tax transparency election), those amounts are to be so allocated to the investment entity and then reallocated to the owner in accordance with the election.

Some investment structures will comprise of several investment entities in an ownership chain. The changes in value of the lower-tier investment entities are generally reflected in the fair value of the "top" investment entity. Generally, tax will be suffered by the owner in respect of changes in fair value of the chain of investment entities.

The election is designed with the intention to treat the investment entity's profits as the profits of the indirect owner, so an indirect owner's ownership interest in the investment entity is deemed to be a directly held interest.

Absent this provision, where the ownership interest is indirect, the profits would not be allocated to the indirect owner if the indirect owner's territory regarded any intermediate entities between it and the investment entity as fiscally opaque.

See MTT41400+ for guidance on flow-through entities.

Example
A group member owns 100% of Fund 1, which owns 100% of Fund 2. Fund 2 has £100 of income for the period. The member makes a tax transparency election in respect of its indirect ownership interest

in Fund 2. The member is treated as if it had direct ownership of Fund 2. The member treats Fund 2 as a tax transparent flow-through entity and includes £100 of Fund 2's income in its underlying profits.

Determining the direct ownership interest held by an owner
When determining the direct ownership interest held by an owner in an investment entity:

- Section 246(1)(b) is not to be applied, and
- Only ownership interests giving rise to a share of profits are to be considered.

See MTT17030 for guidance on calculating percentage direct and indirect ownership interests.

Regulated mutual insurance entity
An entity is a regulated mutual insurance entity if:

- It is regulated or authorised to carry on insurance business, and
- It is wholly owned by persons with which it has entered into insurance contracts.

Determining a gain or loss after the revocation of a tax transparency election
In the first year following the revocation of a tax transparency election (the "revocation period"), any gains or losses made by the investment entity on the disposal of an asset or liability are to be determined by reference to the fair value of the asset or liability on the first day of that period.

In any subsequent period for which the election does not apply, any gains or losses made by the investment entity on the disposal of an asset or liability are to be determined:

- Where the investment entity accounts for its assets on a realisation basis, by reference to the fair value of the asset or liability on the first day of the revocation period, or
- Where the investment entity accounts for its assets on a fair value basis, by reference to the fair value of the asset or liability at the end of the accounting period that precedes the period of disposal.

Treatment of minority interests
Where profits of the investment entity are attributable to minority shareholders, any top-up amounts of the investment entity will not be brought into charge by the same proportion. This is achieved through two alternate mechanisms.

Where the tax transparency election has been made in relation to all of the ownership interests of an investment entity which are held by the group, any underlying profits which relate to ownership interests held by minority shareholders will be excluded from the underlying profits of the investment entity through the operation of section 168(9) of the Act.

Where the tax transparency election has been made in relation to some of the ownership interests held by members of the group, but not others, the underlying profits which relate to minority shareholders will remain at the level of the investment entity. However, where the investment entity has a top-up amount to be allocated to responsible members under section 201 of the Act (see MTT05140), the adjusted profits which relate to the minority shareholders' interests will not be allocated to the responsible member, and so will not be brought into charge.

This is achieved through the operation of step 2 in section 201(1), in which the profits attributable to ownership interests to which the tax transparency election relates are disregarded. This corresponds to the effect of the election, which excludes amounts from the adjusted profits of the investment entity.

Sections 168 and 201 were amended by FA25. This guidance reflects the current version of the legislation. Consult FA25 for legislation applicable to prior periods if the retrospection election does not apply (see MTT01010).

Interaction between tax transparency election and excluded equity gains and losses
The election will result in the investment entity being treated as a transparent flow-through entity, such that its underlying profits will be allocated to the owner.

Under many accounting standards, the movement in the fair value of the ownership interests held in the investment entity will be recognised in the owner's profit and loss account. In such cases, the profits of the investment entity will already be reflected in the owner's underlying profits.

However, an election will not result in amounts being double counted in the member's adjusted profits. This is because the amounts that are already included in the owner's profit and loss account will be excluded from the member's underlying profits under section 142(2)(c) as they are a fair value movement in respect of a non-portfolio shareholding. While tax paid by the owner will technically be in respect of the profits excluded under section 142(2)(c) rather than the underlying profits of the investment entity that are allocated to it, section 175(2)(a) does not apply as the purpose of the transparency election is to align the tax and the profit.

Example
UPE owns 100% of the ownership interests of Member 1 and Member 2. Members 1 and 2 own 90% and 10%, respectively, of the ownership interests in Fund, an investment entity.

Fund earns 100 of net income in Year 1, pays no tax and makes no distributions.

An election under section 213 is made on behalf of member 1 and member 2.

Accordingly, member 1 and member 2 include their share of Fund's income, 90 and 10, respectively, in the computation of their adjusted profits.

Member 1 controls Fund and thus would consolidate its profit or loss even if Member 2 was an unrelated company. Member 1 applies the election and includes 90 of income in its underlying profits. No further adjustment is required.

Member 2 is required to apply fair value accounting to its interest in the Fund. It recognises a fair value gain of 10 in its accounts. Member 2 applies the election and includes 10 of income in accordance with the Fund being a tax transparent flow-through entity. Member 2 removes the fair value gain of 10 from its underlying profits under section 142, so that there is no double-counting of the 10 income.
In addition, the election allows the owner to apply the Substance-based Income Exclusion with respect to its share of the income of the investment entity. In many cases, the group's Eligible Payroll Expenses and Eligible Tangible Assets related to managing the investment entity's activities will not arise in the investment entity itself, but instead will be those of the owners.

Subsections 8 to 11 provides rules for revocation of the election. If the election is revoked, gains or losses from the disposition of an asset or liability held by the investment entity shall be determined based on the fair value of the assets or liabilities.

If the investment entity's income is determined using a realisation method, the gains or losses should be determined based on the fair value of the assets and liabilities on the first day of the revocation period.

If, on the other hand, the investment entity's income is determined using a fair value method for the related assets, then that method will re-value the assets at regular intervals and include the gains or losses in the financial accounts. The gains and losses should be determined based on the fair value of the asset or liability as accounted for at the end of the previous accounting period.

The election is to be made by the filing member in respect of each owner. Each owner must be named on the election. For each owner, the election must identify each investment entity for which the election is being made.

The election should be made in accordance with the other requirements under Section 1 of Schedule 15 (long term elections).

DRAFT

45210 Investment entities – Domestic Top-up Tax

For wholly domestic groups and entities, an investment entity is an excluded entity for DTT purposes (see MTT10020).

For multinational groups, top-up amounts of investment entities are determined, but only brought into charge where there is a qualifying entity in the UK that is a standard member.

This is set out in sections 267 and 272(8)(e) to (11) of Finance (No.2) Act 2023.

Investment entities – multinational groups

For multinational groups, an investment entity is not a qualifying entity (see MTT10010), but is still treated as member of the group under DTT for the purposes of:

- Determining its top-up amount, and whether that amount is to be attributed to another member of the group, and
- Assessing whether the group meets the revenue threshold for DTT purposes (see MTT11020).

For any other purpose, including chargeability, an investment entity is treated under DTT as not being a member of a group.

Top-up amounts of investment entities attributed to standard members

The top-up amount (including additional top-up amounts) calculated for an investment entity is to be included in the total top-up amount for standard members of the group, when determining the top-up amounts of those members for DTT purposes (see MTT31100).

This will apply where:

- The investment entity is located in the UK, and
- A standard member in the same group as the investment entity is located in the UK.

Where there are no standard members in the UK, top-up amounts of investment entities are not brought into charge.

DRAFT

51200 Nominating an alternative filing member

[New paragraphs to be added to previously-released page:]

Location of the filing member

The UK does not require the nominated filing member to be located in the UK. Where a group does not expect to submit an information return to HMRC (because the overseas return notification will discharge the obligation), the group should choose a filing member that is best able to discharge its obligation.

However, where the group intends to submit its information return to the UK, it should consider whether to nominate a filing member located in the UK.

Firstly, under Article 8.1.2 of the OECD Model Rules, a member will be discharged from the requirement to file an information return by an implementing territory where a Qualifying Competent Authority Agreement (QCAA) is in place, but that agreement must be with the territory in which the filing member is located (rather than the territory with which the agreement is filed).

This means that, if a non-UK located filing member submits an information return to HMRC, a foreign territory may still require the group to submit a direct return, even if it has a QCAA with the UK.

Secondly, the Multilateral Competent Authority Agreement only requires the automatic exchange of an information return by a territory where the filing member is located in that territory.

Consequently, it is possible that HMRC will not exchange an information return with another territory where it was submitted by a filing member outside the UK.

Nominating a filing member located in the UK will prevent the possibility of such any issues arising and enable any information returns submitted to be exchanged with as many territories as possible. See MTT52000 for guidance on the information return and overseas notification returns (the UK provision that implements Article 8.1.2).

Permanent establishments and main entities

A permanent establishment is an entity for MTT purposes. Where it is a permanent establishment of a company, it may be nominated as the filing member. In this case, the filing member will be considered as located in the UK if the PE is located in the UK.

Permanent establishments only exist as a tax concept, so a distinction will not be made between a main entity and its permanent establishment in practice. Where the filing member is a main entity or a permanent establishment, the administrative obligations will fall on the legal entity.

Groups should consider the impact of the location of the filing member in meeting any local obligations to submit an information return (see ‘Location of the filing member’ above).

52000 The information return

[Revision of paragraph on previously-released page:]

Filing date
The information return or overseas return notification must be submitted to HMRC within 15 months of the end of the accounting period.

However, a group has 18 months to submit either an information return or overseas notification with HMRC for the first accounting period it is subject to MTT.

The filing date for a return cannot fall before 30 June 2026. Where the deadline would fall before this date, the filing date will instead be 30 June 2026.

DRAFT

54100 Payment date and interest

[New paragraph to be added to previously-released page:]

Short first periods
The filing date for a return cannot fall before 30 June 2026. Where the deadline would fall before this date, the filing date will instead be 30 June 2026.

Because the payment and filing dates are aligned, the payment date will also be 30 June 2026 in this scenario.

DRAFT

70000 Undertaxed Profits Rule

[Please note that page numbers of UTPR guidance are liable to change in the published manual.]

Amounts of MTT are usually charged under the primary charging provisions (see MTT05100+). These are the UK's implementation of the Income Inclusion Rule.

However, not all amounts will be charged under the primary provisions, because not all of the ownership interests of a member with a top-up amount will be held by a responsible member, or the member with a top-up amount is in the same territory as it the responsible member. Where this is the case, only some of the member's top-up amount will be attributed to responsible members and brought into charge.

The Undertaxed Profits Rule (UTPR) is an additional charging mechanism which works as backstop to the IIR. It ensures that tax is collected where it has not been collected under the primary MTT charging provisions, or the equivalent charging provisions in foreign equivalents of MTT.

The UTPR works by identifying top-up amounts computed under MTT that have not been collected through the primary charging mechanisms (untaxed amounts). Untaxed amounts are allocated between territories according to an allocation key based on the relative number of employees and tangible asset value in each territory.

The UTPR comes into effect for periods beginning on or after 31 December 2024. The MTT implementation date was 31 December 2023, which means that amounts will not be brought into charge through UTPR in the first year of the regime.

The UTPR also contains some transitional provisions in schedule 16 and 16A Finance (No.2) Act 2023. These provide a transitional safe harbour that can apply in the first years of the UTPR, and also transitional rules for groups in the initial phase of international expansion.

The UTPR is introduced in section 123 of Finance (No.2) Act 2023, and is set out in Chapter 9A of the Act.

MTT71000+ provides guidance on the chargeability to UTPR
MTT71500+ provides guidance on the determination of untaxed amounts subject to UTPR.
MTT72000+ provides guidance on the allocation of those untaxed amounts.
MTT73000+ provides guidance on miscellaneous definitions for UTPR.
MTT74000+ provides guidance on transitional provisions for UTPR.

DRAFT

71000 Undertaxed Profits Rule – Chargeability

Chargeable persons
The chargeable members for MTT are the same for both UTPR and the primary charging mechanism (please see MTT05100). However, while these get allocated to responsible members under the IIR, under the UTPR the amounts get allocated to members of the group via a separate allocation mechanism.

Amount charged
Under the UTPR the amount charged to a person are the untaxed amounts allocated to a member of a multinational group for which that person is chargeable.

These are added to the total of the top-up amounts and additional top-up amounts calculated under the main MTT rules to provide a total amount of MTT that a person is chargeable to (see subsection 123(2) of Finance (No.2) Act 2023).

Investment entities
An investment entity can be undertaxed and have an untaxed amount. However, an investment entity is not a qualifying member for the purposes of allocating and charging the untaxed amount to members of a group.

The effect of this is that an investment entity can contribute to the total untaxed amount of a group but will not be chargeable to UTPR. In effect, its untaxed amounts are attributed to other members of the group.

This is set out in sections 123 and 229C Finance (No.2) Act 2023.

Joint venture groups
Special rules apply to joint venture groups which affect their chargeability and how untaxed amounts are determined in relation to them. See MTT71100 for more information.

Election to make one member of a group liable for untaxed amounts
A group may make an election under section 229F of the Act for one member of the group within the UK to be liable for any untaxed amounts which would otherwise be allocated between qualifying members of the group located in the UK. For more information see MTT72200.

DRAFT

71100 - Undertaxed Profits Rule – Chargeability for joint venture groups

Members of a joint venture group have different provisions for determining whether they are undertaxed and whether they have an untaxed amount for UTPR.

The potentially undertaxed condition does not apply for members of a joint venture group.

Instead, members of a joint venture group has an untaxed top-up amount where they are undertaxed in relation to a multinational group and where the ultimate parent of the multinational group is not subject to a Pillar Two Income Inclusion Rule.

This is set out in section 229I Finance (No.2) Act 2023.

Undertaxed members of a joint venture group

A member of a joint venture group is undertaxed if:

- The sum of the top-up amount and additional top-up amounts of the joint venture group that would be attributed to the ultimate parent if it were subject to a Pillar Two Income Inclusion Rule, is greater than
- The amount of the top-up and additional top-up amounts attributed to responsible members in respect of the joint venture group.

The untaxed amount is the difference between those two amounts.

Allocation of untaxed amounts of a joint venture group

Any untaxed amounts of a joint venture group are then allocated to qualifying members of the multinational group via the same allocation mechanism as for any other untaxed amounts of the multinational group (see MTT72000+).

DRAFT

71200 - Undertaxed Profits Rule – Chargeability for investment entities

An investment entity can be undertaxed and have an untaxed amount. However, an investment entity is not a qualifying member for the purposes of allocating and charging the untaxed amount to members of a group.

The effect of this is that an investment entity can contribute to the total untaxed amount of a group but will not be chargeable to UTPR. In effect, its untaxed amounts are attributed to other members of the group.

This is set out in sections 123 and 229C Finance (No.2) Act 2023.

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71500 Undertaxed Profits Rule – Determining untaxed amounts of a member

There is a two-step process for determining whether the top-up amounts (including additional top-up amounts) of a particular member of a group are chargeable under the UTPR:

Step 1 – Determine whether the member is "potentially undertaxed", in accordance with section 229A of Finance (No.2) Act 2023. A member will be potentially undertaxed if not all of its top-up amount will be collected by the Income Inclusion Rule (IIR, the primary charging mechanism).

Step 2 – If the member is potentially undertaxed, the untaxed amount for the member is (in accordance with section 229B of the Act):

- The top-up amount of the member, less
- The total amount of the top-up amount of the member that has been attributed to responsible members (see MTT05120).

Where this is nil, the top-up amount of the member has been fully attributed to responsible members and so there is no untaxed amount.

Where the top-up amounts allocated to responsible members equal or exceed the top-up amount of the member, then there will be no untaxed amount to be charged under the UTPR – see section 229B of Finance (No.2) Act 2023.

These steps must be applied to each member of the group which has a top-up amount. Where any member of the group has an untaxed amount, the group will be subject to the UTPR and will be chargeable to MTT on the untaxed amount.

Potentially undertaxed

A member will be potentially undertaxed unless the entirety of its ownership interests which are held directly or indirectly by the ultimate parent are subject to an IIR. This includes both the primary charging mechanisms of MTT, or a foreign equivalent.

A member is potentially undertaxed if it meets one of the following conditions (subject to two exceptions):

- It is the ultimate parent of the group.
- It is located in the same territory as the ultimate parent.
- The ultimate parent is not a responsible member (see MTT05110 and MTT73300).

Where a member meets these criteria and the exception does not apply, it is potentially undertaxed.

The exception will apply if:

- The ultimate parent is not a responsible member,
- The ultimate parent has no direct ownership interests in the member, and
- The indirect ownership interests the ultimate parent has in the member are all held through ownership interests in a responsible member.

This ensures that the member is not potentially undertaxed where all of its top-up amount will be charged to a responsible member under an IIR or Domestic IIR.

For the purpose of determining the untaxed and potentially untaxed, a responsible member is not to be regarded as a responsible member if:

- It is located in the same territory as the member under consideration, and

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- That territory does not apply a Domestic IIR (see MTT73100).

Member located in territory with a Domestic IIR
Where a member is located in a territory with a Domestic IIR, the definition of responsible member is modified.

Also, an additional exception may apply when a potentially undertaxed member is located in a territory with a Domestic IIR.

See MTT73100 for further guidance.

Joint venture groups
There are different provisions for determining whether members of a joint venture group are undertaxed and if they have an untaxed amount for UTPR. See MTT71100 for further guidance.

DRAFT

71501 Undertaxed Profits Rule – Examples of determining untaxed amounts

Example 1
Group AB consists of two companies. Company A is the ultimate parent of the group and is located in Jurisdiction A. Company B is a wholly owned, direct subsidiary of Company A and is located in Jurisdiction B.

Company A and Company B each have top-up tax amounts of 100.

Jurisdiction A implements the Pillar 2 rules (a DMT, an IIR and a UTPR). Jurisdiction B does not.

Company A is potentially undertaxed because it is the ultimate parent of a multinational group.

However, because Jurisdiction A has implemented a DMT which qualifies for the QDMTT Safe Harbour (see MTT15100) it collects the 100 top-up tax amount under its QDMTT and the untaxed amount is nil.

Company B is not potentially undertaxed because none of the three conditions are met:

- it is not the ultimate parent of the group, and
- it is not located in the same territory as the ultimate parent, and
- the ultimate parent is a responsible member (i.e. Company A is required to apply an IIR on its ownership interests in Company B).

Note that Exception 1 does not apply, because all of the ownership interests that Company A has in company B are direct ownership interests.

In this example, the untaxed amount for group AB is nil.

Example 2
Consider Group AB again, except in this case Jurisdiction B implements the Pillar 2 rules (a DMT, an IIR and a UTPR) and Jurisdiction A does not.

Company A is potentially undertaxed because it is the ultimate parent of a multinational group.

Company A is not subject to a QDMTT in this example so the untaxed amount for Company A is 100.

Company B is potentially undertaxed because Company A, the ultimate parent, is not a responsible member. However, because Jurisdiction B has implemented a DMT which qualifies for the QDMTT Safe Harbour (see MTT15100) it collects the 100 top-up tax amount under its QDMTT and the untaxed amount for Company B is nil.

In this example, the untaxed amount for group AB is 100.

Example 3
Group DEFG consists of four companies. Company D is the ultimate parent of the group. It holds 100% of the ownership interests in Company E and Company F. Company E holds 50% of the ownership interests in Company G. Company F holds the other 50% of the ownership interests in Company G.

Companies D, E, F and G are located in Jurisdictions D, E, F and G respectively. Each has a top-up amount of 100

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Jurisdiction E implements the Pillar 2 rules (a DMT, an IIR and a UTPR), Jurisdictions D, F and G do not.

Company D is potentially undertaxed because it is the ultimate parent of a multinational group.

Company D is not subject to a QDMTT in this example so the untaxed amount for Company D is 100.

Company E is potentially undertaxed because the ultimate parent is not a responsible member.

However, because Jurisdiction E has implemented a DMT which qualifies for the QDMTT Safe Harbour (see MTT15100) it collects the 100 top-up tax amount under its QDMTT and the untaxed amount for Company E is nil.

Company F is potentially undertaxed because the ultimate parent is not a responsible member. Jurisdiction F has not implemented a QDMTT, so the untaxed amount for Company F is 100.

Company G is potentially undertaxed because the ultimate parent is not a responsible member. Here it is necessary to consider exception 1 because Company D does not have hold any direct ownership interests in Company G:

- the ultimate parent is not a responsible member (met), and
- the ultimate parent has no direct ownership interests in the member (met), and
- any indirect ownership interests the ultimate parent has in a member are through ownership interests in a responsible member (not met – while half of Company D's interests are held through a responsible member, Company E, the other half are held through a member which is not a responsible member, Company F).

So, exception 1 is not met and Company G remains potentially undertaxed.

We then have to consider whether Company G has an untaxed amount. The top-up tax amount calculated for Company G is 100.

The top-up tax amount(s) of Company G attributed to responsible member(s) is 50. This is because Company E is chargeable to top-up tax under the IIR based on a top-up tax amount of 100, multiplied by an allocation ration of 50%. This means that the untaxed amount of Company G is 50 (100 - 50).

This means that the untaxed amount for DEFG Groups is 250, comprising 100 in respect of Company D, 100 in respect of Company F and 50 in respect of Company G.

Example 4
Group LMNO consists of four companies. Company L is the ultimate parent of the multinational group. Company L directly holds 75% of the ownership interests in Company M and 75% of the ownership interests in Company N. The remaining ownership interests in Companies M and N are held by unrelated third parties.

Company M holds 90% of the ownership interests in Company O, Company N holds the remaining 10% of ownership interests in Company O.

Companies L, M, N and O are located in Jurisdictions L, M, N and O respectively.

Jurisdiction M implements an IIR, but Jurisdictions L, N and O do not.

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In this example, Company O has a top-up tax amount of 100. None of the other group companies have a top-up tax amount.

Company O is potentially undertaxed because the ultimate parent is not a responsible member.

Here it is necessary to consider exception 1 because Company L does not have hold any direct ownership interests in Company O:

- the ultimate parent is not a responsible member (met), and
- the ultimate parent has no direct ownership interests in the member (met), and
- any indirect ownership interests the ultimate parent has in a member are through ownership interests in a responsible member (not met – while 90% of Company L's interests are held through a responsible member, Company M, the remaining 10% are held through a member which is not a responsible member, Company N).

So, exception 1 is not met and Company O remains potentially undertaxed.

The total top-up tax amount of Company O is 100. The top-up tax amount(s) of Company O attributed to responsible member(s) is 90. This is because Company M is chargeable to top-up tax under the IIR based on a top-up tax amount of 100, multiplied by an allocation ration of 90%. This means that the untaxed amount of Company G is 10 (100 - 90).

In this example, it is notable that the total amount of top-up tax collected is 100. This demonstrates that the total top-up tax due from a group where the UTPR applies may exceed that which would have been due under an IIR.

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72000 Undertaxed Profits Rule - Allocation of untaxed amounts

Any untaxed amounts (see MTT71000) of the members of the group must be allocated between the qualifying members in accordance with section 229C of Finance (No.2) Act 2023.

To determine the amount to be allocated, the group must first determine the proportion of the total untaxed amount to be allocated to the UK (see MTT72100).

Once the UK proportion has been determined, it is allocated between qualifying members that are located in the UK (see MTT72200).

Qualifying member
Under the UTPR, a 'qualifying member' is any member of a group except for investment entities and joint venture group members.

Where there are no qualifying members located in the UK, none of the total top-up amount will be allocated to the UK.

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72100 Undertaxed Profits Rule - UK proportion of the total untaxed amount

The allocation of the total untaxed amounts between the qualifying members of the group is determined using the number of employees and the tangible fixed assets of those members.

Similarly, the UK proportion is based on both:

- the number of employees located in the UK compared to the total number of employees of all qualifying members of the group (see MTT72300), and
- the value of tangible fixed assets located in the UK when compared to the total value of tangible fixed assets of all qualifying group companies (see MTT72400).

However, it is possible that not all qualifying members will be located in territories that have a qualifying undertaxed profits rule, therefore the employees and tangible fixed assets of these members should not be included when determining the total number of employees and the total number of tangible fixed assets of the qualifying members of the group. This ensures the untaxed amounts are fully included within the UTPR calculations of the multinational group.

This is set out in section 229D Finance (No.2) Act 2023.

Calculation to allocate UK proportion of the total untaxed amounts

The UK proportion of the total untaxed amounts is determined by the eight-step process in section 229D(1) of the Act.

The first stage of this calculation is to determine the proportion of UK employees of qualifying members compared to the total number of employees of qualifying members in territories that have a qualifying undertaxed profits rule (steps 1 to 3).

The second stage is to determine the proportion of tangible fixed assets of the UK qualifying members compared to the total tangible fixed assets of the qualifying members of the group in territories that have a qualifying undertaxed profits rule (steps 4 to 6).

The third stage is to add both of these fractions together and divide by two to give the employee headcount and the tangible fixed assets an equal weighting for allocating the untaxed amounts.

Unless the nil asset value condition or the nil employee condition apply, the untaxed amount allocated to the UK is determined by multiplying this fraction by the total untaxed amount (steps 7 and 8).

If none of the qualifying members located in territories with a qualifying UTPR have any employees in the period, only the proportion of the value of fixed tangible assets will be used to determine the UK proportion, and vice versa.

If a qualifying member has nil assets and nil employees for the period, then there is no allocation of undertaxed amount to that entity for the period.

Qualifying undertaxed profits rule

A qualifying undertaxed profits rule is either the UK's undertaxed profits rule or a tax that the UK views as a qualifying undertaxed profits rule and which is specified in regulations made by the Treasury, in accordance with section 257 of the Act.

A qualifying undertaxed profits rule applies in a territory in relation to an untaxed amount if:

- It is in force in that territory for the relevant period, and

- It results in a proportion of the untaxed amount that is greater than nil being allocated to the territory.

The second of these conditions is designed to prevent the allocation of UTPR amounts to territories which have been unable to collect the full proportion of untaxed amounts allocated to them in a previous year.

Example
A group has an untaxed amount of £1000, and has two qualifying members in territories with a qualifying UTPR, A Ltd and B Ltd.

A Ltd is located in the UK, and has 10 employees and no tangible fixed assets. Two of those employees work solely in Territory C.

B Ltd is located in Territory B, and has 30 employees and has £500 in tangible fixed assets located in Territory B, and £100 in tangible fixed assets located in Territory C.

Step 1: Determine the number of employees of qualifying members of the group located in the UK: 10.

Step 2: Determine the number of employees of qualifying members located in territories with a qualifying UTPR: 40.

Step 3: 10/40 = 0.25.

Step 4: Determine the value of tangible fixed assets of members located in the UK: nil.

Step 5: Determine the value of tangible fixed assets of members located in territories with a qualifying UTPR: £600.

Step 6: 0/600 = nil.

Step 7: The average of 0.25 and nil is 0.125.

Step 8 Neither the result of Step 2 nor Step 5 are nil, so the UK proportion of the untaxed amount is the untaxed amount multiplied by the result of Step 7: 1000 * 0.125 = 125.

The territories where the assets are located and where the employees carry out their activities are not relevant to the calculation.

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72200 Undertaxed Profits Rule - Allocation of UK proportion between qualifying entities

Once the UK proportion of the total untaxed amount has been determined, that proportion must then be allocated between the UK entities of the group. The method for allocating the UK proportion between UK entities is similar to the method for allocating the total untaxed amount between territories.

For each qualifying member of the group located in the UK, the group should determine the proportion of UK employees and UK tangible fixed assets that the member holds, and use the average of these to allocate the UK proportion to that member.

This is set out in section 229E Finance (No.2) Act 2023.

MTT72300 and MTT72400 explain how to determine the number of employees and value of tangible fixed assets.

Calculation to allocate UK proportion between qualifying members
To determine the untaxed amount that is allocated to each UK qualifying member, there is an 8-step calculation to follow. The 8 steps are set out in s229E Finance (No.2) Act 2023.

The first stage of this calculation is to determine the number of employees the member has as a proportion of the total number of employees of all qualifying members located in the UK (in Steps 1-3).

The second stage is to determine the value of tangible fixed assets the qualifying member has compared to the total value of tangible fixed assets of all qualifying members located in the UK (in Steps 4-6).

The third stage is to average these fractions to give the employee headcount and the tangible fixed assets an equal weighting for allocating the UK proportion (in steps 7-8).

This average is then multiplied by the UK proportion to determine the amount to be allocated to the member.

If none of the qualifying members located in the UK have any employees in the period, only the proportion of the value of fixed tangible assets will be used to determine the UK proportion, and vice versa.

Example 1
A multinational group has an untaxed amount of 1000 relating to a non-UK entity. The UK proportion of the total untaxed amount is 500.

The multinational group has 4 UK entities. The UK proportion of the total untaxed amount is allocated between the 4 UK entities as follows:

- UK Co 1 is an investment company. As an investment entity is not a qualifying member it cannot be allocated any untaxed amount.
- UK Co 2 has 40 employees and tangible fixed assets of 100.
- UK Co 3 has 60 employees and tangible fixed assets of 400.
- UK Co 4 has 0 employees and tangible fixed assets of 0

Therefore, the total number of employees of UK qualifying members is 40 + 60 = 100.

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Likewise, the total value of tangible fixed assets of UK qualifying members is 100 + 400 = 500.

Allocation to UK Co 2:

- UK Co 2's proportion of UK employee headcount is 0.4 (40 divided by 100).
- UK Co 2's proportion of UK tangible fixed assets is 0.2 (100 divided by 500).
- Therefore, the fraction of the untaxed amount that should be allocated to the UK Co 2 is 0.3 or 33% ((0.4 + 0.2) divided by 2).
- Consequently, UK Co 2 is allocated 150 of the UK proportion of the total untaxed amount (0.3 multiplied by 500).

Allocation to UK Co 3:

- UK Co 3's proportion of UK employee headcount is 0.6 (60 divided by 100).
- UK Co 3's proportion of UK tangible fixed assets is 0.8 (400 divided by 500).
- Therefore, the fraction of the untaxed amount that should be allocated to the UK Co 2 is 0.7 or 70% ((0.6 + 0.8) divided by 2).
- Consequently, UK Co 3 is allocated 350 of the UK proportion of the total untaxed amount (0.7 multiplied by 500).

Allocation to UK Co 4:

- UK Co 4's proportion of the headcount is 0 divided by 100 and the proportion of the tangible fixed assets are 0 divided by 500 and therefore the fraction of the untaxed amount should be zero.

In summary, UK Co 2 has been allocated 150 and UK Co 3 has been allocated 350. Therefore, the full 500 of the UK proportion of the total untaxed amount has been allocated to qualifying group members.

Example 2

A multinational group has an untaxed amount of 1000 relating to a non-UK entity. The UK proportion of the total untaxed amount is 500.

The multinational group has 3 UK entities. The UK proportion of the total untaxed amount is allocated between the 3 UK entities as follows:

- UK Co 1 has 40 employees and tangible fixed assets of 0.
- UK Co 2 has 60 employees and tangible fixed assets of 0.
- UK Co 3 has 0 employees and tangible fixed assets of 0

The total value of tangible fixed assets of the qualifying members of the group located in the UK is nil, but the total number of employees in the relevant period of qualifying members of the group located in the UK is not nil, therefore the nil asset value condition is met.

Therefore, the allocation of the untaxed amount is determined solely by using the employee headcount of the UK qualifying members.

The total number of employees of UK qualifying members is 40 + 60 = 100.

Allocation to UK Co 1:

- UK Co 1's proportion of UK employee headcount is 0.4 (40 divided by 100).
- Therefore, UK Co 1 is allocated 200 of the UK proportion of the total untaxed amount (0.4 multiplied by 500).

Allocation to UK Co 2:

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- UK Co 2's proportion of UK employee headcount is 0.6 (60 divided by 100).
- Therefore, UK Co 2 is allocated 300 of the UK proportion of the total untaxed amount (0.6 multiplied by 500).

Allocation to UK Co 3:
As UK Co 3 has no employees or tangible fixed assets, it is not allocated any of the untaxed amount.

In summary, UK Co 1 has been allocated 200 and UK Co 2 has been allocated 300. Therefore, the full 500 of the UK proportion of the total untaxed amount has been allocated to qualifying group members. If the nil asset value condition had not been applied, only 50% of the total untaxed amount would have been allocated between the UK companies, due to the main allocation method requiring employees and tangible fixed assets to be located in the UK to operate properly.

Election to make one member of a group liable for untaxed amounts
A group may make an election under section 229F of the Act for one member of the group within the UK to be liable for any untaxed amounts which would otherwise be allocated between qualifying members of the group located in the UK. For more information see MTT72200.

Where the election is made, there is no need to allocate amounts between the qualifying members.

A member of the group may only be specified in the election if:
- It is located in the UK, and
- It has consented to the election.

This election is an annual election and is made in the self-assessment return rather than the information return. See MTT52200 for general guidance on making an election.

DRAFT

72300 Undertaxed Profits Rule - Number of employees

In order to perform the calculations set out in MTT72100 and MTT72200, a group is required to calculate the full-time equivalent employee numbers of each qualifying member.

This is set out in section 229G Finance (No.2) Act 2023.

Determination of the full-time equivalent employee number
The number of employees of a member is the full-time equivalent employee number for that period.

The full-time equivalent employee number consists of:

- The number of full-time employees who were employed full-time by the qualifying member throughout the entire period, and
- The number of employees who were employed part-time, or full-time for only part of the period, pro-rated as is just and reasonable.

The result of the above calculation is further adjusted where the member was not a member of the group for the whole period. In this circumstance, the group must make a further just and reasonable adjustment to the full-time equivalent employee number, in respect of the period for which it was not a member of the group.

Definition of employee
For the purposes of the above calculation, a person is an employee of a member of a group if:

- Their employment costs are met by that member, as recorded in the appropriate financial statements of that member (see MTT73200), and
- The employee either:
  - Is regarded as an employee under the law of the territory in which the member is located, or
  - Participates in the ordinary operating activities of the member (including on a part-time basis).

It is not necessary that the person's activities are carried on in the territory of the member.

Where:

- The member is a permanent establishment, and
- The permanent establishment does not prepare separate financial statements,

the financial statements, for this purpose, will be the hypothetical financial statements of the permanent establishment.

Employees of flow-through entities
Where a member of a group is a flow-through entity, employees of the entity are to be treated as employees of members of the group:

- That are not flow-through entities, and
- Are located in the territory in which the flow-through entity was created.

If there are no such members in that territory, the employees of the flow-through entity is ignored for the purposes of the calculation.

DRAFT

This treatment only applies for the purpose of determining the proportion of the untaxed amount to be allocated to the UK. It does not apply for the purpose of allocating amounts to qualifying members.

This treatment does not apply to employees of a permanent establishment of a flow-through entity.

Example 1
UK Co 1 has the following employees for an accounting period beginning on 1 January 2050 and ending on 31 December 2050:

- 100 full-time employees who were employed throughout the entire accounting period.
- 10 part-time employees who work 50% of the hours of a full-time equivalent employee who was employed throughout the entire accounting period.
- 12 full-time employees who were employed from 1 January 202X to 30 September 2050.
- 24 part-time employees who work 50% of a full-time equivalent employee who were employed from 1 September 2050 to 31 December 2050.

The full-time equivalent employee numbers of UK Co 1 would be calculated as:

- 100, plus
- 10 multiplied by 50% = 5, plus
- 12 multiplied by 75% = 9, plus
- (24 multiplied by 50%) multiplied by 25% = 3

The total of a) to d) above is therefore 117.

Example 2
UK Co 2 has determined its full-time equivalent employee numbers to be 240 for the entire accounting period beginning on 1 January 2036 and ending on 31 December 2036. However, UK Co 2 only became a member of the group, Alpha Group, on 1 July 2036.

When determining the allocation of an untaxed amount within Alpha Group for the accounting period, the employee numbers for UK Co 2 should be adjusted to reflect the fact that it only joined the Alpha Group part way through the accounting period.

There were no significant changes to the headcount of UK Co 2 over the period. Therefore, the full-time equivalent employee number for UK Co 2 would be based on 50% of the full-year figure (6 months divided by 12 months). The full-time equivalent employee number for UK Co 2 would be 120 (240 multiplied by 50%).

The adjustments to the full-time equivalent employee numbers should be on a just and reasonable basis. Had UK Co 2 significantly increased its employee headcount after joining Alpha Group, then a figure higher than 120 would be just. Conversely, a lower figure would be just if UK Co 2 had significantly decreased its employee headcount after joining the group.

72400 Undertaxed Profits Rule - Value of tangible fixed assets

In order to perform the calculations set out in MTT72100 and MTT72200, a group is required to calculate the value of the tangible fixed assets of each qualifying member.

Tangible fixed assets include all tangible assets, wherever located, other than cash or cash equivalents, or financial assets.

This is set out in section 229H Finance (No.2) Act 2023.

Determination of value of tangible fixed assets

The value of the tangible fixed assets of a qualifying member is half of:

- The sum of the values of each tangible fixed asset held by the member at the start of the period, and
- The sum of the values of each tangible fixed asset held by the member at the end of the period.

The values of each tangible fixed assets should be the values as recorded in the member's appropriate financial statements (see MTT73200), including the effect of any accumulated depreciation, impairment or depletion.

The location of the assets is not significant.

Member joining or leaving group in the period

If the member is not a member of the group at the start of the period, the sum of the values of each tangible fixed asset held by the member at the start of the period is deemed to be nil.

Similarly, if the member is not a member of the group at the end of the period, the sum of the values of each tangible fixed asset held by the member at the end of the period is deemed to be nil.

No more detailed apportionment can be made. This is because the allocation of an untaxed amount does not change a group's liability to tax, it only determines which territory will collect the untaxed amount.

Permanent establishments

Where:

- The member is a permanent establishment, and
- The permanent establishment does not prepare separate financial statements,

The financial statements, for this purpose, will be the hypothetical financial statements of the permanent establishment.

Tangible fixed assets of flow-through entities

Where a member of a group is a flow-through entity, its tangible assets are to be treated as being held by members of the group:

- That are not flow-through entities, and
- Are located in the territory in which the flow-through entity was created.

If there are no such members in that territory, the assets are ignored for the purposes of the calculation.

DRAFT

This treatment only applies for the purpose of determining the proportion of the untaxed amount to be allocated to the UK. It does not apply for the purpose of allocating amounts to qualifying members.

This treatment does not apply to the assets of a permanent establishment of a flow-through entity.

Example 1
UK Co 1 is a member of Alpha Group, a multinational group. It must allocate the untaxed amount for a period running from 1 January 2045 to 31 December 2045.

The value of the tangible fixed assets in its financial statements as at 1 January is 500.

The value of the tangible fixed assets in its financial statements as at 31 December is 700.

Therefore, for the purposes of allocating an untaxed amount for the 2045 period, the value of the tangible fixed assets of UK Co 1 is (500 + 700) / 2 = 600.

Example 2
The facts are as above, except that in this case, UK Co 1 first became a member of the group on 1 December 2045.

As UK Co 2 was not a member of the Alpha Group at the start of the period, the sum of the values of its tangible fixed asset at the start of the period is deemed to be nil. Therefore, for the purposes of allocating an untaxed amount for the accounting period ended 31 December 202X in Alpha Group, the value of the tangible fixed assets of UK Co 2 is (0 + 700) / 2 = 600.

DRAFT

73000 Undertaxed Profits Rule - Miscellaneous definitions

The Undertaxed Profits Rule largely uses the same framework to calculate top-up tax amounts as the main charge (also known as the Income Inclusion Rule). However, there are areas where the rules are modified or where new concepts are introduced.

The areas covered in this section are:
MTT73100 - Domestic Income Inclusion Rules
MTT73200 - Meaning of appropriate financial statements

DRAFT

73100 Undertaxed Profits Rule - Domestic Income Inclusion Rules

Ordinarily, a responsible member is not charged top-up amounts determined for itself, or other members of the group located in its territory.

However, some territories which have implemented an Income Inclusion Rule (IIR) charge top-up tax amounts of domestic entities to domestic responsible members under that rule (either as well as, or instead of, implementing a Domestic Minimum Top-up Tax).

These are sometimes referred to as Domestic IIRs, or DIIRs. As these rules work differently to the UK rules, this concept is newly defined in the UTPR provisions. It is a necessary concept for UTPR because a member will not be potentially undertaxed where it is subject to a DIIR.
DIIRs are defined in section 229J(3) of Finance (No.2) Act 2023.

Definition of a Domestic Income Inclusion Rule
A Domestic Income Inclusion Rule (DIIR) is defined as a tax that meets the following conditions:

- It is implemented by a Pillar Two territory (see [cross-reference when page created]),
- It is a rule that relates to top-up amounts that would be charged and identified under an IIR, and
- The charge to tax is not limited to members who are located outside the territory of implementation.

Example
UPE Ltd is an ultimate parent located in Territory A. UPE Ltd has a top-up amount for a period determined under the IIR of Territory A, and there is also a top-up amount determined for B Ltd, a subsidiary in Territory B.

UPE Ltd will be a responsible member and will be charged the top-up amount of B Ltd under a normal IIR. It will not be charged the top-up amount determined for itself, and the amount is potentially undertaxed and may give rise to a charge under UTPR.

However, if Territory A's IIR also charged responsible members for top-up amounts of members in Territory A, UPE Ltd would be a responsible member in relation to itself and other members in Territory A. This means the top-up amount determined for UPE Ltd will be charged on UPE Ltd itself, as the responsible member, and that amount is not potentially undertaxed and will not be brought into charge under UTPR.

DIIR exception when determining whether a member is potentially undertaxed
There are two exceptions to consider when determining whether a member is potentially undertaxed.

The second of these exceptions relates to DIIRs. It provides that top-up amounts of a member are not 'potentially undertaxed', if the following conditions are met:

- The member is located in the same territory as the ultimate parent, and
- The ultimate parent is located in a territory which has a Domestic IIR (DIIR) in force, and
- The ultimate parent is a responsible member.

In this case, any top-up amounts the member has will be collected through the Domestic IIR, so there is no need to collect the top-up amounts through the UTPR.

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Definition of responsible member

There are a number of modifications to the normal rules defining responsible members where the relevant member is located in a territory in which a DIIR is in force. These changes are necessary because, under a DIIR, the responsible members will be responsible for additional members.

- An ultimate parent that is a responsible member of a group is responsible for all of the members of the group, including itself, and any other members of the group in its territory.
- An intermediate parent member or a partially-owned parent member may be responsible for a member in the same territory as itself.
- An intermediate parent member or a partially-owned parent member will be a responsible member where it has a top-up amount itself, even if it does not have an ownership interest in a member of the group that has a top-up amount.

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73200 - Undertaxed Profits Rule – Meaning of appropriate financial statements

The concepts of 'full time equivalent employee number' and 'value of tangible fixed assets' both refer the concept of appropriate financial statements. This is wider than the concept of financial statements elsewhere in the Multinational Top-up Tax rules.

The only requirement for financial statements to be "appropriate" is that they are prepared on a consistent basis for all members of the group.

While a group may wish to rely on the figures included in its financial statements used elsewhere in its MTT calculations, "appropriate financial statements" for UTPR purposes also allows the values for employees and fixed assets from a valid Country-by Country Report to be used.

This is set out subsections 229G(4) and 229H(2) of Finance (No. 2) Act 2023.

DRAFT

74000 - Undertaxed Profits Rule - Transitional provisions

This section covers transitional provisions that apply to the Undertaxed Profits Rule.

MTT74100 Undertaxed Profits Rule - Transitional Safe Harbour for the UTPR
MTT74200 Undertaxed Profits Rule - Transitional provision for groups in initial phase of international expansion

DRAFT

74100 - Undertaxed Profits Rule – Transitional Safe Harbour for the UTPR

The UTPR transitional safe harbour allows a group to elect that the members in the ultimate parent's territory do not have an untaxed amount, where the nominal tax rate in the ultimate parent's territory is 20% or greater.

The Safe Harbour is set out in Part 2A of Schedule 16 of Finance (No.2) Act 2023.

Conditions to be met

For an election into the safe harbour to be valid, the following conditions must be met:

- The corporate income tax (CIT) rate in the territory of the ultimate parent must be at least 20%, and,
- The period must:
  - Be no longer than 12 months,
  - Commence on or before 31 December 2025, and
  - End before 31 December 2026.

Corporate income tax rate

The CIT in a territory may be levied by authorities at a number of different levels of government. For example, a national or federal CIT rate may be supplemented by a CIT rate charged at the level of a state, province or canton. In these cases, when determining the CIT rate, a group should include:

- The nominal national or federal rate, and
- The lowest nominal rate that generally applies across the states, provinces or cantons.

Otherwise, the generally applicable nominal rate will be the CIT rate.

Effect of making an election

Where a group makes a valid election, the untaxed amounts of all members of the group in the ultimate parent's territory is deemed to be nil for the period.

Additionally, where a joint venture group has its joint venture parent located in the ultimate parent's territory, the untaxed amounts of that joint venture group are deemed to be nil in relation to the group making the election. This includes joint venture subsidiaries that are located outside the ultimate parent's territory.

The group may still have untaxed amounts arising for members located outside of the ultimate parent's territory.

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74200 Undertaxed Profits Rule – Transitional provision for groups in initial phase of international expansion

Where certain conditions are met, the Undertaxed Profits Rule (UTPR) contains a provision which deems there to be no untaxed amount for any member of a group or joint venture group where the group has a limited presence outside of the primary territory where it is located.

This is set out in Part 2 of Schedule 16A to Finance (No.2) Act 2023.

Conditions for transitional international expansion provision

For all members of the group or joint venture group to be deemed to have no untaxed amount the following conditions must be met by the multinational group:

- The current period must either be the first period for which the group is in scope of UTPR, or one of the four subsequent periods, and
- The international expansion condition must be met.

For this purpose, a group is first in scope of UTPR in the later of:

- The first period in which it meets the revenue threshold test (see MTT11000), and
- The first period beginning on or after 31 December 2024.

The group does not have to actually be subject to a UTPR in the first period in which it is "in scope of UTPR".

International expansion condition

The international expansion condition is met where a group meets the following two conditions:

- It does not have members located in more than 6 territories (see MTT18000+), and
- The sum of the value of tangible fixed assets (see MTT72400) of qualifying members of the group, excluding those located in the 'reference territory', does not exceed 50 million euros.

The 'reference territory' is the territory with the greatest value of tangible fixed assets of qualifying members located in that territory.

DRAFT

Annex A: Guidance on the insurance sector

This annex contains guidance specific to the insurance sector.

Guidance pages to be in a standalone section of guidance for the insurance sector:

- Insurance - Profits adjusted to be before tax
- Insurance - Adjustments where life assurance business carried on
- Insurance - Exclusion of certain insurance reserve movement expense
- Insurance – Covered taxes
- Insurance - Recaptured deferred tax liabilities

Language to be included in other pages:

- Insurance – addition to MTT21010 – The underlying profits
- Insurance – Addition to MTT45110 Investment entities – Definitions of “investment entity” and “insurance investment entity”
- Insurance – Addition to page on Meaning of revenue

Content relevant to the insurance industry is included in the following pages, in the main part of this release above:

- MTT10110
- MTT21300
- MTT41410
- MTT45160

DRAFT

Insurance - Profits adjusted to be before tax

As described in MTT21110, the adjusted profits are intended to reflect the Pillar Two member's profit before tax. The underlying profits are the profits after tax in the relevant financial statements. Section 138 therefore adjusts the underlying profits to remove items in the income tax expense, as well as any income taxes that are accounted for above the line.

Life insurance companies may accrue taxes arising on policyholder income. In such cases, the member's tax expense in their financial statements may reflect both the taxes borne on their income (often referred to as 'shareholder income') as well as any taxes borne on behalf of policyholders. As with any other type of company, the adjusted profits are intended to be based on the profit before any taxes on income. This avoids distortions in the ETR calculation.

The general provision to exclude covered taxes from the underlying profits is in Section 138(2)(a). However, policyholder taxes are specifically excluded from the definition of covered taxes under Section 173(2)(e).

Instead, a specific provision in Section 138(2)(e) ensures that policyholder taxes are excluded from the underlying profits. Policyholder taxes may include withholding taxes as well as corporation tax (or equivalent taxes in other jurisdictions). In other words, it does not necessarily matter how the tax is brought into charge and whether policyholder taxes are included within the income tax line of the financial statements.

The reference in Section 138(2)(e) to "to the extent that Section 152(2) applies in relation to those taxes" means that the quantum of the adjustment will generally be equal to the adjustment made under Section 152(2).

In turn, Section 152(2) adjusts the underlying profits by the amount of tax that would have been included in the member's covered taxes if the exclusion in 173(2)(e) did not apply. In other words, the adjustment to the underlying profits under Section 138(2)(e) will generally be equal to both the adjustment to the underlying profits for the recharge of policyholder tax under Section 152 and to the policyholder taxes excluded from the member's covered tax balance under Section 173.

Together, the operation of section 152 and 138 should exclude amounts in relation to policyholder tax such that the adjusted profits of the member only include amounts attributable to the shareholders.

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Insurance - Adjustments where life assurance business carried on

This section makes certain adjustments to the underlying profits of an insurance company. It applies to a member that carries on a life assurance business as defined in section 56 FA 2012, or a business regulated as such under the law of another territory outside the United Kingdom.

The life assurance business definition in Section 56 FA 2012 refers to activities that are regulated as contracts of insurance in the UK. These differences in regulatory scope will not necessarily prevent members in other jurisdictions from meeting the definition so long as the member is in substance regulated as a life assurance business.

Section 152(3)

A member carrying on a life assurance business may recognise returns that must be contractually paid over to policyholders within its financial statements as income, with a corresponding increase in liabilities due to policyholders. Financial accounting standards generally treat the movement in the corresponding liability as an expense within the profit and loss account. To the extent these amounts are equal and opposite, this will result in a net zero effect on the member's underlying profits and there will be no overall impact on the company's ETR.

Under some financial accounting standards, returns to the policyholders may not be reflected in the member's profit and loss account and may instead be recognised in another statement such as Other Comprehensive Income. Without a specific provision, these returns would not be included within the member's underlying profits. As the expense in relation to the movements in the liability to policyholders would be included, there would be a mismatch. This mismatch would distort the underlying profits and mean they are not an appropriate reflection of the profits made by the insurer. Section 152(3) therefore requires an adjustment to reflect the policyholder returns that are recorded in the Other Comprehensive Income in the adjusted profits of the member. This ensures that there is symmetry with the movement in the policyholder liability expense and prevents policyholder income distorting the member's ETR.

Section 152(2)

A member carrying on a life assurance business can be subject to taxes on returns that are due to policyholders. The member will typically pass that tax onto the policyholder through a recharge and in this way will effectively be reimbursed for taxes suffered on behalf of the policyholder. This recharge will generally be by way of a reduction to the expense in respect of the movement in liabilities to the policyholders and will have the impact of increasing the member's underlying profits.

This impact will be offset by the expense in relation to the income taxes paid by the insurer in respect of the policyholder returns and therefore overall, the impact on the insurer's underlying profits will be nil.

However, the tax expense in relation to those policyholder returns is excluded from the member's underlying profits under Section 138. Without further adjustment, the member's adjusted profits

would be distorted by the inclusion of the recharge for policyholder tax. As the policyholder tax would be excluded from the member's covered taxes, this would depress the member's ETR and could result in the insurer incurring a top up tax.

To address this issue, section 152(2) excludes from underlying profits the policyholder liability expense reduction (the recharge). The exclusion will only apply to amounts that would have been included within the member's covered tax balance had they not been charged to the policyholder. Amounts charged to the member's policyholders for tax payable by the member may include tax suffered at source such as withholding tax as well as corporation tax.

Section 138 will exclude the associated tax charge on policyholder returns from the underlying profits. The adjustment under s152(2) should generally be equal to the adjustment to the underlying profits for policyholder tax under s138(2)(e).

DRAFT

Insurance - Exclusion of certain insurance reserve movement expense

Insurance companies may recognise returns that must be contractually paid over to policyholders within their financial statements as income, with a corresponding movement in their insurance reserves as an expense. The insurance reserves may be described differently under different accounting standards. For example, under IFRS 17, they would be described as insurance contract liabilities.

These amounts generally net off against each other such that there is no net impact on the member's net profits. This result is appropriate because it means the member's net profits will reflect only the profits that the member has made for the benefit of its shareholders and will not include profits that from an economic perspective belong to its policyholders.

However, this income may include dividend income and equity gains or losses that are excluded from the member's underlying profits under sections 141 and 142 respectively. Absent a further provision, the section 141 and 142 adjustments would create a mismatch.

For example, the member earns £100 of dividend income which it is contractually obliged to pay over to policyholders. There is consequently an increase of £100 in the member's liabilities to policyholders. This gives rise to a £100 expense so the net profit in the financial statements in respect of those dividends is nil. However, the £100 of dividend income is treated as an excluded dividend and is required to be removed from the accounting profits. If the £100 expense from the movement in the policyholder reserves is not excluded, the member will have a £100 loss even though it has not made an economic or accounting loss.

Section 153 addresses this by excluding the expense from the movement in the policyholder reserve from the member's underlying profits when the expense is economically matched to an Excluded Dividend or Excluded Equity Gain or Loss. This adjustment ensures that there will continue to be symmetry.

The provisions only apply when the movement in the reserves is economically matched to an Excluded Dividend or Excluded Equity Gain or Loss. This ensures the adjustment is only required when the dividends or equity gains (or losses) are earned on behalf of policyholders and where there is a clear and direct relationship between the income and the movement in the policyholder reserves, for example in unit linked insurance policies.

It may be the case that the movement in reserves is not directly equal or proportional to the dividend or equity gain or loss. This could be the case for example when the insurer's investment management fee is paid out of the dividend and only the net amount after deducting this fee is paid to the policyholder. In such cases, an adjustment is still required if the movement in reserves would be economically matched to an Excluded Dividend or Excluded Equity Gain or Loss if this investment management fee were disregarded.

Where an adjustment is required, the adjustment will be equal to the amount of the Excluded Dividend or Excluded Equity Gain or Loss.

Where the movement in the reserves is not exactly equal to the amount of the dividend, for example because of investment management fees, this may mean that the difference, equating to the amount

of the fee, remains in the member's adjusted profits. This is because the provision is intended to maintain symmetry.

Example

Insurance company A invests €1,000 in shares with 3% dividend yield and a 1% investment management fee. Company A receives €30 dividend. €20 of this dividend is due to policyholders and so €20 is provided for in the reserve with a €10 profit on the investment for A (being the investment management income received).

The €30 dividend is an excluded dividend and is removed from company A's underlying profits. The investment management fee is ignored when determining whether the excluded dividend is matched to the reserves. Without the fee, the dividend would be equal to the movement in the reserves and therefore the movement in reserves is economically matched by the €30 excluded dividend. A reserves movement of €30 is to be excluded from A's underlying profits under section 153.

A's adjusted underlying profits has a net €10 income as a result of these two adjustments, representing the management fee income received by A.

The accounting double entries are as follows (with the amounts excluded in bold):

Dr Cash/Dividends receivable €30

Cr **Investment income (excluded dividend) €30**

Being the recognition of the dividend income

Dr **P&L expense (movement in technical provision/insurance finance expenses) €30**

Cr Technical provision/insurance contract liabilities €20

Cr Investment management fee income (Other technical income/Insurance revenue €10

Being the recognition of the amounts due to policyholders and the investment management fee income

Interaction between Section 152(3) and Section 153

Section 152(3) and 153 are both intended to prevent a mismatch or asymmetry in the treatment of policyholder investment income and the movement in the policyholder reserves.

The former addresses instances where there is a mismatch affecting the underlying profits because the relevant accounting standard recognises the policyholder investment return in Other Comprehensive Income, while recognising the movement in the policyholder reserve in the Profit and Loss Account. It requires an adjustment to include the policyholder investment return in the adjusted profits.

Unlike s152(3), the latter does not apply to cases where amounts are recognised in different financial statements. Rather, it applies when a mismatch is created in making the Excluded Dividends or Excluded Equity Gains or Losses adjustments. It applies to restore symmetry by excluding the equivalent movement in the policyholder reserve. It is possible that both provisions could apply. For example, an insurance company receives dividends from non-portfolio shareholdings which are received on behalf of policyholders. The relevant accounting standard requires the dividend income

to be recognised in Other Comprehensive Income. In this case, Section 152(3) will apply in the first instance and require the dividend income to be included. Section 141 will then apply. In this case, as the dividends were earned in respect of non-portfolio shareholdings, they will be treated as Excluded Dividends. This would reintroduce a mismatch between the treatment of the dividend income and the policyholder reserve and so Section 153 will exclude the movement in the policyholder reserve.

DRAFT

Insurance – Covered taxes

A member carrying on life assurance business recognises returns that must be contractually paid over to policyholders within its financial statements as income.

Under some tax regimes, including the UK's 'I-E' regime, life insurance companies are subject to corporation tax on investment income, even though it is earned on behalf of policyholders. Typically, the insurance company will then pass on this tax to policyholders through a recharge. The effect of this is to accelerate the tax so that the income economically belonging to policyholders is taxed as it accrues, rather than on the maturity of the relevant policy.

Multinational Top-up Tax and Domestic Top-up Tax are designed to ensure that large multinational groups pay at least 15% on their profit in each jurisdiction. The investment income earned on behalf of policyholders is not economic income of the multinational group, but rather income of the policyholders, and so does not form part of the multinational's adjusted profits. It would be inappropriate to include taxes borne on behalf of policyholders in the member's covered taxes because this would enable an insurer to avoid a top up tax even when the effective tax rate it pays in respect of its adjusted profits is lower than 15%.

Paragraph (e) consequently excludes those taxes (including withholding taxes) that are recharged to the policyholder by a member carrying on life assurance business from the definition of Covered Taxes.

The amount of tax that is excluded through Paragraph (e) should be determined based on the local tax return. In the UK, this is determined based on the allocation of profits between the policyholder and the shareholder and only those taxes charged at the policyholder rate are excluded.

The covered tax balance will therefore include the amount of corporation tax charged at the shareholder rate on the shareholder share of the company's profit (adjusted for deferred tax balances).

Other insurance taxes

Section 173(1)(c) includes taxes that are imposed as a substitute for taxes on profits within the covered tax definition. This ensures that withholding taxes on income are included within covered taxes. These can include withholding taxes on gross premium income, such as the Federal Excise Tax in the United States.

However, indirect taxes such as Insurance Premium Tax in the UK are not included.

DRAFT

Insurance - Recaptured deferred tax liabilities

Section 173(4)(g) includes insurance reserves and insurance policy deferred acquisition costs.

An insurance company collects premiums from policyholders, which is invested into assets to generate earnings from which claims can be paid in the future. When a premium is collected, an insurance company will know that some portion of the premium and earnings on such premium will be needed to pay claims, generally in a subsequent period. Many tax authorities allow a deduction for an amount of collected premiums that is reserved for the payment of future claims.

The amount allowed as a tax deduction in some jurisdictions is determined by reference to the amount of reserve requirements set by insurance regulatory agencies, which require insurance companies to hold a certain amount of assets in high-grade, liquid investments to ensure they can pay policyholder claims.

Such regulatory capital requirements typically exceed accounting reserves by a significant amount. The difference between these accounting and tax reserves creates temporary differences that may be sustained over long periods, especially in the case of life insurance where policies are held for significant periods of time.

Deferred tax liabilities in respect of insurance reserves are therefore included within the list of exceptions and therefore do not need to be recaptured even if they do not reverse within 5 years. This means the ETR in the year that the deferred tax liability accrued will not need to be recalculated and there is therefore no need to track the reversal of these deferred tax liabilities.

Items relating to in-force contracts (for example, as part of an insurance business acquisition) are where the insurer may recognise the difference in the fair value of the acquired insurance contracts and insurance obligations assumed on acquisition. This item is commonly known as either value of business acquired, present value of in-force business, acquired value of in-force business, or value of business in-force. It may be presented together with another item, such as deferred acquisition costs, or as a separate item in financial statements for reporting purposes. In either case, to the extent recognised, it is intended that such assets and liabilities are within the scope of the exception at Section 184(4)(g) and therefore not subject to recapture.

These items are amortised over a definite period and can lead to material timing differences depending on local tax rules. The long-term nature of some insurance contracts such as life insurance can also lead to significant timing differences, as a result of differences in tax rules and how insurance contracts are valued under different accounting standards.

Insurance – addition to MTT21010 – The underlying profits

Regulated mutual insurance entities

The underlying profits for a regulated mutual insurance entity, as defined in section 213, should be the profit in the relevant financial statements after any transfer to or from the Unallocated Divisible Surplus (UDS).

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Insurance – Addition to MTT45110 Investment entities – Definitions of "investment entity" and "insurance investment entity"

Insurance investment entity

Insurance companies invest in many different types of funds to generate income which can be used to pay policyholder claims in the future. Although these funds have many of the characteristics of an investment fund, they will often not meet the investment fund definition as they are held, directly or indirectly, by a single investor – the insurance company.

For insurance investment entities, there is no requirement for there to be multiple unconnected investors. An insurance investment entity may be wholly-owned by a single entity, or by a number of entities belonging to the same group.

An insurance investment entity must still meet the conditions at sections 236(1)(b) to (g) in the investment fund definition.

Conditions 236(2)(c) to (e) in the definition are designed to ensure that the definition is only met by investment funds of an insurance company that exist for the purpose of the insurance business and that the definition is not subject to manipulation or abuse from groups wanting to take advantage of the rules specific to investment entities.

Condition 236(2)(e) requires that regulated entities hold 100% of the ownership interests in the entity. The percentage ownership of regulated entities is tested using the rules in section 244 (see MTT17050), so the ownership interests may be indirect, but there is no double counting.

The requirement may also be met if the entity is owned by a flow-through entity which is subject to regulations in the same manner as an insurance company.

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Insurance – Addition to page on Meaning of revenue

Section 129 of Finance (No.2) Act 2023 sets out conditions for a multinational group to be a qualifying group for Pillar Two purposes. One of those is that the group's members must have revenue exceeding 750 million euros in at least two of the previous four accounting periods. For the purposes of this condition, the revenue of members is determined by reference to the consolidated financial statements of the ultimate parent for the period.

Section 255 explains that the Pillar Two rules are interpreted in accordance with and supplemented by the Pillar Two commentary and any further guidance published by the OECD. The December 2023 Administrative Guidance provides further details on what constitutes revenue.

Unit-linked investment policyholder returns should be excluded from the revenue calculation to the extent that they are matched by an expense arising from a contractual obligation to pay income over to the policyholder. The amount that should be included in revenue is the net of the unit-linked investment policyholder returns and the corresponding expense.

This is consistent with the adjustments set out in Sections 138 and 152 whereby if a member of a life assurance business recognises returns that are contractually paid over to policyholders within its financial statements as income and there is a corresponding increase in liability to reflect the obligation to pay this income back to policyholders, both the income and expense (which usually nets to nil) should be included in the adjusted profits. This is to ensure that the adjusted profits reflect only the profits made by the insurer (and not those that are contractually due to policyholders).

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